

Mankind Pharma (MANKIND)

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BSE Limited
P J Towers,
Dalal Street,
Mumbai – 400 001

Script Code: 543904 National Stock Exchange of India Limited
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Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051

Symbol: MANKIND

Dear Sir/ Madam,

Subject: Performance and Business Update Call for Q4FY23 & FY23 – Transcript

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Performance and Business Update Call for Q4FY23 & FY23 held on Wednesday, 31st May 2023.

The transcript is also available on the website of the Company at
<https://www.mankindpharma.com/media/investor/q4-fy23-transcript-1686050139.pdf>

You are requested to take the same on your record.

Thanking You,

Yours Faithfully,

For Mankind Pharma Limited

Pradeep Chugh
Company Secretary and Compliance Officer
Membership No. A18711

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“Mankind Pharma Limited
Q4FY 23 & FY23 Performance and Business Update
Call”
May 31, 2023

MANAGEMENT : MR. RAJEEV JUNEJA – VICE CHAIRMAN & MANAGING
DIRECTOR – MANKIND PHARMA LIMITED
MR. SHEETAL ARORA – CHIEF EXECUTIVE OFFICER &
WHOLE -TIME DIRECTOR – MANKIND PHARMA
LIMITED
MR. ARJUN JUNEJA – CHIEF OPERATING OFFICER –
MANKIND PHARMA LIMITED
DR. SANJAY KOUL – SENIOR PRESIDENT , SALES &
MARKETING – MANKIND PHARMA LIMITED
MR. ASHUTOSH DHAWAN – CHIEF FINANCIAL
OFFICER – MANKIND PHARMA LIMITED
MR. RAVI AGRAWAL – HEAD OF INVESTOR
RELATIONS – MANKIND PHARMA LIMITED

MODERATOR : MR. ALANKAR GARUDE – KOTAK INSTITUTIONAL
EQUITIES

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Moderator: Ladies and gentlemen, good day and welcome to the Mankind Pharma Q4 FY '23 Earnings Conference Call, hosted by Kotak Institutional Equities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Alankar Garude from Kotak Institutional Equities. Thank you and over to you, Alankar.

Alankar Garude: Good morning and good afternoon everyone. On behalf of Kotak Institutional Equities, I would like to welcome you all to the fourth quarter FY '23 earnings conference call of Mankind Pharma.

I would now like to hand over the call to Mr. Ravi Agrawal , Head of Investor Relations. We'll introduce the senior management and take the discussion forward. Over to you, Ravi.

Ravi Agrawal : Yes. Thank you, Alankar. Good afternoon everybody. I'm Ravi Agrawal , Head of Investor Relations at Mankind Pharma. I thank you again for being with us today on our Q4 and 12 - month FY '23 earnings conference call.

On the call today, we have Mr. Rajeev Juneja, Vice -Chairman and Managing Director, Mr. Sheetal Arora, CEO and Whole -Time Director, Mr. Arjun Juneja, Chief Operating Officer, Dr. Sanjay Koul, Senior President, Sales and Marketing and Mr. Ashutosh Dhawan, Chief Financial Officer.

We'll begin with opening comments from Mr. Juneja, providing an overview to the quarter and full year performance. This will be followed by comments from Dr. Koul on the business performance, followed by Mr. Ashutosh, who will share some key thoughts on the financial aspects of our performance. There will be an opportunity at the end of the opening remarks to get your queries addressed by the Management .

Before we commence the call today, I would like to remind you that some of the statements made on the call today could be forward -looking in nature and a detailed disclaimer in this regard has been included in the press release that has been shared on our website.

I now invite Mr. Juneja to share his comments.

Rajeev Juneja: Thank you, Ravi and good afternoon everybody. It gives me super pleasure to provide you our first results update post IPO to our valued investors today. I may have met some of you before the IPO, all of us, but there must be some with whom I did not have any chance of interacting earlier.

So I welcome you today. And before I start this written commentary, let me speak something from my heart side that you always mentioned that what basically is the aspiration of Mankind .

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Mankind 's aspiration is to become the most admired institution in India. That's the inspiration and we always followed our heart and gut, whichever path we have ever taken. Mankind is a very, very unique company. It is actually a consumer health company. And why I say so because we are not depending upon few thousand doctors, we are covering 4 lakh doctors. And we have always believed one thing that don't follow certain companies, don't idolize certain companies, rather disrupt the market.

I take the examples whether it was our bottom -up approach to start with or gradual increase of our footprint in India from Meerut to Mumbai. And while we launched in Meerut in 1995 , in Mumbai we came 20 years back. In southern part of India, 22 years back. Whether it was only marketing for a few years, then coming to manufacturing and then to R&D. And again in marketing, we are the only company, unique company, covering 4 lakh doctors. It is a very, very big scale.

And if you look at the manufacturing side, 75% products are being manufactured in our o

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manufacturing facilities. And if you talk about highlight about R&D, we have a distinction of

developing Dydrogesterone . Not only that, in our OTC domain, consumer side only, look at our philosophy of always going for leadership position, whether it was Manforce condoms or Prega - News or Acne Star or Unwanted 72. It really tells our intentions that whatever we say, we have, we walk the talk.

And again, at different times, our philosophy has been different. There was a time we were just depending upon waterborne diseases. And today, it is airborne because air has become polluted. Once upon a time, our major products were antidiarrheal and today it is respiratory products. There was a time in 2004, till 2004, we were depending only on acute side. And today in 2023, our share in chronic side is 34%, whether it's a diabeto, cardio, neuros, psychiatry, respiratory, and so on. We have a lot of chronic side, lifestyle diseases, drugs. That really tells one thing about Mankind that we are a very, very dynamic company. And not only dynamic, at different times, we are more differently.

And how different are we? You'll be surprised to know that this is a unique company, Mankind , where there are no targets for our people, salespeople. This is only unheard of because our belief is that everything happens in long -term intangible things. I mean, benefit lies, growth lies, solid foundation lies in long -term intangible things, which become very profitable, tangible things in time to come.

And our belief is also there that we put our focus on people, processes, and products. So that creates a vibrant kind of atmosphere in the organization. The uniqueness of Mankind is when GST came, people were shrinking down, lowering their number of C&Fs. We did not do it. We rather increased. So we have a distinction of having more than 50 C&Fs. And our belief is that we are a company of only long -term. Our belief is anybody who believes in short -term kind of a thing, he loses focus on right kind of a karma (6.34) and right kind of a process. Because our belief is that pharma is not a cyclical kind of a business.

Healthcare is all about 24x7. Now, post -COVID, it has become more prominent in people's mind. It is 365 days, and there was a time our sales first half used to come around 56% when we

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used to depend only on acute side. But nowadays, because of a dependency on chronic, it has also increased, our share has increased. So it's quite stable. I mean, maybe it is 52% in six months, and the rest is in the rest of the six months.

And what we believe, actually, we believe that best quality can be given at the most affordable prices everywhere in India. We're totally India -centric Company . Our belief is that we can do fantastic in India. That was a commentary from the heart side. Let me read out the things.

What we see that pharma industry witnessed in normal year after two COVID years in 2023, which moderated the overall growth rate for the industry. With this context, I'm happy to share that the company has maintained its strong growth trajectory during the year.

Our domestic business segment continued to outperform the IPM in 2023 with a growth of 11% year-on-year, against IPM growth of 7.9% during the year. Within this, our chronic segment grew by 14%, with a market share of 34%, against 33% share last year in our domestic sales.

We also successfully integrated Panacea acquisition. And during the year, EBITDA for the company was INR1913 crores, with a margin of 21.9% during the year. Our margins were lower by 390 bps due to higher API costs, especially in first half of 2023. Higher employee costs from the additional headcount from Panacea and not to forget, one -off, the cost from business integration of Panacea.

We have taken various measures to improve our margins, and we are confident that we will be

able to deliver our historical margin of around 24% to 26% in the medium term, while growing at 1.3x to 1.4x of IPM.

For the quarter, our revenue grew by 19% year -on-year, with EBITDA of INR419 crores, and a margin of 20.4%, representing a growth of 45% year -on-year.

Before we get into specifics of the business, I would like to highlight the key strategic aspects of our segments. The strategic pillar on which our business are built, the first is the Mankind Company is primarily focused on India , with almost 97% of our revenues coming from India, this focus will not change, as we believe that there are unbound opportunities for the growth in the country.

Second, our core value proposition of affordability, accessibility, and the best quality will be central to our business going ahead to generate volume -led growth and prescriptions. Third, we see a clear trend of rising prevalence of chronic diseases in India, and we will aggressively focus on increasing our presence in chronic segments going ahead. This will be through expansion in our new therapies, growing presence in existing therapies. It will also be through increasing penetration in metro, especially within super -specialty doctors, for which we have created

dedicated divisions. The strategy here is to garner dominant leadership position in identifying white spaces in key chronic therapies through in-house R&D, acquisitions, in licensed products, and through best in the industry doctors, stockists, and patient coverage. Fourth, we'll continue to aggressively invest in marketing to create and support our dominant brand leadership across our pharma and consumer business. Within our key Class 2 and Class 4

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towns and rural market, we will be focusing on increasing the value of prescriptions, bringing more prescriptions from the same doctors.

Our corporate brand, Mankind, creates synergy benefits across both pharma and consumer verticals. We have a very unique consumer healthcare business with a market leadership and will aggressively continue to grow and expand this business through brand extensions. Prescription to OTX to OTC, we have done plenty of, whether it's the HealthOK, whether it's Acne Star, we have both. These are two examples where we shifted our prescription products to OTC side, OTX to OTC side.

Going forward, also, the product we have acquired Nimulid from Panacea will be shifted over there. Also, our record in creating brands have been very good, from around 29 brand families with the sales above INR50 crores in year 2020, today, we have 37 brand families which are above INR50 crores, with 11 of them are above INR200 crores each. If you consider that, we are a company around 28 years old, we are probably one of the fastest, youngest companies to create such a brand success in India. We hope to keep doing the same good work.

Thank you so much. With this, I hand over to Sanjay Koul, Senior President, Marketing, and Sales.

Sanjay Koul: Thank you so much, sir. And good afternoon, ladies and gentlemen. And welcome to this today's investor call. I would like to take this opportunity to provide you with an update on our domestic business with a specific focus on our consumer healthcare segment.

Let's begin with our domestic business revenues, which reached INR8,453 crores in FY '23, reflecting a year-on-year growth of 11%. Excluding the impact of COVID-19 pandemic, our revenue growth stood at 15% during the year. In Q4 FY '23, our revenues amounted to INR1,972 crores, marking a robust year-on-year growth of 18%.

According to IQVIA, our secondary sales growth for FY '23 was 10.6%, outperforming the industry's 7.9% growth rate. This trend continued in Q4 FY '23, with our secondary sales growth at 24%, compared to the industry's 14.9%.

It's worth noting that our long-term historical performance has consistently

positioned us at

around 1.3x to 1.4x the industry growth rate. Additionally, IQVIA reports that we maintained our market rank of 4, holding a market share of 4.4% during the year. However, when considering the CVM, our market share reaches 6.5%, securing the second position in India. Analyzing the price and volume metrics, we have been closely in line with IPM as far as price increase and new product growth contributions is concerned.

Notably, our volume growth reached 2.6%, outperforming the flat volume growth of the IPM. This success is attributed to our expansive distribution network, large field force, and strong presence among doctors, making us one of the industry leaders. We firmly believe that, volume-led growth reflects the superior quality of our sales, as it is driven by prescriptions and thus more sustainable.

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Another point to note is that, we have consistently had the highest prescription share over the last five years. Even in FY '23, our prescription share increased by 0.2% and stood at around 15.5%. We also have 22, INR100 crores plus brands, which is the third highest in the industry. As Rajeev sir mentioned, a key aspect of our business strategy is expanding our presence in the chronic segment. We have witnessed steady progress in this area, with the chronic business accounting for 34% of our sales in FY '23, up from 32% in FY '20.

Furthermore, in Q4 FY '23, it increased to 35%. Notably, our chronic business achieved a growth rate of 14% in FY '23, surpassing the IPM growth rate of 11%. In Q4 FY '23, our chronic business growth stood at 25%, while the IPM growth rate was 15% only. This represents an outperformance of 1.3x and 1.7x, respectively, during their respective periods.

We have a robust strategy in place to launch unique products, including those from in-licensing.

We have started witnessing fantastic results from this initiative. For instance, our in-licensed product, Neptaz, which is Sacubitril-Valsartan for long-term heart failure, received an outstanding response and was ranked, the second best new product launch in India for FY '23, according to IQVIA.

Now, let's shift our focus to the company's overall PCPM. Despite a substantial increase in our field force, during the last three years, the average PCPM of the company has steadily increased from INR 5.5 lakhs in FY '20 to INR 6 lakhs in FY '23. It is important to note that, while most of our mature divisions boast a healthy PCPM, the overall company level is influenced by lower PCPM from our new divisions. However, we perceive tremendous opportunities to enhance our PCPM as these new divisions gain momentum, which will positively impact our margins going forward.

Moving on to our consumer healthcare business, we achieved revenues of INR692 crores in FY '23, demonstrating a strong year-on-year growth of 17%. Over a longer period, our CAGR has been a robust 22% in FY '21 to FY '23. For the quarter, I am happy to share that, all our major brands in consumer healthcare have increased their market shares. We are confident in sustaining strong growth in this segment going ahead. I will now hand over to Ashutosh ji, who will provide further insights into our financials. Thank you so much.

Ashutosh Dhawan: Thanks Sanjay, a very good afternoon and I thank everyone for taking time out and joining our first quarterly earnings conference call. I hope all of you would have received our financial results as well as the press release. Let me give you a brief of the financial highlights for the performance during 12-month period ended on 31, March '23 as well as quarter 4 FY '23 performance. So, starting with the quarterly view standpoint, for Q4 FY '23, revenue from operations have increased by 19% year-on-year basis to INR2,053 crores. EBITDA has shown a growth of 45% year-on-year to INR419 crores with the margins

at 20.4%. PAT was at INR294

crores, representing a growth of 52% year-on-year with EPS, which is not annualized of INR7.1 per share of Re.1 paid.

For the quarter, if you look at our gross margins are at 67.2%, which is 40 basis points lower than Q3, which is due to one-time write-off of close to around INR15 crores, on account of COVID-related inventory, which has impacted our quarterly margins by 70 basis points. In the

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absence of this, the same margin would have been closer to 68%, for the quarter, which is at a similar rate as the pre-COVID levels. If you look at the R&D cost for the quarter, which stands at INR48 crores, representing 2.3% to the sales. The total capex spent for the quarter was at INR133 crores in Q4 FY '23.

Now moving on to the full year view, revenue from operations have improved by 12% year-on-year basis and we closed revenue at INR8,749 crores. EBITDA for the year was at INR1,913 crores, with margins at 21.9%. Similarly, PAT was at INR1,310 crores, with the margins of 15%. The annualized EPS for the year was at INR32 per share having a face value of Re.1.

As seen, our reported EBITDA margins in FY '23 have declined by 390 basis points and this is largely due to three main factors. The number one is the gross margin compression, gross margin was at 66.7% as against 68.9% in FY '22. So, there is a decline of 220 basis points and this decline is coming from three broad reasons. One is the cost impact on account of higher API prices, especially what we witnessed in H1 of FY '23, that was around 130 basis points. We also did higher provisioning for COVID-related expiry products, which also impacted gross margins by 60 basis points. Lastly, there was an adverse geographical mix, which impacted 30 basis points. We have taken active measures to improve our gross margins with price increases, which has given a positive impact, especially in the H2 of FY '23.

The second impact of 110 basis points is coming on account of higher employee cost. This is due to the full impact of total headcount, which we added in FY '22 in a phased manner.

However, in FY '23, there has been a full year cost impact. And this also includes the impact of new employees, which we got added because of the acquisition of Panacea. We expect this to normalize going ahead as we begin to see the productivity ramp up in the sales force in the coming year.

Thirdly, there has been a one-time cost impact due to business integration of brand acquisitions during this year, which has also impacted our margins by 60 basis points. And now the other part is the depreciation and amortization expense for the year. They are at INR326 crores as against INR167 crores in FY '22. This is on account of additional amortization of close to INR140 crores in FY '23, due to the amortization of intangibles from acquisition costs.

Our effective tax rate for full year was at 21.6% as compared to 26.4% in FY '22. For the full year, our net operating working capital days were at 45 days, which is similar to what we had

for FY '22. If you look at the total capex spent, that was around INR832 crores in 12 months FY '23 and cash flow from operations were at INR1,813 crores as compared to INR920 crores of FY '22.

The company has a healthy net cash position of INR1,366 cr ores as at 31, March '23. The ROC E was 25%, Return on Equity was 23% for FY '23 on ex -cash basis and if we adjust it for acquisition and cash our adjusted, ROC E and ROE were at 40% and 39% respectively in FY '23. With this, I would like to conclude our opening remarks and we will be happy to address any questions that you may have, please.

Moderator: Thank you. Our first question comes from Prakash Agarwal with A xis Capital. Please go ahead.

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Prakash Agarwal : Hi, good afternoon. Just one question.

First of all, thank you and congratulations on listing . Just one question. You gave an elaborate bridge of gross margin as well as EBITDA margin impact. You mentioned cos t impact of API of 130 bps. How much of that has been recovered in the second half and what is the outlook for fiscal '24?

Ashutosh Dhawan: Thanks Prakash for the question. So we undertook the price increase in the Q2 and full impact of this cost pressure has been recovered by Q4 and in the next year FY '24, so this is getting normalized. So the full impact has been covered by way of price increase.

Prakash Agarwal : But there is another round of price increase, if I am not wrong, that happens in April and the impact comes by end of Q1. So would that be beneficial and we would go beyond 68 % is the endeavour or how should we look about, what is the band that you are looking at, at the gross margin side?

Ashutosh Dhawan: Definitely, the NLEM price increase, we will be taking from April, so that will have a positive impact on the gross margins going forward.

Prakash Agarwal : Any band you are looking at in terms of gross margins?

Ashutosh Dhawan: Any band? So the price increases in line with the IPM market price increase.

Arjun Juneja: So Prakash, Arjun here, Arjun this side. So basically to answer your question, we have taken price increases in line with the NLEM price increases, which have fallen in place in the month of April. So those price increases we expect, the benefits of those price increases to start coming from June onwards. And apart from that, whatever price increases the government allows for the non-NLEM products, we have taken those price increases as well, which will happen during the course of t he year, which will give effect in different quarters to come.

Prakash Agarwal : So ideally speaking, the gross margins should improve from that 68% mark, would that be correct understanding?

Arjun Juneja : The gross margins would improve slightly but not as much because if you see we are sitting at about 67% of gross margins as of now, around 67% -67.5% of gross margins. But having taken these price increases into account and the volatile Dollar -Rupee conditions and the volatile API markets, we are projecti ng gross margins should be around in the range of 68% plus 1% or so.

Prakash Agarwal : Okay, perfect. This is helpful. And second question is on the cash flows. So we had a very strong cash flow. Just trying to understand, like last couple of years, we hav e taken endeavours in the gaps that we had, the Panacea and the smaller ones and respiratory and derms. What is the thought process now in terms of using the cash?

Rajeev Juneja : The thought process is very -very clear that after the successful acquisition of Panacea, looking out for other M&As as well and feel, whenever the opportunity is right, we will definitely use it. Right now, we are just accumulating the gunpowder, so that at the right time, we have good amount of money in our hands. That's a though t because the value of any company can increase as a whole, if it really utilizes the money, rightly. That's the thought process.

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And it is always unpredictable, when you get the right kind of organization, which fits in your company very well. Like we believe Panacea has really happened. Of course, not to forget that in 2024, we expect to incur around INR600 crores capex , in our R&D and other places, in our factories. And as far as our R&D is concerned, it will be approximately 2.2% to our sales.

Ashutosh Dhawan : So currently also, it's around 2.3% in that range.

Prakash Agarwal : Understood. And lastly if there is any dividend policy that you would like to highlight?

Arjun Juneja : Basically yes, there is a dividend policy. We are working on the dividend policy but we don't have a fixed pay -out ratio as of now. We are in the process of working

on the same and will be updated in due course of time, maybe in the upcoming quarters.

Moderator: Thank you. Our next question comes from the line of H. Kunal with Macquarie Company. Please go ahead.

Kunal Dhamesha: Hi, it's Kunal Dhamesha from Macquarie and thank you for providing the opportunity and congratulations on the good set of numbers.

So while we have shared our medium-term target of growing by around 1.3 times, the IPM growth rate, but I would like to know your thoughts on the Indian pharma market growth, let's say three-year time period. How do you see that because there has been a lot of volatility with the COVID products coming in, going out, etc. But do you see structurally what, kind of, growth rate is possible in IPM and then based on that what is our target growth rate that we are looking for in the next three years?

Sanjay Koul: So Kunal, this is Sanjay Koul. Thanks for the question. And if you look at the IPM growth of FY '23, it was 8%. As per IQVIA, they have given basically next five years projection for growth of the IPM.

So as per IQVIA, the IPM is going to grow between 10% to 11% for next three to five years. And major segments, which will be the growth drivers will be cardiovascular disease, which will grow faster than the IPM growth. And the second will be anti-diabetics. Third will be dermatology. Fourth will be gynecology.

So these are few of the segments, which are going to grow faster than the IPM growth in the next three to five years as well. And these will be the growth drivers of IPM. And even anti-infectives last year grew by 6%. And the IQVIA says that even anti-infectives can grow between 8% to 9% in the coming three to five years.

So we have a very strong portfolio of anti-infectives, gastrointestinal, vitamins and minerals, which are projected to grow by -- the market is projected to grow by 12% to 13% as per vitamin and mineral segment is concerned. So we have strong portfolio in cardiovascular disease, anti-infectives, vitamin and minerals and gynecology.

So all these segments as per IQVIA are going to show robust growth and we are aligned because these segments have substantial presence in our portfolio.

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Kunal Dhamesha: Sure. So basically it means that we should be somewhere around 12% to 14% range in the medium-term annual growth rate?

Sanjay Koul: So traditionally, last five years, last three years, last 10 years, we have outgrown the IPM. And even our volume growth has been higher than the volume growth of IPM. And we believe the trend will continue, because we have a number of strategies in place. We are expanding our covered market. We have launched specialty divisions in the last two years and these divisions are going to be the growth drivers besides existing business. And we expect that in the next two to three years, we will continue growing faster than IPM by 1.3x to 1.4x.

Kunal Dhamesha: Perfect. And the next aspirational or -- in terms of EBITDA margin, you have provided 24% to 26%. We know what in your view, let's say from quarter four, we have ended at around 20.5%.

What is the major primary lever of that going from 20.5% to let's say 25%, which is midpoint?

I don't know if you can provide some clarity to that.

Ashutosh Dhawan: Sure. So let me give you a perspective. Let me show the roadmap from 22% to 25%. So as we mentioned that there has been a gross margin compression of 1.3% in FY '23, which we have recovered through price increase. And let's assume that we maintain the same, even though technically what Prakash mentioned that because of price increase, there are chances of improvement therein.

But let's be conservative. So 1.3% recovery, which we have undertaken through price increase, which we expect to continue even as a matter of abundant precaution at a 68% GC level. So 1.3% is going to come from there. 1.

1% has been the drop on account of higher employee costs, because we added workforce in FY '22 and FY '23 has been the year of consolidation. So we expect the productivity and ramp up to go up, so that should also give us the benefit of close to around 1.1 -odd percent.

And thirdly, there has been a one-time integration cost in FY '23 because of these acquisitions. So that also impacted our P&L close to around 0.6% -0.7%. So that we expect that that will normalize in the next year.

So if we do a totaling of these three, we expect it to be somewhere hovering around closer to that guidance level of 24% to 26%. There are other operating levers as well as an organization level. The focus is on the chronic segment, so that also can be added impetus to the margins. So this is broadly how the roadmap from 22% to the taking it to the guidance of 24%-26% EBITDA level.

Kunal Dhamesha: So when you say chronic, it would again be higher productivity than what we are suggesting right now, which is the current negative impact that we have seen from the -- so we are just right now 1.1% is just making in breakeven of those new people that you've have hired, right? I mean, once they start generating beyond breakeven.

Ashutosh Dhawan: Yes, so that's why because -- and then -- so the impact will be on both the sides with the chronic. One is on the employee productivity and second is on the gross margins. So the impact will be

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double -fold if we increase the chronic market share and increase it from a current 34% level to a higher level.

Kunal Dhamesha: Sure. And the third question that I have is on the new integrated facility, which we have said that we will commercialize in H1 FY '24. So is it fair to say the current CWIP for INR493 crores belongs to that facility? And you also talked about dydrogesterone export opportunity. So what is the overall addressable market size there? What is the competitive landscape, if you could help us understand?

Ashutosh Dhawan: See, it's very difficult to point it out, because there are multiple projects, which are undertaken at the organization level. Last year, we have incurred the capex, both CWIP plus the capitalized part of close to INR832 crores. And this year, we are expecting it to be lower than that. That is expected to be somewhere close to around INR600 crores. That's the capex spent for FY '24. And this facility, which is coming up in Udaipur, which is we expect to get commercialized within the next one or two quarters. So there no more capex will be going on in that.

Arjun Juneja: So basically, this facility -- this is Arjun here, this facility, which is being built in Udaipur, it will get commercialized in next quarter. And the reason for this facility is that it's a totally integrated facility, where we will be producing dydrogesterone from scratch. And it will help us remove our dependence from China on the KSM. So we'll be producing the KSM, the raw material to KSM, then to the intermediate, finished API, then the finished formulation at one integrated facility for this product. Because we've seen that since the last couple of years, we launched the product in 2019, ever since our volumes have been going up, and we were not able to meet the increasing volumes.

So looking at the future volume forecast of this product, we have built this facility to cater to the Indian market and also to -- we are exploring opportunities across the globe wherever there is market for dydrogesterone, whether it is China, whether it is Russia, whether it is Southeast Asia, South America. So we'll be exploring all the markets for dydrogesterone going forward with this facility.

Moderator: Thank you. Our next question comes from the line of Surya Patra with PhillipCapital India Private Limited. Please go ahead.

Surya Patra: Yes, thanks for the opportunity, sir. Sir, just first

question on the, let's say, margin. We have seen kind of 25% to 26% margin during the COVID period. Obviously, that was a temporary opportunistic period where the margin has seen that number.

So now we are guiding almost that kind of scenario. So are we saying that the margin that we have on during the COVID period is achievable number, and efforts have gone towards that?

Arjun Juneja: Yes, I think you are right. The margins that we achieved during the COVID period, those are achievable numbers. I mean, this year was a slightly unexpected year, because last year because of the, if you see the early half of last year, especially January, February, March, China was in a bit of a turmoil. We were not sure of how COVID situation is happening in China.

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And going to the same, we started increasing the inventory of raw materials, because we never knew what's going to happen in China because different parts of China were shutting down at different times. And we started sitting on extra inventory because of that. At the same time, the pricing of different APIs went up.

So that had an impact on the first half of last year where we were sitting on extra inventory and sitting on inventory, which was more expensive. We also wanted to take price increases, which we take during the course of the year, but there was a lag effect in those price increases because of the extra inventory sitting. So the price increase impact started coming, especially during the second half of last year. So had these issues not been there, probably the margins would have been better off.

Ashutosh Dhawan: So just to complement, if you look at during the COVID period, the margins were upward of 26%, closer to 27%. So while in this guidance, so they have been tapered off 24% to 26%. So they have been normalized with the COVID effect.

Surya Patra: Okay. Sir, my second question is about the consumer business. So let's say over a period of let's say three-year time. So what is the kind of business here that we are expecting out of this consumer health segment? And also what is the kind of business here that we are targeting for chronic?

Rajeev Juneja : Look at the history of our consumer business, and you can draw your own conclusion. We continuously do -- we continue to do quite good in that. We are right now building our brands.

Rather what we are doing, whichever brands have reached to a level, we are just increasing the portfolio range in that, in Manforce, in Prega News. And also from OTX to OTC side we're going for. Hopefully we'll do much better than what we're doing right now.

Surya Patra: Okay. Sir, FY '23, the margin profile or the profit profile of the consumer health compared to the reported number, could you give some sense?

Ashutosh Dhawan: Actually, we don't discuss the segmental margins, but we can give you that the margins of the consumer business, they are in line with the listed consumer companies margins. And directionally, the margins have been improving in the consumer business year-on-year basis.

Surya Patra: My last question would be on the indication that you have said, sir, the plastic neutral, carbon neutral effort over the next couple of years. So whether it is going to have incremental cost, or you are expecting a better pricing power supporting to the profitability, how should we see this and what effort that you are really talking about in terms of cost and all that?

Arjun Juneja : So we are not expecting an incremental cost because of this. I mean, whatever costs are there, I mean, a lot of these things that we are doing are based on opex models. And there is not enough -- this is not a lot of capex going into all of this. And it is all within the rational range of expenses that we've been doing over the last few years.

Surya Patra: Okay.

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Ashutosh Dhawan: So we kept the margin to 68% after factoring pluses and minuses.

Surya Patra: Okay, okay. Sure, sir. Yes. Thank you. Wish you all the best.

Moderator: Thank you. Ladies and gentlemen, a request, please restrict yourself to two questions per participant.

We move on to our next question, which is from the line of Naushad Chaudhary with Aditya

Birla Sunlife AMC. Please go ahead.

Naushad Chaudhary: Yes. Hi. Thanks for the opportunity. A quick follow-up on the previous question. I understand, sir, you don't share the margin on the consumer business. But broadly qualitatively, if you can share, are we EBITDA positive here?

And in terms of our marketing spend, how much we spent last year and what is the outlook here for the next two to three years in terms of ad and marketing spend penetration and overall business profitability outlook?

Arjun Juneja : Thanks for the question. But I can very -- put it out here on record that it is an EBITDA positive business and the operational EBITDA for this business is in high-teens. And I mean, it will be very difficult to give the -- how much is the marketing spend or the advertisement spend on this business. We don't do segmental reporting for the consumer business as such. But it's a positive business, EBITDA positive business.

Naushad Chaudhary: And you have enough juice in terms of operating leverage here as the business grows, should it fall, should EBITDA expand meaningfully here in consumer business?

Arjun Juneja : Yes, there is enough juice in this business to increase the operating leverage. If we see our historical margins in the consumer business, they are increasing year-on-year. Till about a few years back, it was a loss making business for us. But since the last few years, the EBITDA margins have been expanding and there is full leverage happening because of the scale and size of the business at which it is growing.

Naushad Chaudhary: Right. And lastly, in terms of the API cost pressure, so are we -- do we still have high cost inventory, or is it over in this quarter and from next quarter onwards, there shouldn't be a...?

Arjun Juneja : I would say most of the high cost inventory is gone now. We'll start reaping the benefits from next quarter onwards.

Naushad Chaudhary: All right. Thank you so much.

Arjun Juneja : Some of the benefits have already started coming in.

Ashutosh Dhawan : Yes, and the number of days of inventory has also come down in the system.

Naushad Chaudhary: Right. Thank you so much, sir. Thank you so much.

Moderator: Thank you. Our next question comes from Harsh Bhatia with Bandhan Mutual Fund. Please go ahead.

Harsh Bhatia: Yes, thank you. Good afternoon. Just two quick questions from my side. In terms of your opening commentary, you mentioned that you had a 2.5% volume growth versus IPM being flat. So if you could help us understand in which therapies did you have this delta, like is it entirely infectives driven where you had 2.5% incremental volume growth against the market? Or is it more to do with the chronic market side? So that is basically to understand where have we gained market share, in which therapy on volume basis?

Sanjay Koul: So it has been, if you look at the volume growth as well as overall growth in FY '23, so we have seen higher growth in chronic segment as compared to the acute segment. Our chronic has grown by 1.3x compared to the IPM growth. So chronic has definitely shown a better growth as compared to the IPM growth and it is 14% versus 9% of acute growth. So volume growth definitely has come from both chronic as well as acute, but higher growth is coming from, of course, the chronic side.

Harsh Bhatia: Okay, fair enough. And in terms of the chronic share that you are highlighting, 34% versus 33% last year, this includes -- the 34% includes the Panacea ac

quisition as well. Is that the fair understanding?

Sanjay Koul: Yes, it is including both, but let me add here, if you remove, see our growth is, overall growth is 11%. If you remove chronic, if you remove Panacea from equation this year and from last year, so our growth improves to 15% instead of 11%. So Panacea will start basically producing good results in this financial year, that is FY '24, and the first six months we tried to basically rationalize the tail, we tried to basically correct the things in Panacea and we are aligned because our Q4 growth in Panacea business was 19%.

Harsh Bhatia: Okay. So just to clarify, the Panacea numbers are there in FY '22 and FY '23 as well, so could you quantify those numbers if possible?

Sanjay Koul: So these are IQVIA numbers and we have shown growth in this year, that is FY '23 has shown a growth over FY '22, this is as per IQVIA. And even the top five brands of Panacea have shown a growth of 6%.

Ravi Agrawal : Just to put it in perspective, if you look at the, what Dr. Koul is mentioning is that if you look at the IQVIA numbers, the numbers for last year and this year, both include Panacea, so if you knock them off, then the growth for the company is around 11%.

Sanjay Koul: Correct. Chronic is 15%.

Ravi Agrawal : And chronic is 15%.

Harsh Bhatia: Okay, all right. Thank you. All the best.

Moderator: Thank you. Our next question comes from the line of Mitesh Shah with Nirmal Bang Securities. Please go ahead.

Mitesh Shah: Thanks for taking my question. Congratulations for the strong listing. My first question is regarding the gross margins. If you can see in the first half, definitely, as you said, it would be under pressure, but the second half gross margin has improved by around 127 bps, I'm just comparing one half versus the second half.

Now I'm just looking the operating margins, EBITDA margins, that have declined. The first half had a 22.9%, 23%, and the second half declined to 21%. I can understand that 4Q might be a soft, but 3Q also have a 21% of margins, and we are guiding around 24% to 26% of margins. So I'm not able to understand that gross margin already improved in the second half, despite that the margins haven't improved.

And also in the nine months, if I can see from your bifurcation, then in the nine months versus nine month of last year, marketing spend has reduced by around 125 bps. That also has benefited the EBITDA margins of nine months of FY '23. So what I'm missing, I just want to understand that how would you be able to see that, because I'm expecting the marketing spend will be normalizing next year as well.

Ashutosh Dhawan: Sure. So just to put it into perspective, if you see the sales mix over the whole year, so if you compare H1 to H2, so H1 sales is approximately somewhere around 52% to 53% of the whole year sales. And the H2 is normally 47%, 48%. So, one, is because of the lower sales and the

fixed expense base is pretty constant. So there is a direct hit on the margins. That is point number one. So if you see H1, margins are fairly stronger as compared to H2 margin. So that's one of the reasons why it has been.

Secondly, the gross margin, if you see the H1 gross margins, they were quite compressed, close to around 66% level, which we have recovered in the H2 part of the year. So basically the margin erosion is coming because of the lower sales.

Mitesh Shah: Got it. So you mean to say that generally the 1H would be a stronger for you?

Ashutosh Dhawan: Yes, that has been the historical trend has been. Then according to this, the sales and marketing expenditure is also linked to the sales. So that's why you see there is a drop in the sales and marketing in H2 as compared to H1.

Mitesh Shah: Actually, I am talking about nine months. Because in your RHP, the nine -month comparison has given, and it has reduced

around 125 bps.

Arjun Juneja : And if you see, I mean, historically also, if you see that quarter four margins are generally lower for us. I mean, if you see the past three years also in Mankind , the quarter four margins are generally lower.

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Mitesh Shah: I think that could be the reason, because the domestic sales are mostly soft. But this quarter, I haven't seen any softness, 3Q to 4Q are almost similar. So that's why even I surprised that the subdued margins.

Ashutosh Dhawan: If you will see the margin between Q3 and Q4, Q4 sale has been 2% lower as compared to Q3 sale. And that's why there is a slight drop in the margins between Q4 and Q3.

Mitesh Shah: I got the margin front, and now just looking the exports, exports are growing robust around 65% growth in the 4Q and 58%. So what is the outlook and how do you look at the exports its definitely the smaller pie for you.

Sheetal Arora: So exports are -- growth is looking higher because the base last year was very less. And going forward, it's an Indian centric company and Mankind focus will always remain on India. So always 96% to 97% of our revenue will come from India. The focus will be on India.

Mitesh Shah: Can I squeeze one more question on the tax rate? Can you just guide about the tax rate for next year, next two years?

Ashutosh Dhawan: Okay. So if you see the effective tax rate for current year has been around 22%. And before that it was 26%. And the drop in the effective tax rate is primarily because we have increased our Sikkim facility where we are availing exemptions.

And then secondly, because of the acquisition, higher amortization cost has also given us depreciation benefit. And with regard to the future guidance, we expect the tax rates to be somewhere closer to 22% to 23% level. Why we are saying so? Because we have multiple manufacturing entities. So they are at the enacted tax rate . So we expect tax rates to be in the range of close to 22% -23%.

Mitesh Shah: Got it. Thanks. Thanks for all the answers.

Moderator: Thank you. Our next question comes from the line of Kunal Dhamesha with Macquarie Company. Please go ahead.

Kunal Dhamesha: Yes, thanks for the opportunity again. So a couple of questions. One basically on the field force productivity number that we have shared. So is it calculated on just the MR numbers, and not including the first line manager?

Sanjay Koul: So it is on the basis of medical reps only, not managers.

Kunal Dhamesha: Okay. And any particular reason why would you not add any business reasons in a way that they are just a managerial role, or even the, you know, you just wanted to say?

Sanjay Koul: So this is the normal practice in the industry that PCPM is basically calculated on the basis of the medical reps rather than including managers.

Ashutosh Dhawan: So if the managers get added, so it will be double accounting, because managers are controlling 8 to 16 depending on the span of control. So that's why it is being calculated at the MR level.

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Kunal Dhamesha: Okay, perfect. And secondly, on the specialist coverage, since we have launched I think 18 division around two to three years back focusing on chronic, what kind of specialist coverage progress that we would have made in the last three years? Any metrics would be helpful for us to track?

Sanjay Koul : So our coverage among the specialists is -- our overall coverage among the doctors is 82%. When I talk about specialists, one of the major specialists is CP, that is Consulting Physicians, which is approximately 35,000 to 40,000 in the IPM, in the industry. So our coverage of prescriber share of CPs is 93%. It is one of the highest in the IPM. So besides family physicians, where our prescriber share is 91%, our prescriber share among the CPs who are considered a

s

specialists is 93%. So post-launching of these specialty divisions, we have made inroads in the chamber of specialists like CPs, and we have also improved our prescriber share among endocrinologists, diabetologists, and cardiologists.

Kunal Dhamesha: And, sir, super-specialists, any numbers?

Sanjay Koul : That's what I'm saying. When I talk about diabetologists, our prescriber share is 84%, Cardiologists, it is 87%. It is among the highest in the IPM.

Rajeev Juneja : And when you talk about the super-specialty side, I mean, we have given you an example of Nepta z's, it is a hardcore super-specialty in-licensed product we got from Novartis. In that, it is explained that we were the second best launch of the year. Mankind on one side is famous for selling affordable prices, but over there, when we went in the super-specialty category, we had no advantage of prices. It was sheer on the basis of merits of the quality of working, Mankind could really put in those super-specialty doctors.

Kunal Dhamesha: Sure, sir. And the last one is basically on the capex. You have said INR600 crores out of how much that could be the maintenance capex for us?

Ashutosh Dhawan: So normally, the thumb rule what we follow is close to around 85% is the growth capex and 10% to 15% is the maintenance capex.

Kunal Dhamesha: So, sir, when I look at our gross fixed asset turnover, which is roughly on the FY '22 base of gross block, somewhere around 3.6 times. And if I compare it with some of the domestic focus name, it is meaningfully below that number. And if I look at the capacity utilization across our plant is also meaningfully low, like formulation would be close to 40%, API would be close to 40%.

So my question is, while the current capacities remain underutilized, what is driving the new capex in terms of capacity expansion?

Arjun Juneja : So if you look at our range of products, it's a very diverse range of products spread across antibiotics, in antibiotics, we have cephalosporins and beta-lactams, we have hormonal products, we have general category products, we have soft gelatin, we have nutraceutical products, we have ointments, syrups.

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So all of these different therapeutic products, they require different set of facilities. And if you compare us to others, most of our peers, generally what they do is they outsource their domestic manufacturing to contract manufacturers. And generally, they in-house those manufacturing facilities where they're producing for the regulated market or export markets. We manufacture about 75% of our products in-house. So that gives us a couple of benefits, both in terms of quality as well as in terms of delivery timelines and supply chain controls. And more than that, the margins that these companies give to the contract manufacturers, we retain those margins in-house, which help us increase our gross margins, even though the pricing of certain of our acute side of products is much lower or much competitive than the market.

The reason why some of our facilities are lower in terms of capacities is because we made a huge expansion in our Sikkim plant, which is reaping the tax benefits. And in years to come, these facilities would be utilizing these capacities very well.

Kunal Dhamesha: Sure. Perfect. Thank you.

Moderator: Thank you. Our next question comes from the line of Rahul Jeewani with IIFL Institutional Equities. Please go ahead.

Rahul Jeewani: Hi, sir. Thanks for giving me the opportunity. Sir, can you comment on a bit more on your Panacea portfolio? And specifically, if I look at the growth for the top five brands of Panacea, that looks to be muted at around 6% for FY '23. So any reasons why top brands of Panacea have moved slower this year?

Rajeev Juneja : Rahul, thank you for the question. So first of all, you're supposed to understand whenever we have

we always seen any acquisition, we've always seen from a point of view of long-term strategy. One was that Panacea was offering us better gross margins. Second was most of the products were chronic side. And third was they were quite niche. And one more factor shouldn't be forgotten. We got a patented product. I mean, how many patented products would be there in India? Very few. You can count on your fingertips. Keeping those things in mind, Panacea was

acquired, number one .

The number second basically when you take some company, which was being run not very nicely, it takes time to really integrate the whole organization. So first year has always been like this and can be like this only because it takes time for the people to understand, we to understand those guys. We took this company inside Mankind in March of '22. So it's just 12 months. Just wait for a few more months. Wait for the next call. You'll find us doing fantastic.

Rahul Jeewani: Sure, sir. So the growth which you saw on this portfolio during the fourth quarter, which is at around 19%, do you think that we can continue this growth trajectory on the acquired portfolio over the next, let's say, three to five -year period?

Rajeev Juneja : Why not better?

Rahul Jeewani: Sure.

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Rajeev Juneja : Why not better? That's my answer.

Rahul Jeewani: Sure, sure. And, sir...

Rajeev Juneja : You should see that, because keeping that in mind, we have gone for this company.

Rahul Jeewani: Sure. Okay. And, sir, the next question, which I had was on your PCPM that -- given that we have added almost 8 to 10 new divisions for the domestic market over the past two to three -year period, can you split out your PCPM of INR 6 lakhs between the legacy business and the new business, so that we get some clarity in terms of what kind of a PCPM improvement we can see in some of these newer divisions, which we have added?

Rajeev Juneja : I can tell you roughly. I mean, our established old divisions, traditional companies have a PCPM of INR 9 lakhs, INR10 lakhs, INR 11 lakhs, INR 12 lakhs. And last four years' time, whatever new specialty divisions we have launched, and don't forget, out of these four years, two years were lost in COVID time, starting, closing, starting, closing. So you can say they are around two years old, right? The PCPM varies from INR 2 lakhs to INR 3.5 lakhs and INR 4 lakhs. That sort of a PCPM is there. But yes, they are growing faster because of lower base. That's the point over there.

Rahul Jeewani: And this INR3 lakhs to INR4 lakhs of PCPM on these newer businesses, where do you see this number trending to in, let's say, the next three years?

Rajeev Juneja : I cannot comment on that, but I can tell you, I mean, we wish these divisions to grow, I mean, substantially well, very, very good. They should be good drivers in future. Without giving numbers, they will drive our growth. And on what basis we are saying that our chronic share will increase? On what basis we are saying that our gross margins will improve? Naturally, chronic side, naturally, these new divisions.

Rahul Jeewani: Sure, sir. And do we have any further rep addition plans for, let's say, the next one to two -year period? Or are we sufficient with the rep team, which now we have created over the past few years?

Rajeev Juneja : I mean, plenty has been done, substantial has been done. 5% to 7% I cannot rule out. That would be on the basis of requirements.

Rahul Jeewani: Sure, sir. That's it from my side. Thank you for answering my questions.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, that was the last question. I would now like to hand the conference over to the management for closing comments.

Ravi Agrawal : Thank you everyone for joining us for the conference call. We really appreciate you taking time for our first earnings

call. And we look forward to interacting with you going ahead and in subsequent quarters as well. Thank you.

Moderator: Thank you.

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Moderator: On behalf of Kotak Institutional Equities, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

(The document has been edited to improve readability)

Call: Aug 2023

Date: August 08, 2023

BSE Limited
P J Towers,
Dalal Street,
Mumbai – 400 001

Script Code: 543904 National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051

Symbol: MANKIND
Dear Sir/ Madam,

Subject: Investor Conference Call for Q1FY2 4 – Transcript

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Investor Conference Call for Q1FY2 4 held on Thursday, August 03, 2023.

The transcript is also available on the website of the Company at
<https://www.mankindpharma.com/media/investor/q1fy24-transcript-1691409766.pdf>
You are requested to kindly take the same on record.
Thanking You,

Yours Faithfully,
For Mankind Pharma Limited
Pradeep Chugh Company Secretary and Compliance Officer
Membership No. A18711

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Conference Call "

August 03, 2023

MANAGEMENT : M R. RAJEEV JUNEJA – VICE CHAIRMAN & MANAGING
DIRECTOR, MANKIND PHARMA LIMITED
MR. SHEETAL ARORA – CEO & WHOLETIME
DIRECTOR, MANKIND PHARMA LIMITED
MR. ARJUN JUNEJA – CHIEF OPERATING OFFICER,
MANKIND PHARMA LIMITED
DR. SANJAY KOUL – CHIEF MARKETING OFFICER,
MANKIND PHARMA LIMITED
MR. ASHUTOSH DHAWAN – CHIEF FINANCIAL
OFFICER, MANKIND PHARMA LIMITED
MR. RAVI AGRAWAL – HEAD OF INVESTOR
RELATIONS, MANKIND PHARMA LIMITED
MODERATOR : M R. ALANKAR GARUDE – KOTAK INSTITUTIONAL
EQUITIES

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Moderator: Ladies and gentlemen, good day and welcome to Mankind Pharma's Q1 FY24 Earnings Conference Call hosted by Kotak Institutional Equities. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I would now like to hand the conference over to Mr. Alankar Garude from Kotak Institutional Equities. Thank you and over to you, sir.

Alankar Garude: Good morning and good afternoon, everyone.

On behalf of Kotak Institutional Equities, I would like to welcome you all to the first quarter FY24 Earnings Conference Call of Mankind Pharma.

I would now like to hand over the call to Mr. Ravi Agrawal - Head of Investor Relations, to introduce the Senior Management and take the discussion forward. Over to you, Ravi.

Ravi Agrawal: Thanks, Alankar. Good afternoon, everybody. I thank you again for being with us today on our Q1 FY24 Earnings Conference Call.

On the call today, we have Mr. Rajeev Juneja - Vice Chairman and Managing Director, Mr. Sheetal Arora - CEO and Wholetime Director, Mr. Arjun Juneja - Chief Operating Officer, Dr. Sanjay Koul - Chief Marketing Officer and Mr. Ashutosh Dhawan - Chief Financial Officer.

We will begin with opening comments from Mr. Juneja providing an overview of the quarter. This will be followed by comments from Mr. Sheetal on business performance followed by Mr. Ashutosh, who will share some key thoughts on the financial aspects of our performance. There will be an opportunity at the end of the opening remarks to get your queries addressed by the Management.

Before we commence the call today, I would like to remind you that some of the statements made on the call today could be forward-looking in nature and a detailed disclaimer in this regard has been included in the press release that has been shared on our website. I now invite Mr. Juneja to share his comments.

Rajeev Juneja: Thank you, Ravi and good afternoon, everyone and welcome to our Quarter 1 Earnings Call. Let me start by saying that we started this year on a healthy note with a strong double-digit growth in sales and profitability. If you look at our key financial parameters, the revenue grew by 18% year-on-year during the quarter with the domestic business growing at 14% year-on-year.

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EBITDA grew 43% year-on-year to Rs. 660 crores with the margin of 25.6%, an increase of 4.5% as compared to quarter 1 last year. PAT grew by 66% year-on-year to Rs. 494 crores. Our Pharma segment maintained its outperformance against the IPM with the secondary sales growth at 12.5% as against IPM growth of 8.5%. I am happy to share that our chronic segment share stood at 36% during this quarter as compared to 34% last year. This is the highest chronic share we have achieved in our business and to just put in perspective chronic share in FY18 was around 28%. In fact, you will be pleased to know that as per IQVIA, the cardiovascular segment has replaced anti-infective to become the largest segment in our mix in this quarter. This is the testament to our commitment to increasing our presence in more profitable chronic therapeutic areas. These segments have a strong growth profile given the rising prevalence of chronic diseases, due to lifestyle changes and rising income level in India. This would require a more top-down approach, with focus on widening our footprint in metro and Class 1 cities.

Our campaign to promote DMF quality medicines in India, has been truly disruptive and we have seen outstanding response to this initiative. We already have more than 100 SKUs within this initiative currently and we are rapidly expanding our product offering

s with this very important service to the country.

In our Consumer Healthcare segment, we maintained dominant brand leadership in respective categories with four of our brands ranked number one in their categories. The secondary sales have been very healthy across most key brands and we expect the full year growth in this business to be at similar level versus last year.

On the R&D front, our successful launch of Dydrogesterone reiterates our commitment to being a science-based company. We are focusing on product innovation, novel drug delivery system and strategic partnerships with innovators to strengthen our product offerings that will give us competitive edge.

I would like to conclude by re-emphasizing our strategic priorities going ahead. We will continue to remain domestic focused; I again say domestic focused, with emphasis on volume led growth through our affordability proposition. We will continue to garner prominent leadership positions in identified white spaces in key chronic therapies through in-house R&D, acquisitions and in-licensed products. Finally, we will continue to aggressively invest in marketing to create and support our dominant brand leadership across our pharma and consumer businesses.

If I just sum up my whole commentary:

I will say that certain points you must need to really understand that Mankind is focusing only in India, number one, number second; we have a mass consumer coverage, 5 lakh doctors we cover. Important point to note that our volume growth, which is 4.3% versus IPM volume growth, which is just 1.4%, we are quite good in that. Chronic share of Mankind has come to Mankind Pharma Limited

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36% versus 34% last year. Cardiac share specifically I will say in Mankind is 13.8% versus industry is 12.6% and of course for the first time, cardiac has outperformed our anti-infectives segment and market share of Mankind has grown 4.4% from 4.2%. Certain initiatives we have taken and that one is that we have launched more than 100 SKUs in DMF, which would be very disruptive in the market because seeing the threat of branded generic in the market, we just want to create a different kind of a category, which is called DMF Grade. Who does not want to have international quality medicines at Mankind prices? Whatever is available in most developed

countries should be in India that basically is our focus.

In our new initiatives, we have launched Insulin and in just 2-3 months' time, 7,000 patients have come on our Insulin Nobeglar. In CNS, we are focusing a lot in Respiratory, if you remember very well that we took Combi hale from Dr. Reddy's. That is giving us a 30% growth. If you talk about Daffy, we took from Dr. Reddy's again 30% growth. These are growing phenomenally. Our transplant business is also growing at 66% first quarter. Panacea growth in the first quarter is 22%, secondary growth I am talking about, primary is even better. I will reiterate that we will always outperform IPM. Our EBITDA margin would be in the range of 24% to 26%. This is the summary.

Now, let me hand it over to Sheetal.

Sheetal Arora: Good morning and thank you, Rajeevji. Welcome to today's Investor Call. I am delighted to provide you an update on our domestic businesses with the specific focus on our Consumer Healthcare segment.

Let us begin with our domestic business revenue, which reached Rs. 2,419 crores in the first quarter of financial year 2024, reflecting a year-on-year growth of 14%.

According to IQVIA, our secondary sales growth for the quarter was 12.5% outperforming the industry's 8.5% growth by 1.5 times. It is worth noting that our historic annual growth performance has consistently been 1.3 to 1.4 times the industry growth rate. Additionally, IQVIA reports, that while we maintain our market rank of fourth in value terms, our market share increased to 4.4% in Quarter 1 Financial Year '24 from 4.2% in Quarter 1 Financial Year '23.

When we consider

CVM, we find we have maintained our second position during the quarter by value. I am also happy to share that Panacea revenue shows the healthy growth of 22% year-on-year during the quarter as indicated by IQVIA.

The price and volume growth metric showed we continue to significantly outperform the IPM as far as volume growth is concerned. According to IQVIA, Mankind volume growth for this quarter was 4.3% as compared to IPM growth of 1.4%. This represents an outperformance of 3.2 times. This success can be attributed to our wide distribution network, large field force and strong presence among more than 5 lakh doctors making us the industry leader.

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We firmly believe that volume led growth reflects the superior quality of our sales since it is driven by prescriptions and is therefore more sustainable. Our prescription share reflects this well, 15.4% during this quarter as compared to 15.1% at the same time last year. In fact, our subscriber penetration has also increased from approximately 81% in Quarter 1 Financial Year '23 to around 83% in this quarter.

I am delighted to share the remarkable progress in our business strategy particularly in expanding our presence in chronic segment. This quarter has been exceptional. Our chronic share is now at all time high of 36% within the company. Significantly, our chronic business has experienced a phenomenal growth of 17% this quarter, outperforming the IPM growth of 10% by an impressive 1.7 times. In our Consumer Healthcare business, we proudly announce that we achieved revenues of Rs. 208 crores in the first quarter of financial year 24 representing a growth of 8% year-on-year and 37% quarter-on-quarter.

Our key brands, Prega News, HealthOK and Manforce condoms have witnessed substantial growth in secondary sales with a remarkable year-on-year increase of 30%, 23% and 11% respectively during this period.

Over the longer term, our compounded annual growth rate has been strong 22% from financial year 21-23 and we are confident of sustaining strong growth in this segment as we surge ahead. These achievements are testament to our team's dedicated efforts and the effectiveness of our approach. With our team's passion, commitment and customer centric approach, I am confident that we will continue to thrive and achieve new milestones in coming quarters. We look forward to our customer's continued trust in our product and affirm our dedication to improving in their lives.

Now, I will hand over to Ashutosh ji who will provide further insights into our financials. Thank you so much.

Ashutosh Dhawan: Thank you, Sheetalji. Very good afternoon and I would like to thank everyone for taking out time and joining us on this Quarterly Earnings Call.

I hope all of you would have received our Financial Results and the Press Release. Let me give you a brief on the "Financial Highlights" for the performance during Q1 FY24.

The revenue from operations increased by 18% year-on-year basis to Rs. 2,579 Crore as compared to Rs. 2,180 Crore in the previous period last year.

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EBITDA has shown a growth of 43% year-on-year basis Rs. 660 crores with the margins of

25.6% as compared to Rs. 460 Crore with margins of 21.1% last year in the same period. There is an increase in the margin of 4.5%.

This increase of 4.5% is largely driven by 2.8% increase in the gross margins from selective price increases, which we have taken in the previous quarters, stable API prices and the favorable sales mix changes. The gross margins are now at around 68.2% level as compared to 65.4% in Q1 last year and these margins were 67.2% in Q4 FY23.

The R&D expenses for the quarter were at 2.1% of sales, which has been within the range of 2 to 2.5%, which we had communicated in our last interactions.

The Depreciation and Amortization expense for the quarter were at Rs. 87 crore as against Rs. 78

crore last year in the same quarter. Our tax rate for this quarter was at 20.9% as compared to 21.6% in FY23.

The PAT for the quarter was at Rs. 494 crore, representing a growth of 66% Y-o-Y basis and 68% on quarter-on-quarter basis with diluted EPS of Rs. 12.1 per share of Re. 1 paid. The cash EPS that is the EPS adjusted for non-cash items like depreciation and amortization was at Rs. 14.3.

On a trailing 12 months period, our net working capital days were at 39 days as compared to 45 in FY23. The CAPEX including capital work in progress was at Rs. 111 crore in Q1 FY24. The cash flow from operations has shown a significant increase to Rs. 488 crore as compared to the negative Rs. 161 Crore in Q1 FY23. The company has the healthy net cash position of Rs. 1,727 crore as compared to Rs. 1,366 crore as at 31st March 2023.

The return on capital employed ex-cash basis and return on equity ex-cash basis has shown an increase to 28% and 25% respectively on 12 months trailing basis as compared to 25% and 23% respectively in FY 23. For FY 24, we expect to incur Rs. 550 Crore to Rs. 600 Crore in the CAPEX. The EBITDA margins are expected to be in the range of 24% to 26% as mentioned in our previous interactions.

With this, I would like to conclude our opening remarks and we will now be happy to address any questions that you may have please.

Moderator: Thank you very much. Ladies and gentlemen, we will now begin the question-and-answer session. The first question is from the line of Kunal Dhamesha from Macquarie. Please go ahead.

Kunal Dhamesha: Congratulations on the fantastic set of numbers. Sir, the first question on our profitability guidance while we have guided for 24% to 26% for this year, would you be able to provide some guidance, let us say two year, three-year down the line where we see because obviously we are Mankind Pharma Limited

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growing very fast in the chronic therapies and generally that is where a lot of delta in terms of how profitability could happen, so any color there would be helpful?

Ashutosh Dhawan: So, as we mentioned that the guidance is 24% to 26%, and there are operating leverages, which are available, and we are quite hopeful that going forward we should be able to maintain and increase our EBITDA margins from the existing levels.

Kunal Dhamesha: Would you provide some color as to obviously we have pricing lever etc., but let us say between pricing, operating leverage which could be the major driver for us, not for FY24, but beyond FY24?

Arjun Juneja: So, Kunal, there is increased focus on the chronic business as we mentioned and as you are aware that chronic business has higher gross margins. So, as and when the share of the chronic business continues to increase and it is outperforming the IPM, we expect the gross margins to go up from the current levels. Also at the same time, we have launched about 10-12 new divisions in the last couple of years where their productivity is less than the average productivity of the established divisions of Mankind where we expect the operating leverage to improve upon which will enhance our margins further.

Sheetal Arora: And Kunal I am Sheetal this side, if you see historically in financial year 22, our chronic share was 32%. Now in first quarter it is 36%, there was the jump of 4% in our chronic share. So, definitely going forward it will outperform the market and EBITDA margin will improve.

Kunal Dhamesha: So, just to follow up on that, we have been telling that our chronic could grow very fast and I think we have done that in the past, but let us say over 2-3 years, would you have any internal aspiration as to increase our chronic to certain level as a business mix?

Rajeev Juneja: Basically the aspiration is to become the most admired, most respected institution, that way we basically believe in good karma, good working and we have always done in the past as well.

Rest is in front of you. It is always

good to have good people, good leadership, good processes,

and the right products. So, when you mix up all these four things good things really happen.

Kunal Dhamesha: And last question is on the MR side, how many people would we have employed right now? I think earlier we used to give that in presentation or I might have missed it so?

Sanjay Koul: So, Kunal, this is Sanjay Koul. So, we have an MR count of around 11,000 excluding the managers, 11,000 plus, it excludes the managers and that is the number we have at present.

Ashutosh Dhawan: So, the exact head count for the quarter for the MR is 15,400, which includes the managers as well as the MRs.

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Moderator: Thank you. The next question is from the line of Amit Kadam from Canara Robeco Mutual Fund. Please go ahead.

Amit Kadam: Sir, just first question is on the consumer business, this quarter we clocked 8% kind of a growth, historical growth has been quite higher than this; can you throw some light on this? How do we look this segment going ahead and what has led to that 8%, was it some like a high base of last year something like that?

Rajeev Juneja: So, Amit, we always believe that everything has to really happen annually or 2 year, 3 years like quarter to quarter, it is very premature. Having said this, last year, first quarter base was very high and last to last year it was in negative kind of a quarter and last year we had a growth of 25%. That is one reason, but we are very confident that whole year will be doing as we have done in the past. We are very sure about this. Our main products are performing very good, growth is around 18%.

Ashutosh Dhawan: Look at the secondary sales for the consumer business, so that has fared very well. So, that has been more than the industry average, it is only the primary sales which is reflecting lower because of the high base, but on secondary sale basis, all the key brands they have done fairly well.

Amit Kadam: Sir, I am asking you like can you guide something for this year based on our historical run rate for this FY24?

Rajeev Juneja: Same like what we did last year, approximately same like that last year. So, let us say guidance was last year.

Ashutosh Dhawan: So, we will be similar to those levels of last year, which was 17% last year.

Amit Kadam: The second question is on the working capital, we saw remarkable improvement there, almost like we have dropped now 40 days, what has led to that particular thing and how do we see this thing going ahead for the full year?

Ashutosh Dhawan: So, historically, if you see that our working capital days have been closer to 40 days. So, we have been able to bring it down to our historical levels. For the last year and the year before, there was a spike because of supply chain and other issues. So, now we are back to our historical level of 40 days. We have been able to bring down inventory back to our normal levels, historical levels.

Amit Kadam: And just third question, you touched upon insulin and your early success into it, so can you just throw some light on what kind of opportunity, what kind of maybe sales what we can garner in this particular market and what kind of opportunity we can see in this particular segment?

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Rajeev Juneja: We launched this Insulin only in the month of May. These are very initial days, but every month we are adding around approximately 2,000 patients. In insulin business, the number of patients you add that becomes your revenue going forward and as per if you compare with other companies adding 2,000 patients every month, it looks quite good to us.

Amit Kadam: And how do we see this thing going ahead like the way we have for

Rajeev Juneja: Quite good. So, we already have said that our focus is towards chronic side. Anywhere we get opportunity towards chronic side, we go for it and as you can see yourself that chronic share is

continuously increasing. So, we are quite optimistic that we will do quite good in this, and more opportunities will come in different collaborations as well.

Moderator: Thank you. The next question is from the line of Nikhil Mathur from HDFC Mutual Fund. Please go ahead.

Nikhil Mathur: Sir, the question I have is that the exports business has seen a dramatic jump on a Y-o-Y basis from Rs. 51 crores, the company now had Rs. 160 crores, so can you highlight what has driven this?

Arjun Juneja: We mentioned in the past also that we continue to file differentiated products into the US. These differentiated products bring us some good opportunities, but having said that, our focus continues to always be on the Indian domestic market, and we will continue to leverage that.

Nikhil Mathur: Sir, does this jump has anything to do with the shortage scenario that we are seeing in the US because of various reasons? Does it have any role to play here?

Arjun Juneja: It is not because of the shortage scenario. It is just because of the differentiated products that we filed as we mentioned, there are certain ophthalmic, injectables and certain products, which are backed by our own API, which is leading to this phenomenon.

Nikhil Mathur: So, you see this run rate maintaining for the ensuing quarters and the same can be extrapolated coming years as well, growth should be built on what the run rate is in this particular quarter is that how we should look at?

Arjun Juneja: It is very difficult to predict the US market like this because you know how volatile it is. So, it

will be very difficult for us to predict how the runway would look like, but having said that, there will be a few months of opportunities that we see going forward.

Nikhil Mathur: And sir, just final question tied to this, sorry to harp on it a bit more, so now we are looking at exports at around 6% of total sales versus 2% last quarter, although they can be quarter-on-quarter variation, so I am not trying to replicate the same mix for the coming quarters as well,
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but would you like to give some medium-term guidance as to what kind of exports or domestic revenue mix we are looking at let us say 3 years or 5 years out?

Arjun Juneja: I mean, while the export business is growing, but the revenues from the domestic business would contribute more than 90% going forward.

Nikhil Mathur: And one final question, sir, the growth has been pretty strong in domestic despite various secondary agencies reporting data which was looking a bit underwhelming and I think the season picks up in 2Q itself, so can it be safe to say that 2Q is likely to be better than 1Q and the agencies were not properly able to capture the data, would you like to call out? What is the reason there?

Sanjay Koul: So, if I understood you correctly, Q2 always is a bigger quarter in comparison to the first quarter. So, it is solely because of outbreak of basically infections in quarter 2, so it is always a bigger quarter in comparison to the first quarter.

Moderator: Thank you. The next question is from the line of Harsh Bhatia from Bandhan AMC. Please go ahead.

Harsh Bhatia: Just to expand a little bit more on the Human In sulin product, the Nobeglar that you launched in May, just to understand a little bit better in terms of the go-to-market strategy, the pricing aspect because this is a little bit more concentrated market as a whole because we have MNC's operating at that level, right? So, maybe your views on how you are looking at the market, I understand that it has just been 3 or 4 months since the launch period, but maybe a little bit more color would be helpful?

Rajeev Juneja: See, even from last number of years, our aspiration was and is to become a leader in chronic side where it is a cardiac side or diabetes side or respiratory side, or anywhere there is a lifestyle disease problem, you are supposed to be there because that g

ives us consistency, both profitability and whatever number of prescription you add that gives you growth. So, keeping the same in mind, we have launched, and it is basically Insulin Glargine, not regular insulin.

That insulin basically we have launched and as our penetration in bigger cities, topmost doctors, I will not say bigger cities, top of the top doctors is increasing, the response is coming very good.

You all know that India is the epicenter of diabetes. So, we feel that we should be very strong here, keeping the same in mind that we took this Panacea because they have product like Glizid. That is one reason.

Arjun Juneja: And also on the insulin front, we are also conducting clinical trials on the Aspart and those trials we expect them to be over in the next 10 to 12 months. So, we are looking forward to launching the Aspart version also next year.

Harsh Bhatia: And the 7,000 patients would be a blended mix of metro, non-metro or the primary orientation would be from non-metro as of now?

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Rajeev Juneja: So, it is always a mix, but I will definitely say that more towards metro side.

Harsh Bhatia: And on Panacea Biotech, are we giving out the current quarter run rate because they have given out the growth rate number at the time of acquisition, we analyzed run rate for somewhere around Rs. 200-Rs. 250 crores, but what would be the current run rate?

Sanjay Koul: So, if you talk about the Q1 as per IQVIA, the secondary number is Rs. 75 Crore for Q1.

Moderator: Thank you. The next question is from the line of Banshi Desai from JP Morgan. Please go ahead.

Banshi Desai: My first question is on the impact of ban on our brand Codistar which we had in the month of June, so if you can just call out what could be the potential impact there and did we see any write-off pertaining to that brand in this quarter?

Sanjay Koul: So, what we have done basically, we are building a portfolio in dry cough with a very innovative product that we acquired from Panacea. So we have already launched Dextromethorphan and combination in adults, in pediatrics. Also, we have basically acquired a very innovative mouth-disintegrating tablet from Panacea last year and that also is a game changer. So, we are promoting very aggressively these prescription driven brands to doctors and we believe in the coming months, this business is going to grow substantially.

Ashutosh Dhawan: So, just to close the loop on this with regard to the write-off, it has been negligible in this quarter. It is less than Rs. 10 million.

Banshi Desai: And so fair to assume that a large part of this brand revenue should be kind of recouped with the sales growth in other brands?

Sanjay Koul: In the long run, yes.

Banshi Desai: And my second question is, Rajeev has spoken about having this DMF grade APIs, so what is

the longer term plan here, do you see this increase materially going forward as a percentage of our sales, do we see more and more API's which are of this quality and if that is the case, how should we think about cost of manufacturing these?

Sanjay Koul: So, till now we have introduced 101 products in DMF. So, our objective is to introduce 15 to 20 brands every quarter. So, that is what we intend to do, and these products are mainly from semi chronic and chronic therapy areas. I hope I answered your query.

Bansi Desai: And my last question is on the utilization of cash that we are going to accumulate over the next few years, we are generating almost Rs. 2,000 crores plus of cash from operations, while our CAPEX needs are closer to Rs. 500-Rs. 600 crores per annum, so how should we think about deploying this excess cash that we generate over the years?

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Ashutosh Dhawan: So, at this stage, we would like to be a bit conservative with regard to the cash aspect. So, the first priority is that wherever any good opportunities are available with regard

to M&A piece, so

definitely we will be utilizing the cash towards that and CAPEX also around Rs. 500 to Rs.600 crore is what we are planning for this year and we will take a view in the next few quarters with regard to the dividend payout as well.

Bansi Desai: And on the M&A bit, would you be open to acquire brands in the Consumer Healthcare space as well to grow that business?

Rajeev Juneja: Two sides, we are absolutely open, one is consumer side, the second is chronic side. Two places, we are very open. We have said in the past as well.

Moderator: Thank you. The next question is from the line of Neha Manpuria from Bank of America. Please go ahead.

Neha Manpuria: Just going back on the export number, I see in the presentation that we have mentioned, there is certain one-off opportunities to the US, is this what you are referring to in terms of discontinuing for a couple of more months or quarters or is this truly one-off and if you could quantify that if it is meaningful?

Arjun Juneja: It will be difficult for us to quantify these numbers, but this will continue for the next few months.

Neha Manpuria: And second, if I were to look at our cost, both on employee and other expenses, we seem to have seen a fair bit of increase quarter-on-quarter, in the employee cost do we have any one-off, non-recurring payout etc., during this quarter and therefore what is the normalized level we should be assuming and similarly, on the other expense, what is the level of spend that we are looking to incur as we focus on expanding chronic and the Consumer Healthcare business with the growth aspiration that we have?

Ashutosh Dhawan: So, with regard to the employee cost, if we compare, we have added close to year-on-year basis, if you compare so, we have added close to around 1000 people. Having said that, the MR addition has been less than 5% that is part one. With regard to the one-off, we have launched the ESOP scheme, so in this quarter there is an impact of ESOP cost which has come in as compared to the previous quarters and with regard to the other expenses you have seen a spike because we are investing into new businesses as well. So, that is also getting reflected in the other expense portion.

Neha Manpuria: Sir, on the other expense side, as a percentage of revenue, what would you consider as being given the investments that we have planned, what would be an ideal level of investment from other expense perspective?

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Ashutosh Dhawan: So, instead of getting into a quarter-on-quarter EBITDA margin, we have given a broad guidance that our EBITDA margins will be in the range of 24% to 26%. So, we will be able to maintain our costs within that range, so that we are able to maintain that margin of 24% to 26%.

Moderator: Thank you. The next question is from the line of Rahul Jeevani from IFL Securities. Please go ahead.

Rahul Jeevani: Sir, can you talk a bit about the seasonality which you typically see in your India business? So, while 2Q, 3Q could be stronger quarters for us, but do you see a significant sequential decline in fourth quarter?

Sanjay Koul: Mr. Rahul, this is Sanjay Koul. In the last 5 years, our chronic contribution has, if you are talking about Mankind, it has increased from 28% to 35%. With increasing contribution of chronic in the next 5 to 6 years, impact of seasonality will be reduced to some extent. Having said that, if you ask me, this year, yes, there will be definitely some impact of seasonality on quarter-to-quarter basis. Quarter 2 is always going to have more impact of seasonality as compared to quarter 3 and quarter 4.

Rajeev Juneja: But if you look at our track records, the first six months are always 51-52% versus second six months are 48%-49%. That is how we maintain it. So, if you just see as a whole year first 6 months, 51%-52% and rest is last 6 months. That is how we are doing for last couple of years.

Rahul Jeevani:

So, that seasonality would imply that the second-half margins also would tend to be on the lower side versus the first half margin?

Rajeev Juneja: As chronic sales increases, that impact goes down.

Ashutosh Dhawan: So, it will be in proportion to the sales seasonality part, but having said that since the chronic portion is increasing, so therefore this seasonality impact is also weaning away.

Arjun Juneja: Also in the second quarter, the sales of the anti-infectives go up where the gross margins are lower, whereas in the latter half of the year, the sale of chronic products is more. So, it doesn't have a negative impact on the gross margins and the profitability as a whole.

Rahul Jeewani: And just on the gross margins, can you talk about the differential in gross margins between the domestic and export business and why I ask that question is, had our export business not grown to the extent which it did during the quarter, so the gross margins would have been higher given that the chronic revenue there has also increased to 36%?

Ashutosh Dhawan: So, Rahul, we have shown a betterment in the gross margins, so there has been an improvement of 2.8% over the last year.

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Rahul Jeewani: I was referring to quarter-on-quarter that existed for the COVID provisions of last quarter. If we see our gross margins have remained broadly flat quarter-on-quarter despite some sort of an inch up in chronic revenue share, so would export business be a lower gross margin business for us and if you can quantify what is that differential?

Ashutosh Dhawan: So, directionally, yes, export business do have a lower gross margin as compared to the domestic margin or if you compare it to the chronic margin as we said that the focus is on the domestic piece and to structure the business in a manner and we are confident of maintaining the gross margin around 68% level. So, that should give you the confidence that whatever is the mix changes on an overall basis, we are confident of maintaining it to be around 68%.

Arjun Juneja: And also, to reiterate that more than 90% of the revenues would come and still come from the domestic business. So, the margins of the export business become insignificant and don't have an erosion effect upon the domestic business margins.

Rahul Jeewani: And the last question from my end would be on the ESOP scheme which you referred to, so can you quantify the cost which you will have incurred this quarter and what you need to incur over the next 2 –3-year period?

Ashutosh Dhawan: That we can share with you after the call.

Moderator: Thank you. The next question is from the line of Kunal Dhamesha from Macquarie. Please go ahead.

Kunal Dhamesha: So, the question on our campaign on the DMF grade quality, how that campaign has kind of moved for us, what is the response from the healthcare practitioner? Are we seeing whatever new product launches, we have done, probably is there a metric that you would track that growth in these products are 2X or 3X or whatever that be versus the normal product launches, any color there would be helpful?

Rajeev Juneja: Kunal, very interesting question, but that is my favorite side. We are very sure that going forward in coming years, DMF will disrupt the pharmaceutical market because who doesn't want to have international quality purity, 99% plus purity drugs at Indian price, forget Indian prices, Mankind prices. So, this basically helps our marketing team a lot in penetrating, entering topmost doctor's chambers and again, Sanjay has already mentioned that first target basically is what, going for chronic and semi chronic products. We are very hopeful, and it has been mentioned that every quarter we wish to launch 15 to 20 new DMF SKUs. So, you can imagine yourself how bullish are we? We are getting fantastic response. We ran a campaign on Burj Khalifa that really shows our seriousness for this DMF. That really shows our

conviction in DMF, but we see in future

that on one side the branded generic means DMF brands in coming years. That is the kind of a confidence we have got.

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Kunal Dhamesha: Sir, I understand that at this point, since we have just launched the campaign, but at some point, would you start sharing probably the uptake or the revenue from that bucket? I think that would help us understand the impact in a much better way?

Arjun Juneja: So, Kunal, I think these are still early days on the DMF. We just started with the campaign, and we are in the process of launching products, more and more products every quarter and I think at an appropriate time, we will take a call if we wish to disclose the revenue separately or not.

Sheetal Arora: If I can add right now, we are the first company to launch DMF products in India, even the most of the doctors do not know what DMF is. So, lot of marketing campaign we are doing. So in the times to come when the awareness will come, people will know, our customers will know then definitely the impact will be achieved because awareness is important right now about DMF.

Ashutosh Dhawan: Just to add to this, Kunal, it would be very difficult to quantify this as well because some of the old brands or SKUs, they get converted into DMF. So, that is also, already they have sales. So, how much incremental is coming because of this particular action. So, that is difficult to quantify

or break it into that because there are multiple factors which go for the increase in the sales.

Kunal Dhamesha: So, that was again my next question because, Sanjay sir said that we are in the process of launching 15 to 20 DMF grade products every quarter, so my question was, probably how many of that would be our existing products and how many could be the new products, not on a quarterly basis, probably yearly basis, 2-year basis?

Sanjay Kaul: So, it will be 80%-85%, our existing range being getting converted into DMF and new products in chronic and semi chronic, we will surely bring in DMF. That will be around 10 to 15%.

Moderator: Thank you. The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.

Tushar Manudhane: Sir, just on this Dydrogesterone plant, as it has been highlighted that it would be commercialized in first half FY24, the operational cost is more or less there in this quarter itself in terms of expenses?

Ashutosh Dhawan: No, currently we have, it is forming part of capital work in progress of the Udaipur plant.

Tushar Manudhane: So, how much this will be added as in the coming quarters?

Ashutosh Dhawan: So, in terms of CAPEX spend till now, we have spent around Rs. 310 crores on the Udaipur plant, which will be getting depreciated in the subsequent quarters. From this quarter, we are hopeful that the commercialization and the capitalization will be getting completed. So, it will be coming in the depreciation.

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Tushar Manudhane: And on the operational cost side, sir?

Arjun Juneja: So, on the operational cost side, the plant where Dydrogesterone is being currently manufactured, it will be transferred to the new plant in Udaipur. So, we don't see a significant rise in the OPEX cost.

Ashutosh Dhawan: Rather it will be beneficial on the gross margin or the cost of goods sold.

Tushar Manudhane: And sir, this quarter would have had some impact of these lower prices on account of NLEM as well, correct?

Arjun Juneja: No. As you are aware, Mankind from our portfolio of the products we are the least affected in terms of the NLEM products. So, the impact is very minimal.

Tushar Manudhane: And given that this Dydro OPEX is not going to be significant while this could add for sales, your exports, in which case ramping up given that 2Q is going to be much better as it has been historically, so if I sum up these things 24% to 26% EBITDA margin

guidance seems to be

conservative, any comment on this? We are already at 25.6% EBITDA margin for first quarter?

Arjun Juneja: I think the reason here is that because of the seasonality impact of Q2 going up and the sales of anti-infectives rising which have slightly lower gross margins and then the chronic sales increasing in the second-half of this year, I think we would like to be consistent with our gross margins as the guidance which we have given.

Moderator: Thank you. The next question is from the line of Nithya from Bernstein. Please go ahead.

Nithya: Just a couple of questions for me, one bookkeeping question, so when you talk about DMF grade, are you referring to US DMF grade or you referring to specifications as laid down by the US FDA and the second is US DMF grade API, I am sure are more expensive, so are you looking at the new products therefore being margin diluted?

Arjun Juneja: We missed the last part of your question.

Nithya: So, the question is, US DMF Grade API is more expensive than non-US DMF Grade API and therefore is your incremental sales therefore margin diluted for you and to what extent?

Arjun Juneja: So, what we are referring to here is the US DMF and the European CEP grade APIs. Yes, the cost of these APIs is slightly higher than the cost of the non DMF grade. So, in certain products there is a decline in the gross margins by one or two percentage points, but we are compensating for that decline by way of price increase which the government allows to the tune of 10% year-on-year, but there are also certain products which we are manufacturing in-house the APIs and

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filling the DMFs of those products. So, I would say there is not much of a cost impact on the DMF grade products that we are using.

Moderator: Thank you. The next question is from the line of Neelum Punjabi from Perpetuity Investment. Please go ahead.

Neelum Punjabi: So, my question is on the Dydrogesterone API, could you please highlight what is the potential of Dydrogesterone globally in terms of capacities in terms of tons and what is the annual capacity of Dydrogesterone that we are putting out?

Arjun Juneja: So, we have a capacity of Dydrogesterone manufacturing 400 to 500 kilos per month. So, that would be approximately 4.5 to 5 metric tons annually and the demand for Dydrogesterone globally is somewhere around 4 to 4.5 metric ton and this demand is increasing because this molecule is growing across the globe and as and when new entrants are also launching, the

market size is increasing, which we have seen in India itself.

Neelum Punjabi: So, our capacity of 400 to 500 kilo per month is on the expanded capacity, right?

Arjun Juneja: The current capacity that we have, the infrastructure that we have is capable of going up to 400 to 500 kilos a month. Our current capacity is in the range of 200-250 kilos per month.

Moderator: Thank you. The next question is from the line of Alankar Garude from Kotak Institutional Equities. Please go ahead.

Alankar Garude: First question is, has there been any impact of the FDC ban on Codistar in this quarter?

Arjun Juneja: I think this question has already been asked Alan kar, but there has been no impact as such on the Codistar ban. We are negating the impact of Codistar by launching newer products in the similar segment under the brand of Codistar itself in the form of Dextromethorphan and also the tablet that we acquired from Panacea, so we see in the next few months, this impact will get negated.

Alankar Garude: And the second question is, can you talk a bit about the trade generics business? How seriously are we approaching this particular vertical? How big is it for us, right now, what is our approach?

Rajeev Juneja: At the moment we are quite serious at this. Our trade generics could be doing around Rs. 200 crore last year. Hopefully this will do Rs. 250 - Rs. 260 crore this year, but we have long-term reasons

for launching that product that going forward can we shift those some products which become used to customers habit to bring in our OTC side. That is a basically more intangible long-term plan.

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Alankar Garude: And have we invested in terms of any field force dedicated to this or the numbers are quite small at the moment?

Rajeev Juneja: Yes, absolutely.

Ashutosh Dhawan: So, it is close to around 200, which are the salesforce for this business.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference back to the Management for their closing comments.

Ravi Agrawal: Thank you everyone for joining us on the conference call. We really appreciate you taking out time for our earnings call and we look forward to interacting with you going ahead as well.

Thank you.

Moderator: Thank you. On behalf of Kotak Institutional Equities, we conclude today's conference. Thank you all for joining. You may now disconnect your lines.

(The document has been edited to improve readability)

Call: Nov 2023

Date: November 07, 2023

BSE Limited
P J Towers,
Dalal Street,
Mumbai – 400 001

Script Code: 543904 National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051

Symbol: MANKIND

Dear Sir/ Madam,

Subject: Investor Conference Call for Q 2FY24 – Transcript

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Investor Conference Call for Q 2FY24 held on Wednesday, November 01, 2023.

The transcript is also available on the website of the Company at
https://www.mankindpharma.com/media/investor/earnings-call-transcript_q2fy24-1699354553.pdf

You are requested to kindly take the same on records.

Thanking You,

Yours Faithfully,

For Mankind Pharma Limited

Pradeep Chugh
Company Secretary and Compliance Officer
Membership No. A18711

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“Mankind Pharma Limited Q2 FY24 Earnings
Conference Call”

November 01, 2023

MANAGEMENT : MR. RAJEEV JUNEJA – VICE CHAIRMAN & MANAGING
DIRECTOR
MR. SHEETAL ARORA – CHIEF EXECUTIVE OFFICER &
WHOLE -TIME DIRECTOR
MR. ARJUN JUNEJA – CHIEF OPERATING OFFICER
DR. SANJAY KOUL – CHIEF MARKETING OFFICER
MR. ASHUTOSH DHAWAN – CHIEF FINANCIAL
OFFICER

MR. PRAKASH AGARWAL – PRESIDENT (STRATEGY)
MR. ABHISHEK AGARWAL – HEAD (INVESTOR
RELATIONS)
MODERATOR : MR. ALANKAR GARUDE – KOTAK INSTITUTIONAL
EQUITIES

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Moderator: Ladies and gentlemen, good day and welcome to the Q2 FY24 Earnings Conference Call of Mankind Pharma Limited hosted by Kotak Institutional Equities.

As a reminder, all participants' lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Alankar Garude from Kotak Institutional Equities. Over to you, Mr. Garude.

Alankar Garude: Good morning and good afternoon, everyone. On behalf of Kotak Institutional Equities, I would like to welcome you all to the 2nd Quarter FY24 Earnings Conference Call of Mankind Pharma.

I would now like to hand over the call to Mr. Abhishek Agarwal – Head of Investor Relations to introduce the senior management and take the discussion forward. Over to you, Abhishek.

Abhishek Agarwal: Good afternoon, everybody and a very warm welcome to our Q2 FY24 Earnings Conference Call.

On the call today, we have Mr. Rajeev Juneja – Vice Chairman and Managing Director; Mr. Sheetal Arora – Chief Executive Officer and Whole-time Director; Mr. Arjun Juneja – Chief Operating Officer; Dr. Sanjay Koul – Chief Marketing Officer; Mr. Ashutosh Dhawan – Chief Financial Officer; and Mr. Prakash Agarwal – President (Strategy).

We will begin with the opening comments from Mr. Rajeev Juneja providing an overview of the quarter, followed by comments from Mr. Sheetal Arora; Mr. Ashutosh Dhawan will share key financial highlights, and then we will leave the forum open for Q&A.

I hope you had a chance to access the investor pack shared yesterday. However, I would like to re-emphasize the fact that certain statements made during today's call may pertain to future expectations and plans. A comprehensive disclaimer regarding these forward-looking statements can be found in our investor presentation and the press release uploaded on our website.

Now, I would like to invite Rajeev sir to share his comments.

Rajeev Juneja: Good afternoon everyone. A very-very warm welcome to our Quarter 2 FY24 Earnings Call. Today, I'll walk you through the overall performance of Mankind and our vision and how we intend to grow in future.

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We will start with the overview :

In this quarter, we have reported steady performance, as our revenue grew by 12% year-on-year during the quarter. EBITDA grew by 15% year-on-year to Rs. 686 crores with a margin of 25.3%. PAT grew by 21% year-on-year to Rs. 511 crores. Our domestic business grew 7% year-on-year at par with IPM growth versus our performance earlier due to the delayed acute season. According to IQVIA, Mankind secondary sales growth was 5% for the quarter, which is at par with IPM-covered market growth. Mankind lately started – this is a very important point – supplying to modern trade and e-commerce channels and has witnessed robust growth, although we understand that IQVIA does not capture this data in their reports.

Our chronic segment share increased to 34% in Quarter 2 FY24 as compared to 32% last year versus 28% in FY18. We continue to see higher growth in chronic as compared to IPM. We remain committed to increasing our presence in chronic therapeutic areas, as it presents stronger growth opportunities given the rising prevalence of chronic diseases due to lifestyle changes and rising income levels in India. We are rapidly expanding our product offerings with these very important initiatives towards the well-being of people in the country. This reiterates our vision of providing international quality API products at affordable prices, which is accessible by everyone. In our consumer health

thcare segment, we maintain a dominant brand leadership in the respective categories with four of our brands ranking No. 1 in their respective categories. We are consistently performing better in all the product categories whilst maintaining our dominant market share. We are confident that this segment will continue to deliver healthy growth, thereby further expanding our market share.

On the R&D front :

We remain committed towards consistent product innovation, novel drug delivery systems, and strategic partnerships with innovators to strengthen our product offerings. Our successful launch of dydrogesterone reiterates our commitment to being a science-based Company. I am elated to share that we have recently commissioned India's first fully integrated facility catering to dydrogesterone at Udaipur, Rajasthan during the quarter, which will further bolster our position. I am glad that our past strategic choices in various aspects of our business are showing success, and we have strong confidence in our ability to consistently surpass industry growth in future as well.

We will persistently strive to attain leadership positions in recognized whitespaces, specifically in key chronic therapies by means of in-house research and development, acquisition, as well as inclusion of externally licensed products. Furthermore, we are committed to maintaining our established brand dominance in both our pharmaceutical and consumer business.

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With this, I will hand it over to Sheetal who will provide more details on our business performance.

Sheetal Arora: Welcome to today's Investor Call. I am pleased to provide you with an update on our Domestic Operations and Consumer Healthcare Segment.

Let's begin with our domestic business revenue which reached Rs. 2,529 crores in the 2nd Quarter of the financial year 2024, reflecting a year-on-year growth of 7%. This quarter, our growth was impacted by the delayed acute season, affecting not only anti-infectives but also related sub-therapies like respiratory, cough, cold, gastro, vitamins, and more. Additionally, regulatory restrictions on certain products and a rise in competition in dydrogesterone have had an adverse effect on our quarterly performance. As you may be aware that our acute product contributes 66% of our sales compared to 63% in IPM. Hence, the delayed acute season has adversely impacted on our overall quarterly performance. Our chronic business registered a growth of 10% this quarter outperforming the IPM chronic growth by 1.1x and IPM CVM chronic growth by 1.4x.

With our focused approach, we achieved a year-on-year increase of 150 bps in our chronic share to reach 34% in Q2FY 24. In contrast, IPM chronic share increased by only 70 bps to 37% in the same period.

We are seeing signs of recovery in the acute segment from September 2023 onward and noticing visible growth in September and October 2023. And the same is evident in our MAT September '23 performance wherein our secondary sales have registered a growth of 13.7% versus IPM growth of 10.3%.

Additionally, on a QoQ basis, we have maintained our market share of 4.4% in Q2FY24 and our market rank of 4 in value terms and prescription rank of 1 during the quarter. Our higher prescription share reflects the superior quality and deep penetration of our products. In fact, our prescriber penetration has also increased from approximately 81% in Q2FY23 to around 83% in this quarter.

I am happy to share that Panacea revenues continue to show a healthy growth of 30% during the quarter.

In our consumer healthcare business, we generated revenue of Rs. 193 crores in Q2FY24, indicating modest growth of 2% year-on-year basis due to initiatives taken towards the optimization of channel inventory and implementation of IT tools aimed at facilitating software consolidation. However, all our key brands

have demonstrated healthy growth across various brand categories and continue to maintain their market share, as evidenced by mid-teen growth in secondary sales. We are in the process of launching multiple products with substantial growth

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potential, and the focus is to transition more and more products from Rx to OTx to OTC. And we are confident in sustaining strong growth in this segment as we move ahead.

Thanks to our team's dedication, passion, and customer-focused approach. I have full confidence that we will not only thrive, but also reach significant milestones in the upcoming quarters. We eagerly anticipate the continued trust of our customers in our products and we wish to emphasize our unwavering commitment to enhancing their quality of life.

Before I hand over to Ashutosh Ji – our CFO of the Company, I would like to highlight some facts. Despite of modest growth in Q2 FY24 in our EBITDA margin, EBITDA has grown by 15% YoY; gross margin has increased by 270 bps; Panacea revenue has grown 30%; chronic share has increased by 150 bps; and during MAT September '23, we have once again

outperformed IPM by 1.3x.

Now, I will hand over to Ashutosh Ji who will provide further insights into our financials.

Ashutosh Dhawan: A very good afternoon, and I thank everyone for taking out time and joining us on this Quarterly Earnings Call. I hope all of you would have received our Financial Results and the Press Release .

Let me give you a brief of the "Financial Highlights " of the performance during Quarter 2 FY24 :

Revenue from operations has increased by 12% on a year-on-year basis to Rs. 2,708 crores as compared to Rs. 2,425 crores in the previous period last year. EBITDA has grown by 15% on a year-on-year basis to Rs. 686 crores with a margin of 25.3% as compared to Rs. 594 crores with margins at 24.5% during last year in the same period. There is an increase in margins of 0.8%.

This increase of 0.8% is largely driven by a 2.7% increase in gross margins from selective price increases taken in the previous quarters, stable API prices and favorable sales mix changes. The gross margins are now at around 69.5% level, as compared to 66.8% in Quarter 2 FY23.

However, this gross margin expansion has been offset by an increase in employee cost by 0.6%, and the balance is on account of increased advertisement campaigns and other expenses.

R&D expense for the quarter was at 1.9% of sales, which is lower than R&D spend of 2.2% of sales, as incurred during Financial Year '23 . The depreciation and amortization expenses for the quarter increased to Rs. 96 crores as against Rs. 79 crores last year. This is on account of higher capitalization during the latter half of FY23, along with commissioning of the Udaipur plant which has been capitalized within this quarter. Our effective tax rate for this quarter was at 20.3% as compared to 21.6% in Financial Year '23 . PAT for the quarter was at Rs. 511 crores, representing a growth of 21% year -on-year basis and 3% on quarter -on-quarter basis. With diluted EPS of Rs. 12.5 per share of Rs. 1 paid, the cash EPS, i.e., the EPS adjusted for non -cash items like depreciation and amortization, was at Rs. 14.9. Our net working capital days were 44 days as compared to 45 days in the Financial Year 2023 . The CAPEX , including capital work in Mankind Pharma Limited

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progress, was at Rs. 114 crores in Quarter 2 Financial Year '24 and cash flow from operations were at Rs. 481 crores.

The Company has a healthy net cash position of Rs. 2,159 crores as of 30th September '23 versus Rs. 1,366 crores as at 31st March '23. The return on capital employed excluding cash increased to 28% on a 12 -month trailing basis as compared to 25% in Financial Year '23 . The return on equity, ROE, excluding cash increased to 24% on a 12 -month trailing ba

sis as compared to 23% in

Financial Year '23. For Financial Year '24 , we expect to incur Rs. 550 crores to Rs. 600 crores in the CAPEX and EBITDA margins are expected to be in the range of 24% to 26% as mentioned in our previous interactions.

With this, I would like to conclude our opening remarks, and we will be happy to address any questions that you may have, please.

Moderator: We will now begin the question & answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

We will take the first question from the line of Kunal Dhamesha from Macquarie. Please go ahead.

Kunal Dhamesha: First one on the other expenses which have increased meaningfully on a QoQ and year -on-year basis. And you also alluded that there were some advertisement campaign expenses. But how should we look at for future quarters? Are this level of expenses going to sustain or the campaigns are going to be seasonal and should come down?

Management: As we mentioned that the spike in the other expenses on a quarter -on-quarter basis as well as if we compare it to last year is primarily driven on account of the advertisement campaign which we carried out, especially in this quarter. We expect these campaigns and these expenses to normalize in the H2. And we would also like to draw your attention that we have given the guidance of having the EBITDA margin in the range of 24% to 26%. Currently, if we look at H1 our EBITDA margins, they are at 25.5%.

Kunal Dhamesha: Sir, shouldn't then the margin guidance be a little bit higher? Because even with the higher cost, we are running about 25% and if the other expenses go down in the second half, shouldn't the margin guidance be more or should be higher?

Management : You have a point. If we look at the H2, it is normally softer as compared to H1. If we look at our H2 of FY23, we reported the EBITDA margin close to 21% or so. Currently in H1, we are at 25.5 and if we take a base of 21 which we reported last year H2 and our gross margin has improved by 2.3%, on the 21 %, that 2.3% plus some rationalization on the other expenses, we expect it to be in the range of 24% to 26%.

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Kunal Dhamesha: Sir, one more question on trade receivables which have almost kind of doubled from the March level in September. Any particular reason for that?

Management: Trade receivable is the factor of what is that particular month's sale has been. If you look at our March month's sale, that is lower as compared to the sale which has been registered in the current September month.

Kunal Dhamesha: Did exports also play a role here?

Management: Yes, exports also have a bit higher trade receivable if we compare it to the domestic sales. That has also marginally contributed towards an increase in the trade receivables.

Management: Basically, what has happened is, if you see the last quarter's numbers of the previous year, always the 4th quarter numbers in terms of sales are softer. Once you see the trade receivables of that quarter, they always tend to be on the lower side whereas Q2 numbers are much higher than the Q4 numbers of last year. That's why there is a jump in the trade receivables. However, there is an increase in export sales, but that has contributed very marginally to these increased receivables.

Kunal Dhamesha: And the last question is probably for Rajeevji. Now that we have almost around Rs. 2,200 crores cash, what is our capital deployment priorities, and have we given a thought to the dividend policy? Where are we on that?

Rajeev Juneja: The point is we just want to preserve cash keeping future opportunities in mind. We feel that we are in the process of having something in the near future, I mean long-term future. If we are unable, then we will think of going for dividends. However, at any given point in time, we are always very opt

imistic because being a cash rich Company, we would like to have a mindset bent towards the acquisition side. Apart from that, whatever other expenses are required for expansion in terms of office and factories and R&D, that is there.

Moderator: We will take the next question from the line of Neha Manpuria from Bank of America. Please go ahead.

Neha Manpuria: My first question is on the OTC business. Sheetalji, I think you mentioned that there is obviously optimization of inventory and certain IT tools that we have implemented. Is that all done? Should we start assuming the growth improved from the next quarter onwards? Also in the OTC, is there some seasonality? Because, if I look at your numbers last year, it seems like the first half seems to do much better than the second half or is that not the case?

Management: First of all, OTC is very very dear to us. This is one particular division which has given a lot of name and fame to Mankind. Whatever people know about Mankind; even yesterday, somebody said that Mankind has given this much of extra profit. We have built this Company from scratch.

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And if you look at the last 3 years, '21 to '23, our growth CAGR is 17%. We have always grown very fast. One more thing I just want to add here. The efficiency and productivity of our sales force in the last 3 years has increased by 30%. So, we are in the process of adding a few more products, adding a few more people. For example, one product we acquired from Panacea, Nimulid, we are in the process of launching that next month. HealthOK has come from Rx to OTx to OTC. We want to just work more on that. So, we want to have one more division in this OTC side. When you start doing something like this, you just go to recheck everything. When Sheetal talked about a number of things, being a modern Company, certain IT systems have been put, certain stockists consolidation has taken place. Apart from this, we are going for premiumization of products to increase the margins on this side and we want to maintain market hygiene in that. Going forward, we expect around a single digit growth this year. And hopefully from January onwards, the process of making it 2 divisions and launching more aggressively, OTC Mankind will yield better growth in future next year.

Neha Manpuria: And on the domestic formulation business chronic we are doing pretty well from the numbers that you have indicated. The acute part, from the commentary it seems that part of the acute season which wasn't captured in the 2nd Quarter will probably come through in the third quarter. Therefore, on a full-year basis, we won't be as weak as we have seen the quarter to be. Is that a fair assessment or do you think this season is a lost season and therefore now the focus is in terms of maintaining the chronic growth momentum that we are seeing?

Management: If you have watched the last 3-4 years, we are living in a very different world. Even the season has become very dynamic. Look at during COVID times, acute segments sold more.

Second time, chronic sold more. One year, it was a better growth in acute. Second year, it was better on the chronic side. We are absolutely right when we say that there is a shift in the seasons.

Even right now, the last month the growth is fantastic, around 25%. That really gives us confidence that we will do what we basically projected in our initial commentary.

Sanjay Koul: When you talk about acute segment, it majorly involves anti-infectives, antiallergics, and cough syrups. We should see a spurt during this season when we have a season of viral infections. What has happened is if you look at the growth of these 3 segments consolidated, in July over last year

– I am talking about last year July – growth was 11 %. This year July growth was -5%. Last year August growth was 12 %. This year August growth was -2%.

Last year September growth was

1%. This year September growth was 12%. This clearly shows that the season came late in the month of September. And one more thing we need to understand when you talk about anti-infectives, antiallergics, and cough syrups, along with these, there are allied therapies which also get prescribed on the same prescription. These include vitamins, minerals, and nutrients as well as GI drugs.

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Overall, there was an impact on the acute segment, more so in Mankind's case because anti-infectives, antiallergics, and cough syrups contribute 24% of our overall sales versus 17% of industry.

Management: And if I can add to it, if you see our MAT performance of September '23, we have registered a growth of 13.7% versus IPM growth of 10.3%.

Neha Manpuria: Ashutosh sir, on the gross margin expansion that we have seen, let's say, the export benefit which you have mentioned several times, that is only probably for a few quarters and therefore goes away and also the fact that acute was weak. Should this be at a more normalized level of what we saw in the first quarter or is the 69.5% to 70% that we are seeing sort of sustainable?

Ashutosh Dhawan: As per the earlier guidance, which was given, it should be upward of 68%. And if you look at the expansion in gross margin year-on-year of 2.8%, broadly, it is a factor of increase in the price element which is the combination of sale price increase as well as rationalization of the API costs. Both put together has given us a benefit of close to 2% or so and the balance has been towards the favorable sales mix which has contributed to the balance difference.

Neha Manpuria: So, we are still maintaining the 68 plus percent growth....?

Management: It is basically not one-off because of the export business. This is mostly because of the domestic business and because of the price increases and the reduction in COGS.

Moderator: The next question is from the line of Chintan Sheth from Girik Capital. Please go ahead.

Chintan Sheth: A couple of questions. If you can, talk about the discontinuation of a few products. What is the impact on our sales during the quarter? And to add to it, what are our plans in terms of new product launches going forward? You mentioned one of the products in the OTC you are planning from the Panacea basket. If you can talk about that in terms of what is the pipeline, we are expected to see over the next 12 months or so?

Management: Are you talking about the product which was discontinued because of restrictions?

Chintan Sheth: Yes. The press release mentioned that softness in acute is also one of the reasons because a few products are being discontinued. If you can talk about what is the impact and what is the reason? Whether those products will come back on our table or not?

Management: What we have done is as such, if you ask me, we started having the sales of those products captured in the month of September only, which was the first month, we reached to 50% of what we were doing. And since I have the data for October as well, we are 80% of what we were doing with the earlier composition because we expanded by launching different SKUs which are not restricted and we have reached a taper in terms of the number of bottles sold and 80% in terms

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of value concerned of what we were doing earlier. Having said that, there will be some price erosion.

Management: Let me explain this. There is one product, it was cough syrup; we have changed the formula of that. And we hope that by the end of the year, we will reach around 70% of what we were doing.

That's the No. 1 answer of the product. When you say discontinuation, it's not discontinuation. Because certain restrictions came, we changed the formula. And we will reach to, this year only, 70% of what we were

doing last year. What was your second question?

Chintan Sheth: New launches.

Management: You are talking about the Nimulid side. We will be launching the Nimulid in the month of November only. We were just finalizing whatever is to be required to bring some kind of a USP in our product; we have done so. Again I can reiterate that OTC is a dear kind of division to us. We are just working on this component, expanding on this in such a manner that we maintain the same kind of aggression and more dominance in more new products; like HealthOK, we shifted from our Rx to OTx to OTC. We want to just work on it. We want to launch this Nimulid. Also, why this infrastructure we are developing is because in future we feel if some acquisition happens, which will happen hopefully, then we have everything ready for that. That's the reason.

Chintan Sheth: And the question on the competition you highlighted during the earlier comment in the dydrogesterone formulation. If you can speak about what we are sensing in that segment and elaborate on it?

Management: We have a leadership position in dydrogesterone as per prescriptions are concerned. Of course, because of competition, we have lost a little bit of share, but we already have plans in place where we will be coming up with some very innovative, basically, line extensions first time in India that is going to give us edge and which will be very difficult to replicate by other players in the market. So, we believe that in the coming 6 months to 1 year, we will be doing much better ahead of the competition because of those new SKUs which will be first time in India.

Moderator: We will move on to the next question which is from the line of Rashmi Shetty from Dolat Capital. Please go ahead.

Rashmi Shetty: First question is related to other expenses. What I want to understand is that all your new expenses which are coming from the Udaipur plant have already been expended in Q2 or is it going to be increased from Q3-Q4 onwards?

Management: Rashmi, if I have understood your question correctly, you want to understand what will be the impact of Udaipur plant expenses. Yes?

Rashmi Shetty: Yes, correct.

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Management: In this quarter, Udaipur plant, the capitalization was done. During the quarter, that impact is not there. But in the overall EBITDA, it will be value accretive because there will be reclassification from the COGS to the other expenses with regard to the Udaipur plant expenses.

Rashmi Shetty: And related to the consumer health segment, you mentioned that you will be doing some launches from Jan month. If you can just give more color on it whether there would be a line extension of our major brands, or you will be launching a completely new category to cater it? And related to the consumer segment only if you can also give more color on what is our rural and urban split.

Management: Whenever we think of OTC, we are very careful. 1) We will be launching, as I mentioned, Nimulid which we acquired from Panacea. It's quite a known name and that's one reason we are coming with a rubefacient in this. 2) We have one product, HealthOK, which we shifted from our Rx to OTC to OTC division. We want to just launch a few more variants in that, more line extension to that, and aggressively want to promote that. 3) We said that we just want to create this infrastructure in advance so that in future, acquisition will happen because we have time and again said that we are looking for chronic side and consumer OTC side products to acquire. For that sake, we are doing it.

Rashmi Shetty: Sir, for this year, I understand that the growth will be impacted in FY24, but in FY25 and FY26, how should we look at this consumer segment growth? Will it come back to the mid-teen sort of growth?

Management: We feel the kind of growth we were doing in the past,

we will reach to that, if I say, double digit and onwards.

Rashmi Shetty: Sir, on the exports side, how many quarters more we will see this one-off opportunity coming in? And whether this one-off opportunity is coming from 1 product or several products? And is it arising from the shortage of opportunities? If you can give some color on these things.

Management: We feel that this one-off opportunity will last for about 1-2 quarters. It's very difficult to predict when will others launch this product but it is coming from one single product. However, we have other new launches in the pipeline to compensate for last quarter's one-off opportunity.

Rashmi Shetty: Sir, overall, how do we see export market growth?

Management: The overall export market growth would be double digits, mid-teens.

Rashmi Shetty: This you are saying excluding one-off opportunity.

Management: Correct.

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Rashmi Shetty: And lastly one question related to the US market. If you can give the total number of products that has been commercialized till date.

Management: The total number of products that have been commercialized so far are around 25 products.

Moderator: The next question is from the line of Dheeresh Pathak from White Oak Capital. Please go ahead.

Dheeresh K. Pathak: Sir, I am referring to slide #14 and slide #15 of the deck. If I look at slide #15, what you are showing is that in acute for Q2, market grew at 7 and we grew at 4.9 due to underperformance in gastro and VMN. I don't know if you have already explained it, but please explain that why in acute it is lower than the market, and even in chronic, slide #14, you are showing only 1.1x growth of the chronic outperformance versus if you see, we have had much higher multiplier

growth versus the market chronic growth rate. Why this quarter both on the chronic side, the outperformance is lower and on the acute side in gastro and VMN and in overall, why have we done lower than the market?

Management: When we talked about the acute segment where there is tremendous impact of seasonality, we were referring to anti-infectives, antiallergics, and cough syrups. We generally depend upon the season; when I say season, it is viral infection. 1) The issue with acute segment in Mankind is the contribution of these 3 therapy areas is around 24% versus 17% of IPM. Having said that, the season came in September only. And I explained just 15 minutes back only. It is very well explained if you look at the last year growth pattern of these 3 segments in July -August -September versus this year July -August -September. Last year growth was 11%, 12%, and 1% respectively for July -August -September. I am talking about IPM. This year, it was -5%, -2%, and 12%. That clearly shows that there was a very strong season in the month of September, but July and August were not having the same seasonal impact where anti-infectives, antiallergics, and cough syrups shall move. 2) There are some allied therapies which also get prescribed along with these 3 therapies such as GI, vitamins, minerals, and nutrients. These segments also got affected because of the delayed season.

Dheeresh K. Pathak: That explanation I understood, but what I am not able to understand here is that this delay of the season or the seasonal impact is going to impact the market also, right? But if you are showing this data correctly – maybe there is some issue with the data because here we are showing the market in gastro grew 8.4 and we grew only 5.3. VMN market grew 6.9 and we grew 2.3 whereas in anti-infectives we have done better, more than 2x the growth of the market. So, either we are not showing like to like or this is maybe not the covered market growth is what you are trying to show. Is that the right interpretation? Because, the season impact would have impacted the market also, right.

Management:

Absolutely. But you have to take into cognizance the fact that contribution of these 3 therapy areas for Mankind is 24% whereas for IPM it is 17%. So, it will have less impact on IPM vis-a-vis Mankind Pharma Limited
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vis Mankind. That is what I was trying to convey. For Mankind, these 3 segments contribute 24% of total sales. For IPM, these 3 segments contribute 17%. That is why the impact is more in Mankind in comparison to IPM. There is one more part which you need to take into consideration is when we compare with IPM, IPM anti-infectives include injectable brands. Injectables contribute 40% of the total anti-infective portfolio in IPM. For Mankind, it is less than 1%. So, injectables saw a good growth. If I look at the CVM growth, then in anti-infective orals, we are having 2% growth whereas CVM of anti-infective is having a degrowth.

Management: And if you see the chart on the same page, anti-infective IPM growth is 1.7% versus Mankind growth of anti-infective is 3.5%.

Dheeresh K. Pathak: That's why I am saying, my feedback would be that in this slide, next time when you show, instead of showing the IPM, if you show the covered market growth rate of the IPM where you will make like-to-like adjustments like you just explained, there will be a better representation to understand how you have done versus the market.

And if you can also explain, sir, on Slide #14 that's why the outperformance on chronic side is not what we are typically used to seeing. We are used to seeing 1.4x to 1.5x growth of the market.

Management: For chronic also, let me take you through from Q1. Please look at chronic from Q1 lens, then Q2 and H1. In Q1, IPM has grown by 10.4% and Mankind has by 17.3%. In Q2, IPM has grown by 9.1% and Mankind has grown by 9.8%. Now, please make a note of consideration last year. Last year also, IPM was 11.3% and Mankind was 11.3%, the same growth. I am talking about last year's Q2. This year Q2, Mankind is 9.8% and IPM is 9.1%. Last year in the 2nd Quarter, IPM grew by 11.3% and Mankind grew by 11.3%. Having said that, the chronic share in case of Mankind increased in the 2nd Quarter by 1.5% versus 0.6% in the case of IPM. And if you look at H1, then, IPM grew by 9.8% and Mankind grew by 13.4%. So, 1 quarter cannot give basically a complete picture. We have to look at H1, we have to look at 12 months. That gives a better understanding and picture of the performance. I showed you the quarter this year of chronic versus quarter last years are pretty similar. Last year also, IPM and Mankind behaved similarly. This year also, IPM and Mankind in Q2 behaved similarly.

Dheeresh K. Pathak: One last clarification. This dydrogesterone molecule you include in chronic or you include in acute?

Management: Acute.

Moderator: The next question is from the line of Rahul Jeewani from IIFL Securities Limited. Please go ahead.

Rahul Jeewani: Sir, can you please explain this quarter-on-quarter improvement which we have seen in gross margins? And particularly given the fact that our chronic revenue share declined during the Mankind Pharma Limited

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quarter sequentially – 1Q of chronic revenue share was 36 % which came down to 34% – but despite that, we have seen expansion in gross margins on a sequential basis. Are price increases largely a contributor to that quarter -on-quarter gross margin improvement?

Management: Rahul, as you mentioned, yes, there is an increase of 2.7% in gross margin quarter on quarter. And if you look at the breakup of this 2.7%, around 2% is the factor of price. Price is the combination of the sale price increase that we had taken in the previous quarter and some rationalization on the cost front as well, and the balance is towards the favorable mix which has driven that portion. And chronic is one factor and in the acute also some of the products have a good

margin. There the mix has been better, which has given us the sales mix beneficial of around 0.7% or so.

Rahul Jeewani: Sir, this 2.7 % which you are referring to is on a YoY basis. I am asking on a sequential basis that sequentially also our gross margins have improved despite a lower chronic share. So, what is the driver of that sequential gross margin improvement?

Management: Basically, the main driver of the gross margin quarter on quarter is the price increases and the rationalization of API prices. We have taken price increases in certain products and mix sequentially come as per what the regulatory system allows us. That has increased these gross margins quarter on quarter.

Management: In Q1, it was not a full reflection; in Q2, there is a full reflection. That's one. And also in anti-infectives, a little softer growth versus chronic. If you see chronic, it is 34%. That also gives you a little extra gross margin. So, it's a factor of both.

Rahul Jeewani: Can you call out the rep number for the quarter and our productivity?

Management: What number?

Rahul Jeewani: The sales rep number.

Management: It largely remains the same. Around 12,000 is the field rep, around 3,000 is the managers; around 15,000 is the total number.

Management: 15,563 is the precise number which comprises both the field force as well as the managers, the consolidated number. And if you compare it to the last quarter, there is hardly any increase. The last quarter was also 15,350.

Rahul Jeewani: On the export business, while you indicated that the one-off opportunity might sustain for some period, but on this high base of FY24, do you think that you will still see growth on the export business in FY25 or would we see a decline going into next year?

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Management: As I said before, there are several products which we have filed. Those products will get approval in due course. And we have already launched these products in different quarters in the past. So, we see a mid-teen kind of growth going forward.

Rahul Jeewani: So, on a reported basis, you are pointing to a mid-teens growth next year?

Management: Correct.

Moderator: We will take the next question from the line of Kunal Dhamesha from Macquarie. Please go ahead.

Kunal Dhamesha: On the M&A front, let's say if we do some deal, what would be our comfort in terms of leverage? While we have strong cash flow, but are we kind of looking for bigger targets or would it be more tuck-in, then what would be our comfort level with leverage?

Management: We are a very conservative Company. Leveraging, we basically try to not go for, honestly. Not very big we will ever go. Major would be the kind of a Company we can chew and swallow. Again, on the lines of chronic and on the lines of consumer side, that's also a point plus they should really add some kind of a value in Mankind. That's also very important. Why to just bring something which duplicates your products? We cannibalize our own products. So, we just try to keep everything, keeping future opportunities in mind as well.

Kunal Dhamesha: And second one on the prescriber penetration which has increased for us on a year-on-year basis to now 82.7%. Within that increase, what type of doctors it is coming from? Is it general physicians, specialists, or super specialists?

Management: If you look at the increase in prescriber concentration, we launched single specialty divisions in the last 1.5 years. We have 10 single specialty divisions. It is because of these single specialty divisions, we have been able to add more consultants in the areas of oncology, cardiology, diabetology, neurology, and respiratory. The prescriber base increasing is skewed towards consultant's ex GPs, not family physicians but other than family physicians.

Kunal Dhamesha: And the last one on the advertisement

campaign that we are running for the DMF grade API quality. What are some of the internal metrics that we are tracking for the success of that campaign and what are the benefits that we have realized till now and what are we expecting? Management: These are very intangible and long-term strategies. Somehow it is to bring world-class kind of products to India at Indian prices. That's the point. We always believed in long-term things as well as short-term things and it's quite important for us. And we will see in the future we assume good traction in the products we have brought in the DMF side.
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Moderator: We will take the next question from the line of Madhu Prashant, an individual investor. Please go ahead.

Madhu Prashant: My question is the acquisition you are taking, is it on debt or is it fully cash?

Management: We are not taking on any acquisition right now. There are various opportunities that we are evaluating. Once something fructifies, we will go forward with it. It will be mostly our own funding.

Madhu Prashant: If I say you believe in debt-free. Is it okay to say that?

Management: Debt-free, yes. We are a net cash Company with about Rs. 2,000+ crores of cash balance.

Madhu Prashant: In the future, is there anything that you believe to take a debt in long term as well as in short term?

Management: These are futuristic statements. If we take any acquisition, we will come back to you.

Madhu Prashant: Recently, I saw in The Hindu newspaper, that there is an increase in non-communicable diseases. Is there any focus of Mankind Pharma on that?

Management: Focus is on increasing the chronic share. As we already have a large acute share, so increasing focus in chronic and consumer business.

Madhu Prashant: My last question is, as Pfizer has Viagra kind of a thing, is Mankind Pharma also focusing on that?

Management: We already have MANFORCE, a similar composition like Viagra.

Madhu Prashant: Any new segment for a future perspective?

Management: We will come back to you.

Moderator: Ladies and gentlemen, due to time constraints, that was the last question. On behalf of Kotak Institutional Equities, that concludes this conference. We thank you for joining us. And you may now disconnect your lines. Thank you, members of the management.

Call: Feb 2024

Date: February 07, 2024

BSE Limited
P J Towers,
Dalal Street,
Mumbai – 400 001

Script Code: 543904 National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051

Symbol: MANKIND

Dear Sir/ Madam,

Subject: Investor Conference Call for Q 3 FY24 – Transcript

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Investor Conference Call for Q 3 FY24 held on Friday, February 02, 2024.

The transcript is also available on the website of the Company at
<https://www.mankindpharma.com/media/investor/q3fy24-earnings-call-transcript-1707283918.pdf>

You are requested to kindly take the same on records.

Thanking You,

Yours Faithfully,

For Mankind Pharma Limited

Pradeep Chugh
Company Secretary and Compliance Officer
Membership No. A18711

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"Mankind Pharma Limited's Q3 & 9M FY'24 Earnings
Conference Call"

February 02, 2024

MANAGEMENT : MR. RAJEEV JUNEJA – VICE CHAIRMAN & MANAGING
DIRECTOR
MR. SHEETAL ARORA – CHIEF EXECUTIVE OFFICER &
WHOLE -TIME DIRECTOR

MR. ARJUN JUNEJA – CHIEF OPERATING OFFICER
DR. SANJAY KOUL – CHIEF MARKETING OFFICER
MR. ASHUTOSH DHAWAN – CHIEF FINANCIAL OFFICER
MR. PRAKASH AGARWAL – PRESIDENT , STRATEGY
MR. ABHISHEK AGARWAL – HEAD, INVESTOR RELATIONS

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Moderator: Ladies and gentlemen , good day and welcome to the Q3 & Nine Months FY'24 Earnings Conference Call of Mankind Pharma Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek Agarwal, Head Investor Relations. Thank you and over to you, sir.

Abhishek Agarwal: Good afternoon, everybody. A very warm welcome to our Q3 FY'24 Earnings Conference Call. On the call today , we have Mr. Raj eev Juneja – Vice Chairman and Managing Director ; Mr. Sheetal Arora – Chief Executive Officer and Whole -Time Director; Mr. Arjun Juneja – Chief Operating Officer ; Dr. Sanjay K oul – Chief Marketing Officer; Mr. Ashutosh Dhawa n – Chief Financial Officer ; Mr. P rakash Aga rwal – President (Strategy).

We will begin with the "Opening comments from Mr. Rajeev Juneja providing an Overview of the Quarter " followed by comments from "Mr. Sheetal Arora on the Business Performance," "Mr. Ashutosh Dhawan will share Key Financial Performance" and then we will leave the forum open for "Q&A ."

I hope you had a chance to access the investor pack shared on Jan 31st , 2024 . However, I'd like to reemphasize the fact that certain statements made during today's call may pertain to future expectations and plans . A comprehensive disclaimer regarding the same has been provided on "Investor Presentation and Press Release" upload ed on our website.

Now , I would like to invite Rajeev sir to share his comments.

Rajeev Juneja: Thank you, Abhishek , and good afternoon , everyone. A Very warm welcome to our Q3'24 Earning Call.

I'm delighted to share that the Company has witnessed a strong quarterly performance as our revenue grew by 25% year -on-year to Rs.2,607 crores during the quarter , EBIT DA grew by 39% year-on-year to Rs.6 11 crores, PAT grew by 55% year -on-year to Rs.460 crores .

We have further bolstered our net cash position to Rs.2,756 crore s and the return on capital employed has also increased to 31% year -on-year in December '23 compared to 23% as on December '22.

Here , I would like to specially highlight a key fact that in this quarter :

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We have successfully optimized our working capital days to 42 days in December '23 versus 46 days in December '22.

While Mankind domestic secondary sales growth was 9% for the quarter as per IQVIA , which is 1.1 times outperformance to IPM growth for the quarter. However, we have reported a strong primary growth of 20% year -on-year in domestic business led by robust growth in chronic , recovery in anti-infective and gastro. This basically has happened due to strong growth in modern trade and hospital sales. Our top five therapeutics by sales have outperformed the IPM by 1.5 times.

With the focus efforts of our team, our chronic segment share has increased by 130 basis points to 34.9% in nine months FY24 as compared to 33.6% in nine months FY23. We remain committed to increasing our presence in chronic therapeutic area.

Our market share of our key chronic therapies such as cardiac and anti-diabetic has reached to all-time high exceeding 5% and 4.4% respectively.

In our Consumer Healthcare segment, while primary sales performance has been muted, we have demonstrated healthy growth in secondary , tertiary sales in various brand categories, resulting into market share gain. We remain confident that this segment will regain its strong growth trajectory, propelling further expansion of our market share .

On the R&D front, our focus remains on product in

novation, advancing drug delivery system

and fostering strategic partnership with innovators to bolster our product offerings.

The successful introduction of Dydrogesterone reaffirms our position as a science -driven

organization, committed to delivering high quality solution to meet evolving market demand. Given a strong net cash balance sheet, we continue to pursue opportunities in chronic therapies and consumer healthcare business via strategic acquisition and in-licensing opportunities. With our collective efforts and strategic vision of quality, affordability and accessibility, we are confident to outperform industry growth in the years to come and deliver lasting value to our shareholders.

With this, I will hand over to Sheetal, who will provide more details on our business performance.

Sheetal Arora : Thank you, Rajeev ji. Good afternoon, everyone. I am pleased to offer "Key Insights of our Business Segments."

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Our domestic business, which accounts for more than 90% of our sales, has demonstrated robust year-on-year growth of 20% reaching Rs.2,400 crores in Q3 FY24. This growth is driven by several factors :

1. We have seen strong chronic growth of 1.5 times higher than the Indian pharmaceutical market. This includes a 16.7% increase in the cardiac segment versus 8.8% for the IPM and a 13.4% rise in anti-diabetes compared to 5.5% for the IPM.
2. There's a notable recovery in key acute therapy. Our anti-infective segment grew by 13.8% against the IPM 9.5%. And our Gastro segment increased by 12.8% compared to 9.3% against the IPM.
3. Our modern trade have continued to experience robust growth. Although, this data is not captured in IQVIA report, that is why there is a bridge between primary and secondary sales. If we adjust our secondary sales growth rate to consider significant increases in modern trade and the withdrawal of key product due to regulatory restrictions, our IQVIA secondary sales growth would also show a substantial increase. Additionally, after adjusting for these factors, our volume growth has also exceeded the IPM volume growth.

We have also analyzed our primary sales volume data, which indicate a 2.3% volume growth in Q3 Financial Year '24 compared to a 1.8% volume decline in IQVIA secondary sales data. Our chronic business has shown a remarkable growth of 12.2%, consistently outperforming the IPM chronic by 1.3 times and the CVM, IPM chronic by 1.6 times. This underscores the resilience and competitiveness of our chronic segment.

I am delighted to report that our market share has increased sequentially, reaching 4.5% in Q3 FY24 from 4.4% in Q2 FY24. Even our CVM share has also rose to 6.6% from 6.5% quarter-over-quarter.

Additionally, the count of our brands generating revenue of Rs. 50 crores has risen to 39 in MAT December '23, up from 37 in FY23, showing significant potential for further growth.

Our Panacea revenues have continued to show healthy growth of over 25% during the quarter. However, our consumer healthcare business experienced a subdued quarter with the revenues of Rs.159 crores in Q3 FY24, a 5% year-on-year decline due to the corrective actions taken as previously highlighted. Despite this, our key brands continue to show strong secondary sales growth across categories, increasing their market share.

Our export business has shown a growth of 118% year-over-year, led by a strong performance in the US market. With our commitment to a "Healthier Bharat," I am confident that we are on the path to a brighter future.

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I would like to conclude by expressing my gratitude to all our stakeholders for their support and confidence in Mankind. Before I hand over to Ashutosh ji to provide a deeper insight into our financial performance, let me highlight a few important

points. First, the growth of Mankind is

25% in Q3 FY24 versus Q3FY23. The chronic segment is 1.5 x higher than the IPM. The market share of Q3 FY24 is 4.5% versus Q2 FY24 4.4%. Panacea revenue growth is more than 25%. Export has grown in the tune of 118%. Even the growth of EBITDA is 39%.

Now, Ashutosh ji, please go for the financial details. Thank you so much.

Ashutosh Dhawan: Thank you, Sheetal ji. A very good afternoon, everyone. Firstly, I would like to thank everyone for taking time out for joining us. I hope you would have received our financial results and press release published on 31st of January 2024.

Today, I will take you through the key financial highlights for Q3 FY'24:

During the quarter, our revenue from operations significantly increased by 25% year-on-year basis to Rs.2,607 crores as compared to Rs.2,091 crores for Q3 FY '23. The EBITDA has grown

by 39% on a year -on-year basis to Rs.611 crores with the margin of 23.4 % as compared to Rs.440 crores with the margin of 21% last year 's Q3 FY' 23, which is an increase of 2.4% on year-on-year basis in percentage terms. This increase of 2.4% is driven by an increase in the gross margin of 0.7% and the balance is supported by operating leverage being achieved due to strong revenue growth which is 25% on year -on-year basis. In Q3 F Y'24, gross margins have increased by 0.7% to 68.3% as compared to 67.6% in Q3 of last year. This increase is on account of favorable sales mix and the price increase effect which was undertaken in the prior quarters. The R&D expenses for the quarter are at Rs.56 crores, which is 2.1% of the sale which remains within the stipulated range of 2% to 2.5% as we have communicated earlier .

The depreciation and amortization expenses for the quarter increased to Rs. 110 crores from Rs.85 crores in Q3 FY '23. This is primarily due to two reasons :

First one is the capitalization effect. As we have capitalized more than Rs.1,000 crores in the last 12 months. Moreover, in this quarter, we have taken an accelerated depreciation on the items capitalized for our research center at Manesar as we have initiated the process of upgradation and expansion of R&D center to support future growth.

The ETR for nine months FY '24 is close to 20% as compared to 21.6% during F Y'23.

The profit after tax for the quarter was at Rs.460 crores, which is 17.6% of the sales representing a robust growth of 55% year -on-year basis . Diluted EPS of Rs.11.3 per share of Face value Rs.1/- . Cash EPS, that is cash adjusted for non -cash items like depreciation and amortization was at Rs.14.1.

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Further, I am elated to share that during the quarter we witnessed strong cash flow from operations of Rs.667 crores due to operational efficiency resulting in reducing the working capital days from 46 days to 42 days on a 12-month trailing period basis. This led to a healthy net cash position of Rs.2,756 crores. Our strong cash position in the balance sheet provides enough scope for any potential M&A and in -licensing opportunities .

Return on capital employed ex-cash increased to 31% on 12 months trailing basis as compared to 25% in F Y'23. This is due to EBIT improvement and cash generation on a trailing 12 months basis .

Return on equity ex cash increased to 26% on 12 months trailing basis as compared to 23% in FY'23 primarily due to an increase in PAT percentage on TTM basis.

The CAPEX including the capital work -in progress was at Rs.324 crores in nine months FY'24. For F Y'24, the total CAPEX would be less than Rs.500 crores. Further, we expect to maintain our EBITDA margins for the full year to be in the range of 24 % to 26% as mentioned in the previous interactions.

With this, I would like to conclude our opening remarks and we will now be happy to address any questions that you may have please .

Moderator:

We will now begin the question -and-answer session. The first question is from the line of Dr. Kunal D from Macquarie. Please go ahead.

Dr. Kunal D : First one is on our reported growth of around 22% for the domestic prescription business. If I strip out our consumer business and we have mentioned categorically two things, modern trade and hospital sales. So, just like to know are those a big growth factor in this quarter ? And if yes, can you quantify those ?

Rajeev Juneja: Let me tell you something that we are a very unique kind of a Company and many departments in Mankind are still evolving. In the last few quarters only this modern trade department has become quite organized. Otherwise, what was basically happening , was all the goods were going from our regular stockists. And that's one reason all of a sudden modern trade is growing at a phenomenal pace ; it is right now contributing 5%, 6% in our total sales. So, that basically is a major reason that when you look at the IQ VIA and when you look at our own sales, there's quite a difference. This is one. The second basically is what we've always mentioned that our chronic growth is much better ; it is 1.5 times to I PM, we are growing faster. If you look at the whole as well in chronic side, you will find that two years back it was around 33% in 2022, 34% in FY23 and now it has increased in nine months to 35%. This is the second one. Third basically is , the second quarter was not great . In 3rd Quarter , we have recovered a lot in antibiotics, in gastro , all sort of things have really happened. That's the major reason, plus some sales have come from Mankind Pharma Limited

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our other businesses like example agritech. That's the reason when you look at IQ VIA growth versus the whole growth of Mankind , there's a difference.

Dr. Kunal D: Just one bit on the sequential compression in the gross margin . Is it primarily on the back of

more, I mean, acute kind of also recovering from Q2 to Q3, and maybe some of these newer businesses might have some lower gross margin, is that the correct way to understand?

Ashutosh Dhawan: So, if you see gross margin on a year-on-year basis, there has been an increase of 70 basis points. However, on a quarter-on-quarter basis, there is a dip of 120 basis points and this is primarily because of two reasons. The first one is that we have taken some inventory-related accruals due to slow moving and non-moving items. So, that has impacted negatively. And secondly, the impact is coming because our Sikkim plant was comparatively underutilized for this particular quarter due to shut down on account of flood. So, 10% was the underutilization factor. So, it's a sum total of these two key factors which has resulted in the gross margin compression of 120 basis points on quarter-on-quarter basis.

Dr. Kunal D: And it should come back barring the product mix changes, etc., we expect this to reverse, right?

Ashutosh Dhawan: We maintain to the guidance given that our gross margins will be upward of 68% for the year.

Dr. Kunal D: On the consumer side, we have said that we have taken some distributor consolidation or IT implementation and channel inventory optimization impacting our growth. So, all those are now done in Q3 or we are still seeing those activities continuing?

Rajeev Juneja: Kunal, I mean, we said in the last quarter as well that we are going for optimization, automation and we have taken certain corrective actions. So, this would be completed in Q4 and we hope and are quite confident that next year would be much better.

Moderator: The next question is from the line of Neha Manpuria from Bank of America. Please go ahead.

Neha Manpuria: If I were to look at the growth that we've seen in the export business, that of course helps margins quite a bit. And if I look at the approvals, Mankind seems to be getting

quite a few approvals in

the US. Would you still qualify the US business like you have in the past as one off or we should continue to see this business grow and contribute to margins?

Arjun Juneja: So, our US business if you see, I mean, we have been filing a lot of products in the US. So, until this year and last year, products started receiving approvals and we were launching these products in the market. So, the base was very low in the last year, and that's why we are seeing a significant growth in this year. Also, the one-off product which we have, which is kind of a monopolistic product where there is no competitor in the market is contributing to a major part of this growth. So, we expect some sort of competition to come in this product. We are not sure

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by when, but going forward in the next year we expect some growth to come in the US market, but it will not be as significant as it was this year.

Neha Manpuria: If I were to strip out the sales growth that we've seen in export market even with some margin assumption, would we have still seen margin expansion in the domestic business because it does not seem that way if I were to just do a basic back-of-the-envelope calculation, it seems like margins have been pretty much flattish this year despite the growth in domestic?

Rajeev Juneja: I mean, look at the efforts of Mankind, in which direction we are moving. We are moving towards the chronic side. So, that basically gives some kind of indication that yes, in chronic side since we're working, we hope that our gross margins will definitely increase.

Neha Manpuria: And would that reflect in EBITDA margin improvement, sir, or that chronic expansion requires us to continue to spend on SG & A promotion to achieve the growth rate that we want to achieve for chronic?

Rajeev Juneja: So, why not EBITDA will increase for what we're working actually? I mean we are working for long term things always. So, what is relevant, what is right, we keep doing that. We hope that EBITDA will definitely increase.

Neha Manpuria: You mentioned potential opportunities that you're looking at consumer healthcare and chronic. In consumer healthcare, what are the segments that you would be interested in given the existing portfolio that you have, what are the areas that would interest you?

Rajeev Juneja: Neha, anything which basically is towards pharmacy side would interest us, anything, because we have always seen that we are strong in our pharmacy side. So, we want to just further strengthen that, not any FMCG.

Moderator: The next question is from the line of Harsh from Bandhan AMC. Please go ahead.

Harsh: You made a comment in the initial part of the commentary in terms of the volume growth. Could you clarify a little bit in terms of the Mankind volume growth being 2.3% versus -1.8% as per IQVIA data?

Rajeev Juneja: The point we basically emphasized on and I just said five minutes back as well is that our modern trade and hospital sales department is quite new, it is few quarters old only and that's one reason it is growing at a phenomenal pace. And for your knowledge and for people for understanding IQVIA does not cover that. And that's one reason. When you look at it from IQVIA lenses, you find that our growth is in minus, but once you add our modern trade sales, the growth would be 2.3%. And also one product which basically had a regulatory effect, discontinued, that also was the reason for that.

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Harsh: In the presentation, the nine month s data that is given , these numbers that you're talking about is on a quarterly basis that I understand, but the presentation Slide #17 that we have given -1% volume growth. Is there a way to sort of understand what would look like post these adjustments on a n

ine-month basis?

Prakash Agarwal : So, that is as per IQVIA the number that we are reflecting . As adjusted for the product restriction as well as the Modern trade as highlighted by Rajeev ji it's about 2%plus. So, it's outperforming the IPM.

Harsh: Even on nine-month basis, the volume?

Prakash Agarwal : Yes.

Moderator: The next question is from the line of Am ay Chalk e from JM Financial. Please go ahead.

Amay Chalke: I just had a follow up on the volume and the price constituents . So, basically, going into next year, w e will see WPI to be on the lower side , price hike we will get on the NLEM side. So , how do you expect these constituents to change going into next year because the price hi ke component is around 6% right now , your product component is around 4% which I believe is slightly on the higher side compared to peers ?

Arjun Juneja : So, basically, if you see the WPI for next year will be flattish, it will not be negative by a big number , I think it's coming to around 0.02 or 0.03 negative. So , I think WPI will be ne gative. I mean if you see overall Mankind's portfolio, I think we are one of the only very few companies in the industry where negligible portfolio falls in NLEM whereas products which are outside of NLEM were allowed to take a 10% price increase , and over the last few years we've been miser enough to take this price increase, which we are taking very judiciously in selective products where we don't increase our pricing too much because over the years the tag of affordability which we have maintained, we wa nt to maintain the same tag. However, having said that, I feel that over the next year, we continue to expect a similar price increase what we've seen this year.

Amay Chalke: Don't you think this price hike strategy is a drift from what we have grown over the last 10 years?

Rajeev Juneja: See, I mean the strategy basically is only one that how can we grow and how can we maintain our accessibility image in consumer's mind , because this has been done in the last couple of years working . So, we always want to maintain that kind of image of Mankind in consumers mind . Strategies , whenever there is the opportunity, whenever we see that competitors have increased and we have some kind of a say that in the top ten or top 15 companies, we are the most affordable , we go for that. We basically move as per the overall scenario in the market . random / separately , we don't see like that . It's always been a holistic thinking.

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Amay Chalke: In this price hike , is it more towards chronic product, i s it more towards acute p roduct , how would you specify ?

Rajeev Juneja: It is always more towards opportunity, neither c hronic nor acute . Whenever we see the opportunit y is there, we don't look from these l enses, we look where it will not affect us, where competitors will not be able to cut our corners. This is how we move forward.

Prakash Agarwal : So, across the portfolio in acute and chronic, we remain 15 % to 20% cheaper across the portfolio .

Amay Chalke: Is it possible for you to tell us about the profitability of the acute and the chronic business, if not quantitatively, at least qualitatively , whether the chronic is still in investment phase or how things will move here?

Ashutosh Dhawan: We can give you a flavor around the gross margin front because at the EBITDA level there is an overlap for promoting chronic as well as acute . If you look at the gross margin standpoint, there is a delta of 10 % to 12% better margin in the chronic segment on absolute terms basis as compared to acute. Let's say , if acute is giving a margin of 65% , then chronic will be giving 75%, 77%.

Amay Chalke: Yes, but that's very generic for all the companies. If you can give some flavor on EBITDA is it a chronic investment phase because the contribution of chronic business is

expected to increase

for the next fiv e years , so I want ed to know directionally how it will change ?

Rajeev Juneja: Please understand that our Mankind's model is very unique . In what sense that like you see in any pharma companies, they have only chronic division , and here our number of divisi ons have mixed portfolio , acute and chronic , and some divisions are only chronic which are launched in the last four years' time . So, it's quite difficult for us to really, I mean segregate those. It's always mixed up . And that's one reason whatever you call it , we give this kind of generic answers, they are not separate , separate.

Sheetal Arora : Even if you see only chronic share has improved. If the chronic share will improve , then definitely EBITDA and gross margin is going to improve.

Amay Chalke: Where do you see the exports five years down the line? What are your priorities there? How do you see yourself in terms of geographic presence, manufacturing capabilities on the export side?

Sheetal Arora : Mankind was a domestic focused Company and it will remain a domestic focused Company . 90% of the sale definitely will come from domestic. So, export, we are primarily in US and rest of the world, but we are clear that wherever we can get the opportunity to launch niche brands which are high in profitability , we're going to launch those products. But going forward five years down the line, Mankind main sale will come from domestic.

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Moderator: The next question is from the line of Chintan Sheth from Girik Capital. Please go ahead.

Chintan Sheth : Sir, I have a similar question on the export side. Basically , the current run rate, you said the growth will not be similar to what we achieved this year because of certain opportunities we got. But do we see the positive trend to continue or at least we can maintain or match the revenue trend of this year, continuing going forward in the absolute basis which is around Rs. 200 crore s this quarter ?

Arjun Juneja : We can assume the positive trend will continue. The growth will not be as significant as it was this year, but growth will be there like high teen, double digit growth will be there in the next year because we are expecting a few new approvals over the next few quarters.

Prakash Agarwal : And the existing products which are launched in the last nine months are also ramping up.

Moderator: We'll take the next question from the line of Sagar Sethi from Sethi Investments. Please go ahead.

Sagar: What about your margin profile going ahead?

Abhishek Agarwal : We have given EBITDA margin guidance of 24% - 26% for the financial year and in nine months we have done 24.8%.

Moderator: The next question is from the line of Dr. Kunal D from Macquarie. Please go ahead.

Dr. Kunal D : Sir, on the chronic business, we have done really well ; I think FY'18 or '19 we have 28% contribution coming from chronic, now it is at 35 %. Do you believe that even over the next three to five years, such a pace of increase in contribution could continue for us?

Rajeev Juneja: Kunal, thank you so much for asking. I mean, we said we are saying it and we believe that Mankind is very capable of doing fantastic things in chronic side. We are a few years old; we are not 28 years old in chronic side , we are maybe 18, 19 years old in chronic side and in those 18, 19 years we have reached to this particular level . We believe that the future lies here. We are working towards that side and that's one reason you can see from 2018 when our share was just 28%, it has reached 35% in 9MFY24 , and we'll definitely do very good . Our ambition is that it should be in line with any chronic side company more than 40% or 50% in the long -term?

Prakash Agarwal : One addition here . Three years back we had this specialty chronic division. So, we launched about 8 to 10 chronic

divisions which are ramping up. So , these are focused towards super specialty doctors and these are across cardiac, diabetes, CNS , respiratory inhalers, etc. , So, these are still ramping up , I mean , the growth rate is much faster than the Company average growth rate. So, net-net, if you see that would also lead to a market share increase on the chronic side.

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Ashutosh Dhawan: And moreover, if you see, we are under indexed in this segment. The IPM is at 38%. So, we are at a below average of IPM. So, that's also gives us some headroom for growth.

Dr. Kunal D: Would you be able to provide the field force number including the primary manager and excluding the first line manager?

Ashutosh Dhawan: So, the total number of field force as on 31st December is 15, 900. And if you see the breakup, so around 12,000 is the MR and the balance are the managers.

Dr. Kunal D: One on the depreciation and amortization, which has continued to go up and you have highlighted that we have capitalized Rs. 1,000 crore s gross block and that is the reason , but if you see Rs. 110 crores per quarter is it more or less a sustainable number for us ?

Ashutosh Dhawan: So, as we mentioned that out of this Rs. 110 crore s, Rs. 9 crores is a bit of an inflated number because that's the accelerated depreciation which we took. So, it will be somewhere around Rs. 100-odd crores.

Dr. Kunal D: Last one on EBITDA margin . While you have guided for 24 % to 26%, but any let's say medium term guidance or outlook or aspirational target that you have in mind?

Ashutosh Dhawan: So, if you see our nine months EBITDA profile, we are at 24.8% . We have given a guidance of 24% to 26% . And if we continue to maintain the growth momentum , which we are on the path of, we are hopeful that the margins will be getting achieved.

Prakash Agarwal : Just to add the levers here, I mean , I get so many questions on EBITDA margin, but just food for thought , so one is increasing share of chronic that will lead to margin expansion. Second is the new division that we spoke about the super specialty in Mumbai. So, these are under index, and they are growing faster than the Company average. So, that will lead to margin expansion which both these put together also leads to improving M R productivity. If you see last year we were at 5.7 lakhs per M R, we have improved in the last nine months to 6.4 lakhs . If the M R productivity increases, it flows down to EBITDA margins. So, these are three , four key parameters and the last one is brand creation. So, if you see last year we had 36 , 37 brands which were Rs. 50 crore s, and as the brand sales increase, the incremental effort to market those brand s is less. So, margin expansion happens in those brands. We are now 39 in Rs. 50 plus c rores brands. So, these are few food for thought that these initiatives lead to margin ex pansion. So, the direction should be there. Hope this helps.

Dr. Kunal D: Yes. Prakash, thanks for that. And lastly, from your pricing comments, what I understood is , we are currently at 15 % to 20% discount, and we would be taking pricing but we would not be taking it on overboard. So , our relative discount would continue vis-à-vis peers . Is that correct understanding?

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Ashutosh Dhawan: Yes, correct. The point is that that the price increase growth will be in line or slightly lower than the I PM price increase growth, so that the competitive advantage is maintained . At the same time we will be carrying out the opportunistic price increase wherever opportunities are there , the price increase will be taken.

Moderator: The next question is from the line of Gagan Thareja from ASK Investment Management . Please go ahead.

Gagan Thareja: The first question is, can you quote the share of sales coming from

DPC or NLEM?

Ashutosh Dhawan: It's between 14 to 15% is what is under the NLEM .

Prakash Agarwal : and Industry average is around 20% plus.

Gagan Thareja: On the Dydrogesterone facility at Udaipur, can you give us some idea of what sort of scale up we can see from that in the coming year?

Arjun Juneja : So, Dydroge sterone facility was recently started in the last quarter, and the facility is in the process of scaling up , commercial supplies have already started . So, I hope that from the first quarter of next year , the facility will be fully sc aled up and would be catering to the domestic and international demands of Dydrogesterone in totality.

Gagan Thareja: Two questions related to that. One, I mean in terms of scale up of sales of Dydrogesterone , would there be a sharp ramp up next year ? And second, obviously currently the OPEX is under absorbed and therefore consequently next year would it mean that margins should benefit from the ramp up ?

Arjun Juneja : I mean this plant is made to cater to the future demands of Dydrogesterone . And Dydrogestero ne is not just consumed in India, it's also consumed outside of India. There are several markets, for example, China, Russia, lot of Southeast Asian markets which are big in consumption of Dydrogesterone . So, this plant is made to cater to the growing demands of India as well as international demands. However, saying that it has no correlation to our sales in India, I mean we were able to cater to the domestic demand in India through our existing plant where Dydrogesterone was p reviously being produced . But seeing the potential of the product and seeing the growth of the product in the coming future, we started this new plant so that we are prepared well in advance to cater to the expected new demand for the growth in India and t he newer markets.

Gagan Thareja: So, for the newer markets there would be an approval process . When do you see yourself being able to position yourself in those markets with sales?

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Sheetal Arora : See, newer market s like China, Russia, UAE , if we have just sta rted the approval process, it will take another two to three years minimum. So, by FY27-28 you may see the sales of Dydrogesterone coming in those markets .

Gagan Thareja: And for the tax rate, what should be the budget for the full year this year and in the coming year FY'25?

Ashutosh Dhawan: So, for the nine months period , our effective tax rate is close to 20% , and for the year it should be around 21 % or so.

Gagan Thareja: Is there scope to further ramp up Sikki m and therefore also sort of bring down tax rate in FY '25 or does it stabilize at these levels?

Ashutosh Dhawan: So, that's a good question. We have done the capacity enhancement last year. And if you see last

year, we were at 22%, this year we are hovering somewhere close to 20%. So, we have taken benefit. Yes, there are levers available, but it all depends on the products being sold out of Sikkim plant and the expansion being carried out. So, we expect it to be somewhere in the range of 20% to 21%.

Gagan Thareja: For the new specialty chronic divisions which you launched in Mumbai relatively recently, can you give us some idea of what's been the PCPM ramp up from these divisions and what timeframe do you see that optimizing or coming to parity with the market average PCPM?

Rajeev Juneja: In the last four years, we've launched many divisions. Quite a lot of divisions. The productivity ranges from Rs.2 lakh to Rs.4 lakh. At different times these divisions have been launched. Some are four years old; some are 3.5 years old. So, in chronic side, once a division crosses Rs.5 crores turnover, then it starts really firing best. So, we hope that as the time will pass, these divisions will do very good, because in chronic side the advantage basically is what, y

our

prescription stays with you and new prescriptions add to your growth. That's one reason we are so bullish about chronic side.

Sheetal Arora: And even if you see the growth of this chronic division, this is much higher than the other general division, some are going in the range of 20%, some are going in the range of 30%. So, going forward, these revenue growth will contribute.

Gagan Thareja: On the consumer portfolio where this year has been weak because of some of the channel consolidation and IT activities that you've undertaken, how should we look at recovery in terms of growth in the coming year?

Rajeev Juneja: We mentioned you a few minutes back again. In the last quarter only we said that we are correcting certain things over there. So, this year will be muted. Next year we expect to really regain the previous kind of a growth... good growth will come next year in consumer side.

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Moderator: The next question is from the line of Gaurav Jain from ICICI Prudential Mutual Fund. Please go ahead.

Gaurav Jain: I have a follow up question on the export side. If you can help us understand for the nine month how much is the growth on the base business and how much is the one-off opportunity because I think in the last call you said that you were targeting for double-digit growth on the base business, removing the one-off. So, if you can clarify that a little better please?

Arjun Juneja: So, I mean, we are on track to... as we said in the last quarter that the newer launches which are there which are getting ramped up. So, there is significant growth in those products and as well as from the one-off business, there is growth. So, I mean, if you really ask me, I mean it's almost like 60% - 40% between the one-off product and the newer launches or the base business.

Gaurav Jain: The growth basically is 60% is from newer launches and 40% is from one-off.

Arjun Juneja: 60% is from the one-off and 40% is from either the existing products or the new launches.

Gaurav Jain: Second question is on expenses. For the nine months, I think our employee cost is up by 19% and other OPEX is up by 15%. Is there any specific reason for this higher increase or do we expect this run rate to continue?

Ashutosh Dhawan: If we talk about the employee cost, on a quarter-on-quarter basis in value terms, it is flat. But since sequentially there is a drop in the sale of around 4%-odd, so that's why in percentage terms it is higher. And if you compare it to last year to this year, yes, there is increase in employee cost because we have added additional headcount of close to around 1,000-odd people at the overall group level and this also includes the impact of the annual increment which is taken, and some ESOP expense also came in. And moreover, on a year-on-year basis, there is a 25% increase in revenue. So, that has also had a variable incentive impact therein.

Gaurav Jain: Will you be able to guide us for FY'25, how should we think about the growth in expenses and employee cost?

Ashutosh Dhawan: See, the endeavor is that the increase in overall percentage basis, the employee cost increase percentage should be lower than the growth percentage of the Company. That's how we try to peg it. And if you look at it in the percentage terms from last year to this year it is lower.

Moderator: The next question is from the line of Rahul Salvi from Franklin Templeton. Please go ahead.

Rahul Salvi: I was looking at the investor presentation. So, I don't know whether this question has been asked by the previous participants, but the domestic business grew by 20% YoY in this quarter and IQVIA reported growth is at 9%. So, can you split the growth between modern trade, hospital

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sales and the actual primary sales which goes thr

ough the channels for our understanding ? And

the second question is why there is so much difference between reported and IQVIA numbers ?

Dr. Sanjay Koul: So, my submission is , you'll get a better understanding about this scenario in case you look at nine-month YTD growth numbers. I'll start with that and then I'll answer your full question. Our nine month s growth was 13.4% and IQ VIA shows it 9% . Modern trade, e-commerce and hospital business is not captured by IQ VIA . It contributes in our sale of 5% to 6% and in growth it contributes by 2%. So, if you look at 2% to 9% of IQ VIA, we are very close to 13.4% and then the remaining percentages from new business, which has already been mentioned by Raj eev sir, we are close to that primary number if you compare IQVIA versus primary on nine months basis. So, my submission is , you should look at this growth number on nine month s basis rather than one quarter because IQVIA number does not capture modern trade , corporate hospital sales, and there will be discrepancies and our modern trade business has grown in this quarter by more than 35%, on YTD basis by 60%. That is why it has an impact on overall growth numbers.

Rahul Salvi: And modern trade and e Commerce is the same or it's different?

Dr. Sanjay Koul: Modern trade is basically B2C, and E-commerce is brick and mortar, we supply medicines to brick -and-mortar stores.

Rajeev Juneja: Modern trade basically is this Apollos and brick and mortar, and e -commerce is we know what e-commerce is , right. So, we're talking about modern trade and hospitals . Something I just want to mention here is that our modern trade and the hospital department has come up recently a few quarters back . Earlier it was not structured . So, things were happening as it is . But now since it is being supplied from Mankind to these hospitals and as per our understanding , IQVIA does not cover these. That's one reason you are seeing that kind of difference .

Prakash Agarwal : I think from next year it will normalize.

Rahul Salvi: So, that also explains the -1% volume degrowth, which is shown by IQVIA because they are not capturing the modern trade.

Prakash Agarwal : Correct. We will take that offline.

Rahul Salvi: Second question is on export growth . There was a question on that , but did you quantify the one - off and if you're saying that we'll still grow in double digits on the base of this year, which will be around Rs. 650, Rs. 700 crores , so that one -off is a recurring or what exactly do we need to say?

Prakash Agarwal : Rahul, we are not quantifying the one -off. It is a reasonably large part this year. We don't know when the competition on this product will come . But we also mentioned that last year and this nine months there have been few launches, and our product selection is based on the quality of Mankind Pharma Limited

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the products with higher margins. So, base portfolio is also growing double digit this year and we expect base portfolio to continue to grow double digit next year as well.

Rahul Salvi: So, there is no visible competitor in this one -off?

Prakash Agarwal : Currently no. It continues as far as this quarter is concerned.

Moderator: The next question is from the line of Alankar Garude from Kotak Institutional Equities. Please go ahead.

Alankar Garude: Would you attribute the strength in the hospital segment, the organized part which Raj eev ji mentioned to the Panacea acquisition?

Rajeev Juneja: No, it's not like that. I mean, see, the point was earlier our regular stockists were supplying, right ! So, supplies were already there. But the problem was - goods were coming from one state to second state. So, just to address that problem, we have centralized this modern trade , hospital business department and now things are going straight from our depots to those places so that we can properly

distribute sales to the right people. And since it has been done in last couple of quarters, that means around one year and that's one reason we all of sudden didn't see huge sales , which was already there and when it was being done from our regular stockists IQVIA was earlier covering , now it is not. That's one reason . Yes, a certain kind of advantage you get when you get some kind of products from Panacea as well but not very significant.

Alankar Garude: I think as you mentioned in response to the previous question, you expect this outperformance from these newer segments to normalize from next year onwards ?

Rajeev Juneja: Newer segment means what ? Modern trade. Yes, it will normalize .

Arjun Juneja : Because this year there is a base effect, so that's why.

Alankar Garude: The second question is, do we remain keen on divesting the Mahananda Resort? And also, is the Gurugram residential project completely off the books now ?

Ashutosh Dhawan: No, that project is on the verge of completion, the residential project. So , it is coming in the books. And with regard to Mahananda, we would like to re -emphasize that there is no further investment which is going into this particular resort. This is self -sufficient or on self-sustainable mode. And if you look at the EBITDA , that EBIT DA is also higher if you compare it to the Mankind EBITDA level. But having said that, we remain committed to our initial position that whenever there are good monetization opportunity, we will definitely explore and capitalize on

that.
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Alankar Garude: In the previous call, we had mentioned recouping 70% of our FY '23 sales for Codistar. Can you update us on the progress on that?

Dr. Sanjay Koul: Codistar, when it was restricted, the Company was doing approximately Rs. 8 crores per month. So, we are already at the level of Rs. 6 crores per month. We are very close to that, but there has been a steep decline because of price erosion, but unit wise we have improved. So, we believe next year we will reach very close to the number we were last year.

Moderator: The next question is from the line of Rashmi Shetty from Dolat Capital. Please go ahead.

Rashmi Shetty: Just one question is on Dydrogesterone. When we see the IQVIA data, we see that the value share has come down and there are some other competitors also picking up the share which I understand is mainly due to the competition coming in. But in the volume share also, it has slightly come down. So, here also is there any adjustment of modern trade which is not shown by the IQVIA data? And whether really the volume share has come down or we are really picking up in that product? Second question is in case if the trade margin rationalization comes in the future, will there be any impact on Dydroboon sales because that is through clinic, right, and Drogyna is at the chemist level. So, if you can give some picture on it?

Dr. Sanjay Koul: There are two, three questions in this. On your first question, I don't think that Dydroboon and Drogyna are promoted through different channels, both are promoted through trade channels.

#1. #2, modern trade definitely has made an impact in overall volume growth. There is no confusion about that because it's not captured by IQVIA. Having said that, because of increased competition, we lost momentum in the first two quarters, but we have taken corrective measures in the 3rd Quarter. And let me share with you, if you look at our Q2 versus Q3, our market share has improved from 16% to 18%. And if you look at the December growth, we initiated corrective measures, some initiatives in early 3rd Quarter which has given us good results. The 3rd Quarter market share is approximately 18% versus Q2 market share of 16% plus if you look at December growth IQVIA, Dydroboon growth was 19% versus industry growth of

17%. So, we are on track

for a better performance in the coming month and the next year. I hope I answered your question.

Rashmi Shetty: Yes, sir. Very well. And there won't be any impact in case of trademark and rationalization comes, right, on this particular product?

Rajeev Juneja: Nothing. No, madam.

Moderator: Ladies and gentlemen, we will take that as the last question for today. I would now hand the conference over to the management for their closing comments. Over to you, sir.

Abhishek Agarwal: Thank you everyone for joining us today. We really appreciate you taking time out for the call and we look forward to interacting with you going ahead in the subsequent quarters as well.

Have a nice day.

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Rajeev Juneja: Thank you so much.

Moderator: Ladies and gentlemen, on behalf of Mankind Pharma Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines.

Call: May 2024

Date: May 22, 2024

BSE Limited
P J Towers,
Dalal Street,
Mumbai – 400 001

Script Code: 543904 National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051

Symbol: MANKIND

Dear Sir/ Madam,

Subject: Investor Conference Call for Q 4FY24 – Transcript

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Investor Conference Call for Q 4FY24 held on Thursday, May 16, 2024 at 12:00 Noon (IST).

The transcript is also available on the website of the Company at
https://www.mankindpharma.com/media/investor/q4-fy24-earning-concall-transcript_final-1716361558.pdf.

You are requested to kindly take the same on records.

Thanking You,

Yours Faithfully,

For Mankind Pharma Limited

Pradeep Chugh
Company Secretary and Compliance Officer

Encl.: As above
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"Mankind Pharma Limited
Q4 & FY '24 Earnings Conference Call "
May 16, 2024

MANAGEMENT : MR. RAJEEV JUNEJA – VICE CHAIRMAN & MANAGING
DIRECTOR
MR. SHEETAL ARORA – CHIEF EXECUTIVE OFFICER &
WHOLE -TIME DIRECTOR
MR. ARJUN JUNEJA – CHIEF OPERATING OFFICER
DR. SANJAY KOUL – CHIEF MARKETING OFFICER
MR. ASHUTOSH DHAWAN – CHIEF FINANCIAL OFFICER
MR. PRAKASH AGARWAL – PRESIDENT (STRATEGY)
MR. ABHISHEK AGARWAL -- HEAD INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day, and welcome to Mankind Pharma Limited Q4 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek Agarwal, from Mankind Pharma. Thank you, and over to you, Mr. Abhishek.

Abhishek Agarwal: Good afternoon, everyone. A very warm welcome to our Q4 and FY '24 earnings conference call. On the call today, we have Mr. Rajeev Juneja, Vice Chairman and Managing Director; Mr. Sheetal Arora, Chief Executive Officer and Whole-Time Director; Mr. Arjun Juneja, Chief Operating Officer; Dr. Sanjay Koul, Chief Marketing Officer; Mr. Ashutosh Dhawan, Chief Financial Officer and Mr. Prakash Agarwal, President, Strategy.

We will begin with opening remarks from Rajeev Juneja, providing an overview of the quarter and the fiscal year 2024, followed by detailed insights of the business performance from Mr. Sheetal Arora and Mr. Ashutosh Dhawan. I will be sharing the key financial performance post which we will leave the forum open for Q&A.

I hope by now you had access to the investor pack shared yesterday and I'd like to reiterate that certain statements made during today's call may be forward-looking. A comprehensive disclaimer regarding the same is uploaded on our investor presentation and press release already uploaded on our website. Now I would like to invite Rajeev sir, to share his comments.

Rajeev Juneja: Thank you, Abhishek, and good afternoon, everyone, and a very warm welcome to our Q4 and FY'24, earnings call. I want to acknowledge that last week, we had celebrated our first year of listing. Thanks to the unwavering trust and support of our stakeholders, Mankind has swiftly risen to become one of the top 100 companies in the country. Additionally, during the year gone by, we have crossed the annual revenue milestone of INR10,000 crores and doubled our revenue in 5 years despite of multiple industry headwinds. This remarkable achievement is a testament of our unwavering passion and our firm commitment of serving Mankind.

Speaking of quarterly performance, we witnessed a strong quarter as our revenue increased by 19% year-on-year to INR2,441 crores. EBITDA grew significantly by 42% year-on-year to INR594 crores, with EBITDA margin over 24% and PAT grew by 62% year-on-year to INR477 crores.

On an annual basis as well, the company reported a strong revenue growth of 18%, increasing the revenue to INR10,335 crores. EBITDA increased to INR2,550 crores, up by 33%, and PAT grew to INR1,942 crores, up by 48%, primarily driven by robust growth in modern trade, hospital sales and expansion in chronic share by 160 bps year-on-year to 36%. We have outperformed the IPM chronic by 1.4x and CVM IPM chronic by 1.7x.

With a strong net cash position of INR3,260 crores, we are consistently evaluating multiple opportunities with high entry barriers to enhance our presence in chronic, consumer and other health care adjacencies.

With our commitment to provide international quality health care products to every citizen of the country, we have recently entered into an in-licensing agreement with Astra Zeneca for their world-class brand, Symbicort. In recent years, developing nations have experienced a notable rise in the number of individuals suffering from asthma and COPD condition, largely attributed to swift industrial growth and substandard air quality.

Presently, India accounts for approximately 13% of worldwide asthma patients, impacting

individuals of all ages, thereby necessitating superior quality products to tackle this health challenge. Symbicort is a dual combination inhaler brand, known globally for its higher efficacy used for the treatment of asthma. We aim to grow this brand by leveraging our extensive field force and strong doctor's reach.

On the operational front, we have adopted various digital and technology-led business transformation initiatives. These initiatives are aimed at improving automation and digitization of processes across functions to further enhance our operational productivity and efficiency, which has also resulted into reduction in our working capital from 45 days in March '23 to 42 days in March '24.

Further, we are revamping the packaging of all our products to enhance customer experience and create better consumer awareness. In FY'24, the Consumer Healthcare segment grew by 2% year-on-year due to multiple business transformation initiatives undertaken during the year. While secondary sales were healthy, we are now observing a robust growth in primary sales, ensuring confidence that this segment will resume its past growth trajectory. Recently, we have carved out our OTC business into a new legal entity as a wholly owned subsidiary of Mankind. This strategic move aims to sharpen our focus on this division and maximize its potential. On the R&D front, our focus remains on developing differentiated products to cater to the unmet needs of the patients.

I would like to conclude by expressing my heartfelt appreciation to all our shareholders for placing their trust in us. With this, I will hand over to Sheetal, who will provide more details on our business performance.

Sheetal Arora: Good afternoon, everyone. Today, I will be providing key insights into our quarterly and annual business performance. Let's begin with our performance for the quarter. In this quarter, our domestic business revenue rose to INR2,174 crores, marking a 10% increase. This growth was driven primarily by strong performance in our chronic segment and recovery in the gynaecology segment.

According to IQVIA, our secondary sales grew by 8%, outperforming the Indian pharmaceutical market by 1.4x. Our chronic segment growth was notable at 16%, surpassing the IPM chronic

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growth by 1.6x. This robust performance has led to an increase in our chronic market share to 37.4%.

Significant contributions came from our Cardiac and Anti Diabetic segment, which registered impressive growth rate of 21% and 18%, respectively. These segments outperformed their IPM counterparts by 1.9x and 2.6x, achieving an all-time high market share in their respective therapies. I would also like to highlight that our insulin brand, NOBEGLAR, has been recognized as a launch of the year in the antidiabetic category.

Despite a modest 4% growth in our acute segment, we still managed to outperform the IPM acute growth by 1.2x. Additionally, adjusting for the impact of our regulatory change affecting one of our products, our growth in acute segment would have been even more impressive, exceeding IPM acute growth by 1.3x.

Further, in our Consumer Healthcare business, we achieved a revenue of INR156 crores, marking a modest year-on-year growth of 3%. We have observed some recovery in this quarter and are projecting mid-teens growth for financial year '25. We have strengthened our portfolio with strategic product launches, including Ova News, which leverages the Prega News brand to detect menstrual cycles.

In our international business, we saw a significant growth in quarterly revenue, propelled by one-off opportunities in the U.S. and selective product launches over the past 12 to 18 months. Turning to our annual performance. Our domestic revenue climbed to INR9,522 crore, up by 13% from last year, with secondary sales growing 8.5% compared

to 7.6% IPM growth. Despite

being one of the youngest companies in our sector, we have scaled our brands remarkably quickly. This year, we added 3 new brand families to INR100 crore category, bringing the total to 23. We are confident that we will continue to outperform IPM by 1.3x to 1.4x.

During the quarter, we have also received the British Safety Council certificate for one of our facilities, reaffirming our commitment to providing globally acclaimed quality products.

Also in previous quarters, we have outlined a detailed road map of ESG towards increasing our sustainable footprint aligned with UNSDG. It gives me immense pleasure to share with you all that during the year, we achieved a remarkable milestone towards being plastic neutral, as we have successfully collected 100% post-consumer plastic waste and sent it for recycling.

Additionally, we have reduced our carbon emission significantly by 85% as compared to FY'23. We are dedicated to contributing to a healthier Bharat by being market disruptors and setting ourselves apart from the competition. I will now hand over to Mr. Ashutosh, who will provide more details on our financial performance. Thank you so much.

Ashutosh Dhawan: Thank you, Sheetal, sir. A very good afternoon, everyone. Thank you for taking out time to join our quarter 4 and FY'24 earnings call. Today, I will be sharing detailed insight on our financial performance, both for the fourth quarter and the FY '24.

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In quarter 4, FY '24, our revenue from operations increased to INR2,441 crores as compared to INR2,053 crores in Q4, FY '23, signifying a healthy growth of 18.9% year -on-year basis. For FY 2024, our revenue has grown by 18.1% year -on-year to INR10,335 crores versus INR8,749 crores in FY'23 .

The gross margins of the company has increased by 2.6% year -on-year to 69.8% in Q4 , FY '24, as compared to 67.2% in Q4 last year. This increase is primarily due to 3 factors. Firstly, it's a full year price increase, has provided a benefit of 1.4%. Secondly, the favourable sales mix has contributed 60 basis points to the gross margin. And thirdly, last year, we had inventory -related write -offs and accruals towards COVID products, which compressed Q4 FY '23 gross margins by 60 basis points, which was normalized in this year.

For the full year, the gross margin increased by 2.2% year -on-year basis to 68.9% as compared to 66.7% in FY'23 . This is majorly on account of favourable sales mix, including increase in chronic share and the price increase impact as we highlighted before.

During the quarter, EBITDA increased significantly by 42% year -on-year to INR594 crores as compared to INR419 crores in Q4 FY '23. The EBITDA margin increased by 3.9% to 24.3% versus 20.4% in Q4 FY '23. This increase in EBITDA margin is on account of increase in gross margin of 2.6%, further aided by operational leverage due to strong revenue growth for the quarter.

For FY '24, we have reported an EBITDA of INR2,550 crores, which is up by 33% year -on-year basis with an EBITDA margin of 24.7% as compared to 21.9% for FY'23. This increase of 2.8% is primarily driven by increase in gross margin of 2.2%, and the balance is due to operating leverage and certain cost savings in the current fiscal year.

The R&D expenses for the year are at INR223 crores, which is 2.2% of the revenue, is in line with our guidance of 2% to 2.5% of sales.

In Q4 FY '24, the depreciation and amortization expenses increased to INR105 crores from INR85 crores in Q4 of the last year. And if we look at for the full year, the depreciation and amortization expenses increased to INR398 crores vis -a-vis INR326 crores in FY'23, which is primarily due to higher capitalization of completed projects, which included Udaipur plant getting operationalized in Q2 FY'24. Further, we have taken some accelerated depreciation

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related to upgradation and expansion of the existing R&D site at Manesar to support future growth.

The effective tax rate for FY'24 is close to 19.1% as compared to 21.6% during FY'23 . The profit after tax for Q4 FY '24 increased by 62% year -on-year basis to INR477 crores with diluted EPS of INR11.7 per share of INR1 paid. The cash EPS, which is EPS adjusted for noncash items like depreciation and amortization was at INR14.4.

For FY'24 , PAT increased by 48% year -on-year to INR1,942 crores with diluted EPS of INR47.7 per share of INR1 paid, and the cash EPS stood at INR57.6.

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During the year, we witnessed strong cash flow from operations of INR2,152 crore due to operational efficiency, supported by a reduction in the net operating working capital base.

As on March 31, 2024, the net cash position of the company stands at INR3,260 crores.

The return on capital employed, excluding cash, increased to 34% in FY '24 as compared to 25% in FY '23. This is due to improvement in EBIT and cash generation during the FY'24 .

The return on equity ex -cash increased to 29% in FY '24 as compared to 23% last year, primarily due to increase in PAT percentage during FY '24.

The total CapEx spending for FY'24 was at INR389 crores, which is less than 4% of the total revenue.

For FY '25, we are retaining our guidance of EBITDA margin for the full year to be in the range of 25% to 26%. With this, I would like to conclude our opening remarks, and now we can begin with the Q&A. Thank you.

Moderator: The first question is from the line of Kunal Dhamesha from Macquarie Capital.

Kunal Dhamesha: The EBITDA margin improvement that we have seen in this year, around 280 basis points for FY '24, would you be able to provide details as to how much would have come from the significant growth in export business versus the domestic business?

Ashutosh Dhawan : So we haven't called out the separate segmentation for the export business and the export business has contributed to the top line. But if we compare it at the EBITDA margin, the impact is not that significant.

Kunal Dhamesha: But the margin in that business would have improved, right? Whatever it would have been in

FY '23, would it have improved meaningfully in FY '24?

Ashutosh Dhawan : So definitely, there is an improvement in the margin. But as we mentioned, it is not significant to be carved out or to be specifically highlighted.

Kunal Dhamesha: And let's say, if we look at export business, so you're saying that the margin in export business is lower than the overall average?

Arjun Juneja : I think the margin in the export business is almost at par with the company margin. It is not something, which is significantly adding to the overall margin of Mankind, but it will be at par with the company's average EBITDA margin.

Kunal Dhamesha: And at the gross margin level, would it be accretive, export business?

Arjun Juneja : Export business at gross margin level is slightly lower than the domestic business, but the expenses in the export business are not as high as the domestic business. That's why, at EBITDA level, it's almost at par.

Kunal Dhamesha: Perfect. And on the outlook -- yes, you're saying something.

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Prakash Agarwal : So Kunal, the way to look at it is you should draw comfort from the guidance. As Ashutosh ji said, there is not much contribution or significant contribution on the base business. Otherwise, we wouldn't have been comfortable there.

Kunal Dhamesha: Sure. And the outlook for the domestic formulation and consumer business provided but on the export business, what is our expectation, what is built into our budgets in terms of growth?

Arjun Juneja : Since the last couple of years, we had filed products. So the base business wasn't that big. That's why you're seeing

a significant growth in the export business. But moving forward, we will get about 5 to 7 approvals every year. So we can expect about a growth of mid-teens to the export business.

Kunal Dhamesha: In terms of capital deployment, in terms of, let's say, adding a new plant, etc. for the export business, is there anything in plan or we would just focus on the plan that we have?

Arjun Juneja : So there is no capital deployment, which is on the cards for export business.

Moderator: The next question is from the line of Banshi from JPMorgan.

Banshi: So firstly, on the modern trade, you've highlighted this year's modern trade has grown by 50%, was this more skewed towards second half? And therefore, how should we think about growth in fiscal '25? So would it be more normalized? And therefore, would the number track more closely to the secondary number that is reported in IQVIA?

Sanjay Koul : So Banshi, FY '24, we grew by 50%, but FY '25, it will be normalized and aligned with whatever is the growth of modern trade in IPM. It will be aligned with them around 10% to 15% that is the guidance we gave.

Prakash Agarwal : We were under-indexed, now we are reaching the index. So we should be aligned with the IPM.

Banshi: Okay. Understood. That's clear. And on the growth breakup, so IQVIA number shows our volume growth is still negative for the full year, but if you can guide what do you see internally on your primary numbers as your volume growth fiscal '24?

Sanjay Koul : So we have not done that exercise, but what we understand, if you look at the last 3 years, our volume growth is higher than the IPM volume growth. And last year, because of reasons such as a regulatory restriction on the sale of a product, number one.

Number two, modern trade grew by 50%, where our contribution is only 6%. So this is probably not covered by IQVIA. So that is why our volume looks a little bit subdued. But having said that, if you look at April this year, we are again back to our original volume growth that is 1.3 x of IPM.

Moderator: The next question is from the line of Neha Manpuria from Bank of America.

Neha Manpuria: First question is on the Consumer Healthcare business. I know you mentioned the mid-teens growth in the next year, if you could just give us some color on the confidence given the 2%

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growth that we have done this year? I mean what was the business transformation that impacted?

And if I were to adjust for that business transformation, probably what was the growth in Consumer Healthcare? Just trying to understand the confidence on the mid-teens.

Rajeev Juneja : Look at the confidence of Mankind by saying that we are carving out our Consumer division separately. That's why I'm so confident that this particular division will do very good, number one.

Second ly, in the past, as we have informed earlier as well, the business was being run by head who was taking care of pharma and consumer side. So last year, we changed the pattern . Now, a specialist guy is leading consumer business . And by carving out, what basically happens this particular division needs different kind of DNA, different kind of working . We have done some kind of automation and digitization.

At the same time, there are certain products in the pipeline, which give u s some m ore confidence that this particular division will do good , mid-teens kind of a growth to us.

I mean the confidence is so much that we are carving it out into a separate entity and the numbers will be separate. That gives the confidence to us. We are just too confident that this will do very good. Also, i n number of platforms we have earlier said that this particular division is closest to our heart, because this has given Mankind lot of name and fame. This will do very good.

Neha Manpuria: From a profitability perspective, would the Consumer Healthcare

business margins be lower

than corporate average? Would that be a right assumption? And as that ramps up, probably that margin gap narrows?

Ashutosh Dhawan : Yes. If you compare the EBITDA margins as compared to the company average, yes, they are lower than the company average. Having said that, there is some potential to match up to the company level in the near future for this business.

Neha Manpuria: Okay. And the second question is on the exports n umber. If I were to just look at the launches that you have done in the U.S. and the IQVIA data, is it fair to assume that all of the incremental growth that we've seen in FY '24 has been driven by the U.S. market? Or at least bulk of the incremental growth in year -on-year in FY '24 is the U.S.? Just trying to understand the U.S., non-U.S. mix in that number?

Arjun Juneja : So if we were to just talk about the export numbers, the incremental growth is majorly from the U.S. number.

Prakash Agarwal : Just to ad d, the ROW business has also grown. And within the U.S. business, the base business is growing quarter -on-quarter every quarter. So that's the comfort you can draw .

Neha Manpuria: Yes. And if that is the case, if bulk of business has come from the U.S., wo uldn't the EBITDA margins be higher because there's not too much cost that is sitting below gross margins, right, for that U.S. growth? So I didn't quite understand the reason why the margins are similar to our corporate average.

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Arjun Juneja : I mean becau se there are certain products which are OSD products which have significant competition. And there is a certain one -off product, which is able to compensate for that. So that's why we are saying that the margins are more or less similar.

Moderator: The next question is from the line of Rashmi Shetty from Dolat Capital.

Rashmi Shetty: Just again on the export business, do you think or foresee any competition for your one -off product in the coming year?

Arjun Juneja : It's a very good question. It's ver y difficult to foresee competition because it's a generic product. It's not a patented or para 4 kind of a product. So we can't say that there will be no competition, but it would be safe to assume that competition can come in any time, we can't predict wh en.

Rashmi Shetty: Okay, got it. And sir, second question is...

Arjun Juneja : And at the same time, we need to understand that the base business in the U.S. is growing. So even if the competition comes in, there will be some impact on the growth in the U.S . business, but that will get compensated by the growth of the base business and certain new launches that will happen.

Rashmi Shetty: Okay. So the mix of U.S. versus rest of the world, it is mostly towards the U.S. in FY '24. But in FY '25, you think that the rest of world markets will also pick up or the contribution from the U.S. is still higher?

Arjun Juneja : So contribution from the U.S. will be still higher, but the growth from rest of the world would increase. So it would be safe to assume that the contribution from rest of the world would increase, but U.S. would still be significant.

Rashmi Shetty: Got it. And sir , on Dydrogesterone capacity utilization , if you can comment on that and how the demand is picking up for the product in India market? And if you can comment on the export market also if you're planning to do that?

Arjun Juneja : So I'll answer for the plant first. So the plant was started last year in September, October timeframe. And the demand is fully serviced from this plant, where we have reached capacity utilization of about 60% or so.

In terms of exports, we are in the process of filing this product in different markets, for which approval will take about a couple of years before we start selling them commercially. So yes, the plant is still underutilized and, there is enough capacity to serve

for the export market as well as the domestic market.

Rashmi Shetty: And one more question, if I may, the fund raising of INR7,500 crores which the Board has approved. Any inorganic opportunity you are eyeing? In case it is, yes, anything is on cards or you're just looking at it? And what kind of size of acquisition you're looking at? If you can comment on that, it would be helpful.

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Sheetal Arora: The news has come with just a market speculation. The same we have cleared to SEBI, yesterday, by giving a letter. And by saying that, it doesn't mean that we are not exploring opportunities in market for merger and acquisitions. We are definitely looking for the acquisition. But when the right time and right opportunity will come, definitely, we'll go for it. Right now it's just a speculation in the market.

Moderator: The next question is from the line of Atul Mehra from Motilal Oswal Asset Management.

Atul Mehra: So basically, just on this enabling resolution of INR7,500 crores. Normally, like if you provide the specific number of INR7,500 crores, it would imply that there is some calculation that has gone behind this number. Maybe you are eyeing a particular target, which is in final stages of negotiation etc. So can you just basically walk us through what is the thought process of this enabling resolution of INR7,500 crores?

Prakash Agarwal: Yes. So the way to look at it is that we already had a resolution for investments of about INR10,500 crores. So we've raised, first of all, the debt resolution from INR10,500 crores to INR12,500 crores. And then in addition that we have added an enabling resolution for INR7,500 crores. So we want to keep the war chest ready.

As Sheetal ji mentioned, if there's an asset that will come to us, we will evaluate, big and small assets. So in the past, you have seen we have acquired a large acquisition of Panacea, but we've also looked at some very small but very strategic acquisitions like Daffy, which is working very well; Combihale which is for respiratory that is working very well. So this is more like blanket approval, enabling resolution, which will help us to be ready for any big and small acquisition.

Atul Mehra: Right. Got it, sir. Just one small follow-up on that. So I think in the past, the largest acquisition that we have done is about INR1,900-odd crores. So is there a time limit to the kind of acquisition that you might do in the future, like any particular number beyond which you would not go ahead and like the size will be too big for us to absorb? Is there an outer limit to the acquisition size that we can go ahead with?

Ashutosh Dhawan: Yes. So as we mentioned that it's a mix of both. So it's a mix of debt as well as equity. And the enabling resolution, which has been passed, the thought process is not to over leverage the balance sheet of the company and it should be the right mix of debt and equity. So that's how it should be perceived in that spirit and perspective.

Rajeev Juneja: Let me add something here. I mean, see, whenever Mankind has any time in the past promised, what we have said that we are in lookout for certain entities, but again very wisely towards chronic side, towards consumer side, towards certain things which can really add value to Mankind for our future growth and making sure that these products, these entities should have high entry barriers.

But at no given point in time, we're hazy. It's like industry practice. Many pharma companies do the same. They basically create some kind of a war chest I mean takes certain permissions. So we are just learning the tricks from those people so that any point in time, if anything comes, we're ready for that. We don't come back again and speak about these things. That's one reason.

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I mean this is the first

year of Mankind, and we see a lot of IPO companies how they practice, so we keep learning from these companies. That's the only thing. No haze. No hurry.

Atul Mehra: I totally get your point sir. Just normally what happens is basically most companies, they tend to add like by the size of how big acquisition that they're eyeing, in terms of, able to do it. So from that perspective, I was checking like is there an outer limit for example, if you were to acquire something, if the entity maybe it should be not more than INR8,000 crores, INR10,000 crores. Is there a limit to?

Moderator: Atul, your audio is not clear.

Rajeev Juneja: No. I totally understand that. See, Atul, there is no outer limit. It is always, I mean it depends upon opportunity. It can be, I mean, an INR100 crores opportunity, it can be an INR1,000 crores

opportunity. But again, I mean anything and everything which would add some kind of value to Mankind, some kind of a product with an entry barrier, on chronic side, consumer side, you can look out for that.

I mean why we should put some kind of a limit. This is not kind of a shopping spree we are on. Anything right opportunity, look in the past, Panacea is the biggest one. In the past, people forget Combihale, Daffy and other products, which were very, reasonably low priced.

Prakash Agarwal: and just to add the financial discipline like Ashutosh ji mentioned, so just to avoid over leverage, we have given the enabling resolution for equity. So any given point of time, the debt-to-equity and debt-to-EBITDA ratios will be well within the limits so that's the financial comfort we can give.

Moderator: The next question is from the line of Amey Chalke from JM Financial.

Amey Chalke: Congratulations to the management for good set of numbers. The first question I have is on the new product launches. Our growth contribution has been around 3% for last consecutive 2 years.

So is it possible for you to give more color on the new product launches in terms of therapies, molecules, etc? And how it looks like for the next 2, 3 years?

And the second question I have on the pricing side. We are already I believe we must have taken price hike for this year. Like the last year, we understood that the raw material prices had gone up. The price hike components may have been on the higher side. So this year, the raw material prices have gone down significantly. So how does it look like for this year, the price growth component for our business?

Sanjay Koul: The first question first. So if you look at the new launches, which we have planned, we believe that 3.5% to 4% contribution in growth is going to come from new products. We have some lead products, which have been launched or in the process of being launched.

NOBEGLAR is one that is in antidiabetic segment. We have in pain and analgesic, polmacoxib that is first of its kind anti-inflammatory analgesic. Besides this, we have Symbicort, which we believe is a big bet for us. So we have another for product that is for haemorrhoids management

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that recently was added in the INR50 crore bracket, and we believe these are the products which are going to be big bets for us. This is the answer to your query number one.

Second was the price increase. Last year because of wholesale price index, we could leverage more than 5% of contribution coming from price increase. This year we believe the price increase component in overall growth is going to be between 4% to 5%?

Arjun Juneja: But having said that, we also need to understand that Mankind's overall portfolio in price control is only 15%. So if the inflation, the wholesale price index doesn't go by that much, it's not going to affect our price increase because the non-scheduled formulations, we keep taking 10% price hike as and when the one year gets completed of that. So there

will be price increase more or

less similar to last year. It could be down by 1-odd-percent, but it would be more or less similar.

Moderator: The next question is from the line of Harsh from Bandhan AMC.

Harsh: Most of my questions are answered, but if you could help us understand a little bit more on Panacea Biotec the FY '24 growth as well as what is happening on the ground or maybe some numbers as well.

Rajeev Juneja: So whatever brands in the company we took from Panacea, everything has been fantastic, growth is in the vicinity of more than 25% plus. They have one product, Glizid, which has crossed INR100 crores sales.

Sitcom is another brand, which is for haemorrhoids. We have bet very heavy on that. That's a patent product as well. All-in-all, it is a very successful acquisition. We're very happy with the performance of all the brands of Panacea.

Even the transplant division is also doing fantastic, which is very niche. When we took Panacea, we asked ourselves, can we make this kind of a division, the answer was no, and that's one reason we went for this.

So we are very cognizant to the fact, that what we cannot build ourselves, then only we look out, otherwise, no. We have such a big field force any time for a me-too product or a simple product, we can go for it. Sanjay also missed one thing that the Symbicort is one product, Mankind is the only company to which Astra Zeneca has given the distribution rights for their global brand, Symbicort.

That's the kind of a confidence they kept in us. Last year, it was a different brand, in-licensed product, Neptaz was there. And very soon, we will give you news in the next quarter as well.

One more in-license will happen. So people see us as a vibrant, aggressive company. That's one thing and we'll keep giving you good news like this in the future as well.

Harsh: Sure. And just to sort of, again, bridge the gap between the FY '25 margin guidance, let's say,

even if the export sales, because it is generic and heavy cyclically dependent number. Let's say, the numbers were to remain flat, we would still be able to achieve that threshold of 25% to

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26% margin, right? Because a lot of the levers that we might be building in might be India driven to that extent.

Prakash Agarwal : Yes. I think the observation is correct. See, 90% plus business is still domestic. If you see the growth already highlighted is outperforming IPM by about 1.3x. So you'll definitely see a better growth and operating leverage to kick in through that. And that's why the margin guidance is 1 notch above versus what was given 24% to 26%, now it is 25% to 26%.

And the levers to that is higher chronic. So chronic, as you know, that we've already seen a 160 basis point improvement, Y-o-Y. This will every year see some improvement, which is higher - margin portfolio.

You are seeing increase in number of INR100 crores and INR50 crore brand. So once it reaches a threshold of INR50 - 100 crore brand, the incremental effort is lesser, the productivity and profitability is better. Plus the third important metric is MR productivity. So there also, it has improved from 6.1 last year to now 6.5. And as we speak with higher growth, that metrics will continue to grow and that typically drops down to the EBITDA margin. So these are the 3 big levers in the domestic business apart from the new launches, the in-licensing, etc, which will give a better flavor and also the new divisions.

I think you asked about Panacea, so apart from transplant where it already access to new set of doctors, we have now recently launched our urology division that gives a new set of products, new set of doctors. So these are the new white spaces we are addressing, which will help us grow and eventually have better margins.

Moderator: The next question is from the line of Nitesh Dutt from Bur

man Capital.

Nitesh Dutt: Congrats again on a good set of numbers. I have a question on our manufacturing strategy. So I think it was mentioned in the RHP that roughly 25% of our manufacturing is by a contract manufacturer so I want to understand, number one, is it still at similar levels? And do we want to maintain the mix or increase outsourcing? And second, is this split amongst a lot of players sort of fragmented supply base? Or is it consolidated amongst a few large suppliers for us?

Arjun Juneja : Correct. I mean, our manufacturing strategy is still the same. More than 75% of our products are manufactured in-house. And we keep continuing to shift the products from contract manufacturers as and when they become slightly big or meaningful to move them in-house because of 2, 3 reasons. We have better control over the supply chain. We have better control over the pricing of the product.

But having said that, there will be about 20%, 25% of our products, which will continue to be manufactured at contract manufacturers because, A), we might not be having those types of manufacturing facilities in-house. B) We might not be having those kind of skill sets in-house. But having said that, we ensure that the quality standards of these contract manufacturers are at par with our in-house manufacturing facilities. We have a lot of big contract manufacturers, who manufacture for us, where the quality standards are as per schedule M and WHO guidelines.

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Nitesh Dutt: Got it, sir. How many partners do we particularly have?

Arjun Juneja : It would be difficult to say right now. I don't have any exact number, but there is a good set of partners that we have.

Moderator: The next question is from the line of Tarang from Old Bridge Mutual Fund.

Tarang: Congrats on an extremely good set of Q4 and full year numbers. I'm perhaps extending a line of questions around capital allocation. The business has about INR3,000 crores cash in books. Going forward, what business segments and geographies could this and perhaps additional capital will be put to use to grow our business from here on? And second, given the traction in the exports business, how serious are you about this business? Would you be open to, say, an international acquisition?

Arjun Juneja : So I will answer the second question first on the export business. I mean if you see our R&D expenses are about 2 - 2.5% of our revenues every year. If one were to really ramp up the export business, these R&D expenses need to go significantly up, as you must have seen in the books of our peers. So we've always maintained in the past that majority of the business, more than

90% of the business will continue to be domestic.

Export business would be less than 10% of the overall numbers of Mankind. And we are not looking at any acquisition outside of India.

Tarang: Okay. And overall, I mean, within what business segments, from a strategic standpoint, if you could give us some direction, what you want to probably move in towards therapies, which increased chronic share in your business, just some light?

Arjun Juneja : So if you see overall, I mean, till about a few years back, Mankind's covered market share was about 60%. But in the last few years, our covered market share has increased from 67% at the time when we were IPO-ing. And now it is about 69%. So you've seen that there are white spaces in the portfolio, which Prakash mentioned, which were in the field of neuropsychiatry, which we're trying to fill out, which was urology, which was filled up now, which was nephrology, and then oncology, critical care products were there.

So we're trying to fill up those white spaces and launching products in those business segments. And the endeavour is to reach the covered market share of around 72% to 75%, where most of our peers are sitting.

Prakash Agar

Wal: And one more point, if I may. So within the therapy like diabetes, we didn't have these insulin pens. So fiscal '24, we introduced the pen. So if you are present in therapy, but not the sub-therapy, we are doing that also. In respiratory, we were not there in inhalers. Now we are significantly present in inhalers. So that's also the white space within the therapy that we are expanding.

Tarang: Okay. Last, I mean, gross margin expansion has been pretty decent for FY '24? Do you intend for this to stay here? Or do you think probably cool off a bit?

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Arjun Juneja : So if you see historically, our gross margins have increased year-on-year, barring a couple of years where the raw material prices significantly went up. We are taking price increases wherever possible, if you see our price increase was also to the tune of 4 - 5%. So, I mean we don't see any significant jump in the RM prices over the next couple of quarters. So we see some jump in the gross margins, as you might have seen over the last couple of years.

Tarang: So no significant jump in RM prices for the next 2 quarters, and we'll continue to take price increases where you can, correct?

Arjun Juneja : Correct.

Moderator: The next question is from the line of Kunal Dhamesha from Macquarie Capital.

Kunal Dhamesha: So on the EBITDA margin, while we have given the guidance for the next year, but let's say when we think beyond FY '25, '26, '27, how do you expect our profitability to move in the next 3, 4 years? Some of our peers with a good chronic contribution, could be meaningfully higher currently as compared to us. Do we aspire to be in that league where our EBITDA margin could be 35% plus 5 years down the line?

Arjun Juneja : So Kunal, I mean if you see our chronic portfolio till about a few years back was around 30% or so. I mean there is significant work which is going on to improve our chronic share. Even this year we've seen our chronic share has gone up to 36%. And the chronic margins are definitely better than the acute margins.

And with the chronic share going up maybe in the near term to about 40%, in the long term to about 45%, 50%, we see improvement in the EBITDA margins happening, and there will be operating leverage because of productivity increase that you are seeing, which is happening year-on-year. So definitely, there is going to be improvement in the EBITDA margins.

But having said that, we should not just look at Mankind with EBITDA margin improvement.

There is going to be improvement in the EBITDA margin, but we, as a company, would always want to go for growth, and we will invest for growth. So there has to be a balance between investment into growth and EBITDA margins improvement in a steady way.

Kunal Dhamesha: Sure. So do we expect our field force, etc, at least in the next couple of years? And what is the current numbers?

Rajeev Juneja : You see, I mean, whenever there has been an increase in our field force, it is always very balanced. Whichever therapy areas we are not there, we go for it. On the basis of that, we expect approximately, 700 to 900 people can be increased this year, I mean not individually, in different quarters.

Kunal Dhamesha: Sure. And what is the current number, sir?

Rajeev Juneja : Again, not to forget that, whenever we increase, we make sure one thing that the productivity at no point should go down. Look at last year productivity, it was 6.5 versus last to last year, it was 6.1% despite of increase in field force. So we basically maintain this kind of a balance that we

should really increase productivity along with number of people keeping in mind the productivity and the area of therapy in which we are not present.

Sheetal Arora : And to add to this point, since 2019 till now, we have increased 3,000 plus

field force, and our

productivity has gone up in the last 3, 4 years.

Prakash Agarwal: Current number is 16,000

Kunal Dhamesha: including the first -line managers?

Prakash Agarwal : Yes.

Kunal Dhamesha: And without that, the pure MR number?

Ashutosh Dhawan : 12,500.

Moderator: The Next question is from the line of Alankar Garude from Kotak Institutional Equities . .

Alankar Garude: Sir, historically, if we look at our track record before Panacea, we have always had a slightly conservative mindset when it comes to M&A and now we believe that there is no outer limit for any potential acquisition. So it would be helpful if you can elaborate on what has driven this change in approach?

Sheetal Arora : Yes, you are absolutely right, being a company which has a conservative mindset , but after acquisition of Panacea , Biotec , Daffy and Combihale, we have seen , we have become very successful. Because we have been very successful, so right now the time has come that definitely we will go for a merger and acquisition and...

Rajeev Juneja : And let me add on this. One thing you must have seen that we are very conservative. So that DNA would never go away, one. Any time we think of any kind of an M&A, one thing is clear in our head that it should really add value to Mankind's products. It should not be just to add revenue. It should have some kind of entry barrier, it should be in chronic or consumer side.

And whatever we had said in the past, whether it was consumer, chronic, whatever, you see that outcome is there in front of you. Every year, we are adding 1.5% share increase in our chronic side because we said that. We acquire those companies like that. So we are very strategic in this. It can be small or big, depending upon the opportunity.

Sometimes the opportunity is imminent, that's one reason. Again, we have taken inspiration from some of the pharma companies, which just keep this war chest ready so that you don't really end up wasting time. That's the only thing. We are not in a hurry. We'll not do something in rush.

We are always very cognizant to the fact that lot of investors have , amazing faith in Mankind.

So that is really making us more responsible.

Alankar Garude: That's reassuring sir. And maybe one follow -up, is there any outer limit on debt -to-equity or debt-to-EBITDA when it comes to any M&A?

Rajeev Juneja : So I mean, again as Ashutosh ji mentioned, we will always make sure that at no given point in time, the EBITDA of Mankind is being impacted by the interest. So being a conservative company, will make sure that it will always be 50 -50 sort of a thing.

Prakash Agarwal : Yes. I mean in terms of numbers, we are talking about debt -to-EBITDA, not exceeding around 2 - 2.5x. So that financial discipline will be maintained

Alankar Garude: Understood . Sorry, sir, you were saying something, I missed that.

Ashutosh Dhawan : Just to add to what Prakash ji has said that we will be mindful in over leveraging to the sense that it should not impact the ratings of the company. So that financial strength should be maintained. So it's going to be a combination of cash on the books, the debt and the equity.

Moderator: The next question is from the line of Amit Kadam from Canara Robeco .

Amit Kadam: So my question is, again, in the extension of what Alankar asked. Again, on that particular capital allocation strategy, because this is something which we are really curious about to know. The question is on the payback side. So assuming because we don't know the kind of acquisition you desire to do because there is no outer limit.

But also, you mentioned about the debt -to-EBITDA kind of thing, Prakash just mentioned. But just wanted to understand, based on your previous acquisitions, small and large, whatever, what was the payback periods you usually target from such ki

nd of acquisition? That's the only question from my end.

Prakash Agarwal: So we are commenting on one thing, which is from a qualitative side, which is high entry

barriers, synergistic benefits as well as complementary catering to the white space that we discussed. On the quantitative side, we have talked about that we'll not over leverage. We'll maintain the debt -to-EBITDA and debt -to-equity ratio.

From other financial parameters, I think it's a combination of all these things put together that will lead to that decision . And there is nothing imminent, I think the s treet is reading too much into it , when the right time and right thing comes, then only we are going to take it. Otherwise, the financial discipline is very important for this company.

Amit Kadam: Yes. So basically, that number, we are not right now callin g out, that's a fair assumption? Or should...

Prakash Agarwal: Yes, I mean, it depends on the asset, the size, the cash flows. I mean there are multiple things. So there is nothing on imminent, so we can't call it out.

Ashutosh Agarwal : Just to complement what Prakash ji has said that we are mindful of whatever the opportunities are there, it should not be EBITDA dilutive. It should not be a return on capital employed dilutive. So those are the parameters we give very high weightage to wh ile evaluating the assets.

Amit Kadam: Okay. That's okay in that...

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Rajeev Juneja : Let me add one more thing, as Prakash said, the Street is reading too much. We have not gone for anything until now. I mean there are lot of speculation in the market. I mea n TV start reporting certain things. And that really happens. I mean that's just to create some kind of buzz in the market for their own reasons and benefits. We have not gone for anything...

Amit Kadam: I understand, but looking to our current EBITDA of INR2,500 crores to INR3,000 -odd crores will do and then are mentioning that where our debt ceilings are in terms of debt -to-EBITDA of 2x to 2.5x. It just gives me a particular indication that debt requirement, if at all, for any acquisition, shouldn't be mo re than INR5,000 cores to INR6,000 -odd crores.

And then when we are taking such kind of enabling resolution of like INR12,500 crores, it just confused me. And then along with it, for all those things and just on a side-line, if there is some news article that has been floated, it just confuse s the investors so wanted more clarity about our capital allocation strategy because you also, on one hand said that we don't want to go too much into export. The export should be less than 10%, where usually those kind of acquisitions are asset heavy, but domestic side usually are more on the acquisition of brands etc., which are like intangible. So then where such kind of large enabling resolution was heading us to, was a little confusion from the investor's point of view. But I guess I got part of my answers, and then we'll just take it later.

Prakash Agarwal : Thank you.

Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal Finan cial Services.

Tushar Manudhane: Sir, just on the respiratory division, which was launched in 2021. So currently, how many MRs would be there, and it's heartening to know that we've got this Symbicort in the portfolio. So if you could just elaborate in ter ms of number of MRs? And what kind of deal does Astra Zeneca have with us?

Prakash Agarwal : So one point, respiratory is not a new division for us. We are top 5 player in respiratory, i ts just that we are more on the oral solid side, syrup side, where we have a lot of cough syrups and other products. We were talking about the new chronic respiratory where, apart from these products, there are a lot of chronic products and inhaler products that has been introduced. Allergy products have been introduced. So it's very difficult to

call, say that respiratory had this many MRs.

We can give you, on a one -to-one, what is the new division of respiratory. Just give a number about, I think it should be around 200 to 300, but we'll come back to you. That's not an issue. But let's be clear that the respiratory division was not 2021. It's just one of the chronic respiratory that came in 2021. I hope it's clear.

Tushar Manudhane: Got you. But even on the size wise, at least as far as the therapeutic composition is given in the presentation, respiratory is 5% of domestic business, which comes to almost about INR500 crores, right? So is that the right way to understand respiratory?

Prakash Agarwal : It is 9% , yes. If you see the presentation, it is 9%.

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Moderator: Yes, sir. Due to time concern, that will be the last question. I would now like to hand the

conference over to the management for closing comments. Over to you, sir.

Rajeev Juneja : Thank you so much for all the questions and answers and for your patient listening.

Prakash Agarwal : Yes, if there are any follow -ups, you can reach to Abhishek, myself or Ashutosh ji. Thank you so much.

Moderator: Thank you. On behalf of Mankind Pharma Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

This transcript has some minor edits to enhance the understanding and readability and does not purport to be a verbatim record of the proceedings. Since it is a transcription, it may contain transcription errors. The Company takes no responsibility of such errors, although an effort has been made to ensure a high level of accuracy

Call: Aug 2024

Date: August 06, 2024

BSE Limited
P J Towers,
Dalal Street,
Mumbai – 400 001

Script Code: 543904 National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051

Symbol: MANKIND

Dear Sir/ Madam,

Subject: Investor Conference Call for Q 1FY25 – Transcript

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Investor Conference Call for Q 1FY25 held on Wednesday, July 31, 2024 at 06:00 p.m. (IST).

The transcript is also available on the website of the Company at
<https://www.mankindpharma.com/media/investor/q1-fy25-earnings-call-transcript-1722945267.pdf>

You are requested to kindly take the same on records.

Thanking You,

Yours Faithfully,

For Mankind Pharma Limited

Pradeep Chugh
Company Secretary and Compliance Officer

Encl.: As above

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MANAGEMENT : MR. RAJEEV JUNEJA – VICE CHAIRMAN AND
MANAGING DIRECTOR
MR. SHEETAL ARORA – CHIEF EXECUTIVE OFFICER
AND WHOLE -TIME DIRECTOR
MR. ARJUN JUNEJA – CHIEF OPERATING OFFICER
DR. SANJAY KOUL – CHIEF MARKETING OFFICER
MR. ASHUTOSH DHAWAN – CHIEF FINANCIAL
OFFICER
MR. PRAKASH AGARWAL – PRESIDENT (STRATEGY)
MR. ABHISHEK AGARWAL – HEAD INVESTOR
RELATIONS

Moderator: Ladies and gentlemen, good day and welcome to the Mankind Pharma Limited Q1 FY'25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek Agarwal, from Mankind Pharma Limited.

Thank you, and over to you, sir.

Abhishek Agarwal: Good evening, everyone. A very warm welcome to our Q1 FY'25 Earnings Conference Call. On the call today, we have Mr. Rajeev Juneja, Vice Chairman and Managing Director; Mr. Sheetal Arora, Chief Executive Officer and Whole-Time Director; Mr. Arjun Juneja, Chief Operating Officer; Dr. Sanjay Koul, Chief Marketing Officer; Mr. Ashutosh Dhawan, Chief Financial Officer; and Mr. Prakash Agarwal, President, Strategy.

I trust you had the opportunity to review the investor pack we shared earlier today. We will start with opening remarks and an overview of Q1 FY'25 from Mr. Rajeev Juneja followed by a detailed insight on the business performance from Mr. Sheetal Arora and then Mr. Ashutosh Dhawan will be sharing the key financial performance, post which we will leave the forum open for Q&A.

I'd like to remind you that some statements made during today's call will be forward-looking.

For a detailed disclaimer, please refer to the investor presentation and press release available on our website.

Now I would like to invite Rajeev sir to share his comments.

Rajeev Juneja: Thank you, Abhishek, and good evening everyone and a very warm welcome to our Q1 '25 earnings call. It's great to reconnect just a week after our discussion about the acquisition of 100% stake in BSV Limited.

Over the past three decades, our bottom-up strategy has enabled us to grow our reach from smaller towns to major cities, establishing a strong distribution network. By understanding market trends, we gradually ventured into OTC business, where our brands such as Manforce, Prega News are market leaders.

This success prompted us to further expand into consumer wellness with products like AcneStar, HealthOK, Gas-O-Fast, which are also in a dominating position in the market. Our emphasis on consumer healthcare has elevated Mankind Pharma brand and established the company as a well-recognized household name.

While we entered the chronic segment in 2004, we introduced our specialty business for diabetes, cardiology, urology, neurology and respiratory 4, 5 years ago to further expand and strengthen our chronic portfolio.

Additionally, we acquired Panacea Biotec's transplant and oncology portfolio and have also partnered with leading MNCs for in-licensing of niche and complex products like Symbicort, now Inclinix, Vonoprazan, Neptaz, etc.. This move has bolstered our presence in high-entry barrier segments and chronic therapies.

Now our acquisition of Bharat Serum will enable us to foray into the super specialty products where entry barriers are very high and having complex and difficult to replicate products with less or no competition.

Moving ahead to the key highlights for the quarterly performance. During the quarter, we witnessed a steady revenue growth of 12% year-on-year with EBITDA margin of 25.2% adjusted for one-time cost and PAT margins of 19%. This quarter, we have generated cash from our operations of INR546 crores with the cash flow from operations EBITDA, ratio of approximately 80%.

As on June 30, 2024, we have a healthy net cash position of INR3,747 crores. In terms of secondary sales, we continue to maintain our outperformance to IPM. I

am happy to highlight that

now we are the second largest pharma company in terms of sales volume. This quarter, our volume growth was 1.9% versus 0.4% of IPM volume growth, indicating a strong outperformance to IPM. Further, our chronic share has also increased by 120 bps year-on-year to 37%.

Our strategic collaborations have bolstered our market presence. For instance, we have launched

Inclisaran, a patented injectable with very high efficacy, is licensed from Novartis used for lowering hyperlipidemia, mostly prescribed by super specialty doctors, or KOLs. This product is priced above INR1 lakh per injection and is positioned as one of the most premium products across our portfolio. Additionally, we have also in-licensed Vonoprazan from Takeda used for acid-related disorders including GERD.

Our consumer health care business has shown recovery with sequential growth of 32%, driven by expansion in modern trade, enabling our key brands to maintain their leading position within their respective categories.

Further, as part of our stockist consolidation, this is a very important initiative. In our consumer health care business, we have reduced our number of stockists by more than 60% from 6,500, now to 1,900 stockists as it is required for any OTC company to work. These stockists are contributing over 85% of our sales in consumer side.

This will help us generalize our efforts, and enhance productivity. As highlighted in the past, we are consistently delivering a high-teen EBITDA margins in this business.

Revenue from exports are up by 62% year-on-year, driven by increase in our base business, supported by curated new launches. Being an innovative pharmaceutical company, our endeavor is to constantly innovate and develop differentiated products to cater to the unmet needs of the patients.

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To conclude, I extend my heartfelt gratitude to all of our stakeholders. And now I would like to invite Sheetal to provide more details on our business performance.

Sheetal Arora: Good evening, everyone. Our domestic business revenue increased to INR2,634 crores, up by 10% year-on-year, excluding OTC in quarter 1 financial year '25. This growth was driven by an increase in volumes and healthy growth in the chronic segment. According to IQVIA, we witnessed a steady secondary sales growth of 10.5% compared to 8.7% IPM growth representing an outperformance of 1.2x.

As you all know, we have been a volume-focused company. Our strong volume growth during the quarter led to an increase in our market share to 6.1%, up 20 bps year-on-year. We are now the second largest pharma company by volume in IPM with 23 brand families, each having a revenue of INR100 crores plus in MAT June '24.

In our chronic segment, we have registered a healthy growth of 14%, surpassing the IPM chronic growth by 1.3x. Our anti-diabetic and cardiac therapy contributed significantly to this growth with both segments vesting robust growth rate of 21% and 15%, respectively. This has resulted in an increase in market share to 5.1% for cardiac and 4.4% for anti-diabetes.

In quarter 1 financial year '25, we launched Symbicort range Turbuhaler, a world-renowned inhaler with higher efficacy to further enhance and strengthen our respiratory portfolio, and we have witnessed significant growth in its revenue. This aligns with our strategy to expand our presence in high-end complex and specialty product.

Additionally, the acquisition of BSV strengthens our gynaecology portfolio, catering to the entire women's health value chain. BSV has one of the most comprehensive fertility drug portfolio globally with a presence in 12 out of top 15 molecules.

Together, we will be ranked the #1 pharmaceutical company with the highest market share in the gynaecology segment. In quarter 1 financial year '25, our dydrogesterone portfolio has also

o

registered a significant growth of 18% year-on-year, resulting in a market share improvement of 82 bps to 22%. We aspire to be the most preferred choice for all gynaecology-related prescriptions.

Moving ahead to our Consumer Healthcare business. During the quarter, we achieved a revenue of INR206 crores, up by 32% quarter-on-quarter and all our digital and other initiatives have largely been implemented. Despite increased competition, our targeted marketing campaigns led to sustained leadership position of our key brands in their respective category. Our strategic new launch in the previous quarter, including Ova News, which helps detect the most fertile period of conceiving has growth potential similar to Prega News.

During the quarter, our export revenue increased by 62% year-on-year, propelled by an increase in our base business and new launches in the past 12 to 18 months.

Our commitment to providing quality products to every citizen of the country has been recognized by the Quality Circle Forum of India, which awarded our AP site in Behror,

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Rajasthan with two gold awards. Additionally, our Sikkim manufacturing site received 1 gold and 1 silver award from CII Institute for Quality. We remain committed to fostering a healthier Bharat by innovating in the market and distinguishing ourselves from our competitors.

I will now hand over to Ashutoshji, who will provide further updates on our financial performance. Thank you, very much.

Ashutosh Dhawan: Thanks, Sheetalji. Good evening, everyone. It's great to have everyone here for our quarter 1 FY'25 earnings call. Today, I will be sharing insights into our financial performance for Q1FY'25.

During the quarter, we witnessed a steady growth of 12.2% in our revenue from operations, which increased to INR2,893 crores as compared to INR2,579 crores in Q1 FY'24.

Our gross margins have increased to 71.9%, up by 3.7% year-on-year from 68.2% in Q1 FY'24. This increase is primarily driven by 3 factors. Firstly, there is a benefit of 1.5% going from sales price increase, secondly, a favorable sales mix of 0.6%, primarily driven by growth in chronic segment. And the balance 1.6% is towards favorable mix on account of input cost savings as well as certain operational efficiencies.

During the quarter, we witnessed a moderate EBITDA growth of 4% with an EBITDA of INR686 crores as compared to INR660 crores in Q1 FY'24. This EBITDA margin decline of 190 basis points to 23.7% is due to higher expense base in this quarter. This is due to onetime M&A-related expenses and other non-recurring costs.

If we adjust the EBITDA with the nonrecurring expenses, our adjusted EBITDA is INR728 crores and the adjusted EBITDA margin is 25.2%, which is in line with our guidance of 25% to 26%.

The R&D expenses during the quarter were at INR48 crores, which is 1.7% of revenue, and they are within our guidance of 2% to 2.5% of sales.

In terms of depreciation and amortization expenses, they have increased to INR108 crores in Q1 FY'25 from INR87 crores in Q1 last year due to Udaipur plant getting operationalized in Q2 FY'24 and the impact of capitalization of completed projects in the previous 3 quarters.

The effective tax rate for Q1 FY'25 is close to 19%, which is in line with our FY'24 ETR of 19%. The profit after tax increased to INR543 crores, up by 10% year-on-year basis with diluted EPS of INR13.4 per share of INR1 paid. The cash EPS, which is EPS adjusted for noncash items like depreciation and amortization was at INR16.1.

As you may be aware that we are in the process of subsidiarization of the consumer health care business and the transaction was approved by the Board of Directors in its last Board meeting, we expect the transaction to get consummated by Q2 of FY'25. Accordingly, we are disclosing the profitability of our Consumer Healthcare

business.

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The operating profit of Consumer Healthcare business is close to 20%, which is in line with our earlier guidance of high teens operating margin. Our initiatives have started yielding results for the Consumer Healthcare business and the same can be observed from the sequential revenue growth of 32% reported in Q1 FY'25.

However, on a year-on-year basis, the growth is flat, because of certain carve-out adjustments in the revenue due to subsidiarization in the current quarter. If we remove those adjustments then year-on-year growth is mid-single digit.

Our consistent efforts to enhance our operational efficiency has led to net cash position of INR3,747 crores as on 30th June 2024, and the sustained operating working capital days of 45 days, which is in line with the operating working capital as at 30th June '23 on a trailing 12 months basis.

The return on capital employed, excluding cash, remains consistent at 34% level as of 30th June '24, as well as at 31st March 2024 on a trailing 12-month basis. The return on equity ex cash remains consistent at 29% level as of 30 June 2024, as well as at 31st March 2024 on a trailing 12 months' basis.

Our capex spend for Q1 FY'25 was INR125 crores, which is approximately 4% of the total revenue, which is in line with our guidance of 5% of the revenue and we expect it to be at the same level. Even in FY'24, we had our capex spend at 3.8% of the sales. For the fiscal 2025, we are retaining our guidance of EBITDA margin to be in the range of 25% to 26%.

With this, we conclude our opening remarks. And now we can proceed to Q&A. Thank you, and over to you, Abhishek.

Abhishek Agarwal: We can start with Q&A.

Moderator: The first question is from the line of Chintan Sheth from Girik Capital.

Chintan Sheth: Thank you for the opportunity and congratulations. One question on the EBITDA margin, which you disclosed adjusted EBITDA margin at 25.2%. Even if I adjust that our other opex line item seems to be a little higher, both on a Y-o-Y and Q-on-Q basis, if you look at adjusting that non-recurring expenses, our other opex as a percentage of sales comes to around 24.8% versus previous quarter, it was around 21.8% and 21.4%, respectively, Y-o-Y and Q-on-Q. So if you can just point out anything which led to a slight sharper increase in other opex, because it's kind of matched whatever gross margin benefit, which we got during the quarter?

Ashutosh Dhawan: You are absolutely right in your assessment that the benefit of gross margin is getting absorbed by the EBITDA drop. And in this quarter, if we compare it to the previous quarter, the expenses are high because there is a spike in this quarter as we have launched 4 new divisions and a certain degree of investment has gone into the same. So that's why there is a bulge in the expenses, which is getting reflected in this quarter expenses.

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Chintan Sheth: Okay. But do we see this recurring over the fiscal FY'25 or whether it will normalize over the course of FY'25 in the coming quarters?

Ashutosh Dhawan: So this will normalize over the coming quarters. The good part is that in spite of opening up of these 4 new divisions if you see the PCPM of the company that has not dropped. That has increased by INR30,000, which is at INR6.8 lakhs; which was INR6.5 lakhs earlier. So we expect it to normalize in the coming quarters.

Chintan Sheth: Sure. And second question was on the BSV. I know we clarified around that. I just had a question on the ROCE, which you spoke during our previous interaction of the BSV division at around 15% to 16% in FY'24. If you can just clarify one part is that given the reported margins at 23%. Is this the reported ROCE profile or adjusted ROCE profile at the 28% EBITDA margin which the business,

at the core, generated?

Prakash Agarwal: So thanks, Chintan, for your question. That one is on the adjusted EBITDA margin, 15% to 18%. The way to look at it is that we are at 30% plus ROCE. You have to look at it when we consolidate with this asset, you have to look at the consolidated ROCE how it pans out. So it would be upwards of 20%.

And both the assets, we are expecting margin expansion and more so with BSV since we believe that it is not fully penetrated; not fully optimized. So we see a lot of juice there. So when we see EBITDA margin and cash flow operations improving, your ROCE is bound to improve by 100 to 200 basis points at the basic level.

Chintan Sheth: And lastly, if I may, and I'll jump back in queue. On the BSV deal as well, the enterprise value of INR13,630 crores, if you can provide what is the net debt or net cash on BSV at the time of acquisition or FY'24?

Prakash Agarwal: So it is a very neutralized position. We will come back to you with more details when the closing happens as we have just signed the agreement. The details will come out when the closing happens.

Moderator: The next question is from the line of Kunal Dhamesha from Macquarie.

Kunal Dhamesha: Just continuing on the BSV debt, I think FY'23 that the finance expense for them was really high. So I think it will be good if you can provide some detail as to what is sitting on their balance sheet? And how is the PAT for FY'24?

Prakash Agarwal: So I'll give you some color on the fiscal '24 numbers. So if you see, we have given a number of around 28% adjusted, if you see the slide where we had added Mankind plus BSV, so INR488 odd crores, leading to 28%, plus/minus margins. So assuming 70% plus will be the cash flow conversion, you can do the math.

Ashutosh Dhawan: So let me clarify, Kunal, okay. It's basically from the transaction structure because Advent has done - it was a CCD structure, which was there. So because of that, this interest is getting reflected. But as the transaction will get consummated, everything is going to get converted into

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it. So that was more of internal debt repayment to the parent. That's why this interest spike is getting reflected.

Kunal Dhamesha: Sure, so that will reverse once we kind of do it. And I think that was mentioned, right, the callable bonds, etcetera, what is given in the balance sheet at some point, would it...

Prakash Agarwal: Kunal, can you speak louder, please?

Kunal Dhamesha: That structure has it changed drastically in FY'24? Or whatever we see in FY'23 is what kind of continued and we will change it once we acquire it?

Ashutosh Dhawan: So once we acquire the whole structure is going to get converted into equity and those equity will be acquired by us. It will be plain, simple, vanilla buyout.

Kunal Dhamesha: Sure. And one more question I had, since we have seen good traction in chronic therapies now, we are almost at par with the market level penetration in terms of chronic, right, market is at 38%, we are at 37%. Would you be able to quantify the kind of EBITDA margin difference between our chronic business versus the acute business stuff?

Ashutosh Dhawan: No. So it's basically mixed up, Kunal, we don't track EBITDA. We only track it at a particular level, but not at the EBITDA level, the acute versus chronic because in some of the divisions, MR is promoting both the products. So it's difficult to do a segmentation at that level.

Prakash Agarwal: But it's fair to assume that obviously the gross margins are much higher in chronic?

Kunal Dhamesha: Correct. And what's that difference would be in the gross margin between chronic and acute probably?

Ashutosh Dhawan: So it has increased up to 15% now, yes.

Kunal Dhamesha: Despite we launching the DMF-grade APIs, etcetera?

Ashutosh Dhawan: Yes.

Kunal Dhamesha: Sure. And on the

DMF-grade API, I think we had a plan to launch around 1,200 SKUs and we had done some 325 maybe till last quarter. So where are we on that now?

Abhishek Agarwal: So last quarter, we have announced that we have done approximately 150 DMF filings. This quarter, we are close to 160.

Kunal Dhamesha: Okay. And sir, in terms of SKUs how would it mean because there will be multiple SKUs?

Prakash Agarwal: We are not splitting by SKUs.

Kunal Dhamesha: Sure. And the last one, if I may. We have done a lot of in-licensing deals, right, starting with Neptaz, etc. What would be the contribution of the in-licensed product for us over the last 12 months? A rough number is fine.

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Prakash Agarwal: See the first one happened in '22, '23. So the contribution has just started. The idea is to get the foot in the door of the specialty doctors. While the sales are growing at 30%, 40% or even more, but it is on a small base. But it gives a lot of synergy benefits of our core portfolio also. So you have to see that in entirety. But coming back to your question, on a small base, it is still growing at 30%, 40% plus.

Kunal Dhamesha: Okay. But it is fair to assume it will be single-digit contribution as of now?

Abhishek Agarwal: Not even 1%.

Ashutosh Dhawan: It is fairly less at the moment, and it will not be a correct reflection of that because these in-licensing deals have been done at a different point of time. So they have not been for the whole year, so that the real basis can be drawn from or inference can be drawn from the same. So maybe after a year or so, we would be in a position to disclose. But at this stage, it will not give the correct reflection of things.

Rajeev Juneja: Major reason of the in-licensing deals; what advantage to Mankind is, we get an intangible hike in reputation of Mankind, one. And basically our endeavor were to really enter those high-end doctors, high-end hospitals, we get welcomed over there, foot in the door, that's a major thing. That's the reason. And we basically want to enter difficult to make or high-entry barrier market or in-license products, where instead of 30, 40 competitors, we have 2, 3 competitors. So we just want to enter that market and attain some kind of a position over there because tomorrow, more products will come. So it's like acclimatizing yourself, your field for that kind of an environment.

Kunal Dhamesha: Sure. So that then you can cross-sell your existing portfolio, which is anyway high margin and can bring that synergy side?

Rajeev Juneja: Yes.

Moderator: The next question is from the line of Neha Manpuria from Bank of America.

Neha Manpuria: Ashutosh sir, on the gross margin, most of the factors that you mentioned, sales mix can change seemed very sticky. Obviously, I understand there is seasonality in the business. Adjusted for that, is it fair to assume that this level of gross margin is sustainable for Mankind?

Ashutosh Dhawan: That's a good question, Neha. So we would say that 70% would be the fair assumption to assume it around 70% level because 1.6%, which is coming from the input cost savings, that's a timing difference, which is not in our control, to be honest. And because of the capacity utilization and all, this time, the margin is higher. But from the sustainability point of view, we are more confident or comfortable with 70% gross margin level.

Prakash Agarwal: So Neha just to add, if you're doing for modeling purpose, 70% is good, but at the same time, as one of the participants asked on the cost side. So we do expect cost to normalize. So you will see the cost going down and there's a corresponding effect on the EBITDA.

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Neha Manpuria: No, no. That is understood. I was just trying to get clarification because the margins had improved so much. So I

just wanted to get a sense there. My second question, on the BSV deal, the 16% growth that we had mentioned, right, adjusted for their acquisition and COVID. If you were to break that up between international business and domestic, what would be the growth, let's say, in the domestic business and international? Because I think the international growth that you've mentioned is in constant currency, but on a reported basis, what would that growth be?

Prakash Agarwal: Yes. So we have given a growth of around 17%. That would be India, 16% to 17% and around 25% in constant currency growth for international business.

Neha Manpuria: So the reported is also in the same range?

Prakash Agarwal: Reported is actually a tad better...

Neha Manpuria: Oh, it's tad better.

Prakash Agarwal: Because of the TTK acquisition, it is a tad better.

Neha Manpuria: No, no. Sir, the 16% growth is excluding TTK, right?

Prakash Agarwal: It's actually 17% pro forma. So on that, there's about 9% volume, 6%, 7% price, 1% here in there. So new product is about 1% to 2%. So it's not 16%, it's 17%. And pro forma growth that we had given in the presentation pack is 21%.

Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane: Rajeev sir, first at the industry level. We are seeing this volume growth remaining quite muted, even FY'23, hardly 0% even FY'24, 0.9% or even 1Q FY'25 to be like 0.9%. So this shift towards trade generics. So will that sort of further reduce overall industry growth for next, let's say, 3 to 4 years, if you could share some comment on this?

Rajeev Juneja: See, I mean it's a mixture of things. One basic ally is that seasonality also plays a role because whatever unit growth comes, there is always a contribution of antibiotics or acute side of the business as well. Yes, you're right as well. I mean some kind of stress is there from generic kind of players as well. It's a mixture of things.

Dr. Sanjay Koul: Just to add, there is one more issue which we need to take into account that 6% contribution of modern trade is not being captured by IQVIA. That is why there is under reflection of volume growth as per IQVIA is concerned.

Tushar Manudhane: No, no. So I mean to refer the prescription side of the overall market. So there, we will see growth is getting much more moderated to the way it seems over the next 3 to 4 years, it could go down to 6% or so.

Rajeev Juneja: Try to understand one more thing that a prescription comes from the hospital, it is maybe not being tracked. And one more thing is there that hospital side, patients are more than general

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practitioners. I mean whenever you see, you go to a hospital, you find more patients. Otherwise, in normal clinics, when season comes, then you see a good number of patients. That is also an impact.

Tushar Manudhane: Understood, sir. Secondly, as far as the metro Tier 1 share is concerned for Mankind, despite a good number of niche products being added, the chronic share being rising, the metro Tier 1 share still remains stable for last 2, 3 years. So just to understand if I'm missing anything.

Dr. Sanjay Koul: See, our metro and Class 1 share is around 53%. So there is still scope for improvement. The good thing is that both metro and town 1, we are growing at much better pace as compared to IPM growth. So we are bridging the gap between IPM, contribution of metro and Class I and Mankind.

Abhishek Agarwal: And Tushar, if you see last 4 years growth of metro, IPM is close to 10% to 12%, but growth is somewhere in the range of 11% to 20% for Mankind metro.

Tushar Manudhane: How much is it for Mankind?

Abhishek Agarwal: For Mankind it is in the range of 11% to 20%, you can refer last quarter presentation where we have highlighted that our metro share has increased from 51% to 55%

in the last 4 years, chronic metro share.

Moderator: The next question is from the line of Sumit Joshi from SK Finance .

Sumit Joshi : Yes. Sir, I'm just asking a very high -level question, maybe from a 2 to 3 years the way we want to grow a product strategy right after the acquisition. Is there something big picture, which we are planning that we can give some guidance that will help me to understand better?

Rajeev Juneja: See, I mean, the big picture basically is , look at the history of Mankind, 5 points were there always in our head. First was a bottom -up approach. Second was our OTC business. Third was making mankind brand a household brand. Next was chronic side. After that, we entered into specialty and then now super specialty. So it's like I mean completing the pyramid , coming to the high end of the pyramid. And ensuring that we are in every side of the pharma market and growing in the fastest pace.

And hopefully, I mean, we'll do fantastic. Because going forward, as a number of times, these questions keep coming that there is a stress because of generic, because what we basically see generally, whenever you bring some product or one product which basically comes out of patent, 40, 50, 100 competitors come immediately.

And our intentions of taking this BSV is that we should be in complex business. We should be in difficult to make products, we should make the high -entry barrier products, where advantage is - either you are alone, either you have some kind of a monopoly or 1 or 2 competitors, that's plus side. You can command the prices. You have more EBITDA margin.

That basically is our hope . Keeping those planning in mind, we have just acquired this company.

And we hope, we have said a number of times, this business will multiply in coming future.

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Sumit Joshi : Okay.

Rajeev Juneja: We are very, happy and confident that this is a fantastic buying of Mankind. I mean, nothing can be better than this one because everything fits very, very well in Mankind. Look from any angle, every corner whether the consumer side, I mean, Ossopan or Lactare, whether it's a patent product , AntiD - high-entry barrier, whether you look at this Thymogam, again, 100% market share, in some animal bites with 98% share , infertility we have 1 or 2 competitors. It's amazing and we've done a fantastic job by acquiring this. Absolutely confident and pretty sure about this business.

Moderator: The next question is from the line of Nikunj Doshi from Bay Capital.

Nikunj Doshi: Just one question. Are we expecting any more merge r-related costs in the next quarters?

Ashutosh Dhawan: Yes. So the transaction has started in a way at the end of the last quarter. So there will be certain merger -related costs, which will be coming in this Q2 as well.

Prakash Agarwal: So just to be clear, Nikunj, the cost that you are seeing in Q1 is related to the transaction that we saw in Q1.

Nikunj Doshi: Okay. Okay. So this larger transaction, what we are doing, that will be further in...

Prakash Agarwal: That will be in Q2.

Moderator: The next question is a follow -up question from the line of Kunal Dhamesha from Macquarie.

Kunal Dhamesha: Just on this, the BSV growth split between India and international, I probably misunderstood it. Total growth is 16% adjusted for the acquisition. And then you are saying India grew at 16% and international was better than 25%.

Prakash Agarwal: So Kunal, if you should see the presentation, we have given a 21% CAGR growth. We are giving a split of India and international, which is - India is 17% and international is 25% dollar -term growth.

Kunal Dhamesha: Okay. So 21% is not adjusted for TTK. So TTK is more in the international...

Prakash Agarwal: No, no. TTK is a domestic business. So what has happened is, why we have given pro forma numbers, there is a volatility

due to the COVID -related products and the TTK related products.

So we have neutralized that. If you see on a reported like -to-like basis, growth is actually 24%, but we wanted to give a pro forma numbers for the right reflection for future. Does that help?

Kunal Dhamesha: No, but the COVID would have also positively impacted during the initial phase?

Prakash Agarwal: No. But then there are spikes and there are peaks and valleys, right? So 1 year, you will see a spike, then other years, it will go down. So we have removed the volatility.

Kunal Dhamesha: But in CAGR, you will only look at the first and the last year, right? The spike will not...

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Prakash Agarwal: So FY'21 was higher, right, because of the COVID year?

Kunal Dhamesha: Correct. FY'21 also, there were lockdowns. So yes, difficult to understand. Can you help us with a slightly larger -- longer-term growth rate for the BSV?

Prakash Agarwal: So we have called out that the growth will be in the region of 15% to 20% is what we believe, it can be even better. I mean this is our initial assessment. And we have also called out that we look at margins around 30% plus and to improve year-on-year.

Ashutosh Dhawan: So if you look at the audited reported CAGR, that is 23% and the adjusted is 21% with adjustment for COVID.

Kunal Dhamesha: Okay. And one question on the overall market in response to the previous answer. So you said the 6% of the modern trade is not getting reflected in IQVIA. My question is how fast that 6% is growing. And since it is not getting reflected, what are we missing from the IPM growth? And what is our exposure to that modern trade channel now? I think we had a good quarter, a couple of quarters back or something. So are we like now under-index, over-index or we are properly indexed with respect to that 6% of the market.

Dr. Sanjay Koul: So as per my understanding, 6% contribution comes in IPM from modern trade that is having growth, there is no channel to give us the correct growth number, but as per different sources, the growth comes to around 15%. As per Mankind is concerned, our contribution from modern trade is around 4%.

Kunal Dhamesha: 4%. So still there is scope for us to kind of penetrate more in this channel. Sure. And one question on the Panacea acquisition that you had done, right? It is some time that we have been with this business, how has that kind of grown - what we have seen in terms of the improvement in terms of profitability, any synergies that you have seen? If you can provide some update there, it would be good.

Rajeev Juneja: So Panacea business has already panned very, very well. On one side, again, super specialty business when we acquired Panacea, the thoughts were same, absolutely same kind of thoughts. Transplant business, super specialty - difficult to enter, one, that is being very good, Glizid anti-diabetics, more than INR100 crores brand now. And apart from this Sitcom is a patented product that we acquired. So all in all, the Panacea business must be growing at a pace of 20% - 25% right now.

Ashutosh Dhawan: 33%.

Rajeev Juneja: 33%.

Ashutosh Dhawan: 33% plus, in terms of profitability also; even though Panacea has been fully submerged into all the divisions wherever synergies were there, but on a very broad basis, the EBITDA margin is also close to 30% coming out of the products of Panacea.

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Rajeev Juneja: And if you extrapolate Panacea, by many times, then this would be Bharat Serums - even better. And if you remember very well when Panacea was acquired, I mean, people were saying it's expensive this and that, but we knew our business.

Kunal Dhamesha: Okay. Sure, sir. And one for Ashutoshji. On the R&D expense, it seems lower for this quarter, right? So do we expect to ramp up? Or

do we see that R&D expense overall would be more or less flat for FY'25 over FY'24.

Ashutosh Dhawan: So we would like to retain the guidance of close to 2% because R&D is mainly driven from some of the project related and the testing related expenses. So there are sometimes some spikes here and there, but by and large, as a rule of thumb, expected to be around 2% level.

Kunal Dhamesha: So it should see similar growth as to our top line more or less in FY'25. Last year was 2.2%, I guess.

Ashutosh Dhawan: So this time also, it will be in that vicinity only.

Moderator: The next question is from the line of Prashant Kothari from Pictet AMC.

Prashant Kothari: The first question is on the BSV acquisition itself. In terms of funding for it, I understand you have not kind of properly finalized. But just looking at the overall numbers, it seems that if you were to apply that discipline of 2x net debt-to-EBITDA, if you could just kind of wait until the FY'26 end then you would already be kind of in that limit even if you don't dilute. So just wanting to understand how you're kind of thinking about the need for equity dilution versus maybe waiting a bit so that it's not needed actually?

Prakash Agarwal: Yes. So the rough broad maths could be thought like this, that we are looking to fund this, as Rajeevji mentioned on the Friday call, that around INR4,000 crores could be used approximately from the internal accruals. For the remaining, the majority would be a mix of debt and equity and the majority would be debt. But we believe since we've always been a conservative company, there will be a requirement of equity, which could be in the region of about 30%.

Prashant Kothari: Right. So INR4,000 crores internal accruals we'll have in the next 2 years, plus, we have

INR3,500 crores of net cash.

Prakash Agarwal: No, no Prashant. So around closing, we would be having that kind of cash. So we will be using that cash to pay upfront, that's one. The remaining that we are required to pay, which will be a mix of debt and equity, majority will be by debt given the cash flows that we have. We believe that we'll be able to take a majority of it as debt.

But since we want to have a lighter balance sheet, we don't want to leverage significantly. And as per our guidance, of debt -to-EBITDA of not exceeding 2x, we think that we would be looking at plus/minus 30% of equity and that would be around closing.

Prashant Kothari: Okay. So the EBITDA you're looking for that calculation is of FY'25 itself?

Prakash Agarwal : Can you repeat?

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Prashant Kothari: On a combined basis -- the EBITDA that you're using for that calculating...

Prakash Agarwal: Yes, FY'25 and FY'26. And on a conservative basis, we have calculated. So obviously, the business could give a bit better returns. But these assumptions are based on conservative estimates of mankind as well as BSV.

Prashant Kothari: Understood. And sir, the second question was on market growth differential between the kind of metro and Tier 1 versus the rest more rural semi-urban, how much is the differential these days? Has it changed versus the past?

Dr. Sanjay Koul : If we talk about IPM versus Mankind, Q1 basis, IPM rural has grown by 6.7%, Mankind is growing by 10.3%. And town 1 is growing by 10.4% as per IPM is concerned, and Mankind growing by 12.7%. Metro and town 1, in total, is growing by 9.3% as per IPM is concerned and Mankind is growing by 10.6%.

Prashant Kothari: So rural, as per IPM is growing the slowest, why is that happening? And is that just recent or that has been the trend in the last few quarters also?

Dr. Sanjay Koul : So FY'24 as well, rural has shown a growth of 5.9%. This quarter has been better as per FY'24 is concerned.

Prashant Kothari: Yes. But it is growing slower versus the overall market. So just trying to understand w

hat is

happening there in terms of the overall pharma sales, not for you, but for the industry?

Dr. Sanjay Koul : So rural, usually, the growth you see, there is a seasonal impact because rural market is all about acute segment rather than chronic. Last year, the acute season came very late in the month of October only. That is why we had muted performance of acute segment overall in the year and it impacted the rural growth.

Prakash Agarwal : Prashant, if I can add. So if you see the number of doctors who are available, the number of chronic diseases, which are growing faster than the market and acute, is happening more so in the metro and Tier 1 cities. So the growth share in metros and Tier 1 is higher versus rural.

Prashant Kothari: Okay. Which is what I was trying to kind of think of whether it is that the companies are not making enough efforts? Or is it just about the doctor population, wherever they grow the market grows, how should I kind of...

Prakash Agarwal: Again, Prashant, India is a land of many cities, towns, rural is like rural and then above rural, it would be again segmented into 3 sub-buckets. So the first bucket is metro and town 1. The second bucket is town 1 and town 2, which is Tier 1 and Tier 2 cities. And then there's a third bucket above rural, which is town 2 to town 4.

So this is split again into 4 big buckets and rural is a part of it. So metro and Tier 1 is totally where everybody is really focused on. And I think, as Rajeevji mentioned, we have always gone bottoms up. So we started with actually not rural, but town 2 to town 4. And then we have picked to Tier 1 cities and now metro and Tier 1. So it is bottoms up for us.

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Sheetal Arora: And to add to Prakash point because of the lifestyle changes, the chronic diseases are more prevalent. And because of hygiene, people in rural area, people are more aware about hygiene, cleanliness drives. So that's why acute is growing less and that's where you see the growth of chronic more, even in IPM also.

Prashant Kothari: Interesting. And sir, just the last question of our growth, how much is pricing?

Dr. Sanjay Koul : Because of pricing is 5.8%. Our volume growth is 1.9%, and growth because of price increases 5.8% and growth because of new products is 2.7%.

Moderator: The next question is from the line of Gagan Thareja from ASK Investment Managers.

Gagan Thareja: Sir, I have one question pertaining to the split of the acquired asset value of BSV into fixed tangible assets, intangibles and goodwill. If you could give a broad rough split, that would be very helpful.

Ashutosh Dhawan: Yes, Gagan, this is an extensive exercise, which will be carried out at the time of closing and after closing. But just to give you a sense, since it's a high-entry barrier and a niche asset, the majority of the allocation will be towards the intangible side. Close to around 60% to 70% would be the portion which may get allocated towards the intangibles.

Gagan Thareja: And when you say intangibles, I mean, because intangibles would include patents, trademarks plus goodwill life. I'm presuming that is how it is. So from the perspective of depreciation and amortization, it's going to be trademarks and patents which will be amortized, goodwill will not figure there. So I'm just trying to understand that split further down.

Ashutosh Dhawan: Correct. So goodwill will not be getting amortized but in tangibles in terms of technical know-how, trade, brands which are coming with this and plus some other intangibles will also come, customer relationship, etc. So all those things will be getting amortized over a period. So how much will that period will be and the exact quantum of that intangible that is subject to expert valuation.

But from the broad indicative point of view, it will be closer to 60% odd - the intangibles and the balance would be towards the goodwill. But this number is highly likely to get changed once the proper PPE exercise is carried out by the experts.

Gagan Thareja : Right. And Rajevee, sir, I think in your interview to Business Standard have indicated that BSV sales could touch INR5,000 crores sort of mark in the next 3 to 4 years. To whatever degree possible, would you be able to explain how you think you can bring this about what could be the broad contours of the strategy here?

Rajevee Juneja: Sometimes, I mean, journalists are also very enthusiastic. They basically add some kind of flavor. I mean the expectations are very high from this company. I said basically in 4, 5 years, maybe he rolled down to 3, 4 years. Understand the point, in some of the categories, there is no competition.

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Example, AntiD is one product, which in India, approximately 5% to 7% ladies who want to be mother are Rh negative, right? That is approximately 90 lakh to 1.2 crores. But how many injections are being sold right now? 9 lakh. So right now the penetration is only 10%. If we increase the penetration to 20%, the market can grow double, 30% - more. It's a matter of just propagating it, matter of just making sure that people have this kind of a knowledge, just example. And they have patent on this product till 2028.

And also, within a number of countries, other countries as well, same is the situation. So this company comes with a very high-entry barrier products, one. The second basically is what, just look around yourself, which particular segment is growing fastest - infertility. You go in bigger towns, smaller towns, every place, every gynaecologist wants to open a fertility clinic. That is one area which is growing very, very fast because of urbanization, because of women empowerment, because of late marriages, a lot of reasons are there, right?

You see from any angle, I mean, this company has all their plus sides. Tailwinds are also -- complexities are there, difficult-to-make products are there, patent products are the rest. So this way, we expect this company can grow a lot, very, very optimistic.

Moderator: The next question is a follow-up question from the line of Chintan Sheth from Girik Capital.

Chintan Sheth: On the export side, if you look at the growth has been great as well on a high base, do you see the run rate of the current quarter can sustain or do you see as quarter progresses, we will see some softness at least the rate of growth can taper a bit low going forward? How do you see the exports panning out?

Sheetal Arora: See, because of the low base last year quarter, so growth is high in this quarter. But as always, mentioned in the commentary that Mankind business will mostly focus in domestic, almost 90% plus business of domestic.

Chintan Sheth: Okay. But at the 15% - mid-teen growth, which we gave, that is what we should work with...

Arjun Juneja : No, I think that the growth will continue. For an export side, the growth of quarter-on-quarter will continue, that's what has been guided so far.

Chintan Sheth: On the BSV deal side, you mentioned something around a 30% figure for the equity part, the fresh equity part. Is that correct understanding?

Prakash Agarwal: No, somebody had asked the question around how would the funding look like? Because everything is subject to closing. So we have received many calls and emails from analysts trying to understand for modeling purposes, how to think about it - of the asset.

We are just a little bit modeling ourselves that around approximately INR4,000 crores would be

funded through internal accruals. That is the cash that we would have in the books by the time the closing happens. The remaining would be a mix of debt and equity. Out of that, the majority will be debt and the remaining, which we believe could be done with around 30%.

Again, this could be changed subject to closing, but this is our initial assessment.

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Moderator: That was the last question for the day. I now hand the conference over to the management for closing comments.

Abhishek Agarwal: Thank you. And please feel free to write to us for any further clarification or information. Have a nice day.

Moderator: On behalf of Mankind Pharma, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

This transcript has some minor edits to enhance the understanding and readability and does not purport to be a verbatim record of the proceedings. Since it is a transcription, it may contain transcription errors. The Company takes no responsibility of such errors, although an effort has been made to ensure a high level of accuracy

Call: Aug 2024

Date: August 2, 2024

BSE Limited
P J Towers,
Dalal Street,
Mumbai – 400 001

Script Code: 543904 National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051

Symbol: MANKIND

Dear Sir/ Madam,

Subject: Transcript of Conference Call held on July 26, 2024 in relation to acquisition of 100% stake in Bharat Serums and Vaccines Limited

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of Conference Call held on July 26, 2024 at 5:00 P.M. in relation to acquisition of 100% stake in Bharat Serums and Vaccines Limited.

The transcript is also available on the website of the Company at
https://www.mankindpharma.com/media/investor/mankindpharma_bsv_acquisition_call_transcript-1722573520.pdf

You are requested to kindly take the same on records.

Thanking You,

Yours Faithfully,

For Mankind Pharma Limited

Pradeep Chugh
Company Secretary and Compliance Officer

Encl.: As above ~
Mankind/II/JI,

MANKIND PHARMA LIMITED

Regd. Office: 208, Okhla Ind. Estate, Phase -3, New Delhi-110020 •Ph.: 011-46846700 , 47476600

CIN No. L74899DL 1991 PLC044843 •E-mail: contact@mankindpharma.com • www.mankindpharma.com

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“Mankind Pharma Limited Conference Call ”

July 26, 2024

MANAGEMENT : MR. RAJEEV JUNEJA – VICE CHAIRMAN & MANAGING
DIRECTOR , MANKIND PHARMA LIMITED
MR. SHEETAL ARORA – CHIEF EXECUTIVE OFFICER &
WHOLE -TIME DIRECTOR , MANKIND PHARMA LIMITED

MR. ARJUN JUNEJA – CHIEF OPERATING OFFICER ,
MANKIND PHARMA LIMITED
MR. ASHUTOSH DHAWAN - CHIEF FINANCIAL
OFFICER , MANKIND PHARMA LIMITED
MR. PRAKASH AGARWAL – PRESIDENT , STRATEGY ,
MANKIND PHARMA LIMITED
MR. ABHISHEK AGARWAL - HEAD, INVESTOR
RELATIONS & AVP , STRATEGY , MANKIND PHARMA
LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Mankind Pharma Limited Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek Agarwal from Mankind Pharma. Thank you and over to you, sir.

Abhishek Agarwal : Thank you. Good evening everybody. A very warm welcome to the Conference Call of Mankind Pharma to discuss the acquisition of Bharat Serums and Vaccines Limited.

On the call, today we have Mr. Rajeev Juneja - Vice Chairman and Managing Director ; Mr. Sheetal Arora - Chief Executive Officer and Whole-time Director ; Mr. Arjun Juneja - Chief Operating Officer ; Mr. Ashutosh Dhawan - Chief Financial Officer and Mr. Prakash Agarwal - President, Strategy.

We will begin with opening comments from Mr. Rajeev Juneja, followed by comments from Mr. Sheetal Arora on the acquisition of BSV and thereafter Mr. Prakash will run everyone through the key slides and then we can open the forum for Q&A.

I hope you had a chance to access the Investor Deck and Press Release shared yesterday ; however, I would like to reemphasize the fact that certain statements made during today's call may pertain to future expectation and plans. A comprehensive disclaimer regarding those forward-looking statements can be found in our Investor Presentation and Press Release uploaded on our web site.

Today, we will be addressing questions specifically related to BSV acquisition and will not be able to answer any other questions.

With this, I would like to invite Rajeev to share his comments.

Rajeev Juneja : Good evening, everybody. And

it is a very special day, very special announcement is the re.

But before I go for a written formal kind of a document, let me give you certain thoughts which are always there in our head in Mankind. One thing is very clear in Mankind that we have a very clear strategy and we are very clear about what we are supposed to do. It is like when you make a castle and 22,000 people live in that, then what you do, you make big tranches and big walls so that people can live safely and prosperity is always there. And that has always been our strategy to make sure that Mankind grows at a faster pace.

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And what are those things which we have always talked in the past as well? One has always been high entry barrier products. We have always talked about that. Super specialty was always our longing desire. Next was the lifestyle chronic diseases, we have always talked about that, OTX, OTC flavor angle in everything that Mankind is doing. And we have always worked to make sure that Mankind brand equity as a whole should become an example. If you look at the journey of Mankind earlier, it was a bottom up approach of mass level coverage of 4-5 lakh doctors, that was our style of mitigating the risk from the competitors with whatever resources we had in our hand in those days.

The second was OTC and brand building of Mankind, whether it was Manforce, Pregnane or Unwanted 72 whatever, because we wanted to build Mankind brand as a whole - big brand. The third was what in the same clear strategy we launched our Specialty division during COVID time in Mumbai and came in cardio, diabeto, neuro, respiratory, all sort of specialized divisions.

And to give fuel to these divisions, certain products were acquired. One name I can tell you is Combihale, and some in-licensed products were taken. Neptaz was one and now Inclisaran is one, the next basically is what Symbicort is another one because every specialized division needs some kind of specialized products.

And then we acquired Panacea, that was also part of that plan only and it was not only Glizid, we basically wanted to acquire along with Glizid a patented product Sitcom and most important super specialty business of Panacea, transplant business. That was a clear strategy for that. The next basically is what now we have come to Bharat Serum.

So I will call Bharat Serum not a specialty; it is basically a super specialty business with huge entry barrier, very super specialty kind of a business and they have got infertility business as well where penetration is only 1% and demand is huge and you can really command good prices over there. Along with this, they have some OTX, OTC flavored products, Lactare is one and Ossopan is another. These are quite popular brands, which were not properly nurtured in the past, but now taking a better shape. It basically complements Bharat Serum as even if I say compliment Mankind in every aspect, whether it is a high end entry product, super specialty product, infertility product. Along with this, they are backed with the R&D and super specialty high entry barrier products.

We looked Bharat Serum many years back as well, but this capital management has really turned around that Bharat Serum 5 years back, basically in just 3 years' time. Why I am saying three years because two years were lost in COVID times. So if I say that whatever we are paying to this Bharat Serum, this is very relevant in terms of it. It really has so much of value. So one thing should be very clear that this acquisition is not to really add some kind of revenue, but to add lot of value, future growth, entry barrier, super specialty business in Mankind. That was basically very informal kind of thoughts crossing my mind. So I just spoke about this.

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Let me now come to this formal announcement. Good evening and we are very pleased to announce the signing of definite agreement for strategic acquisition of 100% stake in Bharat Serum and Vaccines Limited from Advent International. BSV acquisition represents a pivotal milestone in Mankind's journey, which expands our high entry barrier portfolio and people's Mankind to leadership in women health. Now, Mankind becomes in women healthcare #1 Gynaec portfolio in IPM.

The deal is valued at an enterprise value of Rs. 13,630 crores subject to closing related adjustments. BSV's complex portfolio across women health fertility and critical care segment are perfectly aligned with Mankind Pharma's strategic vision to expand its footprint in high entry barrier portfolio. BSV is ranked #1 or #2 in 9 out of top 10 fast growing brands with limited competition in India and closed FY24 with consolidated reported revenue of Rs. 1,723 crore, delivering a robust 20% year-on-year growth.

BSV acquisition is in line with our stated acquisition cases of high entry barrier business with long run rate win for growth, specialty, R&D tech platform, solidifying our position offering in space like complementary drug portfolio with high potential OTX brands, EBITDA margin accretive to Mankind's margin, and unlock synergy by leveraging Mankind's extensive reach to target rapidly growing highly underpenetrated markets, especially in fertility as well.

We believe Women's Health and Fertility segment hold immense potential along with strong growth visibility globally fueled by structural tailwinds like lifestyle change, delayed parenthood, rising chronic conditions. BSV is strategically positioned to leverage these trends with their extensive range of products that cover the entire woman health spectrum, from fertility to pregnancy and post pregnancy. In the fertility side, BSV offers a comprehensive portfolio designed to scale across both the Indian and international market particularly as the IVF treatments become more prevalent. The market leadership of the company is further evidenced by its advanced and differentiated product offering. Beyond product offering, BSV has a developed, robust, Specialty R&D tech platform with capabilities in recombinant, niche biologics, novel delivery and immunological immunoglobins.

One of the prime examples of BSV's R&D capability reveals Anti-D where BSV is the only innovator in the world to develop patented recombinant Anti Rho. This product prevents RH isoimmunization in pregnant mothers, RH negative mothers with RH positive fetus where it is required actually. R&D platform significantly adds to Mankind's R&D engine along with potential opportunity from high value specialty pipeline in both Women's Health and Critical Care. BSV portfolio spanning Women's Health, Fertility, Critical Care, BI Specialty, R&D tech platform along with Mankind extensive scale and reach is set to deliver remarkable growth.

In recent years, our strategic initiatives including the launch of Specialty chronic divisions, the acquisition of Panacea Biotech's transplant, and Oncology portfolio and in-licensing agreements

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with global leaders including Novartis, for a leading cardiac product and from AstraZeneca for the premium inhalers - Symbicort and many more such deals, have significantly bolstered our presence in high entry barrier segments and chronic therapies.

With BSV acquisition, we will enhance Mankind's capabilities in the specialty and niche portfolio built on robust R&D tech platform along the leadership in Indian Women's Health market. As we welcome BSV's 2,500 members to Mankind Family, we are filled with a sense of excitement and purpose. Together we will collaborate to harness synergy that is very important, we can

really have a fantastic synergy here, benefits with synergy as well and that will sustain growth and market leadership driven by our shared value and dedication towards making a positive impact on healthcare. Now, I pass on to Sheetal.

Sheetal Arora: Thank you, Rajeev ji. Good evening, everyone and welcome everyone. First of all, thank you everyone for joining this investor call. Since last one year, we are doing this investor calls and whenever any question came about acquisition, in all previous call we have said that whenever any opportunity comes for acquisition, we will go for a company which has a very high entry barrier, super specialty product has a flavor of OTC and EBITDA accretive. And in last few months we have seen number of assets, but BSV stands out as it matches 100% with our criteria for acquisition. Why because BSV has developed some niche biological products and recombinant in-house which has a long term assurance of less or very minimal competition. They have a very strong R&D capability and robust portfolio for Fertility, Woman Health and Critical Care.

If I talk about an opportunity of infertility product, that is a very big opportunity in the world. According to WHO report, infertility affects one in six people across the globe and IVF adoption is still in its early stages in India and in other emerging markets. Fertility drug market is big and fast growing segment in India and globally. BSV is well poised to capture this market with most comprehensive fertility portfolio. BSV has a specialty branded portfolio in international markets with focused presence across 7 brand families with increasing focus on fertility segment. BSV branded specialty pharma portfolio across India and international markets present immense growth potential and will add to existing growth velocity of Mankind. Moreover, BSV business will be highly synergistic with our comprehensive portfolio, expensive field force and doctor coverage.

We are confident that this would correspond to an expansion of EBITDA margins and thereby solidify our position as a company known for marketing innovative and specialized offering.

Thank you for all your continued support and confidence in Mankind Pharma. The future looks bright as we continue to make strides towards building a healthier Bharat. Thank you so much.

Prakash Agarwal: Thank you, Sheetalji. Good evening, everybody. Let me take you to the investor presentation. I hope everybody has seen and gone through.

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I will just touch upon the key highlights. So of the Slide #3, if you see the transaction overview, Mankind has signed definitive agreement to acquire 100% stake in BSV. We plan to fund this acquisition through a combination of internal accruals and a mix of debt and equity. We expect net debt to EBITDA to be not more than 2x by fiscal 26. Transaction value translates to 22x to 23x on EBITDA of fiscal 25. We expect Rs. 50 -Rs. 100 crore synergy benefits to flow through over the next 12 to 24 months. Thus on fiscal 26 basis, the EBITDA would approximately land up to 17x to 18x which we believe is an attractive valuation for a Super Specialty portfolio of BSV. With 30% plus EBITDA margin, considering BSV's potential of double digit topline growth and EBITDA margin expansion, we expect EPS accretion from second full year onwards and cash EPS accretion from first year onwards.

Now coming to Slide #4. Giving a glance on the company so clearly over a period of time, it has created big brands. It has 12 brands, about Rs. 25 crores, with the biggest being Anti-D above Rs. 100 crores. It has a world's first and only recombinant product Anti-D and many first in India, like rFSH and HCG. Company has many first-in-hand launches backed by proven capabilities in recombinant technology, finished biologics, complex delivery systems, and immun

oglobins. BSV's significant focus on women health has 76% share in India and 55% overall with comprehensive fertility portfolio. Coming to the revenues, Rs. 1,723 crores in fiscal 24 split into India and international 54% and 46% respectively, which has seen a robust 3-year CAGR of 21%. EBITDA margins for BSV have been 28% on adjusted basis reported, however, 23% which is adjusted for TTK acquisition, exit related cost and ESR related expenses in fiscal

24.

Coming to slide #5. As Raj eevji and Sh eetal ji mentioned that the acquisition is in line with our stated acquisition thesis ; A, high entry barrier portfolio ; B, R&D Specialty tech platform; C complementary portfolio , EBITDA margin accretive acquisition and to unlock synergies. On a pro forma basis, if you look at the sales mix and the EBITDA margins and the brands , these are the three key criteria's where we look at it. So if you see that our domestic business focus remains with 87% pro forma revenue share. Brands from 40 , we move up to 50 brands above Rs. 50 crores. EBITDA margin, if you see , the accretion results in an excess of 25% EBITDA margins in fiscal 24 pro forma numbers.

If we move to Slide # 7, highlighting high entry barrier specialty pharma portfolio across India and emerging markets , I want to highlight complex portfolio and biologics need 5 to 10 years R&D to develop these products . And Anti-D stands out because of the only innovator in the world to develop patented recombinant. The other piece highlighted was the big opportunity in the fertility drugs. It has presence and a pipeline of 12 out of the 15 top in fertility drugs, which is largest among the global peers.

Also highlighted on the woman h ealth leadership , it has high OTx potential products like Lactare and Ossopan .

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Fast growing India business - so India business has outperformed IPM by 1.7x with more than 9% volume growth. It has been creating large brands, 12 brands with 25% plus crore of sales. Top ten brands account for 60% of the domestic revenues.

International business has grown at a 25% CAGR in the last 3 years in constant currency terms and it has developed complex and specialty portfolio in the critical care and fast growing fertility segment in the international business , established R&D platform, three large categories , recombinant tech we mentioned , niche biologics, immunoglobins , complex delivery systems. We have separate Slide # on that. We will just discuss in a minute.

Complex manufacturing capabilities , Ambernath facility has five injectable lines with capabilities across recombinant equine based h ormonal and complex delivery systems is also an US FDA approved facility in Germany with in -house capabilities in enzymes and hormones. We continue to believe that the asset will be EBITDA margin accretive and margin improvement to follow through given the mix change towards recombinant and higher share of fertility .

Plus there would be an operating leverage which will flow through sales growth and manufacturing excellence. We also believe that there will be synergies which will boost both topline and profitability led by Mankind reach - geographical doctor r each, Sales force reach, higher MR productivity, operational excellence in sales and marketing and 75% in -house manufacturing , capability to move products in -house for manufacturing .

Slide #9. We want to highlight 3 -4 key differentiators in the high tech platform that we are talking about the high entry barrier products , we are talking about Anti-D that stands out. In India, only 5 % to 7% eligible mothers are RH negative which culminates into 1 crore mothers. So the opportunity is huge as the under penetration is huge . The key differentiator is that this product has patent till 2028 . It is vertically integrated through in -house cell lines and it has rec

ently been awarded with the Prix Galien 2024 in India which is for the most innovative product. Second product , Thymogam, it is the only ATG product in India for rare disease , aplastic anemia and has complexity in manufacturing and quality and to maintain the quality of the product. Foligraf, very excited about this product given the huge opportunity in the fertility market . It is the first biosimilar of RSH in India, best in class . Indication is for infertility in women, for ovulation stimulation, strong distribution capability with 90% to 100% reach in IVF centers and comprehensive dosage forms, all forms of dosage forms from pens, PFS and vials. Moving to Slide #11. I want to highlight the massive opportunity in the fertility market, which has strong structural tailwinds . We have all seen decline in fertility rates, driven by lifestyle changes, delaying parenthood, and prevalence of chronic diseases. This is leading to rapid scale up in IVF infrastructure across the country. Even Tier 2 , Tier 3 cities are also seeing that . This is also coupled with increasing affordability and awareness and improved success rate. Globally, the market is \$6 billion, which is led by global players like Merck, Organon and Ferring. If you

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see, there is a huge growth opportunity in these markets as the IVF penetration is still around 1% in emerging market and in India.

Moving to Slide #12. BSV offers full range of woman health lifecycle products, from fertility to pregnancy and post pregnancy which is a unique platform. It is one of the few players globally

with an exhaustive fertility drug portfolio which has 12 out of the 15 molecules in this space. Very few players again like Merck , Organon and Ferring , and other players like Ferring have this kind of capability.

Coming to Slide #13. It clearly brings us as a leader in the woman healthcare space with number one position in the Gynaecological therapeutic area, which is led by complementary portfolio and coverage expansion, especially in the area of women health specialty , fertility, along with complex critical care products and animal bites products.

Where Mankind stands out is the field force reach and doctor reach and where BSV would help Mankind in the institutional reach. So it is a complementary channel as well. Looking at the fast growing and limited competition portfolio, few colors on the key brands it has . The clear differentiator here it has got market dominance in terms of market share , three of the products where it is a solo player especially Anti - D/Rhoclone, Thymogam and ASVS . Other brands also if you see it has only one or two players, so it has a very limited competition portfolio and most of its key brands are going upwards of 20 %-25%. Fertility products, in particular Humog and Foligraf given the huge growth potential are growing at 30 % to 60% respectively. Moving to international , it has a specialty branded portfolio in the international markets. With two key home markets, Philippines and Malaysia and presence in 15 countries , it has focused presence across 7 brand families, representing 80% of the sales. BSV specialty brand portfolio is scalable with add-on filing potential across the markets.

Moving to Slide # 16. We have spoken about the niche R&D tech platform, but want to highlight the product pipeline. Not only it has the recombinant entity first in the world, but it has two very interesting biosimilar products in women healthcare, which is under development. Also immunoglobins, there are three very interesting products , in Anti-infective as well as Anti-thymocyte products which are under development.

Coming to Slide # 17, highlighting manufacturing infrastructure with complex capabilities , Ambarnath has been a facility which has been there for some time with 5 dedicated injectable lines , capabilities across r

ecombinant equine based hormonal and complex delivery systems.

Germany US FDA approved API plant, which is in-house and also strategic partnership with innovators for focused products for six key products, there is available land and building adjacent for expansion. There is also upcoming Genome Valley facility, which can be used for future expansion .

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Coming to the synergy benefits and Slide #18. First the revenue synergies if you look at clearly BSV portfolio can leverage Mankind's extensive geographical and doctor coverage, which is very extensive with more than 16,000 people on the ground. Mankind has developed unique consumer portfolio, so it has a huge potential to ship products to the OTC channel , BSV's comprehensive fertility portfolio to ensure long runway of growth given structural tailwinds. Cross sell opportunity in specialty channels, which are fertility clinics, institutions from a cost synergy perspective, we clearly believe that given Mankind capability, we can improve the BSV's MR productivity by leveraging Mankind's operational excellence. Second, potential shift of outsource manufacturing for RX portfolio in Mankind bringing the products in-house , leveraging resources across the companies, so multiple synergy levers to accelerate growth and improve margins .

Lastly , very important slide, Slide #19, which captures how Mankind has transitioned there , how Rajeevji articulated in his opening remarks from starting a mass market portfolio, which has a combination of acute , chronic and semi -chronic business and added and launched specialty chronic portfolio, which is Super Specialty in cardio, diabetes, CNS and added Mankind consumer business over a period of time. With BSV, it adds a new layer of growth, which is super specialty, which is sizable, scalable and has high entry barrier portfolio with specialty R&D tech platform across these unique platforms of recombinant biologics delivery systems. Hope the above is helpful and now we are open for queries on this transaction. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Kunal Damesha from Macquarie . Please go ahead.

Kunal Damesha : So while the acquisition kind of fits into what we have been saying in terms of high entry barrier specialty business, but we have also stated that we would be focusing on the domestic business and will not be allocating capital towards the exports business, right and this kind of piece brings in decent exposure to export a long with our exports, which have grown multifold in the last one year and are we kind of digressing the bit here on the strategy part to just focus on domestic and what kind of incremental capital allocation are we kind of expecting for export business or we would just be continuing with what piece we have got and focus on domestic ?

Rajeev Juneja : So your question is absolutely right. We have always said that our focus would be on the domestic side, but at the same time, we have always said that whenever there would be an

opportunity, we will go for complex , difficult to make injectable business. But here in this case, sir, you are supposed to really understand this is a branded business with high entry barrier. It is a very specialized business. It is not like , you cannot really paint export business with me too and super specialty with the same brush. It is not like that. It is absolutely different where the seller commands the price and in some of the cases we are the only company going forward and selling the product. Th at is the difference her e. That you are supposed to understand. So don 't
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really even think that it is a need to some kind of a generic business we are doing in export market. I t is

a branded international business. It is a super specialty business where so metimes the competition is only with one or two players. It is that kind of a business. So that is one reason our thesis stands absolutely right. We are India focused, but it doesn 't mean when we have a great opportunity like Bharat Serum which offers us h igh entry barrier super specialty, business and that to be branded business , do not go for it.

Sheetal Arora : And for your q uestion about the capital investment and export right now the investment won 't be much because infertility penetration even in rest of the world is very minim um and the scope is huge . With the same product, it can grow many f old even in emerging market also.

Kunal Damesha : But would i t require any investment in let us say, plant or capacity building?

Arjun Juneja : So basically , this is Arjun here. There is enough capacity in Bharat Serum. So there is no capital allocation which would move towards any major R&D or any major plant and manufacturing setup and also wanted to highlight that at a blended level if you see both Mankind and Bharat Serum put together, the export business would only contribute to 13%. There is not a significant contribution towards the export.

Kunal Damesha : And the second question on the financing of the deal, right, while we have said to be some mix of cash , internal accruals and equity, but how are we planning in terms of financing?

Ashutosh Dhawan : So you rightly said it is going to be a combination of internal a ccuals, equity and debt. So what we expect that Rs. 4,000 crore is going to be from internal ac cruals and majorly the balance will be funded through the debt given that we will ensure the debt amount should not be more than 2x of the FY 26 EBITDA of both Mankind and BSV . They have a strong cash generation abilities and CFO -to-EBITDA is close to aroun d 70%. With regard to the exact quantum of that we will determine that between signing and closing.

Kunal Damesha : So as of now, should we exclude equity as a potential financing tool?

Ashutosh Dhawan : So we will come out with the definitive numbers as we approach closing, we are exploring various options at the moment and the exact quantum of that will be known once we approach the closing timeline.

Kunal Damesha : And then couple of questions, I think for Prakash, you said T TK acquisition adjusted CAGR is around 16%, is it right?

Prakash Agarwal : So the pro forma adjusted for T TK and some COVID sales, it is about 16% where the breakup is about 9% is the volume growth , around 6% is the price growth and about 1% is the new product growth.

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Ashutosh Dhawan : The revenue CAGR for last 4 years ha s been upward of 20% for the BS V business.

Kunal Damesha : This is adjusted for COVID, right, COVID products which they would have sold ?

Ashutosh Dhawan : Yes.

Kunal Damesha : And in terms of the Rs. 90 crore one of f that we have adjusted in EBITDA, right, 23% was the reported EBITDA margin versus we have said 28 % is the adjusted. What is the composition of that Rs. 90 crores ?

Prakash Agarwal : So we are not breaking that out, but there are three key elements as mentioned in th e opening. One is on the T TK acquisition related expenses , second is the exit related expenses by the private equity and third ESAR related expenses. ESAR is non-recurring and that is why we are calling it as adjusted.

Moderator : Thank you. The next questi on is from the line of Tushar Manu dhane from Motilal Oswal Financial Service. Please go ahead.

Tushar Manudhane : Based on your comment on FY26, EBITDA 17x to 18 x, which implies EBITDA of Rs. 750 crores for FY 26, broadly 25% CAGR over 24 to 26 , if you could just elaborate in terms of how this growth is going to come from base portfolio or you are factoring any new launches as well into this subscr

iption ?

Prakash Agarwal : As Sheetal highlighted, there is a significant product portfolio already invested in and the full

potential is not extracted. So we believe with the Mankind's operational excellence, reach etc., both in India and international markets, the growth will accelerate, A.

B, there is a lot of margin improvement scope that can happen, we already mentioned about the margins of 28% moving to 30% plus from 25 to 26. And third are the synergy benefits that would play out in the range Rs. 50-Rs. 100 crores over the next 12 to 18, 24 months which will be a function of both revenue synergies as well as cost synergies.

Tushar Manudhane: As far as this IVF penetration is concerned, which initiative is very low in emerging markets as well as in India, so if you could share some efforts of BSV into this segment in the past in terms of improving the accessibility of the product now which start to give you confidence of further cleaning up this segment?

Arjun Juneja: So basically, Tushar, if you see the penetration of IVF with the growing lifestyle changes and late marriages, people are having babies late and this problem of infertility is growing. So that is where the market is really under penetrated. Having said that there is a lot of focus in BSV to work with these IVF clinics, not just in India, but globally across these 15 markets where there Mankind Pharma Limited

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is major growth going to come from. It is not just BSV growth which is going to be there. It is going to be a market growth as well, which is going to result into BSV's growth.

Prakash Agarwal: If I can just add there so is the clear proof of the pudding, is that if you see Foligraf, which has been growing at 60% CAGR in the last 3 years and still is only Rs. 35 crores, so this can become a very big brand going forward. Second example is the Humog HMG, which is growing at 38%, which is Rs. 55 crores brand today. So these are huge long run rate of growth in terms of IVF products.

Ashutosh Dhawan: And globally, the market is more than 6 billion and the current penetration level is less than 1%. So you can see the potential and the magnanimity of the growth, which can entail in future.

Tushar Manudhane: If I connect this dot compared to the payback period broadly, what you would have sort of assumed for this acquisition, if you could share that as well?

Prakash Agarwal: So on the payback period, see it is very difficult to call out because signing has just happened; closing is going to happen in 3-4 months. What we are comfortable sharing at this point in time is the EPS accretion when it will start. So that is what we are commenting at the moment.

Ashutosh Dhawan: Moreover, it is a strategic acquisition and on the long-term basis, we are very confident that this deal will drive immense value to the shareholders.

Tushar Manudhane: And just lastly on the balance sheet side, if you could help us like in terms of how much is the gross block and how much is the working capital days for these?

Ashutosh Dhawan: So based on the diligence, the working capital days are somewhere close to 92 - 100 days cycle.

Tushar Manudhane: And the gross block, the tangible and intangible assets on the balance sheet?

Prakash Agarwal: Gross block, we will come back to you on that.

Moderator: Thank you. The next question is from the line of Amey Chalke from JM Financial. Please go ahead.

Amey Chalke: Sir, first question I have is on the breakup of India sales. I believe it is around Rs. 900 crore. Is it possible for you to provide how much would be the vaccine sales from this Rs. 900 crores and how much would be the branded retail sales from this Rs. 900 crores?

Prakash Agarwal: So there is no vaccine sales as such, the business is built largely into three segments. One is woman health specialty, second is woman health Rx and

the third is fertility. Fertility is about

10%-12%, women health specialty is about 45% and the remaining is your RX.

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Arjun Juneja: And also just to call out, the only vaccine is the Equirab vaccine, which accounts for Rs. 40 crores of business in domestic sales.

Amey Chalke: Is it fair to assume entire Rs. 850 crore or removing that vaccine entirely would be the branded generic retail sales basically? Will you go through prescription?

Arjun Juneja: Almost 90% of it would be branded sales, branded or everything is branded. Out of it 90% would be private market sale and 10% to 15% would be institutional sales.

Amey Chalke: And second question I have, what is the manufacturing landscape for these products in India at present? I believe most of these products have been launched over last 2-3 years even through

Bharat Serum, so it looks like it is a market which is getting created in India at present. So how do you see how long you believe that this will remain a low competitive market going ahead?

Arjun Juneja: So at the moment, you know the manufacturing landscape is very complex. I think Bharat Serum is one of the very few companies in India and globally to have the capabilities to manufacture such type of products whether it is immunoglobulins or the IVF hormonal products.

But having said that, it is not a question of how tough the manufacturing capabilities are. It is a

matter of developing the relationship with the doctors because it is not a product which you can develop and launch tomorrow. It is a product which gets sold by winning the trust of the doctors. Doctors don't start writing such products overnight. It is the trust which Bharat Serum has developed over many years. Even if someone is able to manufacture and develop these products, it is very difficult to win doctors trust.

Amey Chalke : Just last question I have on the pricing front, because most of these products are at around like Rs. 2,200 to Rs. 20,000 kind of price range and at present very limited competition, you have factored in the pricing erosion going ahead in your estimates or how?

Prakash Agarwal : On the business model, we have taken a price increase of 4% to 5%, which is much conservative versus what you have seen in the past, which is about 6%-7%.

Amey Chalke : So you don't expect the competition to increase, so that is why you have not factored in?

Prakash Agarwal : Given the competition is itself low, we believe that this is achievable because if you see the main brands which we mentioned in one of the slides, in three of them, there is no competition. In three or four of them, there are two to three players, so there is a good visibility of limited price increase.

Rajeev Juneja : And also having said that, you need to understand this is a branded business. This is not a generic business where pricing plays a major role. It is a doctor's prescription which matters like how we do our domestic business.

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Amey Chalke : Just last question I have on the non-competitive arrangement, whether if it has been signed with the previous promoters of BSV?

Ashutosh Dhawan : This transaction is from a private equity. And normally the non-compete clause is for 3-4 years. So this asset was taken by private equity from the erstwhile promoter. And this projection is between Mankind and the private equity.

Moderator : Thank you. The next question is from the line of Sourabh from Pictet. Please go ahead.

Sourabh : So from your remarks, it seems the DNA of BSV is quite different from Mankind. It is more oriented towards R&D and innovation. So are you planning to integrate their team with ours or do you plan to preserve the culture of BSV separately? And how do you plan to retain the talent of BSV?

Rajeev Juneja : See, this business

is totally different. Their capabilities are totally different. So their thought process, DNA has to be different, but they will be complementing Mankind because we don't have these kind of business capabilities in one go. We have got two things, one - we like to run this company as far as the management is concerned, independently, yes, in coming time there would be a merger, but despite of that, they would be running this company independently because here different kind of requirements are there, different kind of talent is required, different kind of products are required. So on one side that culture of making sure that there is a proper institutionalization, right things of Mankind come in there in the team of BSV, but DNA as far as the working is concerned, should remain as it is right now.

Sheetal Arora : And to add to his points, we have acquired the capabilities of complex product and capabilities of people of BSV. So these will remain separate.

Sourabh : And how do you plan to retain that talent?

Rajeev Juneja : That will definitely retain them in different mechanisms. You will see this in the time to come, you will come to know that. Mankind is quite good in retaining talent, look at our background in last 28-29 years. People love Mankind. We create this kind of an environment. That is the DNA of Mankind, actually. The talent is one side. Talent is the mind, the heart is another side.

Moderator : Thank you. The next question is from the line of Surya Narayan from Philip Capital. Please go ahead.

Surya Narayan : My first question is on the market presence in the international region. So while we are having patented molecule, still our market presence in the international region would be restricted to limited areas. What is the impediment there and what is the scope of taking it forward further and if that is the kind of strength, why are we restricting or indicating that, our aspiration for the international market business would be limited only?

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Arjun Juneja : So the patented molecule which is Anti-D, it was initially developed for India market and slowly it started progressing towards other markets. It still hasn't received its approval in a lot of these countries. But having said that, the idea is to increase the focus and get approval of Anti-D in these 15 international markets and also we plan over the next 4-5 years to take it further into ROW and developed markets. There are about 20 ROW markets where filing is in process.

Surya Narayan : The development that is on for the other market and that will take us to those markets

subsequently?

Arjun Juneja : Correct.

Surya Narayan : My second question is on the growth of the business segment and steep broader segment as you have indicated 10 %, 45% and 45 % RX and women health and IVF, so in terms of the profit profile of the business, which would be the best and how different would be the margin profile of this business? Even if you will give some qualitative aspect understanding point of view that is also fine ? That is one and related and extended question about it is that in the opening remark, you mentioned that in the last 2 years the growth has been like phenomenal and it is not only in the revenues and the margin front also there is a kind of significant improvement. So what could have led to this kind of progression and is it only led by the prices or it is one supported also and can you continue the similar kind of progression both in terms of growth as well as margin improvement?

Prakash Agarwal : As highlighted, the entire portfolio is high entry barrier portfolio with an element of super specialty. So super specialty assets, if you see have high gross margins. That is why as the penetration and growth is increasing on these products, the EBITDA margin and gross margins have been improving.

A

Arjun Juneja : And at the same time there is lot of efficiency which has been built into cost which has led to increase in the margin profile and there are certain high margin products with high growth, especially Anti-D, those kind of products have led to increase in profit margin.

Moderator : Thank you. The next question is from the line of Gagan Thareja from ASK Investments. Please go ahead.

Gagan Thareja : I have two questions. One is, can you split up the total purchase value into fixed assets, intangibles, goodwill and also give us some idea of what the depreciation and amortization value can be? Second, even at the FY27 guidance that you are giving of the EBITDA, the ROCE at your purchase value still remain perhaps on mid to between 5 % and 10% sort of an ROCE, so just trying to understand how do you see this evolving because prima facie the ROCE at the purchase value looks low ?

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Prakash Agarwal : I will take the ROCE question. So if you look at BSV 's ROCE is currently in the region of 15 % to 18% and we expect with improving margin profile and growth profile, it will move to 22% to 25% in next 2-3 years. If you look at Mankind, Mankind ROCE is 30% plus. So if you look at combined ROCE , adjusted for goodwill, it would be in the region of 20% .

Gagan Thareja : No, but then goodwill is the value you are paying for it, right, so inclusive of goodwill, the ROCE will still remain low, right?

Ashutosh Dawan : No, that is a good question. And as we highlighted that it is a super specialty R&D tech platform and there are patents also in this business and it is a combination of branded formulation, critical care and Super specialty business. So we will be carrying out the purchase price allocation exercise and basis that we will be doing the apportionment between how much to be allocated towards the intangibles and how much towards the goodwill. So that is an exercise which we intend to take out when we approach the closing or immediately after the closing. So if you ask me, the broad rule of thumb, it is very difficult to define the split at this stage, but broadly given this is a high quality and super specialty business, we are fairly confident that the allocation towards the intangibles will be higher. Majority of the portion will be allocated towards the intangibles in the business .

Gagan Thareja : And if I understand it correctly, I think in your presentation it also indicates that 40% of the portfolio in India is under price control. Is that the case and if that is so, does it not sort of constrain you in terms of pricing power?

Ashutosh Dhawan : You are right that 40% is there, but that is pricing agnostic because at the same time the pricing is higher and there is a headroom available between the MRP and the average sale price. So having said that historically, BSV has been able to take price increase close to 6% on a year-on-year basis and that has resulted in the pricing efficiency which you have seen in the EBITDA improvement.

Prakash Agarwal : See Gagan , you have to see that these products are very limited competition, unlike branded generic for example, when they enter and then suddenly there is a like you saw in diabetes , one or two MNC player and then there are a host of 30 players coming in even in the branded generic market . This you have to take it as a super specialty business where the competition remains 2-3 at best and maybe 1-2 to start with. So the pricing power on these and the volume growth given the low competition is significantly higher.

Abhishek Agarwal : And at the overall level, if you see, as we have highlighted for Mankind, so our NLEM exposure is close to 14 %-15%. At the overall level, it may go up to 17 %-18%. So 82 % is still non NLEM .

Gagan Thareja : And are the exports targeted only at the ROW, or are you going to look at exports in the r

regulated
markets as well?
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Sheetal Arora : Recently , it has been targeted in ROW emerging market, mainly focusing in ROW market only.

Moderator : Thank you. The next question is from the line of Alankar Garude from Kotak Institutional Equities . Please go ahead.

Alankar Garude : First question you spoke about 30% plus EBITDA margins in FY26 and also alluded to the fact that the gross margins for BSV are pretty high, so based on your current assessment and taking into account those 4%-5% price hikes plus synergies and efficiencies, high growth, what could be the peak EBITDA margin for BSV?

Prakash Agarwal : So Alankar , just one point before we start answering that. So the domestic business gross margins are significantly higher. The second point is what are the margin levers is the question ?

Alankar Garude : The peak EBITDA margin based on your current assessment for the overall entity ?

Prakash Agarwal : So this business can continue to see 100 to 200 basis point margin improvement year-on-year, given that the growth will improve, operational efficiency will improve, then there will be synergistic benefits. So on an overall basis, we can believe that every year there would be margin improvement and there will be new technology based products also coming in, which will again improve the margins.

Alankar Garude : And when you say , Prakash domestic gross margins are significantly higher , can you just broadly bifurcate what is the difference between domestic and international gross margins for this portfolio?

Prakash Agarwal : So basically, if you see the branded generic gross margins of domestic business, it is little better. So that was the point that I was trying to make.

Alankar Garude : And the second one is the clarification on the historical organic growth. You spoke about 16% earlier and then there was also mention about 20%. So can you clarify that and the 16% or 20% is over what timeframe?

Prakash Agarwal : So the 16% is from the India business pro forma basis, 25% is for the international business . Blended basis, it is about 20%.

Alankar Garude : And this is over how many years?

Prakash Agarwal : Last 3 years , 21 to 24 .

Alankar Garude : So there Prakash, the base would also be a bit low, right , because these were COVID years , so if you can help us with ?

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Prakash Agarwal : We can deal it offline.

Ashutosh Dhawan : So just to clarify, 2 numbers are floating around, one is 16, second is 20 . 20 is the reported or the actual growth registered , 16 is the adjusted for COVID and the other acquisition. So that is how you have to look at it, Alankar.

Alankar Garude : So basically it is 20% reported overall growth for BSV and 16% is the adjusted growth for the acquisition as well as COVID over the 3-year timeframe ?

Moderator : Thank you. It is from the line of Prashant Kothari from Pictet. Please go ahead.

Prashanth Kothari : Sir, my question is looking at the history of BSV, the growth rates were pretty low before Advent came and the growth rate was like 8 %-10% annually and then it has suddenly come up to whatever 16% or 20%. My concern would be how much due diligence have you done on the sales that they have recognized, is there any kind of dumping has happened in the market because private equity can be kind of bit bad in terms of trying to dress up the company and then sell it at higher prices , especially given the fact that that coming out of it in kind of only 4-5 years . So just wanted to understand your process of due diligence before you have signed up for this ?

Rajeev Juneja : We have done a good diligence in this. We are from the market side as well. We know inside story of earlier Bharat Serum and this Bharat Serum, we know the management, we are absolutely confident that these two extra dumping

is not being taken place and apart from this, we have almost some kind of sense on numbers of this quarter as well. That also reflects that things are right.

Ashutosh Dhawan : So the approach has been both internal as well as external. For external, we engage with one of the big three for the commercial and the revenue diligence. It was a proper due diligence exercise, which was carried out by a combination of big three, big four and the big law firms.

This was an extensive process, which we went through over the last two months timeframe.

Prashanth Kothari : So what led to the sales inflection after Advent came in?

Rajeev Juneja : When it was held by the previous promoters, it was a very mismanaged business. They had good products, but they were very mismanaged . When Advent came in, they brought in new management. New team came in to run this business and there was a lot of cost which were

taken out and lot of products which were t here in R&D which were shared , products which were relevant were developed and lot of effort was put into marketing these good quality products. It was a company which had good products , good engine, but it was mismanaged, so they basically came in with t he new leadership who could manage the business well and that is where the growth came in.

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Prashanth Kothari : And sir, in the domestic business margins, would they be kind of somewhere between typical chronic business margin and acute business margin , would they fall somewhere in between?

Prakash Agarwal : Yes, in that range.

Prakash Agarwal : Thank you. Please write to us for any further clarification and queries. Thank you. Have a nice day. Thank you.

Moderator : Thank you. That concludes this conference. Thank you for joining us and you may now disconnect your line s. Thank you.

This transcript has some minor edits to enhance the understanding and readability and does not purport to be a verbatim record of the proceedings. Since it is a transcription, it may contain transcription errors. The Company takes no responsibility of such errors, although an effort has been made to ensure a high level of accuracy . ~

Mankind/JJJ,...

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Call: Nov 2024

Date: November 11 , 2024

BSE Limited
P J Towers,
Dalal Street,
Mumbai – 400 001

Script Code: 543904 National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051

Symbol: MANKIND

Dear Sir/ Madam,

Subject: Investor Conference Call for Q 2 & H1 FY25 – Transcript

Pursuant to SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Investor Conference Call for Q 2 & H1 FY25 held on Tuesday, November 05 , 2024 at 06:00 p.m. (IST).

The transcript is also available on the website of the Company at
https://www.mankindpharma.com/media/investor/q2_fy25 -transcript_11112024 -1731327465.pdf

You are requested to kindly take the same on records.

Thanking You,

Yours Faithfully,

For Mankind Pharma Limited

Pradeep Chugh
Company Secretary and Compliance Officer

Encl.: As above

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Q2 H1 FY '2 5 Earnings Conference Call "
November 05, 202 4

MANAGEMENT : MR. RAJEEV JUNEJA – VICE CHAIRMAN & MANAGING
DIRECTOR – MANKIND PHARMA LIMITED
MR. SHEETAL ARORA – CHIEF EXECUTIVE OFFICER &
WHOLE -TIME DIRECTOR – MANKIND PHARMA
LIMITED
DR. SANJAY KOUL – CHIEF MARKETING OFFICER –
MANKIND PHARMA LIMITED
MR. ASHUTOSH DHAWAN – CHIEF FINANCIAL
OFFICER – MANKIND PHARMA LIMITED
MR. PRAKASH AGARWAL – PRESIDENT (STRATEGY) –

MANKIND PHARMA LIMITED
MR. ABHISHEK AGARWAL -- HEAD INVESTOR
RELATIONS – MANKIND PHARMA LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Mankind Pharma Limited Q2 & H1 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Abhishek Agarwal from Mankind Pharma Limited. Thank you, and over to you, sir.

Abhishek Agarwal: Good evening, everyone, and a very warm welcome to our Q2 FY '25 Earnings Conference Call. On call today, we have Mr. Rajeev Juneja, our Vice Chairman and Managing Director; Mr. Sheetal Arora, Chief Executive Officer and Whole Time Director; Dr. Sanjay Koul, Chief Marketing Officer; Mr. Ashutosh Dhawan, Chief Financial Officer; and Mr. Prakash Agarwal, President, Strategy.

I hope you had a chance to review the investor pack already uploaded on our website a couple of hours back. We will begin with Mr. Rajeev Juneja sir providing an overview of Q2 FY '25, followed by detailed insights from Mr. Sheetal Arora sir on our business performance. Mr. Ashutosh Dhawan sir will then cover our financial performance. And after that, we'll open the floor to ask questions.

Please note that some statements made on today's call may be forward-looking. For a full disclaimer, please refer to the investor presentation and press release available on our website. Now I'll hand over to Rajeev sir for his comments.

Rajeev Juneja: Thank you, Abhishek, and good evening, everyone. A very warm welcome to our Q2 & H1 FY25 earning call. I am delighted to share with you all that we have now successfully acquired Bharat Serums and Vaccines Limited. This acquisition is a significant milestone as it perfectly aligns with our vision to expand into high entry barrier products in women's health care, a niche critical segment. It also positions us as number one player in gynaecology segment, and further strengthens our research and development capabilities with improved technology. While many see this as a transaction closing, at Mankind we see it as an inspiring beginning of a new journey together as one family of around 25,000 employees with BSV.

On the quarterly front, in Q2 FY 25, our revenue increased to INR3,077 crores, registering a growth of approximately 14% year-on-year and a healthy EBITDA margin of 27.7%. In first half of FY '25 revenue increased by 13% year-on-year, with an adjusted EBITDA margin of 26.5%. Our chronic share increased 120 bps year-on-year to 36% in first half '25 as compared to 34.8% in H1 '24 driven by continued outperformance of 1.3x to IPM chronic growth. In Q2 FY'25, our domestic business grew at 11% year-on-year, consistently outperforming the IPM growth, driven by volume and chronic outperformance. In this quarter, the market share by volume has also increased to 5.9%, driven by a healthy volume growth of 1.3% as compared to IPM volume growth of 0.4%.

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With our commitment to provide affordable quality health care accessible to all, we now have 200-plus D MF-grade products, of which more than 90% is in the chronic segment. Moving on the Consumer Healthcare business. We believe this business has a huge potential, and hence, we have carved out our OTC business to a wholly owned subsidiary of Mankind Pharma, which sets this business for next phase of growth. On the R&D front, we remain committed to product innovation and establishing strategic partnerships with innovators to enhance our product portfolio. Additionally, BSV's complex R&D tech platform will bolster our product presence in highly

highly complex, innovative

recombinant, biologics, immunoglobulins and complex delivery products.

In the last quarter, we laid a strong foundation for our next phase of growth by developing multiple growth levers, a resilient base business, a rapidly growing specialty chronic segment, high potential OTC business and now a super specialty portfolio of BSV. We believe strongly that the best of Mankind is yet to come.

And now I invite Sheetal to provide more details on our business performance.

Sheetal Arora: A very good evening, and I thank everyone for taking out time and joining us on our Q2 FY'25 earning call. As Rajeev ji emphasized, our strategic acquisition of BSV expand Mankind's presence in high-entry barrier segments, both in India and emerging markets. Specifically, the women's health and niche critical care products present significant opportunities supported by favorable market trends.

We believe this acquisition will further support revenue growth and improve EBITDA margins, allowing us to unlock new opportunities and strengthen our product portfolio. This acquisition is financed through a mix of debt, equity and internal accruals. We may consider to retire a portion of the debt through a potential equity raise which is already approved by the shareholders to maintain our net debt-to-EBITDA ratio below 2x by FY'26.

I want to extend my heartfelt gratitude for the overwhelming response for our recent debt raise. Your trust is invaluable to us and we recognize the added responsibility, it entails as we move ahead. Following the closing of our transaction last week, both teams have begun collaborating closely to develop a comprehensive road map for the seamless integration of BSV. We anticipate its completion within the next couple of quarters and look forward to capitalize on potential synergies.

As I talk about domestic business, let us start with our domestic business revenue. This increased by 11% year-on-year basis to INR2,796 crores in the Q2 FY '25, supported by volume growth and chronic outperformance. This quarter, we continue to maintain our #2 rank in volume terms.

Our consistent outperformance of 1.3x in chronic growth compared to the IPM chronic this quarter was driven by resilient outperformance of 1.6x in cardiac and 1.4x in anti-diabetic, alongside recent strategic launches in chronic segment.

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As a result, our chronic share increased by 119 basis points on a year-on-year basis surpassing 35% in Q2 FY'25, commonly referred to as an acute heavy quarter. In contrast, the IPM chronic share increased 60 basis points to 38% during the same period. In line with our focus towards expanding specialty chronic, we have launched Crenzlo injection (Inclisiran in-licensed from Novartis) used for hyperlipid lowering.

We continue to be the leading player with a higher prescription share of 15.4%, reflecting the trust that doctors have on Mankind and our products deeper market reach. Additionally, our prescriber penetration has also improved by 30 basis points increasing from 83.2% in Q2 FY'24 to 83.5% this quarter.

About OTC. In the OTC business, our strategic initiatives adopted in the past are now largely implemented, and we have started witnessing strong growth in this segment.

In this quarter, revenue increased by 20%, reaching to INR232 crores as compared to INR193 crores in the same quarter last year, driven by healthy growth across key brands supported with strong growth in e-commerce and q-commerce channels. We are also witnessing strong traction in our recent strategic launches that is Manforce Connect and Epic premium category condoms, Nimulid in pain management, etc.

In international business, the revenue from export increased by 57% year-on-year and 8% quarter-on-quarter to INR281 crores in Q2 FY'25, led by increase in our base business and new

launches in the last 12 to 24 months. Additionally, BSV's complex portfolio of fertility, recombinants, critical care products and Immunoglobulins having high entry barriers will further strengthen our international product portfolio basket.

Thanks to the dedication, passion and customer-centric approach of our team, I am confident of achieving new milestones in the upcoming quarter. We look forward to upholding the trust our customers place in our product and wish to reaffirm our commitment to enhancing the quality of life.

Now I will hand over to Ashutosh ji, who will provide detailed insight on financials. Thank you so much.

Ashutosh Dhawan: Thank you, Sheetal ji. Good evening, everyone. I'm delighted to have you all with us on our Q2 H1 FY '25 earnings call. Let me give you a brief of the financial highlights of our quarterly performance for Q2 FY '25. Revenue from operations has increased by 13.6% year-on-year basis to INR3,077 crores as compared to INR2,708 crores in Q2 FY '24.

During the quarter, EBITDA has increased by 24.3% year-on-year basis to INR853 crores with margins of 27.7% as compared to INR686 crores with margin of 25.3% in Q2 FY '24. The increase in EBITDA margin by 2.4% was largely due to a 2.1% improvement in gross margin, and the balance is on account of operating leverage. The EBITDA margin for H1 FY '25 is 25.8%, which is largely in line with our earlier stated guidance of 25% to 26%. However, adjusted EBITDA for H1 FY '25 is 26.5%.

For this quarter, our gross margins have increased to 71.6% year-on-year basis from 69.5% in Q2 FY '24. This increase is a combination of sales price increase effect and favorable sales mix contributing 1.1% and remaining 1% is towards favorable input costs as well as certain operational efficiencies.

The R&D expenses for the quarter of INR58 crores remained at 1.9% of sales, which is within the stated guidance of 2% to 2.5%. Depreciation and amortization expenses increased to INR106 crores as compared to INR96 crores in Q2 FY '24, and this is majorly due to the impact of capitalization of completed projects in the previous 3 quarters.

The effective tax rate for H1 FY '25 was at 20.8%, which is in line with H1 FY '24 ETR of 20.6%. However, for the quarter 2 FY '25, the ETR was 22.4% as compared to 20.3% in Q2 FY '24 last year. The PAT increased by 28.9% to INR659 crores during the quarter with diluted EPS of INR16.3 per share of INR1 paid. Cash EPS, which is EPS adjusted for noncash items, like depreciation and amortization was at INR18.9.

The net operating working capital days for the quarters has increased to 45 days as compared to 44 days in Q2 FY '24. Further in H1 FY '25, our cash flow generated from operations was at INR1,139 crores, which is on a Y-on-Y basis increase of 18% from H1 FY '24. Our cash flow to EBITDA ratio in H1 FY '25 is 74%.

Our capex spend for Q2 FY '25 was INR128 crores, which is 4.2% of the total revenue for Q2 FY '25 as well as H1 FY '25. And the same is in line with our guidance of 4% to 5% of the revenue. Our net cash position has increased significantly to INR4,255 crores as at 30th September '24, vis-a-vis INR2,159 crores as at 30th September '23.

The return on capital employed, excluding cash, is at 35% level as of 30th September '24 on a trailing 12 months basis. The return on equity ex cash is at 31% level as of 30th September 2024 on a trailing 12-month basis. Now BSV transaction has formally got closed on 23rd October '24. Therefore, Q3 FY '25 will have consolidated results of BSV for that past period.

Further, for the purpose of this acquisition, Mankind has raised INR10,000 crores in debt, split into INR5,000 crores on nonconvertible debentures and INR5,000 crores for commercial papers with each component structured in 3 tranches. The composition of NCD is in 3 tranches of

INR1,250 crores and INR1,250 crores and INR2,500 crores at a coupon interest rate, which is ranging from 7.97% to 7.99%.

The tenure of these NCDs is spread across 18 months, 24 months and 37 months. The interest on these NCDs is to be serviced on a semi-annual basis. The commercial papers were raised in 3 tranches of INR3,000 crores, INR500 crores and INR1,500 crores at a coupon interest rate, which is ranging from 7.45% to 7.85% and the tenure of these CPs is spread across 91 days, 182 days and 365 days.

As Sheetal ji has highlighted, we may consider to retire a portion of debt through a potential equity raise, which has already been approved by the shareholders. And this EBITDA margin

accretive acquisition aligns with Mankind's goal of maintaining net debt-to-EBITDA ratio of below 2x by FY '26, reinforcing its commitment to sustainable growth and financial discipline.

So this concludes our opening remarks, and we are now happy to take any questions which you might have. Thank you. So over to you, Abhishek.

Abhishek Agarwal: Yes, the forum is open for questions.

Moderator: Thank you very much. The first question is from the line of Neha from Bank of America. Please go ahead.

Neha: Sir, my first question is on the India domestic formulation business. What is the seasonality in ...

Prakash Agarwal: You're not audible. Can you please speak up?

Neha: Okay. Let me try speaking louder. So for the India formulation business, just wanted to get a sense on how the seasonality was in this quarter. Because it seems like obviously chronic, we have done very well. But is it fair to assume that this growth could have been better if we had a normal season? How was it versus your expectation?

Rajeev Juneja: Hi Neha, good evening, Rajeev here. You're right. I mean, this time, Deepa wali came a bit earlier than last year. This is one. Plus one more thing, basically once in every 5 years at Mankind, we go for a deeper commercial excellence. And what's the meaning of that?

In every 5 years, we find a bit of inefficiencies - things are not happening as per our system, and productivity problems are there. We start working on that side, and we don't shy away from working to make our foundation strongest.

Prakash Agarwal: So just to add on the season side, I think we saw a fairly decent season both in terms of chronic and acute season. So nothing much to call out. It's a regular season for us.

Neha: Okay. Understood. And just on the other expenses, we seem to have seen -- seasonally, if I look back, this quarter, we do see a step-up in other expenses, even if I adjust R&D. But this quarter there seems -- I know there is a one-off in the first quarter. But even adjusted for that, other expenses seem to have come down meaningfully quarter-on-quarter. So I just wanted to understand if there are savings seen there? Because I thought we were -- we should increase the promotion spend, etc. So operating leverage being better than we had expected.

Ashutosh Dhawan: So you are right in your assessment, Neha. Other expenses in this quarter, they have been pretty controlled. Last quarter, there were 2 effects. One was, there was an impact of certain one-off acquisition-related costs, not to BSV but some others. And second was the impact, apart from one-off, we introduced 4 new divisions. So a bit of an investment went into that direction as well. In Q1, there was a bulge in the expenses, which has normalized in Q2.

Neha: Understood. And sorry, one last question on BSV. Now that we'll start integrating the asset, what are the milestones that we should look at in terms of margin improvement? I mean when can we start looking at probably improvement in MR productivity, probably the in-sourcing that we

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talked about, scope for price

increases. What is the scope for margin if you think about a 1-year perspective or 2 years down the line based on your comfort of giving any margin guidance there?

Prakash Agarwal: So Neha, as per last commentary, there are various synergy levers in the business. But first, we have just closed the transaction. We just started integrating it. Our focus is to improve the growth of the mandate brands, both in India as well as international because we see that there's a lot of juice left. And if these products continue to see that kind of growth, the operating leverage will flow in, because gross margins also are good for these kind of products.

So apart from the base business growth in this, there will be a couple of synergies. One is in terms of MR productivity, as you rightly said, the Rx business, the TTK portfolio. The MR productivity, as highlighted earlier, is much lower than the company average of BSV, so that's under 3 lakhs currently. We have some plans there, that can improve significantly in the immediate to near term to medium term. And secondly, there are manufacturing - CMO kind of opportunities plus a host of other things that would pan out in the next 12 to 24 months.

Neha: Prakash, what would be the gross margin for the BSV asset?

Prakash Agarwal: So gross margin-wise, I think on the consol front is in the region of Mankind, a little lower than company average, but it would -- if the mandate brands increase, I mean, the mandate brands are upwards of 70% plus.

Neha: Okay. But on a blended basis, it's slightly lower than Mankind?

Prakash Agarwal: Currently it's slightly lower, yes.

Ashutosh Dhawan: So it is comparable to Mankind, a shade better than Mankind...

Moderator: The next question is from the line of Amlan Das from Nomura India. Please go ahead.

Amlan Das: Sir, my question is regarding the regulatory restrictions that you have written for the acute products. Could you please elaborate on that a bit?

Prakash Agarwal: So there are 2 products in 2 therapies. So first one is Codistar, which we've been highlighting for the last 4 quarters. So there is some impact there in this quarter as well. Going into Q3 and Q4, the impact will come down. In this quarter, particularly, there is one product in the gynaec segment, which is Unwanted-72, which has also been impacted. So adjusted for that, I think the IQVIA number (mankind secondary sales) would have been 10% plus, which is currently 8.6%. So from an outperformance perspective, we would have still been 1.25x versus the IPM.

Amlan Das: Okay. Sir, one more question on the Dydrogesterone project, what is the update there? How is the progress in the last quarter?

Sanjay Koul: So our growth last quarter has been more than 20% if you include both the brands that are Dydrogesterone as well as Drogyna in two different divisions. They have grown by more than 20% in Q2.

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Amlan Das: Okay, sure, sir. And one more question, if I may. In the exports, on one-off opportunities that was there in the last quarter. Is it continued? Or is it purely based on new launches and the base business, the growth.

Prakash Agarwal: So one-off opportunities where? Sorry, your question is not clear.

Amlan Das: Sir, my question is that the export growth. Is it purely based on the base business growth and the new launches? Or has the one-off opportunity been continuing in that way that were mentioned in the last 2, 3 quarters?

Prakash Agarwal: So export business has seen good growth, both in the U.S. as well as ROW markets. The one-off opportunity, that is, again, as highlighted earlier, is smaller versus the base business.

Abhishek Agarwal: The growth Guidance is expected to be intact, that is double-digit growth over the last year number.

Moderator: The next question is from the line of Harith from Avendus Spark.

Harith: On BSV,

now that we've closed the transaction, can you share some more details around the purchase price allocation, the breakup between intangible goodwill and the net assets acquired?

Ashutosh Dhawan: We have just started this exercise. So nothing more to add to what we have highlighted earlier, and this exercise is going to take some time. So on a very broad basis, what we can say is that whatever is the premium, anywhere between 27% to 33% would be allocated towards the goodwill portion.

Harith: Okay. Got it. And if you can also talk a bit about the performance that you've seen at BSV in the first half of FY '25, both in terms of growth and margins? And how we should think about BSV numbers for FY '25? If you could share some outlook, that would be helpful.

Prakash Agarwal: So we can share only top-level data points. From a top line perspective, the formulation business, which was 90% plus fiscal '24 sales has grown at about 13%, the German API business, which contributed 9% in FY24 has actually declined by 50%. So net-net, we have grown in the formulation business, which has led to EBITDA margin expansion, which was 23% reported last year to now 26%.

Harith: Okay. And is there some outlook that you can share for the second half or for the full year?

Prakash Agarwal: So I think, the closing has just happened and the guidance remains that business is expected to continue to see 15% plus growth with the improvement in EBITDA margins.

Harith: Okay. And lastly, on the Consumer Healthcare business, we've seen a 20% Y-o-Y growth, a strong performance. So how should we think about the sustainable growth for this business?

Abhishek Agarwal: Yes. So Harith, on OTC business, although Q1 was a little impacted. So here, you may expect high single digit to low double digit for this financial year. And going forward, you may expect

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double-digit growth. And EBITDA margin will largely be in the range of 18% to 20%, as we have guided before.

Moderator: The next question is from the line of Gagan Thareja from ASK Investment Managers.

Gagan Thareja: First one is a clarification on BSV. If I go by the presentation figures that you gave last quarter, I think OPM stated there was 28% adjusted OPM. You talked of OPM's first half being 26% versus 23% reported last year. So I mean, like-for-like adjusted, what's BSV's operating margin for the first half of this year versus last year?

Prakash Agarwal: Yes. The adjusted EBITDA margin is 29%.

Gagan Thareja: Versus first half last year would have been?

Prakash Agarwal: So it is in the region of 28%.

Gagan Thareja: Okay. All right. Second one is on incremental interest and depreciation cost post the consolidation of BSV starting next quarter, if possible to enumerate and give some idea on that?

Ashutosh Dhawan: That's what we highlighted that the current purchase price allocation study is on the way. And we expect to close this exercise by end of this year. So by that time, you will get a fair idea as to what is the intangibles, which are getting amortized and how much is getting allocated to the goodwill. The premium what we expect on a very, very high level, is close to around 30% towards the goodwill.

Gagan Thareja: Sorry, 30% would be towards Intangibles?

Ashutosh Dhawan: The balance should be towards the intangibles, but this has to be validated by the valuers. Currently, we have just started this exercise after closing.

Gagan Thareja: Amortization would be done over what time frame?

Ashutosh Dhawan: You have to be a bit patient because this exercise is going to take time, because there are multiple intangibles and each intangible will have a particular time frame. So we will give you more color to this in our next investor call. By that time, we can talk about this with more certainty and clarity.

Gagan Thareja: Okay. And bas

is the repayment tenures of the NCDs and the commercial paper, what would be the overall cumulative debt repayment annually you would be targeting in '25, '26 and '27?

Ashutosh Dhawan: As we highlighted that to maintain the financial prudence by FY '26, the overall debt should be less than 2x of the EBITDA level. Overall time frame, what we have kept is 3 years, within which we intend to liquidate the whole debt of INR10,000 crores.

And the plan to accelerate the repayment is, one is through QIP – a part of the debt is going to be retired through that. And we have certain non-core assets for which we have initiated the process of liquidating those assets. So those proceeds will also be used to retire debt.

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Gagan Thareja: And what could be the equity -- possible equity dilution you would do to partly pay the debt?

Ashutosh Dhawan: So that will be close to INR3,000 crores, as per financial prudence, what we have worked out. This is subject to the formal approval and consideration by the Board. So that is the proposal which will be put across to the Board for their consideration and evaluation.

Gagan Thareja: Okay. And final one from my side. Sir, the chronic acute mix will keep on moving in favor of chronic for Mankind's base business. Obviously, it comes, as you've already pointed out at 10% or more higher gross margins, which means that logically speaking, operating margin should have more headroom to improve unless you intend to claw it back in promotional spends. Likewise, there are operating levers in BSV. Is it fair to assume that both base business of Mankind as well as BSV will have an improving operating margin trajectory going ahead?

Ashutosh Dhawan: That's a fair assumption.

Gagan Thareja: Is it possible for you to give some corridor or enumerate very broadly on ballpark what sort of improvement should we be looking at on an annual basis?

Ashutosh Dhawan: So the broad guidance what we have given going back to the guidance of 25% to 26% is for Mankind. And what we have been maintaining stance is that the BSV acquisition will be margin accretive. So the BSV margins should be better or comes out to be better than the Mankind margin.

Also, you have to appreciate there are levers available, which can enhance the margin. But to quantify them at this stage, will be a bit premature. So we would like to maintain the same guidance of 25% to 26% for Mankind.

Moderator: The next question is from the line of Bansil from JPMorgan.

Bansil: So my question is on BSV. How should we think about growth in international markets for this portfolio? So I understand you've guided for 15% growth. And in the domestic market, you guys have a pole position with your distribution reach. But when we think about international markets, what I understand is that Philippines, Malaysia, these are the key markets for BSV as of today. So how should we think about growth in those markets? And would you need further investments to grow that part of the business?

Prakash Agarwal: Bansil, this is Prakash. So the question asked was for the second half of this year, where we talked about 15% plus growth. From a FY'26 perspective, when we see the full year, we expect the growth to further inch up to 15% to 20%. We are already seeing 20% plus growth in the international markets. So that should continue the momentum because these existing products will enter a lot many markets as the registrations are just taking place. So there's enough growth levers available to grow in the ASEAN markets, LatAm markets, MENA markets, so 20% -plus growth is what you could build from FY'26 onwards in the international markets.

Bansil: And this would be largely coming on account of entering new markets? Or do you also have pricing lever in these markets?

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Prakash

Agarwal: So the first one will be more penetration in the existing market because the products they are present at is 1 to 2 player market. These are branded generic markets. So that is existing penetration in the existing markets and then the growth will propel further with entering into newer markets. So it's a two-pronged growth lever.

Rajeev Juneja: Bansil, I mean, we have just taken over this company and more we think about BSV more we feel very, very confident that this is a wonderful acquisition we have made. And it's always good to be a bit conservative initially so that we can make you happy later on. And as Prakash said that a lot of things will happen in BSV, TTK business will come, which is not a core BSV kind of a business, will be separated out - I mean, the right things will happen. At the same time, once we will come, some kind of acceleration in everything will happen. We're very confident about

this.

Bansi: Appreciate your comments, sir. And just on this, sir, there are a few products also in the R&D pipeline of BSV. So what should we think about time lines in terms of those products getting eventually launched? So would it be slightly longer term in 3 to 5 years' time frame?

Rajeev Juneja: In the case of R&D, it's always very premature to make any comments because it's kind of a journey without destination. But yes, when you look at this at first hand, it tells us that a lot of optimism is there. That's all I can say. We don't know. I mean, it can happen in 3 years, it can happen in 5 years, we don't know. But we're quite optimistic about this.

Bansi: Okay. And just lastly, on the margin bit. Prakash, how would the margin differ between domestic and international piece for BSV?

Prakash Agarwal: So the gross margins of international are a tad higher. Domestic margins are inching up with the mandate brands going up. Two, one of the questions asked, I think, Neha asked that question.

So when I gave the number a tad lower than company average or around that was for last year.

So the first half of this year, the gross margins have increased, as I mentioned, the mandate brands have seen higher growth versus the tail brands. So that is the reason why gross margins and both EBITDA margins are higher than fiscal '24.

Bansi: Okay. And because these are regulated in terms of pricing, is your pricing lower here in domestic market?

Prakash Agarwal: So some of the products are, because still a large portion, I think about 40% plus portfolio is still covered by DPCO. But since it is a single player market, they are able to take price hikes. So there's lot of price lever, but more so, it is more on the volume side. Still, we believe that the penetration level is still very low, given the BSV footprint. With Mankind coming in, the footprint increases pan-India. And there, we expect much more volume growth. Price would be a second lever to that.

Moderator: The next question is from the line of Kunal from Axis Capital.

Kunal: Sir, my question is around field force productivity. So on the current portfolio, if you can share which therapies you believe offer headroom for improvement? And till where you can go?

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Sanjay Koul: So there is a lot of headroom to grow in recent launches, such as - ophthalmology is one area, dermatology is another region where we have a lot of opportunity to grow. Then we have super specialty businesses like urology and neurology, where we feel that we have a lot of headroom to grow.

Prakash Agarwal: Just to add, the Mumbai division, which is the specialty chronic where there are super specialty divisions of cardio, diabeto, they are still under 3 lakhs, because they've been just launched 3, 4 years back. So there's a lot of headroom. So Mankind, if you see is a relatively younger company with 10-plus new division coming in the last 3 to 4 years,

with about 3 lakh PCPM. The company average is more than 6.5.

And the older divisions are INR9 lakhs to INR10 lakhs to INR12 lakhs plus and the newer division, which have launched last 3 to 4 years are around INR3 lakh plus/minus. So all these divisions have a lot of headroom to reach the company average, which in turn will improve the company average to much higher than the current levels.

Rajeev Juneja: So if you look at any new division of Mankind, most of the divisions are in the chronic side.

And when Prakash said INR3 lakhs plus/minus productivity, the growth is 25% plus. And just multiply this in the next 2, 3 years' time, and you'll see that the productivity will go up many fold. We hope that these chronic divisions, special divisions will start giving us more productivity. I mean in every term, whether it's the profitability, whether it's top line, whether it's the bottom line, we'll catch up on many things.

Kunal: Sure, that's helpful. But could you share what would be the productivity of the chronic division?

Prakash Agarwal: Your voice was not clear. Can you repeat your question?

Kunal: I was asking, can you share what the productivity would be of the chronic division?

Ashutosh Dhawan: That's what we highlighted that only the specialty division, which is chronic focused, the productivity is less than company average. But the legacy division, there is a mix of chronic as well as acute. So if you specifically ask that what is the chronic productivity as a company as a whole level so that we are not able to capture and provide.

Prakash Agarwal: So Kunal, as you might have appreciated that Mankind is a very unique company, when they launched, the division itself had both acute and chronic, which was a multi-specialty division.

So that's why we are unable to carve out exact PCPM for acute and chronic. But what we are telling you is that the newer divisions which are specialty driven more focused towards MDs, DMs, KOLs, those are the newer divisions launched in the last 3, 4 years, which are around 3 lakh.

But if you see the brands like Telmikind, Amlokind, these are more than INR400 crores, INR500 crores brand today and the PCPM sitting in the multi-specialty division would be in the region of INR8 lakhs to INR10 lakhs. So it's very difficult to carve out just for chronic.

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Sheetal Arora: But to add to Prakash point, around 5 years ago, our chronic contribution was ~28%. Now from 28%, it has gone up to 36%, 37%. So there's a jump in chronic from 28% to 36% in the last 4, 5 years.

Kunal: Got it, sir. And just if I can carry on, on that point. When you add BSV to your portfolio, I mean, how should we see the sales force shaping up in the next 2 to 3 years? Would you be adding people because there is some overlap in terms of the prescribers? Do we see some sales force maybe, would there be layoff or anything of that kind?

Rajeev Juneja: Please understand. I mean, when you look at this, Mankind is a very unique company. We have different kind of functioning in Mankind. On one side, when you look at this, our traditional old mass divisions, where we have 1,700, 1,800 medical reps working from Delhi division, where we sell acute and chronic both. This is one side, the older one.

Then we come to our consumer division, the second side. The third side basically is our specialty business, which we started 4 years back in 2019, 4-5 years back. When we say specialty, that means for all the chronic divisions, only chronic we sell over there.

And now BSV. BSV is a totally different ball game. It is super specialty business, more towards critical side, more towards gynec side, more towards IVF side. So we'll hardly find any overlap. The only place in BSV where we are supposed to really work on is the TTK portfolio, where work has to be done on have 3-4 divisions

We are supposed to see how we basically play with that. Because these divisions will come to Delhi side as these are branded prescription products. So there, some kind of optimization will take place. We see 5-10% overlapping that's all, nothing more.

Prakash Agarwal: Just one point, if I may add. So BSV PCPM on an average last year was 6.5. But if you carve out just the TTK, which was under 3, the remaining PCPM is upwards of INR8 lakhs.

Moderator: The next question is from the line of Gagan Thareja: from ASK Investments.

Gagan Thareja: Is it possible to give some idea of the contribution to your domestic sales from your in-licensed brands currently and how they have grown year-on-year?

Prakash Agarwal: So there is a significant growth across the in-licensed brands. We are not calling out the percentage, but it is a very tiny percentage today. But we have seen very strong growth across older products, which were in-licensed like Neptaz, and also the recently launched products like Inclisiran as well as the Symbicort.

Gagan Thareja: Okay. But is it reasonable to assume that this growth number would be much higher than the cumulative reported growth of the domestic piece?

Rajeev Juneja: So Gagan, please try to understand that whenever we go for any in-licensed product, the strategy is not only growth. The strategy is how to really make our presence in topmost doctor's chambers. So they become the spearhead of our marketing side, these in-licensed products help our marketing team in entering big doctor chambers. So that way we see in-licensed products.

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If you're selling branded generic product or some specialty products, but once you start selling these in-licensed products (a lot of science is there), a lot of information is passed on to these doctors and they start listening to us. At the same time, it really enhances the reputation of Mankind. So it's more of intangible, it's more of helping our marketing side rather than just looking at how much volume growth, how much growth is there. We don't feel like that. It's so tiny right now.

Gagan Thareja: Okay, sir. And on the Panacea brands, I think last year, you grew very well. Have you been able to maintain that kind of growth momentum in the Panacea brands?

Rajeev Juneja: Same kind of growth. Yes, it's 25% plus.

Gagan Thareja: Right. And exports last year, you had indicated that on that base, you will grow moderately this year, but first half growth has been very strong in exports. I think the base catches up in 4Q, but that would still mean that if you can continue at your current sort of quarterly run rate exports this year should also be very healthy in growth. Is that assessment correct? And secondly, on that base in FY'26, how should we look at exports for Mankind excluding BSV?

Prakash Agarwal: So Gagan, as you know, exports guidance is very difficult. But if you see, the U.S. generic cycle is pretty favourable and better than expected. And contribution of ROW sales have also picked up. So both of them contributing significantly to the overall growth. So we still be guiding for double digit. Let's see how we end. For FY'26, we'll come back to you in the Q4 quarter.

Gagan Thareja: Yes. I mean 1H is very strong. So arithmetically, even if you maintain that sort of rate, we're still talking about a very good number in exports for this year. But be that as it may.

Last question from my side. When you indicated noncore assets will be used to pay back a certain amount of debt, one - what will be potentially the scale of repayment that you can sort of get from monetizing these assets? And if possible, can you perhaps point out which are these? Are you talking about the resort and the real estate asset?

Ashutosh Dhawan: So these are the two hospitality units, one is the name of Mahananda, separate entity and one is

broadway which are in the process of being liquidated.

Gagan Thareja: Right. And what part of your debt can be repaid away from liquidating these assets broadly?

Ashutosh Dhawan: We have currently floated the RFP for sale of these assets. So what we are targeting that somewhere around INR600 crores to INR650 crores should be the consideration what we are looking at, which will be used for the purpose of retiring the debt.

Moderator: The next question is from the line of Tushar from Motilal Oswal Financial Services. Please go ahead.

Tushar: On the chronic therapy side, if you could share the price volume and new launches growth?

Sanjay Koul: So we don't take the data. But as a whole, we can share. But on chronic side, we cannot do this.

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Prakash Agarwal: It's a very small base, and we are just catching up. We are still under indexed to the market. As Sheetal ji highlighted, market is at 38%, we are at 36%. So there's a lot of volume jump that is happening. At the same time, wherever there are price difference, we have taken the price hikes also. And as you know, we had increased our covered market presence from 62% 3 years, 4 years back to now 69%, 70%.

Within that period, we have launched a lot of chronic portfolio, which is still catching up. For example, within respiratory, we launched inhalation; within diabetes, we launched insulins. In cardiac, as you know, we launched these lipid lowering drugs as well as Neptaz. So there's a lot of addition that has happened in the last 3 years. They're all catching up. So there's a lot of volume jump that is happening.

Tushar: So if I exclude the BSV portfolio for time being and look at the prescription growth rate, considering these kind of products that are getting added in the chronic side. So what kind of growth prospects can be thought of for the pure domestic, let's say, prescription side of the business for next 2 to 3 years?

Rajeev Juneja: I mean 2 places, now 3 places, we are very bullish, these are very close to our heart. One is our consumer business. Second is our chronic side. Just try to see Mankind's position. I mean, a few years back, it was just 1%, 22 years back, our chronic share in our total share was only 1%. And today, it is 36%.

How we have done it? We have just been continuously working on it. Our first priority basically is in the short-term period, how can we cross 40%, kind of a contribution from our chronic side.

And in long term, why not more than 50% like our peers are doing it.

That's the kind of aspiration we keep in our heart in chronic side because we know, one, it brings consistency. Second, it brings more profit, whatever new prescription you add that clearly gives you growth as well. So all in all, it's a fantastic thing. We learned this a bit late, but we're working on it. And that's one reason you always see that in chronic side, our growth is more than IPM always.

Tushar: That's quite encouraging. So just connecting that to the profitability like in your earlier call s, you had highlighted Panacea, is now like 33% sort of an EBITDA margin out of profitability. So in a pecking order, putting it like chronic, acute, then consumer and then the exports and now Panacea, in terms of the EBITDA margins of these segments, if you could throw some light on this, Which are the ones which are more than the company average and which are the ones which are below company average?

Ashutosh Dhawan: So Panacea has been a successful acquisition where the EBITDA margin is much higher than the company's average, because that's a pure chronic play. And plus, at the time of acquisition, we were relying on Panacea to supply once they internalized, the margins improved further. So as we have earlier also called out, the margins are upward of 30% for the Panacea business. We don't do the profit

tability at the chronic segment or at the acute segment , we do a consolidated segmentation.

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And now we have started showing a separate business segment of consumer care. So if you look at the pecking order broadly, Panacea is number one , then the core or the main business is number two . Then comes our OTC business, where we have given our guidance that the EBITDA margins will be in high teens. So that's how the pecking order is.

Tushar: And exports, sir? Export will be below OTC ?

Ashutosh Dhawan: Yes. So exports also lies somewhere between the high teens and the company average margin.

Moderator: The next question is from the line of Alankar from Kotak Institutional Equities.

Alankar: So it's been 5 years now since we set up our specialty team. While you did comment on the current PCPMs and the scope for improvement in the future, can you qualitatively comment on how has been the progress so far versus, say, our initial expectations, what have been the key learnings? And any specific therapeutic areas wherein you expect the performance could have been better and possibly there is more scope for improvement in the future?

Rajeev Juneja: 5 years back, the specialty business was launched and immediately after that the COVID happened. Don't forget that. It was only after a few months, COVID happened. So all in all, if I say at most 2 years were lost in COVID, so it's 3 years old journey. And when this kind of interval is there or interruption is there, certain things which you expect don't happen.

People developed different kind of habits, post -COVID . So you keep on facing those challenges.

In some of the divisions, the productivity has reached to 4.5 lakh and INR5 lakh. But in some of the divisions, I'd say, were not up to the expectations , productivity didn't reach to the right level .

Our neuro business needs a lot of improvement. Again, we are working on the leadership side.

Our one division in the diabetes side, we need a bit of improvement. But rest as a whole, things

are quite good. I can tell you - 70%, 70% plus divisions are doing good. Some are doing very, very good. Some are doing very good and 30% are not in the category of our expectations.

And there are always new challenges. Because it was the first kind of experience. We came to new therapies. So we learn and just keep working . We are living in a very dynamic world. Things change very, very fast, and we are also learning from it.

Alankar: Understood, sir. That's helpful. The second one is it possible to share our performance in either this quarter as well as or maybe the first half, Mankind versus IPM in rural markets and Tier 1 towns?

Sanjay Koul : So if we talk about Tier 2 to Tier 6 towns, our growth has been higher than the IPM growth in Q2. It has been 7.2% versus 6.9% of IPM. And if we take H1 as a whole, then it is 1.1x of IPM.

Alankar: And for the Tier 1 towns, sir?

Sanjay Koul : And for Metro and Tier 1, it is again higher than IPM - 9.8% versus 8.8% of IPM. And in H1FY25, it is 1.1x to 1.2x of IPM.

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Alankar: Understood sir. And one final question. So now that the confusion around the sale and distribution of emergency contraceptive pills has been resolved, do you expect sales for Unwanted -72 to recover completely in the current quarter, third quarter?

Sanjay Koul : No. The issue of emergency contraceptive pill was that it was brought under price control. So I don't think that there was an issue that needed to be resolved. So there was price erosion and that is why the total numbers look so low.

Prakash Agarwal : The volume remains intact.

Sanjay Koul : Volume is intact.

Alankar: Understood. So basically, I mean, compared to our run rate before the second quarter, it will be -I mean, we'll have to work with a slightly

lower pricing going forward as well?

Prakash Agarwal: Yes. Pricing has been revised downwards, yes, just for that.

Moderator: The last question is from the line of Harith from Avendus Spark.

Harith: So on your initiative to launch products using DMF quality APIs, you mentioned that we've launched around 200 SKUs till date. So would you be able to share some color on the response to this initiative. Have we seen some kind of a positive impact on growth in these SKUs and do we have a goal in terms of number of SKUs that we'll cover in the near to medium term?

Rajeev Juneja: Yes, could you repeat the question again, please?

Harith: The initiative to launch products using international DMF quality APIs. You mentioned that we

have launched almost 200 SKUs using these DMF quality APIs. So what I was asking was about the response to this initiative from doctors. How have they reacted to this? And do we have any goal in terms of number of SKUs.

Rajeev Juneja: Reaction is very, very positive. When we say that there is a growth in the chronic side more than the IPM, better than any other companies, it really means that it's not by just creating some kind of a specialized division. That specialized division is supposed to have some kind of a, I mean, a differentiated product. And when we sell DMF -grade API products, that's a differentiated product.

So I mean, if you are a doctor, and if I say that whatever quality the American s get, somebody living in Europe gets , if you get the same quality, right, at Indian prices. So that's quite impressive, actually. In 30 seconds, the call is done impact fully . Same Rosuvastatin, same other simple molecule s, Telmisartan or sildenafil . But once you had DMF in that, it gives so much of credibility. It really opens the access to most sophisticated more super specialty doctors as well .

Prakash Agarwal: And that's the reason it has expanded, right? We did experimental to 50 and then 100 and then 150 and now we are touching 200. So we are tasting success, then only we are expanding it.

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Harith: Okay. Last one. On the volume growth tha t you've shared for the quarter, 1.3% and this was closer to 2% in 1Q. So while we have outperformed the IPM in terms of volume growth, but historically, we have seen Mankind growing at 4% to 5%, maybe except FY '24. So where do you think this volume growt h will settle at? I understand last few quarters, you had the impact of some regulatory restrictions. But if I think over the next 2 to 3 years, how should we think about volume?

Rajeev Juneja: I mean , everything is always in comparison. If IPM i s growing at a certain percentage, our growth is always relative to that. We wish to grow more and will definitely grow more in the future. That's -- I think we can say that. And I also mentioned you that time and again, we keep doing certain commercial ex cellence exercises. So whatever you're seeing right now is a bit muted despite of having more growth than IPM growth, I say it's still muted, we hope to catch up soon. We hope to have more volume growth as well in the future.

Moderator: Ladies and gentleme n, that was the last question for today's conference call. I would now like to hand the conference over to the management for their closing comments.

Abhishek Agarwal: Thank you, everyone. For any further queries or clarifications, please feel f ree to write to us on investor.relations@mankindpharma.com. Thank you, and have a nice day.

Rajeev Juneja: Thank you so much.

Moderator: On behalf of Mankind Pharma Limited, that concludes this conference. Thank you for joining us, and you may now disconne ct your lines.

This transcript has some minor edits to enhance the understanding and readability and does not purport to be a verbatim record of the proceedings. Since it is a transcription, it may contain transcription errors

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respo nsibility of such errors, although an effort has been made to ensure a high level of accuracy

Call: Jan 2025

Date: January 30, 2025

BSE Limited
P J Towers,
Dalal Street,
Mumbai – 400 001

Script Code: 543904 National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051

Symbol: MANKIND

Dear Sir/ Madam,

Subject: Investor Conference Call for Q3 & 9M FY25 – Transcript

Pursuant to SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Investor Conference Call for Q3 & 9 months FY25 held on Friday , January 24, 2025 at 12:00 noon (IST).

The transcript is also available on the website of the Company at
<https://www.mankindpharma.com/wp-content/uploads/2025/01/Q3FY25-Earnings-Call-Transcript.pdf>

You are requested to kindly take the same on records.

Thanking You,

Yours Faithfully,

For Mankind Pharma Limited

Hitesh Kumar Jain
Company Secretary and Compliance Officer

Encl.: As above

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MANKIND PHARMA LIMITED
Regd. Office: 208, Okhla Ind. Estate, Phase -3, New Delhi-110020 •Ph.: 011-46846700 , 47476600
CIN No. L74899DL 1991 PLC044843 •E-mail: contact@mankindpharma.com • www.mankindpharma.com
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"Mankind Pharma Limited
Q3 and 9 Months FY '25 Results Conference Call "
January 24, 202 5

MANAGEMENT : MR. RAJEEV JUNEJA – VICE CHAIRMAN & MANAGING
DIRECTOR
MR. SHEETAL ARORA – CHIEF EXECUTIVE OFFICER &
WHOLE -TIME DIRECTOR
DR. SANJAY KOUL – CHIEF MARKETING OFFICER

MR. ASHUTOSH DHAWAN – CHIEF FINANCIAL
OFFICER
MR. PRAKASH AGARWAL – PRESIDENT (STRATEGY)
MR. ABHISHEK AGARWAL - HEAD INVESTOR
RELATIONS

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Moderator: Ladies and gentlemen , good day, and welcome to the Mankind Pharma Q3 and 9 Months FY '25 Results Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentatio n concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek Agarwal from Mankind Pharma Limited. Thank you, and over to you, sir.

Abhishek Agarwal : Thank you. Good afternoon, everyone. Thank you for joining us today for our Q3 and 9 months FY '25 earnings conference call. On the call today, we have Mr. Rajeev Juneja , our Vice Chairman and Managing Director; Mr. Sheetal Arora , Chief Executive Officer and Whole -Time Director; Dr. Sanjay Koul, Chief Marketing Officer; Mr. Ashutosh Dhawan , Chief Financial Officer; and Mr. Prakash Agarwal , President, Strategy.

We will start with Mr. Rajeev Juneja providing an overview of Q3 FY '25, followed by Mr. Sheetal Arora providing detailed insight s into our business performance. Mr. Ashutosh Dhawan will then speak about our financial performance. And thereafter, we'll open the floor for any questions.

I would like to emphasize that this was the first quarter with BSV included in our performance with 69 days of BSV effective from 23rd October 2024. Further, please note that some statements made today may be forward -looking, and for a complete dis claimer, please refer to the investor presentation and press release available on our website.

Now I'll hand it over to Rajeev sir for his comments.

Rajeev Juneja: Thank you, Abhishek, and good afternoon, everyone. Wish you a very happy New Year. A very warm welcome to our Q3 & 9M FY25 earnings call. Year 2024 has been a transformative year for Mankind. We began by assessing our various M&A opportunities culminating in the acquisition of BSV, which perfectly complements our s

strategy of expanding into high entry
barrier portfolios and having specialty R&D tech platforms.

Our market share in IPM in value terms increased by 40 bps to 4.8% in December '24 versus 4.4% in March '24, primarily driven by acquisition of BSV. And therefore, we raised funds of INR10,000 crores through NCDs and CPs for the acquisition. Additionally, we raised INR3,000 crore s in equity, which has been utilized to repay a portion of CPs as of January 16 th, 2025, which shows our commitment towards maintaining a healthy financial position in the company. In line with the corrective actions taken in OTC division last year, we have undertaken certain corrective measures in our Delhi pharma divisions to enhance field force productivity and bring more efficiency in the system. We have always focused on building a solid foundation and with this initiative nearing completion, we are confident , it will further support in deliverin g sustainable long term growth. ~

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Moving ahead with our quarterly performance. In Q3 FY25, our revenue increased by 24% year -

on-year to INR3,230 crores and a healthy adjusted EBITDA margin of 27.7%. Our organic growth for the quarter was 11.2% year -on-year with a domestic growth of 8.4% year -on-year and export growth of 43% year -on-year.

For 9 M FY25 , our revenue increased by 17% year -on-year with adjusted EBITDA margin of 26.9%.

Our organic growth for 9 M FY25 was 12.3% year -on-year with a domestic growth of 9.3% year -on-year and export growth of 53% year -on-year. For Mankind, excluding BSV, chronic share has further increased by 200 bps year -on-year to 37.6% in Q3 25 as compared to 35.6% in Q3 FY24 , driven by continued outperformance in key chronic therapies.

Our commitment to make quality healthcare accessible to all has led us to expand our DMF grade products offering to over 215 versus 150 in FY'24 with more than 90% of them in chronic segment, and thereby ensuring that our customers on prolonged medication receive products that adhere to international grade quality standards.

Our corrective measures undertaken in OTC business is now completed, and we witnessed a robust revenue growth of 30% year -on-year during the quarter and 15% year -on-year in 9 M FY25. On the R& D front, we continue to prioritize product innovation and building strategic partnership with innovators to strengthen our product portfolios.

In this regard, we have recently partnered with Innovent Biologics for the in -licensing of Sintilimab , an advanced PD -1 immunotherapy designed to address the critical challenges of cancer treatment and improve access to innovative therapies in India. Overall, this year has been a transformative year for Mankind with 4 engines of growth , 1) steady base business ; 2) Fast-growing specialty chronic segment; 3) High potential OTC business; 4) high entry barrier super -specialty portfolio of BSV. All 4 business verticals are placed well to drive long -term sustainable growth.

And now I invite Sheetal to provide more details on our business performance.

Sheetal Arora: A very good afternoon to all. Thanks for joining us today for our Q3 & 9M FY25 earnings call.

In the last quarter, we completed the acquisition of BSV, strengthening our high -entry barrier portfolio and adding incremental capabilities to our existing R&D tech platform. During the quarter, work on BSV's integration in Mankind is on track. Looking ahead, our priority is the successful integration of BSV to ensure long -term sustainable growth.

Before moving ahead to the quarterly update, I would like to express gratitude for the overwhelming response we received during the fundraising. And I would also like to extend my heartfelt gratitude to all stakeholders for their continued trust and belief in our vision.

Talking about domestic business. In

the Q3 FY25 , our domestic business revenue increased 16%

year-on-year, majorly driven by continued outperformance in chronic segment and consolidation ~ Mankind/I/I,,.

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with BSV business from October 23 rd, 2024 onwards. Our organic domestic growth for Q3 FY25 was 8.4% year -on-year.

For 9 M FY25 , the revenue increased to INR8,203 crores, registering a growth of 12% year -on-year. Our organic domestic growth for 9 M FY25 was 9.3% year -on-year.

In Q3 FY25 , Mankind, excluding BSV, chronic share increased by 200 basis points year -over-year to 37.6%, primarily driven by 1.3x outperformance in cardiac and 1.1x in anti -diabetes.

Now our CVM cardio rank has improved from fourth to third in IPM.

As we know, cancer cases continue to rise in India with its burden projected to reach 29.8 million disability adjusted life years by 2025. We have recently partnered with Innovent Biologicals through an exclusive in -licensing agreement, Sintilimab injection. This strategic collaboration aims to address the critical challenges in cancer treatment.

Talking about OTC. This has been the first quarter of the OTC business post carving out the same into wholly -owned subsidiary of Mankind to maximize its true potential. In Q3 FY25 , revenue increased by 30% to INR193 crores. The revenue for 9 M FY25 increased by 15% to INR631 crores. The growth is largely attributed to healthy performance across key brands.

Talking about international business, in Q3 FY25 , revenue increased by 121% year -on-year to INR457 crores. In Q3 FY25 , led by increase in our base business, further supported by BSV's International portfolio. Our organic export growth for Q3 FY25 was 43% year -on-year. Together with BSV, we aspire to be one of the most admired company in the country, offering complex and specialty products accessible to all.

Now I invite Ashutosh ji to provide detailed insights into the financial performance. Thank you so much.

Ashutosh Dhawan: Sure. Thank you, Sheetal ji. Good afternoon, everyone. I'm delighted to have you all on our Q3 and 9 M FY '25 earnings call with us. This marks the first quarter in which we have started consolidation of BSV's financials effective 23rd October '24 onwards, along with OTC business, which has been carved out of Mankind into a wholly -owned subsidiary from this quarter. Let me briefly summarize the financial highlights of our quarterly performance for Q3 FY '25. During the quarter, our revenue from operations has increased by 23.9% year -on-year basis to INR3,230 crores as compared to INR2,607 crores in Q3 FY '24. This quarter's revenue is a combination of Mankind's revenue for the full quarter and BSV's revenue for part of the quarter. During this quarter, our EBITDA has increased by 36.4% year -on-year basis to INR833 crores with margins of 25.8% as compared to INR611 crores with margin of 23.4% in Q3 FY '24. The EBITDA margin for 9 M FY '25 were at 25.8%. However, if we adjust the EBITDA with non -recurring expenses, especially related to the transaction, our adjusted EBITDA margins for the quarter were at 27.7%. ~
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The increase in adjusted EBITDA margin of 430 basis points year -on-year was largely due to improvement in the gross margin of 270 basis points and the balance is on account of operating leverage due to higher growth. In 9 M FY '25, adjusted EBITDA margins were at 26.9%. For this quarter, our gross margins have increased to 71% year -on-year basis from 68.3% in Q3 FY '24. This increase is a combination of sale price increase effect, favorable sales mix, and input cost.

The R&D expenses for the quarter are INR71 crores, which remains at 2.2% of the sales, which is within the stated guidance of 2% to 2.5%. Depreciation and amortization expenses increased t

o INR192 crores as compared to INR110 crores in Q3 FY '24. This includes amortization impact of INR84 crores pursuant to provisional purchase price analysis related to BSV assets.

The consolidated effective tax rate for 9 M FY '25 was at 21.2%, which is higher than 19.8% effective tax rate in 9 M FY '24, which is in line with our guidance of 21% to 22%. The PAT has decreased by 16.4% to INR385 crores during the quarter in spite of increase in the reported margins of 240 basis points. This is primarily due to higher finance costs and amortization costs related to acquisition.

Our diluted EPS is INR9.4 per share of INR1 paid for the quarter. The cash EPS, which is EPS adjusted for noncash items like depreciation and amortization was at INR14.2. The net operating working capital days for the quarter has increased to 52 days as compared to 45 days in the preceding quarter.

Further, in 9 M FY '25, our cash flow generated from operations was at INR1,599 crores, which is on a year -on-year basis, a decrease of 2.3% from 9 M FY '24. This decrease is on account of higher working capital days and certain one -off expenses. As a result of higher working capital and one -off expenses, our cash flow to EBITDA ratio for 9 M FY '25 is at 67.4%.

Our capex spends for 9 M FY '25 was INR344 crores, which is 3.7% of total revenue for 9 M FY '25, and the same is in line with our guidance of 4% to 5% of the revenue.

In order to maintain financial discipline and healthy leverage ratio, we have repaid INR3,000 crores of CP last week from the proceeds received from QIP. Our net debt to adjusted EBITDA is 2.2x as on quarter end, and our endeavor is to achieve net debt to adjusted EBITDA of 2x by end of this year.

This concludes our opening remarks, and now we are happy to take any questions which you might have. Thank you. Over to you, Abhishek.

Abhishek Agarwal : Thank you. We can start the Q&A session.

Moderator: Thank you very much. We will now begin the question and answer session. The first question comes from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane : Sir, with respect to the prescription business, we have commented that there has been corrective measures as far as MR efficiency is concerned. If you could elaborate what were the lacunae or ~
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the loopholes which we have tried to address and subsequently improve the MR efficiency?

That's my first question ?

Rajeev Juneja: If you just look at our commentary, time and again we have said that we want to attain a leadership position. And when you think of these things, you basically work on certain areas of your weakness, whether it is on marketing side, IT side or finance side, every place.

So let's talk about the marketing side. There were certain inefficiencies in terms of a bit primary sales or discounted sales, the category of doctor's coverage, or the strategy of entering in top doctors' chambers, top hospitals. And once you start working on these things, which we started working on last year, to bring these changes in 15,000 people, you need to take certain bold steps.

And we have always been very forthright and frank in explaining that for the strong foundations, we'll always go for any kind of changes which are basically right for the future sustainable growth of Mankind, and we have taken that. A lot of changes have been brought in leadership side as well.

I mean a lot of new leaders have come from outside, those who can really bring these changes. That is what has been done. When you do these things, bumps can really come. But let me tell you one thing that we are very confident that going forward things will be even better from what was there in the past. 80%, 90% changes are complete and the rest would take maybe next 1 quarter I'll say. In Mankind pharma side - Delhi division

ision, this will be completed.

Let me further explain you, with the example of OTC business. We took the same kind of steps last year in OTC side, where we just accepted that these are certain practices, which need to be corrected, whether it was number of distributors, whether hiving off, bringing different talent, making sure that it's not a mixed kind of a culture where one guy, one leader is taking care of OTC and pharma both. And once we took that initiative, look at the growth.

And what gives us more happiness is that we are solid from inside. And I can tell you with fullest confidence that Mankind will always operate on these lines. I'm sure, I've answered you?

Tushar Manudhane : That's quite comforting, sir. Sir, secondly, while you have highlighted on the organic revenue growth, would it be possible to share organic EBITDA growth as well for the quarter?

Ashutosh Dhawan: Since this is the first year and the numbers are strictly not comparable, because BSV has been consolidated for the first time. And moreover, there has been one-off expenses also, which has impacted the overall EBITDA margin. So going forward, we shall be in a better position to give a better color around this.

Rajeev Juneja: But let me add one thing. I mean, once you take corrective actions, so margins always improve.

On one side, you will see that there's a less of growth. You can ask these questions. We know this. But once you take these corrective actions on a field force of 15,000, you bring a lot of new replacement, you challenge them, you push back, you do everything possible, right? And we have done it. ~

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And it's a long process. Even in Mankind, 1 year it has taken, where we take everything very fast. For any other company it's a huge task just to maintain everything, having a balanced approach. I mean, these actions can be taken in a tapered manner. But we believe that once we identify something, we work on that. So growth may be a bit affected, but naturally, the impact on margin increase is always there.

Ashutosh Dhawan: And it has been constant last quarter also at 27.7%.

Tushar Manudhane : In fact, it seems that if I adjust the onetime expense with respect to the acquisition, a 27.7% margin. Just trying to understand out of this, on a like-to-like comparison, if I have to do, for the base business, what is the EBITDA growth? So basically excluding BSV as well as excluding the onetime expense associated with M&A?

Prakash Agarwal: Tushar, so BSV margins are in line with company average margins. So the core growth in the EBITDA you see is as per what you see, because even if you strip that, you'll get the same number.

Moderator: The next question is from the line of Kunal Dhamesha with Macquarie.

Kunal Dhamesha: So first one, more clarity on the organic growth. So what you've been saying is quarter 3 organic growth for our domestic business is around 11.2%, right? Is that correct understanding?

Prakash Agarwal: So let us repeat that. Our overall growth organic is 11.2%, domestic is 8.4%, and international export is 43%. These are the organic numbers.

Kunal Dhamesha: Okay. So in that case, our formulation business would have grown at around 6.5% - 7%?

Prakash Agarwal: You mean the domestic ex OTC?

Kunal Dhamesha: Ex OTC, yes.

Prakash Agarwal: Yes, that's around 7%. That's right.

Kunal Dhamesha: Okay. So this is obviously a meaningful slowdown from what we have been seeing. While our chronic has improved, our acute seems to be bleeding in my view. So what are the steps that we have taken? And what is the outlook on the acute therapy since we are growing our chronic, acute is still the bigger part of the chunk, right? So how should we think about the organic domestic formulation business going forward?

Prakash Agarwal: As Rajeev Ji highlighted, there

is a significant corrective action taken in the Delhi division, which is largely the mass market division where acute sits. So there, a significant corrective action in terms of field force optimization, productivity improvement, efficiency improvement is taking place. So that's why you see acute being sharper drop across acute therapies, not only one. So that is the main reason.

And while you see that there is some impact on chronic, I would also say that we usually grow 1.3x, this time it has been 1.1x. But that journey continues because of the higher focus. And your ~ Mankind/II/JI,,,

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observation is totally right that acute is softer because of these corrective measures, which Rajeev Ji already highlighted just before.

Rajeev Juneja: Let me elaborate even further, Kunal, to your query. So wherever you take corrective actions in terms of everything, once we identify in Mankind especially that these are certain things to be cleaned up, corrected, then we move very fast, irrespective of anything, because our concern is always the foundation, the strength, the substance of Mankind, because that drives the organization.

So we've worked on that and a lot of changes we brought in our leadership as well, whether in the field, whether it's head office, in marketing, every place. And once you do all these things in a field force of, again, I repeat, 15,000-plus people, it takes time. We started this process last year, I'll say, Feb, March. So 80%, 90% is done.

You take up every division, every zone, every area, scrutinize that, check it, which ZM, which RM, which sales manager, which marketing manager, which person, which BU head, and then we take action. And we have taken that. The kind of actions we have taken, I can tell you, you'll find rare company taking these things, because there is always some kind of a burden on those people of showing off the performance which is actually not there inside.

In our case, because we are promoters, we can say our foundations are more important than anything else. So we have taken this.

Sanjay Koul: So there is one more fact that we have to take into consideration. There have been regulatory tailwinds regarding emergency contraceptive pills and anti-infective - a combination, that is an FDC, and a codeine preparation that also has impacted the growth in Q3 of acute segment.

Kunal Dhamesha: Sir, can we quantify that impact, all these 3 put together?

Prakash Agarwal: It's about 0.5%.

Kunal Dhamesha: And one question on the BSV. So if I look at the BSV revenue, probably it's around INR330 crores, including domestic and export. And if I add it to the first half performance, we would be close to around INR1,170 crores, which is roughly, let's say, 68% of the last full year revenue.

So is there any seasonality that is playing out and quarter 4 could be very strong that could add one-third more revenue? Or is there a slowdown on BSV aspect as well?

Prakash Agarwal: So Kunal, this is for 69 days. So first point is we have to quarterize it, take it for 90 days, 91 days. That's the first point. Second, there is a significant restructuring going in the Rx business, that is the TTK business of the BSV. Because we understand Rx business better, that is getting shifted to Mankind. So there is a lot of field force optimization that is happening there. As we also said, there were 600 people in a very small division.

So we are looking at optimization. We are looking at product portfolio rationalization and optimization there also. So various initiatives are going. We want to improve the hygiene of the ~ Mankind/II/JI,,,

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business. So Rx business has been soft. Other than that, I think the other businesses are growing very well. So these are the 2 key reasons.

Kunal Dhamesha: And then how

should we think, let's say, 2 years out, what's the internal expectation for the BSV business growth, specifically for domestic as well as exports?

Prakash Agarwal: So overall, we continue to maintain that this is a high entry barrier portfolio and growing 15% plus should be possible with export being higher. And on the margin side, we continue to maintain that given its high entry barrier portfolio, margins, to start with, would be in the region of company average, 26% to 28%. And thereon, taking initiatives, R&D initiatives, productivity initiatives, we look forward that in 2 years' time, we should every year add on a little bit on the margin side as well.

Moderator: The next question is from the line of Neha Manpuria with Bank of America.

Neha Manpuria: Just continuing on the corrective actions that we have taken, have these corrective actions led to a reduction in the field force that Mankind had? Just trying to understand what essentially has led to lower spending in the quarter? If you could give us a little more color on what essentially is there. I understand the opening remarks that you made, but just trying to quantify this?

Rajeev Juneja: Let me tell you, Mankind is known for its reach. We'll always maintain that. So what happens, there are certain customers which are very relevant. They were relevant 10 years back. But maybe today they are not relevant. The practices change, acute to chronic, some people age, right? So you need to change list of your customers as well, right?

And when you do that, I mean, you want to penetrate in the hospitals and clinics of those doctors, those who are a bit high end. Keeping that in mind, these corrective actions have been taken, whether it's a talent, training, primary sales, discounted sales, coverage of doctors, everything, right?

We have not cut down number of people, we have replaced people. I mean, especially in leadership side, I'll say. Because once you replace leadership, some people also leave with those people. I mean, when you say this is a new Mankind, this Mankind wants to become number one company in the future. When you announce these things, it's not for the sake of announcement only. It's to really walk the talk.

So you take these hard actions, we have taken that. So we have not cut down number of people. And whatever, I mean, less number of people would be visible, they would be visible and they will be filled. We are in lookout. You keep seeing vacancies, you keep filling it. It's not like that. The strength of Mankind would remain intact. Just to give you an example of that. Every year, how many thousands of doctors come out of medical colleges.

So that coverage has to be there, right? How many doctors /customers lose practice, you check the list, you find a lot of lacunae. Once you go deeper down, once in a while, and we went last year, when we basically started seeing the taste of chronic sales benefits, once we launched our specialty divisions in Mumbai side, we saw what can really happen. ~

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So naturally, our inclination went towards that side. And once you go for that, further deep down, you say, why our existing divisions were not covering these doctors? Let's check it out. And once you go for a deep checking, you realize these are certain lacunae, and you work on those. And again I want to reiterate that we started this journey last year Feb, March. This is almost 1 year. And this quarter, I can tell you, till now, 80%, 90% job has been done and dusted.

Neha Manpuria: Understood, sir. Ashutosh sir, is it fair to assume that the organic SG&A cost would have declined materially quarter -on- quarter because of these corrective actions?

Ashutosh Dhawan: Yes, if you see, on a consolidated basis, so there is a delta of INR50 crores. And if you see the one-off expenses, that's around

INR63 crores. So it is fairly flat, slight decline in the SG&A cost on a quarter -on-quarter basis.

Sanjay Koul: So I want to add one point, Ashutosh Ji. On March 31st, 2024, we had a field strength of 16,043. On December 31st, 2024, we have a field strength of 16,570. We have rather added more people.

Neha Manpuria: Understood.

Ashutosh Dhawan: Some expenses have been rationalized on a quarter basis.

Neha Manpuria: Excluding BSV that is?

Ashutosh Dhawan: This is excluding BSV, yes.

Neha Manpuria: Okay. Understood. And my last question, when I think about the synergies that we can get from the BSV integration, what I think Prakash mentioned, what are the milestones that we need to

watch? I mean, would it be procurement first, portfolio optimization probably takes time, field force optimization.

So what are the milestones that we need to watch for to understand the synergies that you could get? And if you could quantify a synergy, let's say, over the next 2 years or 3 years that you're targeting?

Prakash Agarwal: So thanks, Neha, for your question. So we continue to maintain that about INR50 crores to INR100 crores synergy benefits will be there over the next 12 to 24 months, primarily led by 3-4 things. So one is BSV's MR productivity, both Rx and non-Rx. So there's a lot of room. As we said, fertility is still INR18 lakhs. We see peers around INR30 lakhs. So that is one clear area. Then we are looking at shifting of outsourcing of Rx portfolio to Mankind itself because we have large facilities, and tablets and capsules we understand better in terms of manufacturing. So the Rx business, if it shifts, we see cost savings there as well. Plus, we ourselves have a large gynaec division, so we get access to those fertility clinics, because fertility clinics are growing very well.

So there's a lot of cross-selling opportunity that we see. Plus there's a host of extensive geographical doctor coverage that both the companies can gain from each other, leveraging the ~

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extensive coverage. And lastly, there are some of the savings that can come from leveraging resources, because there might be some optimization that can be played out in future. These are the 4-5 points.

Moderator: The next question is from the line of Rashmi Shetty with Dolat Capital.

Rashmi Shetty: In the anti-infective segment, in the presentation also, we have mentioned that we have underperformed the market, and you already mentioned that certain corrective actions had been taken. But in that, related to the product, you mentioned that we have also lost sales in the codeine-based product.

But what I understand that the Codistar has already started picking up very well, and it is already getting around 80% to 90% of the codeine-based sales. So what is exactly leading to say that this product-related issue is still there?

Sanjay Koul: So thank you so much for your query, Rashmi. There has been one product which has faced a regulatory issue. It is a FDC, which got impacted in Q3. So that is why it has impacted the overall growth of anti-infectives. This is one. Second, when you make overall corrections in field force over a period of 9 months, we are talking about good number of field force, and we have replaced the field force, but many colleagues in field are 3 months old, 1 month old, 4 months old, or 6 months old. They will take some time to basically develop relationship and rapport with the customers and things will improve in coming quarters and months.

Rashmi Shetty: So for this full year, taking into account that anti-infective will be slowing down, do you think that we would be just showing Mankind's domestic formulation growth will be high single digit sort of?

Sanjay Koul: So Rashmi, this is Q3 only where we have shown less than optimum performance of anti-infective. But if you look at the Y-T-D, then we are almost equal to IPM growth, so it's not way behind the IPM growth. And this will also be corrected in case I take into consideration the FDC which we had to withdraw because of regulatory issues.

Rashmi Shetty: Understood. And how is your Panacea portfolio performing?

Prakash Agarwal: Very good.

Rashmi Shetty: It is still showing at around 20% sort of growth?

Sanjay Koul: Correct. Our transplant business is showing 20% growth and the other products which we promote in other regions are growing by more than 25%. One is Sitcom and second is Glizid.

Rashmi Shetty: Second one is?

Sanjay Koul: Glizid.

Rashmi Shetty: And out of your total purchase consideration, what is the split between intangibles and goodwill? Is it 70-30 only what you earlier mentioned? And how many years amortization you have taken? ~

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Ashutosh Dhawan: So if you look at the plain split, so that is two-third is towards the intangible and balance is towards the goodwill, broadly speaking, okay? So if you look at the depreciable intangible assets, so that is around INR9,000 crores out of the total consideration approximately. However, if you adjust it for taxes, it becomes INR7,200 crores, and the balance gets allocated towards the goodwill.

So that's how the broad part is. And if you look at the overall useful life of these assets, so that ranges from 5 years to 30 years, but on weighted average basis, it's around 21 to 22 years.

Rashmi Shetty: Okay. And one final question. What is the cost of debt for the portion which is still there sitting in the balance sheet after INR3,000 crores repayment? The average cost of debt?

Abhishek Agarwal : Rashmi, it's sub 8%. And if you see, the INR3,000 crores which we have repaid, it was close to 7.5%, but all the debt, which is INR2,000 crores of CP and INR5,000 crores of NCD, it's in the range of 7.9% to 8%. It's there in the public domain along with interest repayments.

Ashutosh Dhawan: Just to clarify, Rashmi, further. There is a bulge in the interest expenses in this quarter, and this is towards expenses of some of the debt arrangement fee and other related expenses.

Rashmi Shetty: Yes, that's the reason I asked, because I just felt that the interest cost during the quarter was extremely high, because when you adjust 7.9% to 8%, the interest cost should have been lower.

But fine, I just got the clarification.

Moderator: The next question is from the line of Chintan Sheth with Girik Capital.

Chintan Sheth : The question I had was on the interest cost only. So you clarified that there were certain cost related to debt raise that was also sitting in the interest cost. If you can quantify the same it would be great. Because that will be non-recurring, right?

Ashutosh Dhawan: No, that is not, because CP is getting retired and all those. So if you see the total expense is around INR220 crores. And historically, if you see, on a quarterly basis, INR10 crores to INR12 crores is always the interest expense which is coming, because there are certain loans in the subsidiary. And we can give you color, for the next quarter, the interest cost would be in the range of INR180-odd crores or so.

Chintan Sheth : Okay. Next quarter, still on INR6,000 -INR7,000 crores of gross debt

Ashutosh Dhawan: CPs, we have retired on 16th of Jan. So there will be a spillover effect also.

Chintan Sheth : For 15 days. Okay. And on the corrective measures which you have taken for last 1 year on the prescription side, do you feel the hit which we have seen this quarter, where the growth has compromised. For 4Q, there will be some more spillovers likely to happen and then next year onwards, we'll have a fresh growth slate to grow from thereon?

Rajeev Juneja : Yes, see whatever actions we have taken, we have taken to ensure

that in future we are much

better, stronger than actual, right? And I again reiterate, 80%, 90% things have been done. ~

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Whatever is left, 10%, 15% would be done now. It is in motion, process is on. So 80%, 90% we say, it has been done, completed.

Chintan Sheth : Okay. And the regulatory restrictions, the product which led to acute getting impacted, gynaec getting impacted, 1 or 2 products which you mentioned. Are we trying to recoup or are we trying to change the prescription, so that we can reintroduce the product in the market to get the sales recovering back?

Sanjay Koul : So in gynecology, there was DPCO matter. So that we can only increase the volume growth, but it will still take quite some time to reach to the same number, because there has been steep decline in the value growth because of the DPCO. And second product is an anti-infective FDC, and maybe in a month's time, we will be introducing a kind of replacement of that FDC, a single molecule. So that we can mitigate the losses because of the dent that we'll get because of that anti-infective FDC.

Rajeev Juneja Let me elaborate on that. I mean, certain things keep happening. I mean, certain kind of headwinds are always there. If you're solid inside and you basically keep launching new products, ensuring that your INR50 crores brand becomes INR100 crores, you have certain right strategies, and you are entering and meeting right kind of customers, these things get mitigated automatically. I mean, they are not given so much of focus, it happened. Now I mean look forward and change the picture. We take everything like this only.

Chintan Sheth : And lastly, on BSV margins, you mentioned that it is closer to the average adjusted EBITDA margin which we have kind of clocked. Going forward, we also mentioned that BSV has a potential to improve margins to about 30% level given the product being a high entry barrier and specialty in nature. We can scale that business faster with our reach and drive the margins upward of 30%. That is our goal. The synergy you mentioned, around INR50 crores to INR100

crores, is part of it, or that is a separate BSV targeted margins to improve from here on?

Prakash Agarwal: Yes. So over 2 to 3 years, we expect that there should be improvement in the margins by 100 bps every year, while it will require some R&D investments also, because to enter into some of these semi-regulated markets, regulated markets will require investments, but we remain on track that in next 2 to 3 years, we would be close to 30% margins, and for sure in the next 5 years.

Prakash Agarwal: Yes, synergies are baked in, yes.

Chintan Sheth : Synergies are over and above it, right?

Ashutosh Dhawan: They are part of this .

Moderator: The next question is from the line of Amalan Das from Nomura.

Amalan Das: Most of my questions have been answered. I just wanted to ask one question. In the organic domestic formulation growth, what has been the contribution of volume, price and new products? ~

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Prakash Agarwal: Yes. So if we look at the quarter, there has been a slight decline in the volume because of those corrective actions. So it's about minus 1% , price growth is about 3% and NI, new introduction, is about 3%. So this is as per secondary data, IQVIA, 5% growth is what we have got from IQVIA.

Sanjay Koul: But if you look at Y -T-D, then volume growth is around 1%, 4.4% is price growth, and 2.6% is new introduction growth.

Amalan Das: Okay, sir. And just wanted one clarification. I think I missed a part. So these corrective measures, these will be continuing in the next quarter, right?

Rajeev Juneja: This quarter. See, 80%, 90% job has been done, but 10%, 15%, is work in progress, which will be complete

within this quarter only.

Amalan Das: Sir, is it possible to quantify the impact of these corrective measures on the growth? What has been the impact?

Rajeev Juneja: So quantification is not possible, but you can see, I mean, when you take these actions, your growth is not great. You're not happy with the growth, number one. But the best part basically is what, EBITDA margins have increased. The happiness is what, that you have steered the company in the right direction. New young leadership enthusiasm has been infused. So every company once in a while needs some kind of changes, which we have brought.

Sheetal Arora: And regarding the quantification , if you can see, in the history of Mankind, we have always grown 1.1x to 1.2x better than IPM. So this time, our growth is subdued.

Amalan Das: I just wanted to clarify that the negative volume growth that you have seen in this quarter, is it majorly because of the corrective measures? Or there is also a market phenomenon here, that actually the volumes have been decreasing of the products?

Sheetal Arora : Mainly because of corrective action.

Moderator: The next question is from the line of Kunal Randeria with Axis Capital.

Kunal Randeria: Sir, just to clarify on the BSV business, from what I understand, this year, the BSV business revenue should be flat. Would that be correct? And that's largely because of some changes in the employee structure that you are doing there?

Prakash Agarwal: So if we exclude the Rx business, the business has grown double-digit. And Rx business is one more quarter. There is a restructuring going on. The business is getting shifted to Mankind. So going forward, I think fiscal '26, when you see, you'll probably see all the businesses ex of Rx.

And the specialty business, which is women specialty as well as the international specialty, both are growing double-digits.

So it's the Rx business, and there's a small element on the API side, barring that, business is in good shape. ~

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Kunal Randeria: Fair enough. But at consolidated BSV level, it would be flat this year, right?

Prakash Agarwal: Consolidated level, yes, one can say so. And this is strategic to improve the hygiene and the quality

and productivity.

Kunal Randeria: Got it. That's very clear. Secondly, on the export front, you've had a great last few quarters. Last year, you used to call out that it was driven by some of these onetime opportunities, but there's been quite healthy growth even from those levels. So can you just give us some color on how much of this export portfolio you still classify as limited competition?

Prakash Agarwal: The last part was not clear, sorry.

Kunal Randeria: So I was asking that you have still grown from last year's level when a lot of the business last year was driven by one-off opportunities, as you yourself called out. So in today's revenue generation, how much of the portfolio would you classify as limited competition?

Prakash Agarwal: No. So if you see, we have given some data on the new launches as well as approvals. So now the base business is growing pretty well, both in the US and ROW. Excluding that one-off also, the business is growing. And the share of that one-off has come down substantially. Despite that, there is a decent growth happening.

Kunal Randeria: Right. And the new launches or the base business that you speak of, margins would be near the company average?

Prakash Agarwal: So that would depend. It's very difficult to quantify margins for the regulated markets. That is product specific.

Moderator: The next question is from the line of Dheeresh Pathak with WhiteOak.

Dheeresh Pathak: In BSV, INR1,723 crores revenue of FY '24, how much was the Rx business in that?

Prakash Agarwal: For the quarter and for the year, I mean, when we were acquiring, we had said it's about

11%,

12%. For the quarter, we are not quantifying. But since the growth has come down, you can imagine the ratio would have come down substantially.

Dheeresh Pathak: Okay. And this INR1,724 crores to the earlier question, Prakash, you said, this will be flat in FY '25, the total sales?

Prakash Agarwal: Flat means marginal growth. I mean, it would be single-digit growth. But yes, because of these corrective actions, we think that making solid foundation is more important, improving hygiene is more important. We are also taking some steps to align BSV to Mankind policy. So this is, I think, transient. So Q4 onwards, I think you will see the base starting to grow.

Dheeresh Pathak: Understood. And on the restructuring, so you mentioned senior leadership changes and MR restructuring. Apart from that, what else have you changed, sir? ~

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Rajeev Juneja: See, I mean, once you bring different kind of leadership, different kind of policies in the sense that approach to market, how to approach a chronic product, how to bring new products, how to make sure that your acute business is doing good. Plus, I mean, other changes are basically bringing some kind of automatization, using more of IT side, using more of digital side.

All sort of things, because ultimately, if you bring a modern leader, he brings modern things, and things start changing. And making sure that hygiene is always there. Right hygiene is most important for us.

Dheeresh Pathak: So I'm just trying to understand that like in consumer business, there was a channel change. So there was a difference in the primary and the secondary sales. So in the prescription business, apart from the MR restructuring and senior leadership changes, have you done any channel policy changes? So there is a difference between primary and secondary sales?

Rajeev Juneja: Yes. In primary side, in discount side, in hospital side, in customer list side, going to those areas and those hospitals which was out of coverage, all sort of things.

Dheeresh Pathak: But the final secondary sales at the customer end. Do you have a measure of how much that would have grown? Because if you're showing primary at 7%, then how much is the channel impact? Is there an estimate of that in your mind?

Rajeev Juneja: I always believe that once you bring these kind of changes and you maintain and make sure that hygiene is there, secondary is no less. Primary and secondary should be equal. How is it possible that it's prescription versus primary sales? Prescription is secondary and primary you fill. I mean if you basically believe that you are in a solid ground, you always make sure that your secondary prescription is very good. And based on that, you fill the inventory.

Dheeresh Pathak: Sir, maybe if you can give one of the examples of the senior leadership changes, so that we get some qualitative color of what exactly changed in the senior leadership?

Prakash Agarwal: I can add. So we have a lot of divisions. So if you see, we have more than 15 divisions. And in the large divisions, where there was some rigor required, we have added some leadership change.

That's one big change that has happened. So when these large divisions start growing double digit, you will probably see a good change next year.

Moderator: The last question comes from the line of Abhinav Ganeshan with SBI Pension Funds.

Abhinav Ganeshan: So just one clarification I wanted and some qualitative color. So just wanted to understand, on company -wide PCPM basis, for your whole business and for the chronic segment, is the chronic PCPM starting to grow faster than overall PCPM? How do we look at that?

Rajeev Juneja: It's always like that. I mean, chronic was always growing faster. It was always like that. I mean, we just mentioned that now it has reached to ~37.6% in our total sales, w

hich is 200 bps more

than last year. So once we understood that chronic is way forward, and for chronic, you're supposed to approach those specialized doctors. So naturally, I mean, it's not approach, it's total change. ~

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Total ecosystem has to change in the sense who is going, what is he supposed to talk, whatever training should take place, everything.

Prakash Agarwal: So just to clarify, the growth is faster in chronic, but as an average, PCPM in acute will be higher because of the aging is much higher.

Abhinav Ganeshan: Yes, I appreciate that color. So is it a safe assumption to make that in the next 5 to 6 years, as this chronic business also ages, we come towards the company average?

Rajeev Juneja: 100%.

Moderator: That was the last question for today. I now hand the conference over to the management for closing comments.

Abhishek Agarwal : Yes. Thank you. And please write to us in case you have any further clarification. Have a nice day.

Moderator: Thank you. On behalf of Mankind Pharma Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

This transcript has some minor edits to enhance the understanding and readability and does not purport to be a verbatim record of the proceedings. Since it is a transcription, it may contain transcription errors. The Company takes no responsibility of such errors, although an effort has been made to ensure a high level of accuracy

Call: May 2025

Date: May 27, 2025

BSE Limited
P J Towers,
Dalal Street,
Mumbai – 400 001

Scrip Code: 543904 National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051

Symbol: MANKIND

Dear Sir/ Madam,

Subject: Investor Conference Call for Q4 & FY25 – Transcript

Pursuant to SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Investor Conference Call for Q4 & FY25 held on Wednesday , May 21, 2025 at 06:00 PM (IST).

The transcript is also available on the website of the Company at
<https://www.mankindpharma.com/wp-content/uploads/2025/05/Q4FY25-Earnings-Call-Transcript-Final.pdf>

You are requested to kindly take the same on records.

Thanking You,

Yours Faithfully,

For Mankind Pharma Limited

Hitesh Kumar Jain
Company Secretary and Compliance Officer

Encl.: As above

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MANKIND PHARMA LIMITED

Regd. Office: 208, Okhla Ind. Estate, Phase -3, New Delhi-110020 •Ph.: 011-46846700 , 47476600

CIN No. L74899DL 1991 PLC044843 •E-mail: contact@mankindpharma.com • www.mankindpharma.com

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“Mankind Pharma Limited
Q4 FY '25 Earnings Conference Call ”
May 21, 2025

MANAGEMENT : MR. RAJEEV JUNEJA – VICE CHAIRMAN AND
MANAGING DIRECTOR
MR. SHEETAL ARORA – CHIEF EXECUTIVE OFFICER
AND WHOLE -TIME DIRECTOR
MR. SUDIPT A ROY – SENIOR PRESIDENT , SALES AND
MARKETING
MR. ARJUN JUNEJA – CHIEF OPERATING OFFICER
MR. ASHUTOSH DHAWAN – GROUP CHIEF FINANCIAL

OFFICER
MR. PRAKASH AGARWAL – PRESIDENT STRATEGY
MR. ABHISHEK AGARWAL – HEAD INVESTOR
RELATIONS

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May 21, 2025
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Moderator: Ladies and gentlemen, good day, and welcome to the Mankind Pharma Limited Q4 and FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek Agarwal, Head Investor Relations and AVP Strategy of Mankind Pharma. Thank you, and over to you, sir.

Abhishek Agarwal: Good evening, and a very warm welcome to our Fourth Quarter and Full Year FY '25 Earnings Call. Firstly, apologies for delayed start. On the call today, we have Mr. Rajeev Juneja, our Vice Chairman and Managing Director; Mr. Sheetal Arora, Chief Executive Officer and Whole-Time Director; Mr. Arjun Juneja, Chief Operating Officer; Mr. Sudipta Roy, Senior President, Sales and Marketing; Mr. Ashutosh Dhawan, Group CFO; Mr. Prakash Agarwal, President Strategy. We will begin today's call with Mr. Rajeev Juneja, who will provide an overview of our performance for the quarter gone by, followed by Mr. Sheetal Arora, providing an in-depth insight for business performance and outlook. Mr. Ashutosh Dhawan will then share the financial highlights, after which we'll open the session for your questions.

Please note, today's discussion includes certain forward-looking statements, reflecting management's expectations for future performance of the company, and these estimates involve several risks and uncertainties, and actual results may vary. Mankind does not undertake any obligation to publicly update any forward-looking statements, whether as a result of new information, future events or otherwise. For a detailed disclaimer, please refer to our investor presentation uploaded on our website.

Now I'll hand it over to Rajeev sir for his comments.

Rajeev Juneja: Thank you, Abhishek. A very good evening, and welcome to our quarter 4 and full year '25 earning call. As

we celebrate 30 years of operations, we look back on our purpose-driven journey that has redefined high-quality healthcare, accessible across Bharat at affordable prices, especially, in the region that have long remained underserved.

Over the years, Mankind has consistently expanded its presence and leadership with a strong foundation in mass market - acute and semi-chronic therapies, specialty chronic and consumer healthcare segments. Today, we are honored to be recognized as fourth largest pharmaceutical company in India by value and the second largest by volume in IPM. This achievement underscores the impact we have created and the trust we have earned over the years.

Our recent acquisition of BSV marks a significant step forward, enhancing our presence in super specialty segments. Following that acquisition, we have undertaken strategic initiatives, including the integration of BSV's prescription business into Mankind's platform for long-term sustainable growth. -Mankind//JJ,...

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This has been a transformative year at Mankind with several initiatives focused on enhancing doctors' engagement, digitizing of operations, workforce upskilling and optimizing policies and processes for the next leg of growth across therapies.

Moving ahead with our quarterly performance. In Q4 FY25, our revenue increased to INR3,079

crores, registering a growth of 27% year -on-year and adjusted EBITDA margin of 23.1%. For full year FY25, our revenue increased by 19% year -on-year, with adjusted EBITDA margin of around 26%. In Q4 FY 25, our revenue from domestic business grew by 18% year -on-year, majorly driven by chronic outperformance and consolidation of BSV business.

Our chronic share, excluding BSV increased to 39.2% in Q4 FY 25 as compared to 37.5% in quarter 4 la st year, driven by an outperformance of 1.3x to IPM chronic growth. Further, our recent launch of empagliflozin in anti-diabetes, witnessed strong traction gaining more than 8% volume market share in March '25 and ranked among st top 3 in new launches.

Mankind's PCPM has also increased to INR6.8 lakh in this year from INR6.5 lakh last year. As far as OTC is concerned, this year has marked a progressive shift in consumer healthcare business as the benefits of our prior strategic initiatives began to materialize from second quarter onwards, driving strong growth showcasing the strength of our brands and our agile execution. In Q4 FY25 , consumer healthcare revenue stood at INR178 crore growing at 14% year -on-year. Revenue for FY25 also increased by 15% to INR809 crores. We achieved a strong 77% year -on-year growth in modern trade and e -commerce channels, further enhancing market share of our key brands. Our recently launched products have also witnessed robust growth across brands, including Nimulid, and OvaNews . Even our Manforce Epic ThinX Condom gained strong traction in its first year of launch.

As part of our continued innovation in R&D, we have made notable strides in our R&D efforts. With our new NCE molecule GPR11 9 targeting obesity, diabetes and metabolic disorders, having advanced to Phase II clinical trials. In parallel, we are actively exploring strategic partnerships for GLP -1 that would enable us to launch the product post patent expiry, which is anticip ated next year.

The year gone by, we have laid a strong foundation to deliver long -term sustainable growth, led by our four key pillars: number one, steady base business; second, fast -growing specialty chronic; third, high potential OTC business; and four th is high -entry barrier super -specialty portfolio of BSV.

I would now like to invite Sheetal to share further insights into our business performance.

Sheetal Arora: Hello, everyone. A very good evening to all. We truly appreciate your presence as we shar e our quarter 4 and financial yea

r '25 performance. With dedicated focus and consistent performance,

we have emerged as a leading player in the Indian pharmaceutical market - Ranked number one in prescription for eight consecutive years.

Today, our pres cription shares stand at 15.5%, with 84.1% prescriber penetration, a reflection of the long -standing trust and credibility we have built within the medical community. While -Mankind//JJ,,, J,,,,,,y,,,\$,§li

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our growth has largely been organic, in recent years, we have strategically pursued select inorganic opportunities to address identified white spaces, particularly in the specialty chronic segment.

Through in -licensing partnerships with global pharma leaders, we have introduced niche and complex products like Neptaz, Nobeglar, Symbicort and Crenzlo, boasting our offerings in the specialty chronic category. We have further deepened our specialty presence through acquisitions such as Panacea's oncology and transplant business and select brands like Combihale and Daffy. Additionally, our re cent acquisition of BSV has resulted in a rise in our overall value market share in IPM to 4.8% and our volume share to 6%. This acquisition has also firmly positioned us as leaders in the gynaecology segment, with a 10. 4% market share. Women's health po rtfolio presents new avenue for growth, allowing us to expand across both established and emerging markets. We are confident in leveraging these opportunities to establish ourselves as the most trusted brand in women's health.

Let us now move to a summary of our business performance. If I talk about domestic business, in quarter 4 of financial year '25, our domestic revenue increased 18% year -on-year, driven by a strong momentum in chronic therapies and contribution from the BSV portfolio. Our organic grow th for the quarter was 10% year -on-year.

For the full financial year '25, domestic revenue crossed the INR10,000 crore milestone, reaching INR10,675 crores, a 13% year -on-year growth. Our organic growth for the year is 9%. During the year, the number of brand families crossing the INR50 crore revenue mark increased from 43 to 49 with notable additions, including Brutaflam, Histafree, Urikind and three brands from BSV.

Our presence in metro and Tier 1 cities grew from 53% to 56% in the financial year '25. Chronic therapy growth stood at 11% compared to 8.7% growth in IPM chronic, an outperformance of 1.3x in quarter 4 financial year '25. This growth was led by significant gains of 15.1% in cardiac

and 9.4% in anti-diabetic segment, reflecting consistent outperformance of 1.5x and 1.3x, respectively, compared to the IPM. We have also expanded our DMF grade portfolio to over 240 products with a focus on the chronic segment.

Now talking about the international business. Revenue from the international business doubled to INR535 crores in quarter 4 financial year '25, up from INR267 crores in quarter 4 financial year '24. Organic growth in international market was in the low single digits during the quarter. For the full year financial year '25, international revenue grew 88% to INR1,532 crores with organic growth of 37% year-on-year. This was supported by combination of base business momentum and one-off opportunities in the U.S. for Mankind, and the successful integration of BSV.

Looking ahead, we expect our domestic revenue growth to outperform IPM by around 1.2x in financial year '26. We anticipate an increase in R&D investment to 2.5% to 3% of revenue in financial year '26, up from 2.1% in financial year '25. Accordingly, we expect EBITDA margins to be in the range of 25% to 26% in financial year '26. -Mankind/JJ,,,

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Our 30-year journey has been nothing short of transformative marked by challenges, resilience and progress. Yet at Mankind, we

see this not as a destination, but a stepping stone to even a greater milestone. With the commitment of our team and the customer-centric approach at the core, we are determined to keep evolving, creating value and improving lives every step of the way.

Now I'll invite Ashutosh ji to provide a detailed insights in to the financial performance. Thank you so much.

Ashutosh Dhawan: Thanks, Sheetalji. A very warm welcome to everyone joining us for our Q4 FY '25 performance discussion. Before we proceed with the financial performance, I would like to highlight that these Q4 FY '25 financials are the first full quarter of BSV results and FY '25 includes 160 days of BSV financial performance.

Also, as committed, we have monetized our noncore asset that is Mahananda Spa and Resorts Private Limited for a cash consideration of INR562 crores on 11th of February 2025.

Consequently, we have classified our financial performance into continuing and discontinued operations for this quarter, and corresponding prior periods have also been reclassified to give a true and fair view of our continuing operations. Accordingly, we will focus our discussion on the performance of continuing operations. For the comprehensive view, including discontinued operations, please refer to Slide 31 of our Q4 FY '25 earnings presentation.

In quarter 4 FY '25, our revenue from operations has increased by 27.1% year-on-year basis to INR3,079 crores as compared to INR2,422 crores in Q4 FY '24. This is driven by growth in our base business and consolidation of BSV results.

For FY '25, our revenue has grown by 19% year-on-year basis to INR12,207 crores vis-a-vis INR10,260 crores in FY '24.

During the quarter, our gross margin has increased by 190 basis points to 71.6% from 69.7% in Q4 FY '24. This increase is driven by a combination of sales price increase effect as well as favorable sales mix.

For the full year, our gross margins have increased by 260 basis points to 71.4% compared to 68.8% in FY '24. This is majorly on account of sales price increase effect, which has contributed 120 basis point, and the balance 140 basis point is the combination of better sales mix as our chronic contribution has increased by 150 basis points on a year-on-year basis as well as certain operational efficiencies have also been achieved in our manufacturing processes.

During the quarter, our reported EBITDA has increased by 16.4% year-on-year to INR686 crores with the margins of 22.3% as compared to INR589 crores and a margin of 24.3% in Q4 FY '24. Further, there has been some spillover of the integration cost related to BSV, which amounts to INR25 crores. And after adjusting the same, our adjusted EBITDA margin is 23.1% in Q4 FY '25. -Mankind/JJ,,,

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This decline in adjusted EBITDA margin of 120 basis point year-on-year basis for the quarter was primarily due to increase in our selling and other expenses pursuant to launch of certain brands like empagliflozin and relaunch of certain Rx brands of BSV.

For FY '25, we have reported an EBITDA of INR3,030 crores, which is up by 19.8% year-on-year basis with the EBITDA margin of 24.8% as compared to 24.6% for financial year 2024. However, if we adjust the EBITDA margin with non-recurring expenses especially related to BSV transaction, our adjusted EBITDA margins for FY '25 has increased to 25.9% as compared to 24.6% in FY '24, which is at the higher end of our guidance of 25% to 26%. This increase in adjusted EBITDA margin by 130 basis point is due to increase in gross margin by 260 basis point, and a part of it has been offset by increase in expenses.

The R&D expenses for the quarter was INR87 crores, which is 2.8% of the sales. And for the full year 2025, it is 2.2% of the sales, which is in line with our guidance of 2% to 2.5%.

The finance cost for Q4 FY '25 has decreased

to INR191 crores from INR221 crores in Q3 FY

'25, which is driven by a repayment of INR3,000 crores worth of commercial papers in January 2025.

In Q4 FY '25, the depreciation and amortization expenses have increased to INR231 crores as compared to INR100 crores in Q4 FY '24. This includes INR110 crores of amortization impact related to BSV assets. And if we look at for the full year, the depreciation and amortization expenses has increased to INR621 crores vis-a-vis INR378 crores in FY '24, which is primarily due to a amortization impact of INR194 crores on BSV assets.

The effective tax rate for Q4 FY '25 was at 16.8% as compared to 16.6% ETR in Q4 FY '24.

However, the ETR for the full year FY '25 is 20.3% as compared to 19.1% last year. The ETR for the current quarter is low because of the lower tax on sale of Mahananda Resorts and Private Limited, which is a long-term capital gain tax. The ETR for the full year has increased on account of certain disallowances of expenses, primarily acquisition-related as well as a higher ETR of BSV. Accordingly, we continue to maintain guidance of 21% to 22% for the next year.

The profit after tax for Q4 FY '25 decreased by 10% to INR429 crores on account of higher finance cost and depreciation cost pursuant to full quarter consolidation of BSV, with diluted EPS of INR10.3 per share of INR1 paid. The cash EPS, which is the EPS adjusted for non-cash items like depreciation and amortization, was at INR15.9. For the full year FY '25, PAT increased marginally by 3.4% to INR2,007 crores from INR1,941 crores last year. The diluted EPS and cash EPS for FY '25 were INR49.1 and INR64.4 respectively.

The net operating working capital days for the quarter has decreased to 50 days as compared to 52 days in Q3 FY '25. However, as compared to FY '24, it has increased by 8 days to 50 days from 42 days in FY '24. Further, in FY '25, our cash flow generated from operations was at INR2,413 crores, which is on a year-on-year basis, an increase of 12.1%, from FY '24. Our capex spend in FY '25 increased to INR531 crores, remaining at 4.3% of the total revenue, which is in line with our guidance of 4% to 5% of revenue.

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As a part of our financial prudent approach, we continue to strengthen our balance sheet and have reduced our net debt to INR5,784 crores as of 31st March 2025, and this has been aided by monetization of non-core assets. And this has resulted in improving our net debt to adjusted EBITDA ratio to 1.8x in FY '25, which is in line with our guidance of less than 2x.

With that, we conclude our remarks and welcome any questions which you may have. And I now hand over to Abhishek.

Abhishek Agarwal: Yes. So thank you, Ashutoshji. So now...

Moderator: Ashutosh sir?

Prakash Agarwal : Yes we can start the Q&A, please.

Moderator: We have our first question from the line of Kunal Dhamesha from Macquarie.

Kunal Dhamesha: One for Rajeev ji. On the BSV portfolio, now that we have this portfolio for close to 6 months now, how has the performance been especially in Q4? Let's say, on a year-on-year basis, if we look at the revenue for BSV, how has that progressed? And what is the outlook there on the BSV business, while our domestic revenue growth guidance is 1.2x IPM. But specifically on the BSV portfolio, how is the outlook there?

And what is the synergies that we are expecting? Earlier, we had guided for INR50 crores to INR100 crores in 12 to 24 months. So when should we start seeing that? And the integration cost, is it just for this quarter? Or do we expect that to continue?

Rajeev Juneja: Thank you, Kunal. In the month of October, we took this organization. And naturally, when you take such an organization, it takes time to really settle in, bringing the leadership, whatever changes one is supposed to bring. I mean th

at we have done it. And if you just look at the BSV,

it is a fantastic kind of organization, and we were just looking for an organization which has

high-entry barrier products that we have acquired.

Going forward, next year, we expect the growth would be in the range of 18% to 20% is kind of the growth we expect. And what was the other question from your side?

Kunal Dhamesha: Yes. So on the synergy side, we had said that it would be INR50 crores to INR100 crores in 12 to 24 months. So how are we tracking on that target? And what should we expect in FY '26 on that?

Rajeev Juneja: We said that the synergy will take 12 to 24 months, that is how we basically have taken. When we acquired BSV, it came to us with TTK products - prescription brands, which we have integrated in Mankind because for that, Delhi Mankind is an appropriate company. On the second side, actual BSV, is super -specialty, very high -entry barrier products, that is over there . So whatever corrections we were supposed to make, we have made, and whatever changes we wanted to bring in like TTK brand, that particular division, we have done that. Optimization, commercial excellence, whatever changes we wanted to bring, we just wanted to close everything in the month of March before the next year starts. -Mankind//JJ,,, J,,...,y,,\$,§li

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So now onwards, things will be better in next 12 months' time to 18 months' time, you'll see the synergy. We promise that would definitely happen.

Prakash Agarwal : Yes, if I can add just some data points, like, for example, what Rajeev ji said that the TTK Rx business shifted to Mankind operating model. So , the small business was run into three divisions. Now we have converted into one division. It had more than 600 people. So as on March '25, it had 440 and as we speak, there's another optimization that has happened. And there's also a lot of emphasis on portfolio optimization. So some tail brands, we have kept some focus brands. This is as far as TTK Rx business is concerned.

On the WH specialty business in domestic side, we have strengthened leadership. The India head has come from one of the top companies in the India pharma space. There, the focus is largely on improving the operational efficiency. We believe there's a lot of juice left in terms of improving doctor connectivity, institutional penetration, improving MR productivity. So that process is on, and we will soon see some recovery in that space.

Rajeev Juneja: In the month of April only, I mean, we are finding very good traction in BSV's TTK brand because certain brands are so iconic, the moment some kind of a connection was there with the customer, doctors, immediately, the response started coming. Osso pan and Lactare, I mean these are certain brands, they basically were there in the market and some kind of a push was required, and we gave that. And the first month or I'll say 2-3 month response is fantastic.

Ashutosh Dhawan : And just to reflect on your last question. Kunal, so your question was with regard to the integration costs. So Q3 was driven by the acquisition cost. Q4 has been integration cost basically to bring in effect the change of control, which has taken place and certain consultant cost, which has been there, all put together has been INR25 crore or so, which we have called out. And once we will start the legal integration process, then there will be certain regulatory costs, which will be associated with that.

Kunal Dhamesha: And the second question on the EBITDA margin guidance of 25% to 26%, which seems more or less kind of flat if I look at the adjusted EBITDA margin of 25.9%, right? So wouldn't there be - let's say, BSV grows at 18%, 20% at low end, our domestic business also grows at 1.2x. Shouldn't there be more operating leverage, there will be synergies from this because we already started optimizing the ma

npower cost at TTK or BSV, right? So yes, what are the drags? One is, I think, R&D expense, which we are expecting at midpoint, 50 basis points higher. But anything else on the drag side that I'm missing?

Rajeev Juneja : We mentioned in the last call as well that in last couple of quarters, we have done a lot of reforms in Mankind. Once upon a time, Mankind was a kind of a company which was bottom -up. Everything was bottom -up. Nothing was top -down. So different divisions were working as per their best practices. There comes a time after few learnings, we brought a lot of new leadership at the head office level, so that the policy should be uniform, all 28 divisions should work in one direction, there should be a proper synergy because in the absence of synergy, a lot of waste happens. -Mankind//JJ,,, J,,...,y,,\$,§li

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And we mentioned in the last call as well, the kind of steps we have taken. Very less companies

are there in India who can really have such a courage to take actions. A lot of, I'll say, commercial excellence, a lot of changes. A lot of improvements, a lot of trainings, lot of replacements. Every sort of thing has been done in the last 1 year time and we tried to do everything before March, last year March, so that this year should start with flying colors. Flying colors in the sense that on one side, the actual results, which we hope, which we expect in Mankind would come slowly and gradually, I mean, after this first quarter.

We feel that whatever replacement we brought, after changing a lot of people, will start giving us right kind of synergy and right kind of response second quarter onwards. But as a whole, whatever we are saying right now that at the end of the year, whatever projections we have given, we'll be meeting those.

But yes, we have really worked hard to make Mankind strong foundation, because it really happens in every organization, organization keeps growing and then comes a plateau. And if you are courageous enough to really see that what are the drags? Can you replace them? Can you change them? There are two ways. One, basically is what? Do it slowly and gradually. And the second basically is what?

Once you find out that something is wrong, something is not right. Instead of doing it next year and next to next year and dividing that into many, many parts, we thought of doing everything in one go. And we feel that everything has been done last year. Now things will be better, much better.

Moderator: We have our next question from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane: Sir, just to start with, if you could share BSV sales for the quarter, domestic as well as exports?

Prakash Agarwal : So we have not called out specifically. I think Sheetal ji gave the organic numbers, you can call out the same. What I can add is that mandate brands, which is our key focus area. So the domestic mandate brands for the year have grown at 10% plus and international specialty mandate brands have grown at 18% plus for the year. IVF as a category for the quarter has grown at 20% and for the year has grown at 26%. I think this is the broad color we are giving, and the numbers you can calculate by just doing the organic numbers.

Tushar Manudhane: Got it. Sir, secondly, while the chronic, we are greatly positioned to grow 1.2x. But given that we still have considerable portion of acute therapies as well. So how to think about the overall portfolio growth? So ex-BSV, the prescription business?

Prakash Agarwal : So chronic currently, I mean, if you see continues to grow 1.2x to 1.3x, which is largely the cardiac and anti-diabetes. Our core five focus area apart from cardiac and diabetes is gastro, gynae and anti-infective. And we also hope to improve on the respiratory as well as derma and vitamins.

Tushar Manudhane: Yes. So

how to think on the growth front, if we sum up across the therapies for the acute side? -Mankind/JJ,,, J,,, ,y,,\$,Sli

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Prakash Agarwal : So acute side with the kind of restructuring initiatives that we have taken. So in the last 2 quarters, we have seen some corrections. And it is largely in the acute side, which has also impacted some of the acute segments. And we expect the growth to start from Q2 as Rajeev ji mentioned.

Sudipta Roy : Just to add to what you said. I think if you see in acute growth in quarter 4, we had to consider the regulatory impact of Unwanted -72 in acute portfolio. If you consider that, we are at par with the market. And going forward, as you rightly said, that we are expecting the acute portfolio will also grow at the same pace what market will grow.

And chronic, as usual, like we will be stronger in chronic. And some of the portfolio, what we said strategically we are focusing on, especially gynae, you have seen that post BSV, we have strengthened our gynae portfolio and there is a significant jump in market share overall. And gastro, of course, it has been a major focus for us. And going forward, also, it will be a major strength, along with our cardio and diabetic segment.

Tushar Manudhane: Got you, sir. Just one more, if I may. The consumer healthcare recovered considerably in FY '25 with almost 15% growth. How to think about whether this is the kind of sustainable growth in consumer healthcare? Or there is still some more steam left as far as growth is concerned in this segment?

Rajeev Juneja : We feel that this is not basically flash in the pan. This kind of growth will always be there. We are very bullish about our consumer healthcare business. And whatever brands particularly we have launched in last couple of, I'd say, quarters are also getting good traction. We mentioned you the name of Nimulid. We mentioned to you that this -- Ova News and our Gas-o-fast is doing fantastic, very, very good.

And where we were weak in the past? We were weak in e-commerce. We were weak in modern

trade. Even there, I mean, lot of good performance is happening. We feel that this year, next year and going forward, our consumer business would be fantastic.

Moderator: We have our next question from line of Neha Manpuria from Bank of America.

Neha Manpuria: First question on BSV. While I understand we are not giving specific BSV numbers. I think at the time of the acquisition, we had mentioned about the scope of margin expansion to 30% and higher on BSV over the next 2 years. Based on your -- what you've seen so far and the reforms that you have put out in BSV, the changes you have brought forward, is there still visibility on getting to improving margins within the BSV portfolio?

And specifically on BSV on international, I think if I were to calculate the numbers, there's been moderation in international. So if I were to think about the 18%, 20% growth, how much of that would be domestic versus international, given what's happened in fiscal '25?

Prakash Agarwal : Yes. Thank you for your question, Neha. So international growth has been very strong, upwards of 20%. We are not giving specific numbers. Domestic has been a bit muted because of some of the corrective actions we had to take, especially in the TTK Rx business, which has seen a sharp drop, which is from April onwards, as Rajeev ji mentioned, the growth has started. So we are -Mankind//JJ,,,J,,...,y,,\$,Sli

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positive on that. On the WH specialty also, while mandate brands have grown, but some impact is there on the tail brands. That's why the growth is a bit muted.

As for the margins growth, we remain very positive. Current margins are in the region of 26% to 27%. And we remain committed to improve the margin profile by 50 to 100 basis points every year.

30% probably will reach by fiscal '30, for sure, because it needs some R&D investments also. As the portfolio and the pipeline, there are a lot of very good opportunities. So that would require some investment. So that's why there will be a bridge from '26, '27 to '30. But we are very positive. Thank you.

Neha Manpuria: Understood. And the R&D investment, if I were to think about it from a consolidated perspective. Is the current quarter run rate something that I should build the increase upon? If you can give some guidance on what the total R&D spend would be?

Prakash Agarwal: Yes. So guidance is 2.5 to 3, you can take an average of the two.

Neha Manpuria: Okay. So okay, not too much. Got it. In the existing Mankind domestic business, we've mentioned that growth would come back from second quarter onwards. Is there any risk that you see in terms of the MR that you've added or that you've refreshed not being able to ramp up? Is there any plan to again add more MRs as we think about the next year to grow -- to deliver that higher -than-market growth? Just some color there.

Rajeev Juneja: Neha, there's always some kind of risk in everything you do actually. So we are not talking about increasing the medical reps and managers. What we have done in the last couple of quarters, we have replaced medical reps, managers, field force as a whole, a good quantity of that. Wherever we found that inefficiencies were there, right practices were not there. And whatever I'll say, right things were not there, we were really blunt and straightforward in making correction immediately as Mankind has always been very, very fast and executing things.

One way that you look at your balance sheet, you look at your other things. On the second side, we have always believed that if inside things are right, foundation is strong, things will move very fast. In my own career, I've seen in the last couple of years or many, many years that sometimes in the greed of growth and profits, right culture evaporates. So we are not that kind of a company.

Whatever actions we were supposed to take, we have taken those drastic actions. These were not simple actions. These were drastic actions and we're done and dusted. And now when I say that these new medical reps and new managers have come, they will take some time. They have taken some time. It's not that everything has happened in March or everything happened in December.

Everything happened gradually, and we decided that by the end of March, we'll close down everything, and we have done that. So that's one reason we are saying that maybe first quarter onwards. As we mentioned that whatever growth we have projected, whatever numbers we have given, that will be done. We are very sure about that. -Mankind//JJ,,,J,,...,y,,\$,Sli

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Neha Manpuria: Understood. And so the MR count still remains at about the 16,500 level that it was in the last

Management: Absolutely. We are not increasing. I mean, we basically replace d, improve d, train ed, brought new team.

Rajeev Juneja: If I just say that in last year, overall, I mean servicing of Mankind has been done. I mean deep - down cleaning has been done in Mankind in every aspect, and we are very sure about it. Whatever in the future will happen, will happen very, very soon.

Neha Manpuria: Yes. Thank you so much.

ave our next question from the line of Chintan Sheth from Girik Capital.

Ashutosh Dhawan: Sure. So let me start with the latter one. With regard to the debt portion. What we are targeting is that by end of FY '26, we should have the EBITDA to debt ratio of close to 1.1 x, anywhere between 1 - 1.2x of the EBITDA. So that's the guidance on which we are working. And as we highlighted earlier, that by FY '28, the target is to retire the complete acquisition -related debt. And with regard to the other expenses, this is in this quarter, there has been a bulge on the other expenses. And for the next year, we have maintained the guidance of 25% to 26%. So from there, you can draw that. That applies to all the expenses, not only to the other expenses.

Sudipta Roy: Hi, Chintan, I think we have spoken about this before. So acute has been a little soft in quarter 4 for most of the a cute giants or acute -heavy companies. We are also no exception to this. But yes, there are certain impacts of regulatory phenomenon, which was there in unwanted -72, which -Mankind/JJ,... J,...,y,...\$,\$li

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So I think what I have already spoken about that a lot of restructuring has happened from different parts and at different levels from field to HO, and those impacts should be visible in acute as well.

Prakash Agarwal: So for Mankind exports, we're expecting single digit growth. And from the BSV side, we continue to maintain that the growth for the overall BSV, I think guidance given is 18% to 20%. International growth will be higher than 20%.

Moderator: We have our next question from the line of Rahul Jeewani from IIFL.

Prakash Agarwal: Yes, correct. Yes, Rahul.

Prakash Agarwal: Rahul, just giving some color on the last year performance, which is fiscal '25. If you see quarter 4, we have grown 10% in the domestic

business without OTC, which is already 1.2 to 1.3x the secondary growth by IQVIA. And for the full year, we have grown at 9% primary versus IQVIA growth 8% - 8.5%. So we are already outperforming. And what we are saying is, from Q2, the growth will be even higher. So 1.2x there, I mean, if the market is growing at 10%, we're expecting growth our growth to be around 12% plus.

So that should not be a tall task, right, especially when we've taken so much of initiatives. And this year also, we have outperformed IPM. And what I think -- what Sudipta said was -- if we add back some of the regulatory headwinds, there's another 50 bps that we need to add back. So the year performance is already 1.2x, and we expect that to continue at 1.2x.

Rahul Jeewani: Okay. So the organic growth which you called out was for the prescription business, excluding the consumer healthcare portfolio.

Prakash Agarwal: Yes, Rahul. Thank you.

Moderator: We have our next question from the line of Sidharth Negandhi from CWC. -Mankind//JJ,,,J,,...,y,,\$,Sli

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Sidharth Negandhi : On basis of the revenue guidance on the domestic business, the exports business and the consumer healthcare business, considering the consumer healthcare business is likely to grow fastest, will that be a drag on margins? Or are the EBITDA margins of the consumer healthcare business in line with the domestic business? And similarly, on the gross margins, how do you see that playing out, considering the consumer healthcare business is going to grow fastest?

Ashutosh Dhawan: So for the consumer business, we have those EBITDA margins, they are part of the investor pack. So they are in high teens, close to 20%. And overall company margin is in the range of 25% to 26%. So that's the guidance we have given. So the consumer business margin currently is at a lower rate as compared to the company average. But it is a matter of scale. Once the business gets scaled up, then definitely, it is going to inch up to the company average in the near future.

Abhishek Agarwal: And size of the business of this is around 7%. So it's not going to contribute or significantly, you can say, dilute the overall margins.

Ashutosh Dhawan: And moreover, as Sheetal ji has highlighted, we are maintaining the same guidance, 25% to 26% for the EBITDA margin on an overall basis. The second question was on gross margin?

Sidharth Negandhi: Yes.

Ashutosh Dhawan: Gross margin, it is also in proportion to the EBITDA margins for the consumer business. So gross margin is comparable to the acute gross margin, you can say. Lower than the chronic, but comparable to the acute margins.

Sidharth Negandhi: Yes. Sir, on the acute piece, just want to understand, considering the impact that trade generics seem to be having, especially on the acute side outside of the metros, what is our plan on launching our own trade generics or taking action to sort of prevent that growth of trade generics impacting our growth?

Rajeev Juneja: You see, this trade generic is there in the business for the last couple of years. It is not only in smaller cities or bigger cities, in metros, every where trade generic is there. The impact is already there. I mean these kind of challenges are always there.

But please understand, whenever somebody buys a trade generic, the chemist gives him the medicine. Patient does not get that medicine at economical prices. It's like I mean earlier, people used to go to chemist without the prescription, doctor used to give our medicines. Now, no more. Just imagine hypothetically, if trade generic would not have been there, the growth of this pharma market would have been more than 16% - 17%. The impact of trade generic, whatever you see the growth, it is keeping trade generic in mind. Even in trade generic side, if you just look at the data, it has slowed down. The growth has com

e down. The kind of growth it was

having in the past, it is no more now because ultimately, doctor's prescription really matters.

Sidharth Negandhi: Clear, sir. And on the pipeline, you mentioned about a clinical trial happening for an obesity drug in Mankind. Any guidance on further launches in Mankind and separately in BSV? -Mankind//JJ,,,J,,...,y,,\$,Sli

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Prakash Agarwal: No. So this is GPR119 you're talking about, anti-obesity drug?

Sidharth Negandhi: Yes, that you already mentioned about the fact that it has entered Phase II trial. But any other notable inclusions in that pipeline, both from an erstwhile BSV and Mankind side?

Prakash Agarwal: So in the investor deck, if you go through, we have given one BSV at a glance. There we have given some color on the pipeline, which is on the biosimilar products as well as some of the

innovator products, which is in the AMR space and anti -thymocyte space.

Sidharth Negandhi: Got it. And on the Mankind side, any more drugs in the pipeline, innovator drugs?

Prakash Agarwal: So this is what we can talk about at the moment, GPR. There could be a couple, but it would be very initial stages.

Prakash Agarwal: I think we can call it off. I think the time is up. So decide.

Moderator: Sure, sir. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Abhi shek Agarwal: Thank you , for any further queries or clarification, request you to please write to us on investor.relations@mankindpharma.com. Thank you, and have a nice day.

Moderator: Thank you. On behalf of Mankind Pharma Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. -Mankind//JJ,,,

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Call: Aug 2025

August 06, 2025

BSE Limited
P J Towers,
Dalal Street,
Mumbai – 400 001

Scrip Code: 543904 National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051

Symbol: MANKIND

Dear Sir/ Madam,

Subject: Investor Conference Call for Q1 FY26 – Transcript

Pursuant to applicable provisions of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Investor Conference Call for Q1 FY26 held on Friday, August 1, 2025 at 12:00 Noon (IST).

The transcript is also available on the website of the Company at <https://www.mankindpharma.com/wp-content/uploads/2025/08/Q1FY26-Earnings-Call-Transcript-1.pdf> .

You are requested to kindly take the same on records.

Thanking You,

Yours Faithfully,

For Mankind Pharma Limited

Hitesh Kumar Jain
Company Secretary and Compliance Officer

Encl.: A/a

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Conference Call ”

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MANAGEMENT : MR. RAJEEV JUNEJA - VICE-CHAIRMAN & MANAGING
DIRECTOR
MR. SHEETAL ARORA - CHIEF EXECUTIVE OFFICER
AND WHOLE -TIME DIRECTOR
MR. ARJUN JUNEJA - CHIEF OPERATING OFFICER
MR. SUDIPTA ROY - SENIOR PRESIDENT , SALES AND
MARKETING
MR. ASHUTOSH DHAWAN - CHIEF FINANCIAL OFFICER

MR. PRAKASH AGARWAL - PRESIDENT , STRATEGY
MR. ABHISH EK AGARWAL – HEAD INVESTOR
RELATIONS

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Moderator : Ladies and gentlemen, good day and welcome to Mankind Pharma Limited Q1 FY '26 Results Earnings Conference Call. As a reminder, all participants' lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touch tone phone. Please note that this conference is being recorded.

I now hand over the conference over to Mr. Abhishek Agarwal , Head Investor Relations and AVP Strategy of Mankind Pharma. Thank you and over to you, sir.

Abhishek Agarwal: Thank you, Pari. Good afternoon and a very warm welcome to our Q1 FY '26 Earnings Call. On the call today, we have Mr. Rajeev Juneja – our Vice -Chairman and Managing Director ; Mr. Sheetal Arora – Chief Executive Officer and Whole -Time Director ; Mr. Arjun Juneja – Chief Operating Officer ; Mr. Sudipta Roy – Senior President, Sales and Marketing ; Mr. Ashutosh Dhawan – Chief Financial Officer ; Mr. Prakash Agarwal – President , Strategy.

We will commence today's call with Mr. Rajeev Juneja, who will provide a summary of our performance over the last quarter, followed by Mr. Sheetal Arora , who will share detailed insight on our business performance. Mr. Ashutosh Dhawan will then give an overview of the financial highlights, post which we will address any queries you may have.

Please note that today's discussion includes certain forward -looking statements reflecting management's expectations for future performance of the company. These estimates involve several risks and uncertainties and actual results may vary. Mankind does not undertake any obligation to publicly update any forward -looking statement, whether as a result of new information, future event or otherwise. For a detailed disclaimer, please refer to our investor presentation uploaded on our website.

Now, I hand it over to Mr. Rajeev for his comments.

Rajeev Juneja: Thank you, Abhishek. A very good afternoon and welcome to our Q1 FY'26 earning call. We are pleased to report a healthy start of FY'26, with encouraging trends as overall revenues of Q1 FY'26, increased to Rs. 3,570 crores, registering a growth of 25% year -on-year with a net EBITDA margin of 23.8%. Domestic revenue grew by 19% year -on-year, majorly driven by recovery in volume, consistent chronic outperformance and BSV consolidation.

Mankind continued to consolidate its rank, 4th by value, with a market share of 4.9%, up by 10 bps quarter -on-quarter, and second by volume, with a market share of 6.2%. Also, we are seeing encouraging trends with 1.8 x volume growth to IPM, led by outperformance in anti -infectives and respiratory segments. Our chronic share, excluding BSV, increased by 190 bps year -on-year to 38.8% in Q1 FY'26, as compared to 36.9% in Q1 FY'25, driven by an outperformance of 1.4x to IPM chronic growth.

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During the quarter, revenue from OTC business increased by 15% year -on-year to Rs. 237 crores. The continued secondary sales growth of our key consumer brands, including Gas -O- Fast the growth is 36% year -on-year, Manforce condoms 18% growth year -on-year, HealthOK 15% growth year -on-year, Pregaris 12% growth, reflects strong brand positioning and increasing market penetration. Further, the modern trade and e -commerce channel registered a growth of about 50% year -on-year, resulting its share to increase to 11%, from 9% in Q1 FY'25. On the R&D front, we are increasing our focus to strengthen our R&D pipeline . Alongside GPR - 119 for anti -obesity and anti -diabetes , our pipeline includes candidates targeting autoimmune disease, a novel anti-microbial resistance molecule, and a recombinant biosimilar in the IVF segment. Further details are available in the

R&D section of our FY '25 annual report released this month.

BSV published a refreshed study during the quarter, which is a Phase-3 non-inferiority study comparing the efficacy, immunogenicity, and safety of BSV 's Foligraf versus innovators in the International Journal of Infertility and Fetal Medicine, making it an alternative treatment option in ART (Assisted Reproductive Technique) . Further, BSV was the first Indian biopharmaceutical company to participate in the European Society of Human Reproduction and Embryology , which is a global IVF platform to present BSV 's comprehensive IVF portfolio and clinical research strengths .

As we celebrate 30 years of our operations, we would like our shareholders to be part of this

milestone ; therefore , the Company's Board has approved an interim dividend of Rs. 1 per share. We remain committed to strengthening our growth trajectory, driven by our four pillars of growth supported through deeper doctor engagement, scaling key trends, and execution excellence.

Now, I invite Sheetal to further share insights into our business performance.

Sheetal Arora: A very good afternoon to everyone. We sincerely appreciate your presence as we present our Q1 FY'26 performance. Over the past 30 years, our purpose -led growth has been rooted in delivering quality and affordable healthcare to all, even in the most underserved parts of the country, leaving a meaningful impact. Last year, we took as an opportunity to strengthen our foundations, enabling us to deliver consistent performance and pursue sustainable long -term growth. About domestic business, our domestic business revenue in Q1 FY'26 registered a healthy growth of 19% year -on-year, driven by organic growth for the quarter of 10% year -on-year, further supported by BSV consolidation.

Our secondary sales increased 9.2% year -on-year as compared to 8.6% IPM growth, led by 2.5% growth in sales volume and 14.7% growth in chronic therapy, indicating an overall outperformance of 1.1 x of IPM.

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Our key acute therapies like anti -infectives and respiratory out perform IPM by over 1.5 x, and our chronic therapies continue to deliver an outperformance in this quarter as well, led by 1.5 x in cardiology and 1. 6x in anti -diabetes.

Our recent ly launch ed brand Crenzlo is now ranked number one in newly launched brand s by value, and Vo nalong is the #1 prescription brand in their respective categories. While Nob eglar and Empagliflozin brands continue to gain significant traction , our inhaler portfolio, including both Symbicort and Combihale combined, are now the fastest growing inhalers and are ranked among top 5 in the segment. Our presence in metro and tier 1 cities also grew from 55% to 56% in Q1 FY '26.

About international business , our revenue from international business increased to Rs. 469 crore in Q1 FY '26, up by 81% year -on-year from Rs. 259 crore in Q1 FY '25, with single -digit organic growth and BSV consolidation.

Regarding BSV updates ; on the BSV front, we are witnessing progress across our integration initiatives and are confident of delivering healthy performance this year onward s. Additionally, we are also setting up a new biological facility to scale up and de -risk operation s at BSV's Ambarnath site and expanding its biological R&D facilities to strength en our innovation capabilities.

As we move forward, we remain committed to building a people -centric organi zation by fostering a culture of empathy and care. To realiz e this vision, we are consistently investing in strengthening patient and healthcare provider engagement through meaningful, transparent interaction s; driving innovation with purpose, focusing on accessibil ity, affordability and impact : continuous learning and development to empower our teams and partners. We feel hono red by the trust placed in us by doctors, patients

and people. This journey is not ours alone,

it is one that we walk together, guided by gratitude and a shared purpose.

Now, I invite Ashutosh ji to provide a detailed insig ht into the financial performance. Thank you so much.

Ashutosh Dhawan: Thank you, Sheetal ji. A very warm welcome to all of you. It's good to have you all with us today. I will now take you th rough Q1 FY26 financial update s.

Our revenue from operations during Q1 FY '26 has increased by 24.5% year -on-year basis to Rs 3,570 crores as compared to Rs 2,868 crores in Q1 FY '25, which is driven by growth in our base business and consolidation of BS V's results.

Our gross margins for the quarter declined by 130 basis point year -on-year basis to 70.5% from 71.8% in Q1 FY '25, which is due to unfavorable sales mix and certain inventory -related accruals taken in the current quarter for slow and long -moving items.

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During the quarter, our reported EBITDA has increased to Rs . 850 crores from Rs . 675 crores, which results in a growth of 25.8% year -on-year basis. The reported EBITDA margin for the quarter is at 23.8%, which has increased by 20 basis point on year -on-year basis. If we compare reported EBITDA margins with last year's adjusted EBITDA margins, there is a decline of 120 basis point from 25 .0% in Q1 FY '25 to 23.8% in Q1 FY '26. This decline in adjusted EBITDA margin of 120 basis point is primarily driven by reduction in gross margins.

The R&D expenses for the quarter was Rs . 79 crores, which remains at 2.2% of sales and is

higher than R&D spend of 1.7% of sales as incurred during Q1 FY '25.

The finance cost for Q1 FY '26 decreased to Rs . 171 crores from Rs . 191 crores in Q4 FY '25, which is on account of repayment of commercial papers amounting to Rs 500 crores in the current quarter.

In Q1 FY '26, the depreciation and amortization expenses have increased to Rs . 219 crores as compared to Rs . 103 crores in Q1 FY '25, which is primarily driven by depreciation and amortization impact related to BSV assets.

The effective tax rate for Q1 FY '26 was at 17.7% as compared to 16.8% in Q4 FY '25. The profit after tax for Q1 FY '26 has decreased by 17.4% year-on-year to Rs . 445 crores , on account of higher finance costs and depreciation costs pursuant to BSV consolidation, with diluted EPS of Rs. 10.6 per share of Rs. 1 paid.

During the quarter, cash EPS, which is EPS adjusted for non -cash items like depreciation and amortization, has slightly increased to Rs . 15.9 from Rs 15.8 in Q1 FY '25.

The net operating working capital days for the quarter on trailing 12 -month basis have decreased to 48 days as compared to 50 days in Q4 FY '25. The cash flow from operations has increased to Rs. 840 crores as compared to Rs . 546 crores in Q1 FY '25, which is on a year -on-year basis an increase of 54%. This is primarily on account of consolidation of BSV operating cash flows and improvement in working capital as well as realization of certain government receivables , etc. Therefore, in this quarter, our CFO -to-EBITDA ratio has increased to 99% as compared to 81% in Q1 FY '25.

Our CAPEX spend during the quarter has increased moderately to Rs . 127 crores in Q1 FY '26 as compared to Rs . 125 crores in Q1 FY '25. The CAPEX as a percentage of revenue is 3.6%, which is lower than our guidance of 5% of revenue for FY '26.

In line with our prudent financial strategy, we continue to strengthen our balance sheet and have reduced our net debt position to Rs . 5,249 crores as of 30th June 25, resulting in further improving our net debt to EBITDA ratio to 1.6x in Q1 FY '26 on trailing 12 -month basis as compared to net debt to adjusted EBITDA ratio of 1.8x in FY '25.

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With this, we conclude our financial update and welcome any questions which you may have.

Over to you, Abhishek.

Prakash Agarwal

Prakash Agarwal: We can start the Q&A please.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Chintan Sheth from Girik Capital. Please go ahead.

Chintan Sheth: Thank you for the opportunity. Question was on the biosimilar plant which we are planning to set up - Ambarnath facility. What is the Capex and timeline for that? If you can share that?

Prakash Agarwal : Thank you, Chintan. So, for the biosimilar facility, this is the facility which is started in Baroda largely to scale up as well as de-risk the operations of BSV. The Capex for Phase 1, we are looking at around Rs .150 - Rs.200 crores and it is expected to close and completed by end of next calendar year.

Ashutosh Dhawan: So, in FY26, the estimated cash outflow will be close to Rs 100 crores for this facility .

Chintan Sheth: And this is included in the 5% CAPEX guidance. It will be a part of that or it will be over and above that ?

Prakash Agarwal : It is part of that.

Chintan Sheth: Okay, got it. And when I look at the interest cost, sequentially it has declined. But are we planning to further repay debt which are getting matured over the course of the year? How should one look at the interest cost for the year ?

Ashutosh Dhawan: Okay, for the acquisition -related debt repayment, we have scheduled Rs . 2,000 crores to be paid in FY '26, out of which Rs . 500 crores has been paid in Q1 and the balance Rs . 1,500 crores, we are targeting to pay in October 2025. And the total interest cost towards this acquisition debt for this year would be in the range of Rs . 450 crores - Rs. 475 crores.

Chintan Sheth: And lastly, on the gross margin, you mentioned something about the inventory write-off of slow moving if you can quantify it or specifically, recurring will make sure how should we look at it?

Prakash Agarwal : Chintan, your voice is not very clear. If you can speak out.

Ashutosh Dhawan: Somehow, it is echoing. So, I understand there is a drop in the gross margin of 1.3% year -on-year basis and 1.1% is on a Q -on-Q basis. So, inventory -related accrual is forming part of this.

Moderator: Sir, sorry to interrupt. Mr. Chintan's line has disconnected. So, can we move to the next question?

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Rajeev Juneja : Go ahead.

Moderator: Thank you . The next question is from the line of Rashmi from Dolat Capital. Please go ahead.

Rash mi: Thanks for the opportunity. Just again, on the gross margin front, will you be able to quantify how much percent was from the inventory write-off and whether you still maintain your EBITDA margin guidance of 25% to 26% for the full year on a consolidated basis?

Ashutosh Dhawan: So, these are more driven from the accounting standpoint, the inventory-related accruals, etc. Difficult to give a specific number. However, it is a common denominator both for Y-on-Y and Q-on-Q drop in the gross margin. In terms of guidance, we have maintained the guidance that our gross margins will be upward of 70% and even in this quarter as well, it is upward of 70%. And we continue to maintain our EBITDA guidance of 25% to 26%. So, we are not changing the guidance either for the GC or EBITDA.

Rash mi: Okay. Thanks for that. And other question is related to the Dydrogesterone facility. Most of the manufacturing is now done in-house. So, what is the capacity utilization over there? When are we targeting the export market? And is it that the KSM we are still sourcing outside or that is also manufactured in-house only?

Arjun Juneja : So, for Dydrogesterone facility, the capacity utilization is approximately 60%. We are expecting approvals to start coming in from international markets by the end of this year. So, once the approvals start coming in, this capacity utilization will start increasing. So, most of the activities are in the last leg in terms of qualification etc. And in the next two months, we will start producing the KSM also in-house.

Rash mi: Okay. Got it. And one more question related to your Panacea portfolio. Earlier, you used to mention how much growth and the sales run rate quarterly it is doing. If you can give that information as well?

Rajeev Juneja: Panacea is growing 25% plus kind of a growth. It is in line with our commentary we gave last time. Continuously growing.

Rash mi: Okay. And one last question related to a small clarification. You said domestic business organic growth was 10%. So, this is ex-consumer health you are talking or you are talking on the entire domestic business?

Prakash Agarwal : Entire domestic business.

Ashutosh Dhawan: Including consumer healthcare, entire business.

Rash mi: Okay. And on the export front, how much is the organic growth?

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Abhishek Agarwal : On the export front, it is single digits.

Rash mi: Mid-single digit to high-single digit?

Abhishek Agarwal : Single digit, it is. Yes.

Rash mi: Okay. Thank you. That's it from my side.

Moderator: Thank you. The next question is from the line of Kunal Dhamesha from Macquarie. Please go ahead.

Kunal Dhamesha: Hi. Thank you for the opportunity. I think just continuing on previous participant's question, if you could provide exact organic growth for our base business, that would be great. At least for the next couple of quarters till we see the annualisation of BSV business?

Prakash Agarwal : Kunal, we have given the numbers. Sheetalji mentioned the overall company growth organically is 10%. And if you look at domestic also, 10%. And international is single digit growth. So, you can do the math.

Kunal Dhamesha: Okay. Perfect. And we are seeing that Panacea portfolio grew 25% year-on-year, which is a very small portfolio, right? Rs. 200 crore something. But then of the 10%, then it would have still be part of meaningful growth. Is that the way to put it?

Prakash Agarwal : So, it's part of the overall business. We don't call out Panacea as such because the brands are into various divisions now. So, some part is in 2-3 divisions. So, we stopped giving number, but some participants asked, we have given the directions. Some brands are growing 30%, some brands are growing single digit. So, overall basis, it remains at 25% plus growth. But overall, it would be still very small part of the overall company domestic business.

Kunal Dhamesha: And if you can also provide some color around the base business EBITDA margin excluding BSV, given that BSV has some form of seasonality, I believe second half is stronger, right? And has that led to some form of operating de-leverage in this quarter, which is kind of masking the base business EBITDA margin?

Prakash Agarwal : Yes. So, your observation is correct. Base business Mankind operating margins are better this quarter versus BSV. As BSV is more second half skewed and every quarter you will start seeing improvement in EBITDA margins for BSV also, and as far as Mankind is concerned and OTC business is concerned, there is a front-loading of expenses also which happens typically in any domestic business. So, this will actually lead to operating leverage in the upcoming quarters for the base business also.

Kunal Dhamesha: Perfect. Thank you. And all the best.

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Prakash Agarwal : Thank you.

Moderator: Thank you. The next question is from the line of Madhav from Fidelity. Please go ahead.

Madhav: Good afternoon. Thank you so much for your time. Just one question. In the past few quarters, Mankind has been facing some, you know, we've been changing our sales force and making a lot of, you know, large initiatives to improve our sales force efficiency, productivity, etc. Just wanted to understand where we are in that journey and by when

do we expect Mankind to come

back to becoming the industry -leading growth player that we've been in the past decade. So, do we expect that to start from quarter two? Is it going to take a bit more time before we start, start gaining share again? Thank you.

Rajeev Juneja: Madhav, this process started, I mean, approximately 12 months back and almost completed 99% in the month of March 2025. And now, basically, some changes happened in 1st Quarter in two of the divisions. Some happened in second, some in third and fourth. So, it is done last year. And as you can see that for good number of quarters our growth was single digit. Now, in the 1st Quarter, the growth is 10%. That itself talks about that changes are appearing. And as time will pass, we will see better things will happen. Let me reiterate one more thing that whatever we have said in the past, 4-5 things we said in the past, they have been done.

One, we said that QIP will happen. Certain things should be repeated, actually. It happened very fast. We said that our hotel business will be sold off, Mahananda. It was done. We said that TTK prescription business will be shifted to Mankind. It has been done. We also said that we will de-risk and make one more factory biological manufacturing plant. That will be completed next year. It is happening so fast. We also said that we will do expansion in R&D side. We also did that. One more thing we said that Mankind would become catalyst in promoting BSV brands, Anti-D, Snakebite, ASVS, social messaging will start. It has been done. So, things are happening at a fast pace. One thing should be kept in mind. Everything happened in the month of November last year. So, it's only few months when BSV has come in our fold. You say that 3-4-5 months where we have just now proper grip on BSV.

Madhav: Absolutely.

Rajeev Juneja: For reminding everybody, I reminded these things.

Madhav : No, sir. Makes sense. The reason I ask that is if you see the IPM data over the past decade, Mankind has been one company which has consistently gained shares and last year was obviously because of some initiatives internally and the acquisition for a few quarters that did not happen. So, just to clarify that we're back on track, we should start seeing.

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Rajeev Juneja: That's a good question. You take the answer as well. I mean, look at this volume growth. It is 1.8 times to IPM this time. I mean, look at anti-infective 1.6 times. Chronic in cardio side 1.5 times and anti-diabetes is 1.6 times. So, when you start making changes, it takes time. It's a big organization. It has taken us approximately 12-13 months.

But now that whatever changes we did, fruits are appearing and as time will pass, we will come back to our own original pace. Mankind was in need of these changes. See, every organization goes through different phases. I mean, phase -1 was when we reached to this particular level. Phase 2 is now we're competing with best of the companies. So, we need to change as per the time.

And any company who does not evolve, I've seen in my own career in 80s and 90s, if you just look at IPM, those top 10-20 companies are no more the top 20 companies. They have faded somewhere. Because to change, you need courage. And we believe that whenever there is a demand, we always keep one thing in mind, long-term, never the short-term. We have never been a tactical, always been long-term policy believer, actually. So, since you asked the question, I thought of just repeating everything.

Madhav: Makes sense. Just a second question on the BSV growth. Does that start coming back from FY26? Any guidance on BSV topline growth for this year? Thank you.

Prakash Agarwal : So, for BSV, we are maintaining guidance. So, sales growth of 18 %-20% with margins tad higher of 26 %-28%. If you see in terms of performance, just to

give some color, international

business continue to be at mid-teen kind of growth. In the India business, there were two parts. So, Rx business, we took a big corrective action in Q4. Sales were hardly anything. And in Q1, we have started to see very strong growth. You can see some data from secondary IQ VIA. It is a high double-digit growth.

Also, on the specialty side, we are seeing good traction. We had small changes, leadership

changes, and we have started to see good Q -on-Q growth. In the next quarter onwards, I think we start seeing good YOY growth also. There is some YOY growth, but it is nominal at the moment. But the Q -on-Q growth is very strong and secondary traction is very strong.

Madhav: Thank you.

Moderator: Thank you. The next question is from the line of Neha Manpuria from Bank of America. Please go ahead.

Neha Manpuria: Thanks for taking my question. Just to follow up on BSV, if I were to just do the math by excluding the organic growth, it seems like the BSV run rate hasn't shown any improvement year-on-year basis. So, would it be fair to assume that a lot of the steps we are taking will start

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reflecting in year -on-year growth in the subsequent quarters to achieve that 18 %-20% growth that you are mentioning?

Prakash Agarwal : Your observation is right. So, it is a flattish kind of growth on an overall basis. But because we have taken some corrective actions, and if you see BSV past trends of last 2 -3 years, it is more skewed towards second half. But at the same time, every quarter, you will start seeing improvements. So, Q2 will be better than Q1, Q3 will be better than Q2 is our expectation. And the performance which is delivered is as per our budget expectations. So, we are on line.

Neha Manpuria: Okay. So, the flat year -on-year isn't something that I need to be worried about to get to that 18 %-20% growth for the full year for BSV?

Prakash Agarwal : Actually, some growth is there. We are not calling out the number, but there is some growth, especially in the international business and also in the specialty. So, these two things and anyways, Rx business, if you have seen, we have given a slump sale notification. So, that will happen. That will, as communicated earlier and mentioned by Rajeev ji, this will be operated fully by the Mankind office because it is a branded generic business. So, these two assets, if you look at, it is high single -digit growth, even in this quarter.

Neha Manpuria: Okay. That is helpful. The second question that I wanted to ask was on the other expenses. It seems to have shot up pretty meaningfully versus the last two quarters run rate, which includes BSV. So, just wanted to get some color on what is driving this higher spend. Is it related to our organic business, which is why we have seen growth come back versus the run rate because it seemed to, including BSV, which was flattish, it suddenly seems to have increased pretty meaningfully quarter -on-quarter ?

Ashutosh Dhawan: You are right, Neha, in your observation. If you take Q1 FY26 year -on-year basis, there is a bump of Rs.131 crores in the other expenses. Out of this Rs.131 crore, approximately Rs.125 is coming from BSV and rest all is the inflationary adjustment. If you look at it quarter -on-quarter basis, the jump is around Rs. 82 crores, which is primarily driven because of increase in S&D expenses because they are front -loaded and BSV expense base has been constant in this quarter.

So, it's more on the timing difference and the front -loading of expenses that you are seeing a bump. Overall, during the full year basis, they will normalize.

Neha Manpuria: Okay. So, it's more front -loading of expense. And sir, sorry, one last thing, the inventory number in the gross margins, we are not quantifying that?

Ashutosh Dhawan: We are not quantifying it at the moment. It's a

mix of inventory accrual plus some of the business

mix change. So, it's a combination of two. But we are working with the same guidance.

Neha Manpuria: And this inventory accrual, I mean the slow and non -moving items, was this related to the BSV portfolio? Would that be a right assumption?

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Ashutosh Dhawan: Not exactly. It has been across the board because the sales mix profile has changed, so that's why.

Neha Manpuria: Okay, got it. Thank you so much.

Moderator: Thank you. The next question is from the line of Nihar Mehta from Bay Capital. Please go ahead.

Nihar Mehta: I just had one question on the OCF -to-EBITDA profile. So, this quarter you have seen a significant jump. So, I wanted to know whether this is sustainable in the longer run, 90% plus, or will we go back to our 70% to 80% levels going forward in the longer run?

Ashutosh Dhawan: No, having it assumed around 80% plus level will be a fair assumption.

Nihar Mehta: Okay. Thank you.

Ashutosh Dhawan: So, this quarter is 99% because some of the one of realization of receivables have happened, but 80% will be a fair assumption.

Nihar Mehta: Okay, thank you.

Moderator: Thank you. The next question is from the line of Bino from Elara Capital. Please go ahead.

Bino: Hi. I was looking at the depreciation and amortization expense for the quarter. It has come down

from Q4 level from Rs. 231 crore to about Rs. 219 crores . Was there any change in the way amortization is done or is this the normal level?

Ashutosh Dhawan: No, there is no change as such. So, what happened was in Q4 FY '25, we have taken an impact of accelerated intangible depreciation, wherein on some of the IT related intangibles, we reduced the life. So, because of that, the Q4 depreciation was higher as compared to Q1.

Abhishek Agarwal : But going forward, you can assume the same run rate for this financial year

Bino: Yes, Q1 run rate. Okay. And just on the tax rate, you had earlier guidance 21% to 22% for the full year. Do you maintain that guidance?

Ashutosh Dhawan: Tax rate? Yes. So, we would like to maintain 20% to 21% guidance from the ETR . For this quarter, it is 17.7% and 20% to 21% will be a fair assumption for the year.

Bino: Got it. Thank you very much.

Moderator: Thank you. The next question is from the line of Gaurav from Antique . Please go ahead.

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Gaurav: Yes. Hi. Thank you and good afternoon. Just a clarification first. The business acquisition that we have called out, that is the movement of the TTK business to Mankind , right?

Ashutosh Dhawan: Correct.

Gaurav: And seeing that the turnover of this business has declined from Rs. 197 odd crores to almost Rs. 104 crores, 24 to 25. Any particular reason for the sharp contraction?

Prakash Agarwal : So, Gaurav, we have called out in the last quarter that it was hardly any sales in the Q4 because we took some inventory related corrections. And now as we speak, the growth has started. So, if we can call out some of the numbers, for example, Ossopan is growing at 30% plus, Epidosin is growing at 50% plus, as I mentioned, secondary growth has started. And we are also able to see significant bounce back in the primary sales. However, it remains little bit decline on a YOY basis because the first half of this TTK -Rx business was heavy. But on an overall year basis, we will try and achieve significant growth on a last year base.

Gaurav: Okay. Second question on the India business, seeing in your presentation that the modern trade and e -com share has increased to 11% and that's growing to almost 50%. So, are we the first movers in this trade channel and what would be the economics of this trade channel, you know, margins would be higher or lower? And also, is consumer health a big part of this modern trade and e -com today?

Abhishek Ag

Arwal : Thanks, Gaurav. So, yes, the share of OTC business and the business channel modern trade and e-commerce increased to 11%. But yes, and you are right, the margins is slightly on a lower side, but this is a stable business, but we continue to maintain our EBITDA guidance of 18 % to 20%. And we are not the leader, there is still room to grow and increase our modern trade and e -commerce share going forward.

Prakash Agarwal : We are under indexed in this channel. So, I think this is a very critical part of the growth apart from the general trade.

Abhishek Agarwal : And kind of products we have, we are seeing very good traction on these channels.

Gaurav: But most of this will be consumer health, right? All your brands?

Abhishek Agarwal : Yes, this is consumer health. This 9 % to 11% share we have mentioned for OTC, this is not for pharma.

Gaurav: Correct . Thanks for that. The last question, we have seen your peers give more insights into the dosage modalities and where they are in the development process for the GLP. Would you mind sharing an update on your pipeline and where you are and which modalities and integrations you are targeting?

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Arjun Juneja : From the GLP one that you are talking about, I mean, we are talking about semaglutide on GLP, where we will be launching when the patent expires, if that is the question. The other one which Rajeevji mentioned in his speech was more regarding our R&D pipeline that we are developing, which is a GPR 119 which is a novel mode of action, where we are targeting obesity. It is unlike GLP one, which are peptides and large molecules, this is a small molecule, which is targeting the GPR 119 cell in the body. So, that molecule, as we speak, is underway phase II trials in Australia. So, we should have some results in our hands by the end of this year.

Gaurav: And Sema , we would be targeting the oral and injectables both and when do we see the respective markets opening up?

Arjun Juneja : As soon as the patent expires.

Gaurav: So, the oral patent does not expire in 2026 as well?

Arjun Juneja : It would be difficult to comment on the patent right now on the call, but when the generics launch, we will be there in the first day of launch.

Gaurav: Okay. All the best. I will join back the queue . Thank you.

Moderator: Thank you. The next question is from the line of Tushar Manudhan e from Motilal Oswal Financial Services. Please go ahead.

Tushar Manudhane: So, with this, just on the field force with all strategic reset done now and so, is there any scope to add MRs now in FY '26 or you would want to see the improvement in productivity and then look at it in FY '27?

Sheetal Arora: As mentioned by Ra jeevji in his previous commentary also that most of the corrective measures have been done, almost done. So, there is no scope to add MRs and all the things have been done. So, now we will focus on increasing the productivity in this year.

Tushar Manudhane : Got it. And so, just on BSV, given that 18 % to 20% growth in the coming nine months, if you would just help, this will be more exports driven or more domestic driven?

Prakash Agarwal : No, I think growth will come from both angles. So, as already mentioned that there is already growth seen in secondary sales for domestic. I gave you examples of Rx, but let me give you some examples of the specialty business. So, the fertility business, if you see FSH, our Foligraf secondary growth is 35%. If you see Humog, Hucog all are growing 10% plus. ASVS, which is the anti -snake venom is also showing high double digit growth.

So, there is a good secondary traction and hence we are confident that primary will catch up.

And international as highlighted earlier, the growth expectation is upwards of 20%. So, we

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expect that overall, if you do the maths, we will

land up at around 18 to 20% growth for BSV as a whole.

Tushar Manudhane : And on this international aspect further, is it that the BSV already had registrations of the products in respect to geographies and now it is the time to scale up those or there will be sort of a period where registration has to happen and then the growth sort of picks up?

Prakash Agarwal : So, it is an ongoing process. The first objective is to increase the penetration in our core markets.

So, there we are already seeing high double digit growth. The second objective is for existing products in newer markets also. So, we are exploring as we speak, already board approval has come for Russia. So, we are expecting a couple of approvals. So, there can be good growth. It is a function of existing products in newer markets. At the same time, there is also some work going on newer products, which we will be starting with existing markets and then even look ed for some of the higher semi -regulated markets in future. So, there is a multi -pronged growth strategy which is being played out.

Tushar Manudhane: Got it. And just on this biologic facility, if you could also share while you have shared the CAPEX amount to be spent, just if you could elaborate on what capacity, whether it is drug substance, drug product both or if you could just elaborate on that aspect as well.

Arjun Juneja : So, this biologic facility would be divided into two phases. The first phase would be for drug substance and the second phase would be for drug products. And it is basically a risk mitigation strategy for the Ambernath facility of BSV. And also this facility will help us drive business into some semi -regulated and highly stringent international markets. So, the facility is being built from that point of view.

Tushar Manudhane: So, just conceptually on this, given that we have such strong marketing strength and subsequently for the international markets also and sourcing the products and then subsequently further focusing on distribution as far as this biologics aspect is concerned within BSV. So, will that strategy be better for getting a hold on the manufacturing piece is sort of quite relevant. The perspective here is that given that CDMO biologics, there has been a lot of facilities which have come up. So, from that perspective, if you could throw some light.

Arjun Juneja : If you look at biologics, most of the people who are there in biologics are into MABS or certain recombinants. There are hardly very few players globally who are making recombinants for infertility. BSV's recombinants are majorly into infertility where we are producing recombinant Hucog , recombinant FSH , we are also the first generic player globally , as Raj eevji mentioned that we are doing some research in our R&D where we will be producing follitropin alfa which will be the only generic after Merck.

So, there are not many CDMO players available who are present in the biologics facility for the infertility space. Having said that, there is another product which is Anti -D which is the first

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novel biologic which has come from the R&D of BSV. There is no producer for it. So, all the products which are coming from BSV are all either first time generics or novel products. So, it is very important for us to have our own facility and our own R&D and full supply chain control over the manufacturing of these products.

Tushar Manudhane: Got it sir. So, this Anti -D will require a dedicated facility?

Arjun Juneja : No, it is currently being produced in Am bernath but once Baroda is ready, it will be produced in Baroda as well.

Tushar Manudhane: No, I meant to ask this CAPEX of Rs. 150 to Rs. 200 crore, will this be further product specific?

Arjun Juneja : It is including Anti -ID. It is including all the biologic products of BSV.

Tushar Manudhane: Got it. This is h

elpful . Thank you very much .

Moderator : Thank you. The next question is from the line of Navani Naredi from Naredi Investments . Please go ahead.

Navani Naredi: Thanks for the opportunity. I just had one basic question. The reason behind the 17.4% YOY decline in ne t profit despite the strong top line growth. I know it might be on account of the increase in finance cost but like will we be able to increase the net profit margin again?

Ashutosh Dhawan: So, it is a factor of not only finance cost, it is a factor of increased depreciation cost and then there used to be other income because there was surplus funds. So, that has also become negative because of the debt being taken and as we highlighted that our en deavor is to clear all the debt by FY '28. So, till FY '28 there will be interest burden and then slowly and gradually the PAT is going to increase as we are going to liquidate our debt.

Navani Naredi: All right. Thanks for the detailed explanation and all t he best. Thank you.

Ashutosh Dhawan: But one thing we would like to highlight, if you look at it on a cash EPS basis, so we have shown a slight improvement in cash EPS, i n this quarter .

Navani Naredi: Yes, that I saw. So, it is good. But I was just concern ed about whether going ahead we will be able to maintain, like we will be able to increase the net profit or not? So, that was my question but it has been answered. Thank you so much.

Moderator: Thank you. The next question is from the line of Siddharth Ne ghand hi from Chanakya Wealth Creation. Please go ahead.

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Siddharth Neghandi: Two q uestions. First one, while chronic growth has been very good and really kudos to the team for that. Growth in Gynae has trailed IPM and that is obviously a big one considering both BSV has a massive Gynae portfolio as well as dydro and the other products in Mankind , right? So any specific headwinds that you are seeing there and how should we look at that growth? That 's question number one.

Question number two is on the anti -diabetic portfolio, currently growth clearly is very strong ahead of IPM, but post -GLP -1 genericization, how do you see the impact on that base business?

Sudipta Roy : So, Siddharth, answering your first question, yes, your observation is correct that we have slowed down a bit in Gynae, but t he major impact has come from Dy drogesterone and dydroboon mostly . But if you see quarter -to-quarter, there is a steady upward movem ent for even dydroboon . So, we have seen some kind of strategic intervention what we have taken has given us results.

Especially, you know, Mankind has been very strong at the bottom of the pyramid of, you know, our ACP pyramid , where we have lost a bit initially, but then we recovered in last three quarters and there is a po sitive trend if you see quarter -to-quarter. So, year -on-year basis, definitely even Gynae also being a number one player in this space, we will be doing well and that confidence is coming in Quarter 1 performance impact and D ydroboo n also will have a signifi cant growth in quarter s to come.

Coming to the next question, I think, Siddharth, though anti -diabetic, as you said, Mankind has been doing quite well and even with our older brands, we are in a very good space. Our mature d brands also are doi ng well, better than the market. And coming to the newer therapies, once these newer therapies comes to the market, you have seen traditionally also that the old molecules doesn't go away. So, there are positions still for Sulfonylurea , there are positions still for other molecules. So we are present in all the segments of anti -diabet es. So, even if suppose something comes up, we will be stron g in those segments as well as we will be maintaining our position in the older segments. So, if you consider the market change, considering a new molecule comes into anti -diabet es,

we have seen earlier also that the older molecules also sustain. S o, in those spaces also, Mankind will outperform those anti -diabet es segments. I hope Siddharth you got the questions answered .

Siddharth Neghandi: Yes, got it. Just wanted actually to understand your guidance in terms of how those older segments may end up facing any headwinds in terms of growth. The next question that I had was on the consumer healthcare business where, while there has been very str ong growth, you've seen a sharp decline of 2% in EBITDA margins and I'm assuming that's because of the sales mix where the contraceptives have grown ahead of PregaNews. Just wanted to understand in terms of overall growth continuing at 15%, do we see a path back to 20% margins?

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Rajeev Juneja: I mean, Siddharth, don't go by one quarter. We always talk about the annual growth. Whatever projections have been given would be achieved. And the 1st Quarter, the first half is always a bit more aggressive as far as the spending is concerned. So, naturally, you see that EBITDA margin has gone down. But we have always said in the past as well that we will maintain the EBITDA margin, but at the same time, top line growth is our number one priority.

Siddharth Neghandi: Go ahead sir, go ahead on the growth on anti-diabetic, if you can, base business growth headwinds, if you can give some color?

Sudipta Roy : So, as I said, like there are certain categories like Sulfonylurea, if you see, or maybe the other categories of old anti-diabetes, it will not be a flat therapy, because even when empagliflozin or maybe dapagliflozin, when they have also been launched, it has not impacted so much on the existing therapy. So, if you see the overall anti-diabetes space, there are different categories of HCPs, where these molecules are still steady. So, Mankind, as you know, has been strong in most of the specialties. So, in this case also, wherever the therapy goes, suppose it goes top to bottom, then we will be also very steady at the bottom space. So, I don't think there'll be a significant impact in terms of overall business in anti-diabetes.

Rajeev Juneja : Let me give you an example of that. We took this Glizid from Panacea, growing at 25%. It's an old molecule. So, every molecule has its own kind of importance in doctor's mind. And different kind of patients require different kind of medicines. When empa came, people said dapa will go away, but you look at this dapa side, the growth is 20%. Plus, because a lot of new patients are coming in diabetic side. So, more patients are being diagnosed, more population is coming, universe is becoming bigger. So, every medicine has a different thing. It does not make a point that some new will come and wipe out the older molecules. It does not happen like this.

Siddharth Neghandi: Thank you. That's useful. Thank you and all the best.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I now hand over the conference to management for closing comments.

Abhishek Agarwal: Thank you for all the questions and for any further queries, clarification, you can write to us on investor_relations@mankindpharma.com. Thank you. Have a nice day. Stay happy, Stay healthy. Thank you.

Moderator: Thank you. On behalf of Mankind Pharma, conclude this conference. Thank you for joining us and now you may disconnect your lines.

This transcript has some minor edits to enhance the understanding and readability and does not purport to be a verbatim record of the proceedings. Since it is a transcription, it may contain transcription errors. The Company takes no responsibility of such errors, although an effort has been made to ensure a high level of accuracy.

Call: Nov 2025

November 11, 2025

BSE Limited
P J Towers,
Dalal Street,
Mumbai – 400 001

Scrip Code: 543904 National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051

Symbol: MANKIND

Dear Sir/ Madam,

Subject: Investor Conference Call for Q2 & H1 FY26 – Transcript

Pursuant to applicable provisions of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Investor Conference Call for Q2 & H1 FY26 held on Thursday, November 06, 2025 at 06:00 P.M. (IST).

The transcript is also available on the website of the Company at <https://www.mankindpharma.com/wp-content/uploads/2025/11/Q2FY26-Transcript-1.pdf>

You are requested to kindly take the same on records.

Thanking You,

Yours Faithfully,

For Mankind Pharma Limited

Hitesh Kumar Jain
Company Secretary &
Compliance Officer

Encl.: A/a

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November 06 , 202 5

MANAGEMENT : MR. RAJEEV JUNEJA – VICE CHAIRMAN AND
MANAGING DIRECTOR
MR. SHEETAL ARORA – CHIEF EXECUTIVE OFFICER
AND WHOLE -TIME DIRECTOR
MR. ARJUN JUNEJA – CHIEF OPERATING OFFICER
MR. SUDIPTA ROY – SENIOR PRESIDENT , SALES AND
MARKETING

MR. ASHUTOSH DHAWAN – GROUP CHIEF FINANCIAL OFFICER
MR. PRAKASH AGARWAL – PRESIDENT STRATEGY
MR. ABHISHEK AGARWAL – HEAD INVESTOR RELATIONS & AVP - STRATEGY

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Moderator: Ladies and gentlemen, good day, and welcome to the Mankind Pharma Q2 H1 FY '26 Results Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Abhishek Agarwal from Mankind Pharma, Head, Investor Relations, AVP Strategy. Thank you, and over to you, sir.

Abhishek Agarwal: Good evening, and a very warm welcome to our second quarter and H1 FY '26 Earnings Call. On call today, we have Mr. Rajeev Juneja, our Vice Chairman and Managing Director; Mr. Sheetal Arora, Chief Executive Officer and Whole-time Director; Mr. Arjun Juneja, Chief Operating Officer; Mr. Sudipto Roy, Senior President, Sales and Marketing; Mr. Ashutosh Dhawan, Global Chief Financial Officer; and Mr. Prakash Agarwal, President Strategy. We will begin with Rajeev Juneja, sir, providing an overview of quarterly performance followed by detailed business insights from Sheetal Arora. Mr. Ashutosh Dhawan will then share the financial highlights after which we will move on to the Q&A session. Please note that certain statements made during the call may be forward-looking, reflecting management's current expectation about future performance.

These involve inherent risks and uncertainties, and actual results may vary. Mankind does not commit to updating these statements in light of future developments. For a detailed disclaimer, please refer to the investor presentation uploaded on our website.

Now I'll hand over to Rajeev sir for his comments.

Rajeev Juneja: Thank you, Abhishek, and good evening, everyone. A very warm welcome to our quarter 2 and H1 FY'26 earning call. In quarter 2, our overall revenue increased 21% year-on-year to INR3,697 crores with EBITDA margin of 25%. In H1 FY'26, revenue increased by 23% year-on-year to INR7,268 crores with EBITDA margin of 24.4%. Our domestic business grew by 15% year-on-year by continued outperformance in chronic and BSV consolidation, partially impacted due to supply chain disruption led by new GST rates rollout.

In quarter 2, FY'26, our secondary sales increased by 6.3% year-on-year which was lower as compared to 7.2% IPM growth. We believe GST impact was higher for us as compared to IPM due to our stronger presence in Tier 2 to Tier 6 cities and higher share of acute business. While GST-related changes in September 2025 caused a brief disruption, we expect growth recovery in H2. GST 2.0 deeply resonates with our own belief in providing high-quality affordable medicines accessible to all and will pave the way for more sustainable and inclusive future for Indian pharmaceutical industry.

Our chronic share further increased by 200 bps year-on-year to 37.1% in quarter 2 as compared to 35.1% in quarter 2 last year, driven by continued over performance of 1.3x in cardiac, 1.2x in anti-diabetics. Our consistent outperformance in anti-diabetic in last couple of quarters have improved our covered market rank from fifth to fourth during the quarter.

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We also saw 1.2x outperformance versus IPM in respiratory. Our inhaler brand, Symbicort and Combihale are one of the fastest-growing brands in this segment. We are scaling digital capabilities across the organization to create a more connected and agile enterprise. Our partnership with OpenAI marks a new era of digital transformation, helping us make faster, smarter insight-led decision to enhance performance and profitability.

R&D expenses increased from 1.9% of sales in quarter 2 FY'25 to 2.9% of sales in quarter 2 '26,

in line with our guidance of 2.5% to 3% in FY'26. We remain committed to deliver innovative science-backed products at affordable prices, ensuring access across the country and driving sustainable long-term growth.

I now invite Sheetal to provide more details to our business performance.

Sheetal Arora: Good evening, and welcome to our quarter 2 and H1 FY'26 earnings call. We appreciate your time and participation today. Let us begin with our domestic business performance. Revenue

from domestic business increased by 15% year -on-year basis to INR3,184 crores in quarter 2 FY'26, supported by BSV consolidation. Organic domestic growth was around 6% year -on-year and 6.6% excluding OTC for this quarter.

In H1 FY'26, revenue from domestic business increased by 17% to INR6,285 crores. Organic growth for domestic, excluding OTC was around 8% year -on-year. We continue to be the leading player with the highest prescription share of 15.3%, reflecting the trust that doctors have on Mankind and our products' deeper market reach.

Additionally, our prescriber penetration has also improved by 30 basis points, increasing from 83.9% in MAT September '24 to 84.2% in MAT September '25. Mankind PCPM has improved to INR7 lakhs as on September 30, 2025, from INR6.8 lakh as on March 31, 2025, on TTM basis.

Our focused efforts over the past few quarters to build a strong foundation resulted in 1.7x volume outperformance versus the IPM during H1 FY'26. And from here on, we expect to deliver continued outperformance versus IPM. BSV's domestic specialty business has picked up momentum with double -digit sequential growth led by mandate brands. PCPM of BSV specialty business improved to INR12.6 lakhs as on September 30, 2025, from INR11.1 lakhs as on March 31, 2025, on TTM basis.

Regarding our OTC business, during the quarter, revenue from OTC business declined by 3% year-on-year to INR226 crores due to supply chain disruption led by new GST rates and some impact by uneven monsoon. We expect recovery in H2.

However, the secondary sales of our key brands, including Manforce and Gas -O-Fast continue to witness a healthy growth of 14% and 36% year -on-year basis. Our modern trade and e -commerce share has further expanded to 12% in H1 FY'26 versus 8% for the same period last year.

Our export revenue during the quarter increased by 83% year -on-year to INR513 crores in quarter 2 FY'26, led by increase in our base business and BSV consolidation. The organic growth

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during the quarter was single digit. In H1 FY'26, revenue from exports increased by 82% to INR982 crores. We are deeply committed to fostering a public -centric culture and hence, we have launched Mankind University, a self -paced AI -powered virtual learning platform designed to meet our organizational needs and strengthen our foundation for future -ready and sustainable growth.

Now I will hand over to Ashutoshji, who will provide detailed insights on financials.

Ashutosh Dhawan: Thank you, Sheetalji. Good evening, everyone. I'm delighted to have you all with us on our quarter 2 and H1 FY '26 earnings call. Let me give you a brief of the financial highlights for our quarterly performance for quarter 2 FY '26.

Our revenue from operations during quarter 2 FY '26 has increased by 20.8% year -on-year basis to INR3,697 crores as compared to INR3,061 crores in quarter 2 FY '25, which is driven by growth in our base business and consolidation of BSV results.

Our gross margin for the quarter declined by 20 basis points year -on-year basis to 71.3% from 71.5% in quarter 2 FY '25 which is primarily due to discount given to stockists to compensate them for the tax credit accumulation under new GST 2.0 rollout in September 2025.

During the quarter, our reported EBITDA has increased to INR924 crores from INR850 crores, which results in a growth of 8.7%

year -on-year basis. The reported EBITDA margin for the quarter is 25%, which has decreased by 280 basis points on year -on-year basis.

This decline is primarily driven by increase in R&D expenses by 100 basis points, employee cost by 130 basis points and the balance is a combination of gross margin and other expenses. The adjusted EBITDA margin for H1 FY '26 is 24.4%, which has decreased by 200 basis points year-on-year basis.

This decline is primarily due to reduction in gross margin by 70 basis points, increase in R&D expenses by 80 basis points and the balance is due to increase in employee cost. The R&D expenses for the quarter was INR109 crores, which is at 2.9% of sales, and the same is higher than the R&D spend of 1.9% of sales during quarter 2 FY '25. The R&D expenses for the quarter 2 FY '26 remains within the range of 2.5% to 3% of our guidance.

The finance cost for Q2 FY '26 is INR170 crores, which is in line with the finance cost of INR171 crores during quarter 1 FY '26. Following the quarter end, we have fully retired the commercial papers worth INR5,000 crores with the last tranche worth INR1,500 crores, which has been paid in October 2025.

The net debt position has shown a decrease of INR488 crores between the current quarter and the previous quarter. In quarter 2 FY '26, the depreciation and amortization expenses have increased to INR222 crores as compared to INR100 crores in quarter 2 FY '25, which is primarily

driven by depreciation and amortization impact related to BSV assets. The current quarter depreciation and amortization expense is in line with the previous quarter expense, which was at INR219 crores.

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The effective tax rate for H1 FY '26 was at 17.1%, which has reduced from 20.7% in H1 FY '25. The drop in ETR percentage is primarily due to higher exemption on account of goods being manufactured at Sikkim plant. The profit after tax for quarter 2 FY '26 has decreased by 21.3% year-on-year basis to INR520 crores on account of higher finance cost and depreciation cost pursuant to BSV consolidation with diluted EPS of INR12.4 per share of INR1 paid. During the quarter, cash EPS, which is EPS adjusted for noncash items like depreciation and amortization has increased to INR17.7 from INR15.9 in quarter 1 FY '26, an increase of 11.6%. The net operating working capital days for the quarter on trailing 12 -month basis have decreased to 46 days as compared to 48 days in quarter 1 FY '26. In H1 FY '26, our cash flow from operations has increased to INR1,637 crores as compared to INR1,139 crores in H1 FY '25, which is on a year -on-year basis, an increase of 44%. This is primarily on account of consolidation of BSV operating cash flows and growth in the organic business.

Therefore, in H1 FY '26, our CFO to EBITDA ratio has increased to 92% as compared to 75% in H1 FY '25. Our capex spend during the quarter has increased to INR163 crores in quarter 2 FY '26 as compared to INR128 crores in quarter 2 FY '25.

The capex as a percentage of revenue is 4.4% for the current quarter, which is within our guidance of 5% of revenue for FY '26. In line with our prudent financial strategy, we continue to strengthen our balance sheet and have reduced our net debt to INR4,791 crores as of 30th September '25, resulting in the net debt to adjusted EBITDA ratio of 1.4x in quarter 2 FY '26 on trailing 12 -month basis, which has improved as compared to net debt to adjusted EBITDA ratio of 1.8x as on 31st March 2025. And we continue to maintain our guidance of 1.2x as on 31st March 2026.

With this, we conclude our financial update and welcome any questions which you may have. Over to you, Abhishek.

Abhishek Agarwal: I request coordinator to open the Q&A forum.

Moderator: The first question comes from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane: Sir, firstly, on the book keeping side, while you have mentioned domestic formulation growth on an organic basis, can you also share exports growth on an organic basis?

Prakash Agarwal: Tushar, you're looking for exports on organic basis? Your voice was muffled. Reconfirming.

Tushar Manudhane: Yes, yes. Yes.

Prakash Agarwal: So in the last quarter, we had said it is mid-single digit. This quarter also, it's mid -single digits. So on 1H basis, it is mid -single digits. For modelling purpose, you can take 5%.

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Tushar Manudhane: Got it. And now that we are more or less half of '26 into BSV measures in terms of consolidating as well as coming under the Mankind umbrella. So now can you share like how do we see the growth prospects on BSV portfolio?

Prakash Agarwal: Yes, sure. So if you see BSV continues to show improvement on a sequential basis. We have seen double -digit growth on a Q -on-Q basis, both in India domestic specialty business as well as international business. Y -o-Y, it's still a high single -digit growth but we expect higher growth in the second half, and we maintain our full year guidance of 18% to 20% growth for BSV. So don't forget, Q3, Q4 had some tethering issues in terms of BSV operations because the M&A was going on and the sales were much softer. We have seen business normalizing from Q1 to Q2 with a sequential double -digit growth and that we will continue to see in the second half.

Tushar Manudhane: And on the inhaler side also, we have seen a very decent growth of almost 28%. How do we see the growth...

Prakash Agarwal: Your voice is not clear, sir.

Moderator : Sir, can you repeat?

Tushar Manudhane: Is this better?

Moderator : Yes, it's better.

Tushar Manudhane: On the inhaler side also, we have seen pretty decent growth post making inroads into Combihale and Symbicort. So how do we see this growth panning out over the next 2 to 3 years?

Prakash Agarwal: So we have seen very positive response of these products from AstraZeneca as well as the

Combihale that we took from another domestic company. Our doctor coverage has increased. We are seeing good traction among the respiratory specialist. And the season is coming. We expect growth momentum to continue.

Moderator: The next question comes from the line of Neha Manpuria from Bank of America.

Neha Manpuria: My first question is on the organic India business. After the GST disruption that we've seen in this quarter, you mentioned that we can expect recovery in the second half. So on an ongoing basis, when you say outperformance to IPM, should we assume double-digit growth as doable for Mankind in the domestic formulation business?

Rajeev Juneja: So let me be very, very candid, I mean candid with you and everybody here that we are not happy with our own performance. The kind of expectations we were having. We expected, when we started bringing transformation in Mankind, maybe in the last call or last to last call, we mentioned that, that we brought a lot of transformation in Mankind in terms of number of people. And since Mankind is a kind of a company which is basically very strong in Tier 2, Tier 3, Tier 4 kind of places, acute heavy dependent on people. And we brought a lot of changes in people. And we thought that we will be able to replace, train, make them I mean as good as the older people, those who had fantastic relationship. So we maybe over expected that. It did not happen in 9, 12 months' time. But whatever has happened has happened.

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Going forward, things would be much, much better because we expected 6 to 9 months, but it has taken more than that, One. But the second basically At the same time, we bought BSV. Third, we brought a lot of transformation in OTC side as well. So all in all, there was a lot

of transformation happening in Mankind in all 3 places. So maybe we over expected, didn't happen. So very honestly, we are not happy with our own performance and feel that, going forward, we will be performing much better than what we have performed right now.

And Mankind has always believed that Mankind is famous for our endeavour has always been always outperforming the IPM. If we are not good in that, we are not a good fast-growing kind of organization. We believe that we are very good in that. And future will tell that we are performing much better.

Neha Manpuria: Understood, sir. So in that context, should I assume that, let's say, our path of outperformance to IPM would probably take a couple of more quarters and it's not something that we should expect, let's say, in third quarter or fourth quarter? Is that how I should read your commentary?

Rajeev Juneja: So third quarter and fourth quarter, we expect that the performance will start outperforming the IPM, say, 1.1x to 1.2x. We right now are in a very conservative mode. We don't want to say something which basically we are unable to really I mean, fulfil. We've always been a kind of a company which has over delivered.

So we are just looking at everything very minutely and working on that. Because what basically happens, this kind of situation comes once in a while in every organization when company wants to transform itself. We feel that this is that period for Mankind. This all has been done keeping only long term in mind.

But incidentally, BSV also happened. I mean, coincidentally, we were working on our consumer division as well. So all things happen together. So in one go, things are, I mean, taking a lot of changes -- have taken changes in Mankind.

Prakash Agarwal: And not to forget September, GST also happened.

Rajeev Juneja: Yes.

Neha Manpuria: Yes. Fair enough. For BSV, Prakash, you mentioned the 18% to 20% growth continues. But if I were to slightly -- given there's disruption in the second half, so your base is fairly low. If I were to look at FY '27, '28, given we have been running BSV for a year now, how should we think about growth FY '27, '28? Should it be low-teens, mid-teens? Or can we still grow 18% to 20% given the potential in the business?

Prakash Agarwal: So there are a lot of strategic initiatives going on in BSV as we speak. In the last 12 months, we spoke about adding up facility. We spoke about adding up R&D lab. We spoke about having some senior leadership in the domestic business. So I think it is now picking up momentum. However, having said that, we'll come back at the end of the Q4 in terms of proper guidance.

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But I mean double digit, we should definitely get it. But exact guidance, we'll be able to give at the end of the 4Q.

Neha Manpuria: Understood. And last question if I may. On the employee cost, it seems higher in this quarter. Ashutosh sir, is there anything one-off sitting there? Or is this the base we should assume? What led to the higher employee cost in the quarter on a sequential basis?

Ashutosh Dhawan: So basically Neha, our employee cost has increased year-on-year basis by close to 130 bps as a % of revenue. It's a combination of 3, 4 things. One is this quarter has a bit of a bulge because the increment cycle starts from first of July. And since the salary increases, so there is some impact on the retiral benefits also, that's one.

Even on a year-on-year basis. Headcount has also increased by 3% to 4%. That has also contributed to the increase in the headcount. As Rajeevji has also highlighted that we have gone through the restructuring and the talent upgradation within the sales force. So that has also contributed to the increase in the average salary cost. So it's a sum total of these 3 things. That's why on a year-on-year basis, the employee cost is looking on

a higher side.

Neha Manpuria: Okay. Understood. And R&D, you mentioned would be 2.5% to 3%, right? That's the full year guidance that we're maintaining.

Ashutosh Dhawan: On a Y-on-Y basis, 3% to 4% head count increases there.

Neha Manpuria: No, sir, I'm asking for R&D. What would be the guidance for full year?

Ashutosh Dhawan: R&D guidance we continue to maintain. It will be in the range of 2.5% to 3%. So it will be lower than 3% the R&D spend.

Moderator: The next question comes from the line of Kunal Dhamesha from Macquarie Group.

Kunal Dhamesha: Sir, as of now, where do we stand in terms of the BSV guidance for FY '26? I think earlier, we had guided for export growth of kind of high teens to 20% plus. Where do we stand on the export as well as the domestic piece on BSV for FY '26?

Prakash Agarwal: Kunal, we just mentioned to Neha, we are maintaining guidance of 18% to 20% for the BSV for FY '26. So the breakup that you mentioned is also on track. There is no change there.

Kunal Dhamesha: And within this 18% to 20%, which piece is expected to grow faster, domestic versus exports?

Prakash Agarwal: No. So as you rightly picked, domestic should be in the region of 12% to 15% plus and international should be in the region of 18% to 20% plus.

Kunal Dhamesha: Okay. And so blended should be 15%, 16%?

Prakash Agarwal: So don't forget there's an element of TTK Rx business. So last year, Q4 was a washout. So it had seen a major decline. We mentioned it has seen a massive Q-on-Q growth. That business has stabilized on a Y-o-Y front, and we expect a high growth in that business. So overall, if you see, 18% should be achievable. As of now, we maintain that guidance.

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Kunal Dhamesha: And any color on the profitability of the BSV business as it stands now in quarter 2?

Prakash Agarwal: Yes. So we are maintaining it's about 26% to 28%. It will be H2 heavy given sales are heavier on the H2 side. Currently, it is a notch lower than the company average.

Kunal Dhamesha: And it should improve to that 26% to 28% level in FY '26 the second half?

Prakash Agarwal: That is correct. Yes.

Kunal Dhamesha: Okay. And then for FY '27, '28, we were expecting some form of cost synergies by kind of reducing the certain staff, etc etc. Is that already factored in? Have we taken the action on that front?

Prakash Agarwal: Yes, yes. So we mentioned in the last call also, so we have seen a good improvement in the women health care TTK Rx business. So from 550 -plus MRs that has been normalized to about 325 plus. Sales have started improving. We are seeing MR productivity increase from around INR2 lakh PCPM to now about INR2.9 lakh PCPM and we expect this number to grow much more in the upcoming quarters and years. So that is one big synergy that has played out because Mankind's operating model understands the Rx business better. So that is one big piece that we have done.

Second is we have done price vendor negotiation in terms of suppliers in terms of raw materials. So we have gained there. So the margins of the TTK Rx business has also improved there. And there are other R&D synergies that is playing out. There is corporate overhead synergies that will play out also in the future. So we are on track with our earlier guidance. Ashutosh, do you want to add?

Ashutosh Dhawan: No, fair enough. So it's not about the cost synergies so much. We have optimized on the cost synergies over the last 12 months period since we did this acquisition. This acquisition is more around the revenue synergies, which is just going to pan out in the times to come.

Abhishek Agarwal: And some synergies are getting set off by increasing our R&D cost, like we are increasing our R&D cost as well, which is setting off some synergies.

Ashutosh Dhawan: So you have to look at it more from the revenue

synergy point of view, Kunal, rather than purely cost for synergies.

Kunal Dhamesha: Sure. So then the margin improvement for BSV from here on is a function of revenue growth rather than cost item rate? Is it the fair way?

Prakash Agarwal: Your understanding is correct. Yes.

Kunal Dhamesha: Okay. And second question, slightly on a longer term basis, if I look at we have this chart about Mankind's chronic performance versus IPM chronic performance in the presentation, right? So, if I see over last few quarters, the gap between the outperformance vis-a-vis IPM has kind of reduced, right?

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And if I also kind of then kind of tie it back to some of the commentary that we had last year that we were taking some selective price hike, etcetera, as well because our prices were anyway lower than our competitors.

So, is it fair to say that now the prices are more in line with the competitor and that phase of the price hike driven growth, which had led to higher differential versus IPM is done and now it is just focusing on volumes and hence, the gap could not be very high?

Rajeev Juneja: So Kunal, I mean, every year, every company takes some kind of a price hike. And since historically, we have always been very, very affordable, more economical than any competitor. So that gap is always there.

And intentionally as well, we always maintain some kind of a gap to have some kind of value addition in our own products. So that is there and that would always be there. We are quite conscious of this fact that because our chronic sales are not coming from only specialized doctors.

It is coming from Tier 2 side, Tier 3 side as well. It's quite well spread out. So we just take care of one thing that whenever we take price hike, it shouldn't be too much. We should always maintain some kind of a gap between other brands and Mankind's brands.

Kunal Dhamesha: But sir, is it fair to say that the price hike we would have taken last year or, let's say, a few quarters back, relatively, the price hikes we have taken in the last couple of quarters would be lower?

Ashutosh Dhawan: So Kunal, if you look at the IQVIA data for H1 FY '26, the IPM price increase is 4.2%. And if you compare it to Mankind price increase, so that is 3.9%. So we are maintaining that competitive advantage of a notch lower than the IPM, the price increase.

Moderator: The next question is from the line of Madhav Marda from FIL Industries.

Madhav Marda: My question was on the domestic business. I think we are consistently growing ahead on volumes of the industry. Price growth, I think you just mentioned is a little bit lower. So it seems like the big difference is coming from new launches of Mankind versus the broader industry. Is that the right understanding? And if it is, then why are our new launches sort of trailing competition?

Rajeev Juneja: So Madhav, in 30 years' time, we have become fourth largest company. That means what we've always grown faster than IPM, much faster than IPM. And if right now, we have not really come to our expectations. We are not happy. I mentioned that because there are sometimes I mean last year, 9, 10 months back, we took certain structural changes, a lot of changes we brought, transformation we brought in Mankind in terms of number of people because during COVID time, I'll say that -- I mean, people started working from home, practices were changed.

So we saw that and took a courageous action of bringing huge changes in Mankind in terms of number of people. One, our company's acute sale is 60% plus. Number two, our company's lot of sales come from Tier 2, Tier 3, Tier 4 town where relationship of people matters. So when we

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changed people, we thought that we will be able to replace them, train them and bring at par with our old people. This

did not happen. This is one major reason.

Second reason, we took BSV. So, once you take a company, you just, first of all, clean up the company, look at that. So naturally, that was also going on. And third was the same kind of transformation we were bringing in our OTC. So, in all 3 companies of different sizes and specialties, I mean, these changes were taking place. Not to forget, we are acute heavy, not to forget, we depend upon a lot of GP doctors.

We are very, very well spread out and also GST. So, it's a combination of, I'll say, facts, not one-off, we cannot say that it is because of one particular reason because when you bring huge changes, which were required, I mean the conservative approach can be that we can bring slowly

some kind of changes, aggressive approaches, go in one go and bring all the changes. And we did that, keeping long-term strategies and planning in mind.

Abhishek Agarwal : In last 1 or 2 quarters, you may not see a lot of launches but last 2 to 3 years, we have done some very good launches. So the focus is to consolidate the market share of those launches .

Madhav Marda: Yes, that's why I wanted to clarify that if our secondary growth is 6.3%, market is 7.2%, our volumes are growing faster than the industry and price growth is slower. So implied basis, I'm just saying new launches are actually slower than the industry. So that's what I wanted to understand that most of the gap is explained by new launches, right? Like volumes are still beating the industry. So I mean that's the question.

Prakash Agarwal: Madhav, I'll give you some color. So, what Rajeevji said about last year, we were 1x -- approximately 1x of the industry versus our past track record of 1.3x plus. Q1, post the changes, we saw good acute season and we outperform industry. We were 9.2% versus industry growth of 8.6%. So the turnaround was largely due to volume growth. We were 2.5% volume growth. The market was 1.4% despite having lower price increase of 3.4% versus market of 4.2%, yes . And new products, we were in line with the market.

Now what has happened in Q2 and just to break up into 3 months, July, August, September . So if you see July, August, we have actually done better in volumes versus the market, but it is September due to GST impact, we are minus 3% versus industry of minus 1.6%. So there, we have got a little more impacted. And as Rajeevji mentioned, acute heavy business and Tier 2 to Tier 3 exposure has been higher for us in the past and historically. So that is the reason apart from all those transformative actions, that is added to the woes.

Madhav Marda: Okay. Sir, just a second question on the margins. If I remember right, you had guided for 25% to 26% EBITDA margin for FY '26. Can we still achieve that for the full year? Or can there be a bit of a slip up there?

Ashutosh Dhawan: So we are maintaining the same guidance, Madhav, with the caveat that we expect by year-end, we expect that we will be at the lower end of the guidance. So it will be within 25% to 26% range, but at a lower end of that guidance.

Madhav Marda: For the full year, right?

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Ashutosh Dhawan: For the full year, correct.

Moderator: The next question comes from the line of Harshit Dhoot from Dymon Asia Capital.

Harshit Dhoot: Sir, you said organic business growth is at 8% Y-o-Y, right?

Abhishek Agarwal : Which business, sorry Harshit.

Harshit Dhoot: Our organic domestic business grew 8% Y-o-Y, right? That's what you said.

Abhishek Agarwal : Yes, H1 IPM was 8%, ours is also in line with IPM. If you talk about H1, Q2, it was around 6.6% organic for domestic pharma business, excluding OTC.

Harshit Dhoot: Okay. Sir, even taking this number and export business at 5% Y-o-Y growth and then we will get the total revenue of this business. And if you deduct that number from the reported revenues,

then this doesn't suggest that BSV is growing Q-o-Q. Can you please help with this math, sir?

Prakash Agarwal: BSV -- can you repeat your question? Your voice is muffled.

Ashutosh Dhawan: Yes, I can barely hear you.

Harshit Dhoot: Am I audible now, sir? Now it's clear. Voice is clear?

Management: Yes.

Harshit Dhoot: Yes. So, sir, see, domestic organic business grew 6.6% Y-o-Y. Consumer Healthcare declined 3% Y-o-Y. Export business grew 5% organic export business 5% Y-o-Y. So, when we took this number, adding this growth on the base business, we are coming out at the total revenue from operations from the base business and subtracting it from the reported revenues, then we are impliedly getting the BSV numbers, right? So, this is not suggesting Q-o-Q double-digit growth.

So, I just want to correct my math if I'm missing something here?

Prakash Agarwal: No, no. So Harshit, we said Y-o-Y is a high single-digit growth. On a sequential basis, it is double-digit growth.

Harshit Dhoot: Exactly, sir, sequentially, it's not coming. So that's why I'm asking the question.

Prakash Agarwal: I don't know what the Q1 number you have, but it is a double-digit growth.

Harshit Dhoot: You also have guided for around 8% growth in Q1, right, sir, in organic domestic business?

That's what you said on the call last time.

Prakash Agarwal: Unable to hear you, sir.

Harshit Dhoot: Sir, in organic business, you guided for around 8% growth in the first quarter, right, sir?

Abhishek Agarwal : Yes. First quarter, we have guided for organic growth of 9% plus, organic growth for domestic business.

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Moderator: The next question is from the line of Alankar Garude from Kotak Institutional Equities.

Alankar Garude: First question, why was the impact of GST higher on OTC vis -a-vis the Rx portfolio? And also, within OTC, which brands got impacted due to the uneven monsoons?

Rajeev Juneja: See, on the OTC side, what basically happens, it's a bit of push always. In the case of pharma, it's always the prescriptions. So that's one reason. When GST came, so people started not taking much of the goods, one.

And it was one, GST. The second was rain. I mean, too much of rains happened. So naturally, our people were unable to reach. I mean a lot of hamper was there in working as well. That's the reason for that. It was GST and huge rain.

Alankar Garude: Okay. Rajeevji, any specific -- yes, go ahead, please.

Rajeev Juneja: In OTC, I mean, it's always push from people side as well. So, I mean more inventory you keep, more it is visible, more sales happen.

Sheetal Arora : But Alankar, at the same time, secondary sales of Manforce and Gas -O-Fast has grown. Manforce grown by 14%, Gas -O-Fast grown by 35% year -on-year basis. So secondary sales have grown. Maybe the primary sale, they have an impact.

Alankar Garude: Got it. The second one is, can you explain which areas has BSV increased its R&D investments over the last few quarters, especially since Mankind to okover . So, any specific platforms or any specific areas, which you would like to highlight?

Prakash Agarwal: So, there are multiple projects going on, both in Mankind as well as BSV. So, in Mankind, we have talked about the GPR119, so that's progressing, and there was some increase due to that. And in BSV, there are a couple of projects, both on recombinant niche biologicals as well as immunoglobulins, so those projects are also on track.

Alankar Garude: And when do we expect some conclusion of studies or any data points on that Prakash?

Prakash Agarwal: So, these things take a little longer, right So, these are recombinant biological products, but we'll keep you updated. We'll give you some update at the end of the year. Q4, we'll come up with an update.

Alankar Garude: Okay. Fair enough. The other question is on Panacea, last time, you

spoke about 25% plus

growth Y-o-Y. Can you highlight the similar number for this quarter?

Prakash Agarwal: So actually, as mentioned last quarter, different brands have gone into different divisions. So bringing all together now is getting difficult. But it would be fair to say that 15%, 20% growth, we are still seeing and that --yes, so ...

Ashutosh Dhawan: Last year we said 25% plus this year, it is a notch lower than 25% for the Panacea portfolio.

Alankar Garude: Okay, sir. And final question from my side. Rajeev ji, you spoke about outperforming the market by 1.1, 1.2x in the second half. Now historically, we have done better than that. You spoke about

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some of the issues over the last few quarters. But beyond second half, if I look at Mankind from a 3 to 5 years' lens, should we continue to expect a 1.3, 1.4x outperformance over the IPM? Or is 1.2x the new normal.

Rajeev Juneja: See, Mankind is 30 years old company. In pharma industry, no company in 30 years have reached to fourth largest company, one. How we have reached to this particular space only by outperforming always IPM. Otherwise, this would not have been possible.

So whatever actions we have taken last year, whatever transformative actions we have taken in the last year, not many companies can take. I mean, is it possible for some company to really overall, make it deep overhauling, deep cleaning in the total organization to a very large extent. It's a very, very, I will say, tough job, courageous job. We have done that.

Same thing happened in OTC. And by chance, I'll say, it was a coincidence, at that time, only BSV happened. So all 3 things happened. And we hope that we will be able to, I mean, replace those people, train those people, a few thousand people, right, and make sure that they are properly placed and start performing as it was happening in the past. It was a bit overestimation. But we feel that whatever has happened, whatever we have done actually, it is keeping only next 3, 5 years in mind only. These are all actions taking on long-term future of Mankind in mind.

And manifestation of Mankind is always becoming numero uno in pharma industry.

Alankar Garude: Okay, sir. So, if I understood that correctly, basically, you wouldn't be happy with only 1.1x or 1.2x. The endeavour would be to rather...

Rajeev Juneja: 1.1x to 1.2x only for this second half only. I mean this is not basically habit of Mankind performing 1.1 x to 1.2 x. This is only for the second half -- I mean, that's done. We'll talk about next year.

Moderator: The next question comes from the line of Alok Dalal from Jefferies India Private Limited.

Alok Dalal: Rajeev Sir, you mentioned that it is taking slightly longer for the results to come. So is it about

being more patient with the changes that you made? Or you need to make some more investments to bring the desired results?

Rajeev Juneja: We have done plenty of changes. I mean the kind of changes we have done, no company can do in just, I'll say, in 1 year time. See, these changes were finished in the month of March. And these -- we took -- I mean it took us approximately 3, 4 quarters to bring all the changes. And by end of March, we completed those.

And we thought that we would be able to replace, train, place, again, make sure that those people start performing as good as the previous people were performing, older people were performing, but it did not happen. So whatever has happened has happened. Now with the passage of time, things will move faster. That only I can speak right now. And that's one of the reasons keeping that in mind, we are saying second half of Man kind would be 1.1 to 1.2x to IPM.

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Alok Dalal: Sure. And in your view, what are the pain points at this moment, where do you see these challenges? And how

do you see the change happening in second half?

Rajeev Juneja: See, I mean, whenever you bring a lot of people, new people from outside, different talent. The only thing basically you work on is making sure that they understand Mankind, they start working like Mankind. They settle down, they establish themselves. They are being made comfortable and they really understand the culture of Mankind, the way we work actually.

That's the only thing. I mean it takes time. I mean, people to adjust, understand new people, old people. I mean making sure that older Mankindians, newer Mankindians mingle together nicely and work in one direction. For, I'll say, progress.

Sheetal Arora : And when new medical rep or manager goes in doctor chamber, we take little time to develop relationship with the customer. So, it's a new face, the person who is working since last 5, 7, 8 years. So suddenly new person went in the doctor chamber. He will take a little time. So 3, 4 visits. So another 2, 3 visits, the result will start.

Moderator: Thank you, ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to the management of Mankind Pharma for closing comments. Over to you, sir.

Abhishek Agarwal: Thank you for joining our call and asking questions. And for any further questions, please feel free to write to us. And thanks. Have a nice day. Stay happy, stay healthy.

Ashutosh Dhawan: Thank you. Thanks, everyone. Thank you.

Moderator: Thank you all. On behalf of Mankind Pharma Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

This transcript has some minor edits to enhance the understanding and readability and does not purport to be a verbatim record of the proceedings. Since it is a transcription, it may contain transcription errors. The Company takes no responsibility of such errors, although an effort has been made to ensure a high level of accuracy .

Call: Feb 2026

February 9, 2026

BSE Limited
P J Towers,
Dalal Street,
Mumbai – 400 001

Scrip Code: 543904 National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051

Symbol: MANKIND

Dear Sir/ Madam,

Subject: Investor Conference Call for Q3 & 9M FY26 – Transcript

Ref.: Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations")

Pursuant to Regulation 30 of SEBI Listing Regulations, please find enclosed the transcript of the Investor Conference Call for Q3 & 9M FY26 held on Tuesday, February 3, 2026 at 06:00 P.M. (IST).

The transcript is also available on the website of the Company at
<https://www.mankindpharma.com/wp-content/uploads/2026/02/Q3FY26-Earnings-Call-Transcript.pdf>

You are requested to kindly take the same on records.

Thanking You,

Yours Faithfully,

For Mankind Pharma Limited

Hitesh Kumar Jain
Company Secretary &
Compliance Officer

Encl.: A/a

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MANAGEMENT : MR. RAJEEV JUNEJA – VICE CHAIRMAN AND
MANAGING DIRECTOR
MR. SHEETAL ARORA – CHIEF EXECUTIVE OFFICER
AND WHOLE -TIME DIRECTOR
MR. SUDIPTA ROY – SENIOR PRESIDENT , SALES AND
MARKETING
MR. ARJUN JUNEJA – CHIEF OPERATING OFFICER

MR. ASHUTOSH DHAWAN – GLOBAL CHIEF FINANCIAL OFFICER
MR. PRAKASH AGARWAL – PRESIDENT STRATEGY
MR. ABHISHEK AGARWAL – HEAD IR AND AVP - STRATEGY

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Moderator: Ladies and gentlemen, good day, and welcome to the Mankind Pharma Q3 and 9 Month '26 Results Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek Agarwal, Head Investor Relations, and AVP Strategy at Mankind Pharma. Thank you, and over to you, sir.

Abhishek Agarwal: Thanks, Dorwin . Good evening, everyone, and welcome to our third quarter and 9 months '26 Earnings Call . On the call today, we have Mr. Rajeev Juneja, our Vice Chairman and Managing Director; Mr. Sheetal Arora, Chief Executive Officer and Whole -time Director; Mr. Arjun Juneja, Chief Operating Officer; Mr. Sudipta Roy , Senior President, Sales and Marketing; M r. Ashutosh Dhawan, Global Chief Financial Officer; and Mr. Prakash Agarwal, President, Strategy.

We will begin with Rajeev Juneja's providing quarterly overview followed by business insights shared by Mr. Sheetal Arora. Mr. Ashutosh Dhawan will then share the detailed financial performance. And after which, we will move to the Q&A.

Please note that this call may include forward -looking statements that represent management's current expectations. These are subject to risks and uncertainties, and actual results to differ materially. Mankind has no obligation to update or revise these statements going forward. For a detailed disclaimer, please refer to our investor presentation uploaded on our website.

Now I hand it over to Rajeev sir for his comments. Over to you, Rajeev, sir.

Rajeev Juneja: Yes. Thank you, Abhishek, and a very good evening to all. Welcome to quarter 3, 9 months '26 Earnings Call . In quarter 3, our overall revenue increased by 11.5% year -on-year to INR3,567 crores with the adjusted EBITDA margin of 25.9%.

In 9 months, FY'26 revenue increased by 18.7% year -on-year to INR10,835 crores with adjusted EBITDA margin of 24.9%. The past few months have been pivotal for the company as the disruptive changes undertaken have led to meaningful improvement in our workforce stability and teams gradually gaining maturity and confidence.

Simultaneously, we sharpened our focus on optimizing brand portfolio, reinforcing our presence in core markets with an improved emphasis on key therapies and expanding our corporate hospital s penetration. These actions are now translating into trends of gradual recovery.

In quarter 3, our Domestic business recorded a year -on-year growth of 11.1%, supported by improving volume growth in Mankind's Domestic pharma business, continued strong momentum in the chronic performance and strong growth from BSV domestic portfolio.

Mankind's overall PCPM has also improved to INR7.2 lakhs as on December 31, '25 from INR6.5 lakh as of March 31, 2025 on a trailing 12 -month basis.

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Further, our secondary sales during the quarter grew by 8.5% year -on-year. We continue to do well in our focus area of chronic therapies as we witnessed strong growth of 16.7% in cardio and 14.4% in antidiabet es in quarter 3.

In 9 months financial year '26, our chronic contribution increased by 200 bps year -on-year to 36.7% versus 34.7% last year, primarily led by continued outperformance of 1.2 x vs IPM ex GLP -1. We outperformed IPM by 1.2x in cardio and 2.2x in antidiabetic ex GLP -1.

While acute segments remained softer in quarter 3, we expect gradual recovery from coming quarters, driven by strategic initiatives undertaken in the last few quarters. Our focus on building scale and maximizing reach translated into strong brand performance during MAT December

'25.

One of the chronic brand, Glizid, which we acquired from Panacea in 2022 is now an INR200 crores -plus brand family, growing at a CAGR of 30% +. In total, 4 brand families crossed an important revenue milestone as the count of INR200-plus crores brands increased from 11 in financial year '25 to 13 and INR50 crore s brands have also increased from 49 in '25 to 51 in

MAT December '25.

In parallel, our digital transformation initiatives are shaping a new age organization driven by enhancing agility and efficiency. These efforts, combined with improving trends across the businesses, strengthen our position to deliver sustainable long-term growth.

I now invite Sheetal to provide more details on our business performance.

Sheetal Arora: Good evening, everyone, and thank you for joining us today. It's a pleasure to welcome you to our quarter 3 and 9 months financial year '26 earnings call. Let me begin with an update on our domestic business, which continues to show steady and healthy momentum.

In quarter 3 financial year '26, our domestic revenue grew 11.1% year-on-year to INR3,046 crores, supported by strong organic growth of 9.1%, excluding OTC. For the first 9 months of financial year '26, Domestic revenues increased 14.8% to INR9,331 crores, with an organic growth of 8.2%, excluding OTC.

I am particularly encouraged by the strong traction in our new launches during this quarter. Our inhaler portfolio, including Symbicort and Combihale continue to grow at 30%, delivering 1.3 times the growth of the IPM.

In gastro, Vonalong recorded an impressive 86% year-on-year growth significantly outperforming the IPM growth of 54% and achieved the Number 1 rank in 9-month financial year '26. In cardio, Crenzlo has emerged as the Number 1 brand in the branded generics category with strong 92% year-on-year growth.

During the year so far, we have introduced niche chronic therapies, including AdvauD for chronic liver disorders, HER2-P, a pertuzumab-based biosimilar and 2 products in Neuro/CNS segment, AGPTOY and Cereira. All these brands are seeing encouraging early traction.

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Moving to our OTC business, performance improved sequentially during the quarter. OTC revenue grew 5.2% year-on-year in quarter 3 compared to the decline in quarter 2. For 9 months financial year '26, OTC revenues increased 5.6% despite some softness in the general trade channel, which we expect to improve in the coming quarters.

Our key OTC brands continue to perform well at the consumer level. Secondary sales of Gas-O-Fast, Manforce and Ova News grew 33%, 8% and 36%, respectively, during quarter 3.

Modern trade and e-commerce channels registered over 40% growth, increasing their contribution to 13% of OTC sales, up from 10% last year.

Coming to our international business, Export revenues grew 14% year-on-year to INR521 crores in quarter 3 this year. For 9 months financial year '26, exports increased 51% to INR1,503 crores.

As part of our ongoing commitment to global quality standards our Udaipur facility has received EU GMP certification, further strengthening our international capabilities.

Turning to the BSV business. The portfolio delivered double-digit growth in quarter 3, driven by strong performance across both domestic specialty and exports. The restructured prescription portfolio which transitioned to Mankind effective 1st of November 2025 has performed really well. And for the 9-month financial year '26, the BSV prescription business has already surpassed financial year '25 sales. As we move forward, our focus remains firmly on disciplined execution and sustainable growth.

The corrective actions we have taken are strengthening our foundation, and we expect their impact to become increasingly visible in the coming quarters over the next few years. With clear

strategic priorities and the strong portfolio, we remain confident in our ability to create long-term value for our investors.

With that, I will now hand over to Ashutosh ji, who will take you through the financial performance in detail. Thank you so much.

Ashutosh Dhawan: Thank you, Sheetal ji, and good evening, everyone. I'm delighted to have you all with us on our Q3 and 9 months '26 Earnings Call. As you are aware that the BSV acquisition got completed in Q3 '25 last year, therefore, this quarter will have comparative figures, including BSV, however, the same is on a partial basis as BSV was consolidated for 69 days in Q3 '25 last year as compared to full quarter in Q3 '26. Accordingly, the gap between organic and inorganic has reduced significantly in this quarter, and from the next quarter, same will get normalized.

Let me give you a brief of the financial highlights of our quarterly performance for quarter 3 '26.

Our revenue from operations during quarter 3 '26 has increased by 11.5% year-on-year basis to INR3,567 crores as compared to INR3,199 crores in Q3 FY '25. This is driven by 11.1% growth in Domestic business and 14.1% growth in the export business year-on-year basis. Our gross margins for the quarter has increased by 170 basis point year-on-year basis to 72.6% from 70.9% in Q3 '25.

This increase is a combination of sales price increase effect, favorable sales mix and release of certain inventory-related accruals, which we made in Q1 '26 as we were able to liquidate some

of the slow and non-moving stocks during the current quarter. However, on a YTD basis, the gross margin for the 9 months '26 stands at 71.4% in line with the gross margin for the 9 months '25.

Our adjusted EBITDA margin for the quarter is 25.9% as compared to 27.6% in Q3 '25. This decline of 170 basis points is largely attributable to increase in R&D cost by 70 basis points, and the balance is due to higher employee costs. Accordingly, the adjusted EBITDA margin for 9 months '26 is 24.9%, which is closer to the lower end of our EBITDA guidance.

Our reported EBITDA margin for the quarter is 22.9% which is lower by 300 basis points as compared to the adjusted EBITDA margin of 25.9% in Q3 '26. This decrease is attributable to exceptional items comprising of New Labour Code adoption, stamp duty on slump sale of BSV branded generic business within the group, and impairment of some noncurrent surplus assets. The R&D expenses for the quarter was INR102 crores, which is at 2.9% of the sales, and the same is higher than the R&D spend of 2.2% of sales during Q3 '25. The R&D expense for Q3 '26 remains within the range of 2.5% to 3% of our guidance for the full year FY26 .

The finance cost for Q3 FY '26 has decreased to INR157 crores from INR170 crores in Q2 FY '26. This reduction is primarily driven by repayment of last tranche of commercial papers worth INR1,500 crores in October 2025.

In Q3 '26, the depreciation and amortization expenses have increased to INR223 crores as compared to INR187 crores in Q3 FY '25, which is primarily driven by a full quarter impact of depreciation and amortization impact related to BSV assets. The current quarter depreciation and amortization expense is in line with the previous quarter expense which was at INR222 crores.

The consolidated effective tax rate for 9 months FY '26 was at 17.6% which is lower than the consolidated effective tax rate of 21.2% in 9 months FY '25. The profit after tax for Q3 FY '26 has grown by 9.5% year-on-year basis to INR414 crores with PAT margins of 11.6% during the quarter as compared to 11.8% in quarter 3 FY '25, resulting in a drop of 20 basis points, which is primarily due to the drop in the EBITDA margins, partially offset by a reduction in the finance cost. Our diluted EPS is INR9.9 per share of INR1 paid for the current

quarter.

The Cash EPS, which is EPS adjusted for noncash items, like depreciation and amortization has increased during the quarter to INR15.6 from INR13.9 in quarter 3 FY '25, which is an increase of 12.1% year-on-year basis.

The net operating working capital days for the quarter on a trailing 12 months basis is at 51 days as compared to 52 days in the corresponding period. The working capital in value terms has decreased by INR110 crores between the current quarter and the previous quarter.

During the 9 months FY '26, our CFO to EBITDA ratio has increased to 93% as compared to 68% in 9 months FY '25. This is primarily on account of improvement in the working capital as well as realization of certain government receivables. Our capex spend for 9 months FY '26 was

INR473 crores, which is 4.4% of total revenue and the same is in line with our guidance of 4% to 5% of revenue.

In line with our prudent financial strategy, we continue to strengthen our balance sheet and have reduced our net debt to INR4,294 crores as of 31st December 2025, resulting in the net debt to adjusted EBITDA ratio of 1.3x in Q3 '26 on a trailing 12 months basis, which has improved as compared to net debt to adjusted EBITDA ratio of 1.4x as on 30th September 2025.

With this, we conclude our financial update and welcome any questions which you may have.

Over to you, Abhishek.

Abhishek Agarwal: Thank you, Ashutosh, sir. And thanks, Dorwin . So Dorwin , you can open the forum for Q&A.

Moderator: Certainly Sir. Thank you very much. We will now begin the question and answer session. Our first question comes from the line of Tushar Manudhane from Motilal Oswal Financial Services Limited.

Tushar Manudhane: Sir, on the prescription side , where the industry growth itself is a bit slow at about 4% and as a part of acute therapy that forms a considerable portion for the Mankind portfolio. So how we sort of intend to grow in this therapy as such, where the industry growth itself is struggling or what are the countermeasures so that the proportion of anti-infectives reduces over a period of time. So that we are able to outperform the industry on an overall portfolio level. That's my first question?

Sheetal Arora : I mean if you see several of other therapies which are showing consistent growth quarter -on-quarter. If you see Gynec has grown from quarter 1, 4% to 11.3% in quarter 3. Gastro has grown from almost negligible growth to 7%. Even chronic segment - every quarter has shown a growth of 12% to 15%, even our inhalers like Symbicort, Combih ale is showing a growth of 30%. However, very rightly said, performance in the anti -infectives segment for Mankind has been relatively muted. Why? Because this category is people and relationship driven where prescriptions are typically ranging from 3 to 5 days. So as our teams get settled and doctor relationship will mature , we expect consistent growth over the coming quarters.

If you see overall the industry, even the anti -infective segment of IPM is not doing great. So for us, yes, definitely, when the relationship will mature, then quarter -on-quarter, you will see gradual improvement in our growth of anti -infective segment.

Tushar Manudhane: In fact, from that perspective, if you would like highlight what is the share of in -licensed or the specialty portfolio now in the Rx sales, combining all the therapies, we have to sort of...

Ashutosh Dhawan: Tushar, as of now, the portion of specialty portfolio or the in -licensed portfolio, in particular, is quite negligible. It is less than 2% or so in the overall sales mix.

Abhishek Agarwal: So Tushar, this share is for in -licensed portfolio, we have not specifically call ed out for specialty portfolio. This is for in -licensed.

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Tushar Manudhane: Sure. Got it. And

secondly, on the therapy level, respiratory also, like compared to industry, the growth has been bit soft at 7.6%. If you could call out any factors on this therapy?

Sudipta Roy: Yes. Tushar, this is Sudipta here. In respiratory, as you rightly said, though, this is looking a little softer. But if you see as Sheetal sir has rightly said, that our inhaler therapy has done pretty well. Even the new launches have done pretty well. Our slight gap has come in cough therapy, which we are, again, relooking into some of the strategies in cough portfolio, which will come in next quarter.

Tushar Manudhane: And just lastly, the CFO to EBITDA ratio is very strong for FY '26 compared to FY '25. So

Ashutosh sir, if you could highlight factors driving this and how sustainable this is going forward?

Ashutosh Dhawan: I understand you are asking about...

Abhishek Agarwal : Tushar, can you repeat your question once aga in, please?

Tushar Manudhane: CFO to EBITDA ratio has become very strong. I mean this has been the thing for FY '26 full year compared to FY '25 in the range of like 92% - 93%, which is 80% in FY '25 so if you could...

Ashutosh Dhawan : Yes. So historically, if you see , our CFO to EBITDA ratio has been in the range of 75 %-odd or so. In this particular quarter, it is high because of -- one, is that we have been able to optimize on the working capital. So on a year -on-year basis so that has released.

Second factor is because we were able to realize some of the government receivables. So because of that also, the cash flow has improved. And if you look at the tax element also, there is a drop in the value term. So these are the 3 factors because of which you see a spike of 25% increase in the CFO to EBITDA ratio. But having said that, it will taper down in the near quarters.

Moderator: Our next question comes from the line of Chintan Sheth from Girik Capital.

Chintan Sheth: Ashutosh ji, on the interest cost saving, we have seen a sequential drop in almost INR500 crores from September to December, despite we have paid almost INR1,500 crores of CP in October plus we have the current quarter, OCF has bee n pretty decent. The net debt figure looks a little high if you can touch upon why is that, that would be helpful?

Ashutosh Dhawan: So if I understood your question correctly, you are trying to analyze that the interest cost drop is not commensurating with the drop of the outstanding loan amount. Is that the question?

Chintan Sheth: Also the absolute net debt number also has not seen a similar drop sequentially?

Ashutosh Dhawan: So see, net debt is okay because the debt has to be realized over a period beca use how the debt was structured was that the repayments were coming on a 6 monthly basis. So that is why the net debt is improving, but the overall debt is not , because there is a time gap of 6 months . That's why there is a lag in that.

Chintan Sheth: Sorry, I couldn't und erstand. So September, we have ~INR4,700 crores of net debt. We repaid INR1,500 crores in October. The number in December is INR4,200 - INR4,300 -odd crores. So

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there is a drop sequentially of INR500 crores despite INR1,500 crore s of repayment which we have seen.

Plus the OCF we have generated. I assume that also were used for working capital, and we are

seeing working capital improvement sequentially. So as you mentioned , INR110 crores absolute from September to December, there is a drop in absolute working capital. So over there, also, we have not utilized much of the capital.

And capex number is also more or less in the band of under INR200 crores. So I'm trying to understand that we cannot utilize the capital anywhere, working capital is low, incremental capex spend for the quarter is also under INR200 crores. Still the net debt number sequentially has not been reflective of the INR1,500 crores repayment

in there. I'm trying to understand the...

Ashutosh Dhawan: Our apologies, we are not able to hear you properly. I think there are multiple questions framed into this one single question. So yes we can take them offline. These particular questions, we can break it and take it offline.

Chintan Sheth: Okay. Got it. And if you can help me...

Moderator: Yes, sorry to interrupt Chintan, you do have a lot of background disturbance on your line, and you do sound a little muffled. May I request you to please check the device mode you're using?

Chintan Sheth: This is okay. This is audible now?

Moderator: Yes, this is much better. So please go ahead.

Chintan Sheth: And the export, if you can split between BSV and organic growth for us. That will be helpful?

Moderator: Members of the management, if you're speaking at the moment, you are not audible.

Abhishek Agarwal : So basically, the quality of voice, we are not able to understand the questions properly. So request whosoever is asking the questions, they can use headphones instead of speakers.

Chintan Sheth: This is audible?

Abhishek Agarwal : Yes, this is audible.

Chintan Sheth: So I was asking export revenue split, what's the organic growth for the current quarter?

Prakash Agarwal : So in Sheetal ji comment, it is mentioned that the Mankind exports is mid-single digit, and the remaining is from BSV consolidation.

Chintan Sheth: And lastly, on the restructuring and the implement we have -- you are talking about, it will still take more quarters or more months to recoup back to the IPM or above IPM growth for us? Or the process we have started on the corrective measures , how soon we expect or any guidance around that? Because the last 5 months, we have seen we are lagging behind the IPM growth. How should we expect them recovering back to the normal 1.2 x, 1.3x IPM growth, which traditionally Mankind was delivering?

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Rajeev Juneja: Shall I take this question?

Sudipta Roy: Yes, sir.

Rajeev Juneja: So the point basically is what, I mean, you're supposed to understand, we have gone for a major kind of a transformation in Mankind, the last, I'll say, 12 to 15 months' time. 2-3 things have happened. Try to understand. One basically is what we started taking a transformation in the form of hiring of approximately 15% -20% field force, reps and managers, leaders as well and then hiring people.

In this process, what basically happened, we overestimated our power of executing and making sure that the new people those who join Mankind, understand the culture of Mankind. We overestimated this and we did not understand properly and deeply. I should really confess the problems. Whenever any kind of -- happens and people are being asked that to leave some kind of insecurity creeps in people's mind.

So in this process, good people also went. So it has taken 12 to 15 months. So once you realize this fact, that despite of taking actions why the response is not coming, then you go even deeper down. And that made us more wiser in the form of that culture of Mankind was not properly being understood by the people because Mankind is a very unique kind of organization.

There are no targets. We believe only in daily sales. Please mind it, daily sales, not weekly sales. In the end of the month, we just want the total sales should not be more than 40% of sales done in 1st to 21st.

We are so rigid about these things. Rigid means we will not let anybody do -- I'll say, more primary sales to meet the targets because there are no targets. We're always behind growth, right?

And once you believe so much in hygiene and you bring new people and you bring transformation, it takes time. So that basically has taken time.

And obviously, in the last couple of quarters, that attrition, which was happening has gone down drastically. Initially, we asked people to

leave. And during this process, even good people left.

Then we saw a huge attrition because that meant insecurity crept in people's mind .

So when we went, talked to people, brought everything transparently in front of everybody and the new leadership. See naturally, new leadership also came, they came from different

companies. And this time, we took people from those companies, those who are very good in the chambers and market of specialties, chronic side, upper crust of the market, right? We have always been a bottom -up kind of a company.

So what basically happened even those people took time to understand the culture, they came from Cipla, they came from Alkem they came from Sun Pharma, they come from every best company, right? So over there, the culture is different. Culture is target, culture is other things. Good. They are good. We are good.

This is not a point that we should say th at our culture is good. But now everything has been understood. So now how a person should really see, how we see everything. We see everything

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on 3-4 parameters , whether our sales month after month is increasing or not increasing. That is what our quarter after quarter, things are i mproving or not improving.

Number one. That is what we see. At the same time, we keep a very close eye on our daily sales. If daily sale is good, it is good. Because please understand, it's a basic common sense because we have built this company with our own hands, every department we have created ourselves, right? So we understand it very well. The simple logic is prescription is sale.

That's all. Rest all is farce. Only prescription is sales. So we believe totally in that. So once you start building this kind of a culture, which is totally unique, which is totally different. It has taken time. We honestly -- we confess it very, very, I mean truly, that we expect that we will be able to transform it in 9 months' time. I t has taken more time. I mean we also feel I'm a bit sorry that we should have really, I'll say, dived deeper in the initial phase, but don't really, I mean, we cannot change that.

Now things are absolutely right on track that I can assure you. And that's one reason we are seeing our sales traction. See, for example, it was volume growth in these 9 months is 1.9% versus last year, it was quite less. So right now, if you just compare industry to ind ustry, that would not be right.

And I give you on e more example. Our growth in chronic side is continuously from last quarter - on-quarter increasing and in the range of approximately 14% -15%. Look at industry. Industry growth quarter -on-quarter was 9%, 10%, 11%. Only last quarter, only in third quarter, it is showing 16% so this basically is beyond my apprehension because chronic is not acu te, chronic is not antibiotics.

That some kind of epidemic came, some problem came and it will increase. There can be 10,000 reasons for that. So right now, we're just focusing that relatively quarter after quarter, month after month, are we on a path of right improvement or not strong, right improvements or not.

And we are very confident that we'll be doing much better.

Moderator: Our next question comes from the line of Kunal Dhamesha from Macquarie.

Kunal Dhamesha: First, 2 clarities. Have you shared the organic growth in the domestic prescription business for this quarter?

Abhishek Agarwal: Yes, Kunal, we have shared for quarter 3, it's 9% plus. And for 9 months, it's 8.2%, excluding OTC.

Kunal Dhamesha: Yes. Secondly, on the restatement of the revenue. So when I look at the quarter 3 '25 revenue, it's been restated by about INR31 crores, INR32 crores. Can you share what it is related to?

Ashutosh Dhawan: So restatement is on account of the...

Abhishek Aga rwal : So restatement is on account of Mahananda -- as you know that we have sold Mahananda in the month

of Feb. So we have reinstated all the financial statements for the past few quarters to align with the apple to apple comparisons.

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Kunal Dhamesha: Okay. And then lastly, when I look at the BSV revenue, you suggested it's growing at a double - digit pace. But when I put the organic numbers, and I adjust the Q3 FY '25 number by that adjustment of 62 days out of 91 days. Then it seems like BSV revenue seems to be flat to me in quarter 3 FY'26 on a year -on-year basis?

Prakash Agarwal : So I'll give you some color on the BSV numbers. So Q3 has seen a very strong growth in BSV upwards of 20% plus overall.

Kunal Dhamesha: But numbers are not suggesting that, right?

Prakash Agarwal : Again 20% plus has been better than the international business.

Kunal Dhamesha: Can you share the total BSV revenue, please? Because numbers are not aligning with what you've been sharing. It's coming out to be around INR395 crores for me, the BSV revenue for

this quarter?

Prakash Agarwal : So we can take this offline. I think the growth is 20% plus for BSV total, including the Rx business. And we can share the number, there is no issue. So the absolute number is INR464-odd crores including Rx and other businesses.

Kunal Dhamesh a: Okay. I think we need to kind of touch base on this because my numbers are totally different. And lastly, on the consumer business, I see we have been sharing that the secondary sales growth has been very strong for most of our key brands, but it doesn't get reflected in the primary sales, right? So there's been a trend for the last 3 quarters, wherein all our secondary sales has been growing 15% upwards. But then our 9-month primary sales growth is only around 5.5%. So what explains this gap?

Rajeev Juneja: See, if you just look at our OTC side, the second quarter was approximately minus growth because of this GST and all other things. On the second side, this third quarter. Our growth in e-commerce business is upward of 30%, 40%. In modern trade is upward of 30%, 40%. And at some of the places we have put brakes.

And that basically is the reason the growth has not come. There's some business called cash and carry and in that business, what happens, people those who buy instead of selling in the, I'll say, the consumer, they were selling to our own customers. So that basically was creating a kind of rate cuts in the market.

That we just taken a, I mean, hard stance on that without taking any other thing in mind. In Mankind, again, I must reiterate, hygiene is very, very important. We don't want to really inflate the sales and tomorrow, it really comes back to us. That's the major reason for that. Otherwise, if you look at the secondary side, it's better.

Kunal Dhamesha: But sir, at some point, secondary sales would match up to the primary sales, right -- the inventory correction so for the last 3 quarters, we have been seeing double-digit secondary sales growth, but then primary is not coming up?

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Rajeev Juneja: See, last 3 quarters or 4 quarters what we have done, we have taken plenty of transformation. I mean maybe we mentioned in the past that from a few thousand stockists, we reduced down number of stockists, those who would be responsible for doing our OTC business. That's also one of the major reason that this kind of reflection is coming. But health of the organization is always primary that we're doing. Soon, you'll see upward improvements in OTC that we can assure you.

Kunal Dhamesha: Sure, sir. And lastly, on the...

Ashutosh Dhawan: The last quarter, you need to look at differently because of the GST impact, there was a discount so because of that also, the primary sales got impacted. So that is why the mismatch and secondly, as Rajeev ji has highlighted that once you increase the non-GT portion,

which is the

other components, modern trade and quick commerce, etc.

So there also the revenue recognition is at a lower rate because of the accounting policy. So that's another reason why you see a subdued primary sales. So these are the 2 factors why these 2 numbers are not reconciling.

Rajeev Juneja: Let me add 1 more thing. I mean, these good questions, really, I mean, steer our mind as well, made us more I will say give us more resolve to act faster that even take in account.

Kunal Dhamesha: Sure, sir. Sure. And lastly, one for Ashutosh, sir ...

Abhishek Agarwal: If you compare the brands also for quarter 2 and quarter 3. So some of the brands are common, which is showing strong secondary growth, and some of the brands are different also.

Kunal Dhamesha: But I think Manforce and Gas-O-Fast are the key brands, right? Anyways, the last question is on the impairment we have taken -- the last question for Ashutosh, sir, on the impairment of that INR13 crores charge that we have taken related to BSV's Hyderabad facility. So what has changed between, let's say, our purchase price allocation exercise to now, which has led to this impairment being taken now?

Ashutosh Dhawan: Okay, that's a good question, Kunal. So this was a land which was there in the BSV books, okay? And since we are building up the facility at Vadodara. So therefore, this particular piece of land has been classified as a surplus land. So therefore, we are in the process of returning it back to the authorities, this land.

So in order to monetize this asset and returning it back. So whatever is the difference between the realizable value and the book value that has been recorded as an impairment cost for this.

Moderator: Our next question comes from the line of Neha Manpuria from Bank of America.

Neha Manpuria: Sir, while I got the background in terms of what led to the integration and how we're seeing an improvement. Just wanted to get a sense, do you think we get back to higher than industry growth, let's say, in 12 months, 18 months' time, based on what you're seeing on the ground, how soon do you think we can get to, let's say, in line with industry growth or better than industry

growth. Do you think this would be a much more longer process? Or just trying to get a sense based on given that you've done so much work on the ground?

Rajeev Juneja: Neha, hopefully, I mean, all things are done because we have always seen, I mean, more growth than the industry always been like that. We are so used to it that when it did not come, it gave us a surprise and rather shock. And once you basically go to that kind of a phase, you go yourself, check everything, recheck it and you do a bit of micro management as well in a sense that why it is not happening, why these things are there.

And once we start seeing it, we found out the reasons and started acting faster. And the answer I gave you in the past as well, I mean, just a few minutes back as well. Then we are seeing the traction is right.

See, to build the right kind of organization because this is our only thing we do, 24/7, 365 days. You think about Mankind only. And we just believe in the strongest of the foundation that it should be daily sales, hygiene should be amazing, whatever we speak should be really, I mean, should be true, we should not give them an overestimation to people.

We've always been conservative. For the first time you saw that and got surprised why it happened. But what we see right now confidently things are really on a right track. The kind of, I'll say, the pulse the kind of feel we want in Mankind, we are having that. See what basically has happened.

So when this transformation happened, the transformation happened in reps, first lines and in top line as well. And when top line came from different companies, they are able people, talented

people, amazing people. We need those people.

But there is a huge difference in culture of Mankind. And I can tell you honestly, with the rest of the industry, no targets, daily sales, last week sales, which should not happen, who does it? Nobody does it. So we are a different company. I mean, most of the pharma companies do what. They have different styles. Their style is good, but our style is very unique, right?

In one division, 1,700 people versus any other pharma company would be having 300, 400 people. Having 30, 40 brands right, in 1 division versus, I mean, 4, 5 or maximum 10 brands. So our working is totally different, 5 lakh plus doctors coverage, deepest coverage. This is a formula that 20% results come from 80%, 80% comes from 20%.

But we didn't follow that. Our 70% sales come from 70% doctors. That kind of a philosophy we have always followed. Never followed anything, whatever everybody is doing. So once you start working in this kind of an organization, it takes time to explain to everybody as well. But honestly, we are very confident things will improve. Things have really come to right? I'll say that the stage actually, which are giving us comfort and confidence.

Sheetal Arora: Neha, if I can add to Rajeev sir point, what he had said. One thing I would like to add that if you see the stability in the team, every quarter team is becoming more stable. Attrition has gone down. That gives us full confidence that going forward, every quarter, things will improve and Mankind would be back to its original Mankind.

Neha Manpuria: Got it, sir. Prakash, this INR464 crore BSV number that you gave for the quarter, would this number be higher quarter-on-quarter flattish quarter-on-quarter? What would be your sense? What would be this number for second quarter?

Prakash Agarwal: So we are giving growth numbers. So Q1, BSV grew mid - to high single digits. Q2 was mid - to high single digit. And Q3, it is upwards of 20%. So overall, in 9 months, it's about double digit -- early teens.

Neha Manpuria: Overall, okay. Got you. And the 9.1% organic growth that we mentioned for Mankind domestic 9%-odd that does not include the TTK portfolio that we have moved, right? Or does that include the TTK portfolio that has been moved to Mankind?

Prakash Agarwal: So it happened during the quarter. When we have given BSV guidance, we have included the Rx, but however, 9% would have an element of few days coming into Mankind.

Abhishek Agarwal: This 9% exclude TTK portfolio, Mankind BSV both. So basically, this 9%, if you are talking about, it's only Mankind excluding TTK portfolio excluding OTC.

Neha Manpuria: Sorry, Abhishek, I lost you, but no worries I can take that offline.

Abhishek Agarwal: So basically let me repeat what I'm saying, 9.1% includes only Mankind, it does not include OTC. It does not include BSV portfolio. It does not include TTK portfolio.

Neha Manpuria: Okay. Got it. Okay. Thank you for verifying that. And my last question is on the Consumer

Health business. The stockists that we have reduced, et c., would that mean that our sales have been reset lower for the next few quarters? Like this is the new base that we should build in for the OTC business? And how should we look at growth in the next year then for the OTC business?

Abhishek Agarwal: Would you like to take outlook for OTC for...

Rajeev Juneja: Yes, yes, I gave my answer. I gave the answer that see in the last couple of quarters, lot of things we have undertaken, BSV is one, consumer is one, total Mankind is one, lot of things we have done in last 15 months' time. And don't forget that we took on BSV in the month of November only.

So in consumer side, we took many transformative actions that number of stockists were reduced. Then we saw that it's unlike prescription kind of a thing. It only depends upon the

demand

so there is some part of push and some part of pull, both sides are there.

Then you make sure that it should be right. It should not become imbalanced, imbalance that you end up putting more primary sales and secondary sale is less. So during this total process, we got certain success in e-commerce a lot.

And this modern trade a lot. Then we saw one thing that this cash and carry kind of a business was there that we stopped. So we see all the things have happened, and I've explained to you that, and we hope that going forward next year, good double-digit growth would be there.

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Ashutosh Dhawan: As said, if you look at the 5.2% growth looks muted because last year, the last quarter grew by 30%. So it's a base effect as well. That's why this is looking a bit muted. And the quarter prior was impacted because of monsoons and GST 2.0 impact. So we are hopeful that going forward, we are on the path of recovery for this business.

Moderator: Our next question comes from the line of Sidharth Negandhi from Chanakya Wealth Creation.

Sidharth Negandhi: I think there has been a fairly good understanding on what transformation has happened on the people front. If I would ask on how do you see the product portfolio to supplement this, right?

You highlighted about how you outpaced ex GLP -1 growth. But then GLP -1 is a reality of the future, right? And therefore, in terms of the impact that GLP -1 had on your own existing portfolio? If you could share some color on that and your own plans on launching GLP -1? That was question number one.

Question number two, on the acute side of the portfolio, are you seeing the growth being impacted more by trade generics or by loss of share to sort of other IPM players, how are you seeing that? That's question number two.

Question number three, you spoke about e-commerce and modern trade growing about 30%, 40% in OTC. Certain quick commerce players have highlighted the fact that sexual wellness for them has grown multifold sort of upwards of 100%. Within this, if you could give some color on how your growth has been and how is share look like for you?

And then fourth, you mentioned about the NSP for quick commerce and modern trade being lower than GT. How is the EBITDA profile in that case compared to GT and therefore, how should we think about profitability for that business as these channels sort of gain more salience?

Prakash Agarwal: Yes, I can take a few -- a lot of questions. So the first one was on GLP. So it's a currently innovator market, and we are on track for a day 1 launch. It would be around March, somewhere around March end. So we are on track, and we expect to be a participant in the launch in day 1. So that's your first question.

On the acute side, you talked about the impact of trade generics, etc. I think, first of all, the impact is our internal corrective action that we are taking, and that's why the growth has been muted in the market. As Sheetal ji in the opening also said that there's already some recovery that you've seen in Gynec and Gastro. So apart from cardiac, which has been consistently outperforming IPM, we are now seeing good recovery in Gynec and Gastro also. Only anti-infective is an area where we are still underperforming. There, as that is a space where there's a lot of work going on.

We have increased the GP penetration which we had lost due to the team rejig that happened. So this will also eventually come back. And that's why we have full confidence that we'll be able to outperform IPM going forward. Might take a little time, but we are on track with that. From a trade generic side, I think market is much bigger. It caters to a certain population. We cater to the prescription market.

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And there, we expect that healthy market growth of 8% to

10% is possible. And going forward,

our endeavor is to outperform that. From an e-com MT side, I think NSP is generally lower given that the quick commerce keeps their margin, etc.

But we can't give you a specific on margins and growth of sexual wellness. We don't give product-wise breakup. Overall, we expect that Q4, you would start seeing double-digit growth.

And for the guidance for next year, we'll come back to you on Q4.

Sidharth Negandhi: Sure. So just a follow-up on that, you.

Prakash Agarwal: Can we take the last 2 questions, please?

Moderator: Our next question is from the line of Kunal Randeria from Axis Capital.

Kunal Randeria: Sir, appreciate Rajeev ji's explanation on what things went wrong and how you're kind of rectifying that. Sir, it clearly seems looking at the therapy growth that it's not a systemic issue.

So I'm just wondering how come this came out in the first place, number one? And number two, are there external factors in play also maybe like something like trade generics impacting our business, something like that?

Rajeev Juneja: So I should answer this, Prakash. The question was that external impacts, right? The trade generic was there and is there and would be there. There's no doubt about that. But being a dynamic kind of a company, we should really take these things in stride.

The point basically we explained to you is that still approximately 60% or 61% business of Mankind comes from acute side, which depends upon relationship with people, doctors, all sort of things are there. That is the only thing in Mankind we feel. Nothing else.

Kunal Randeria: Sure, sir. No I understand that, sir, what I didn't understand, pardon my ignorance here is, see, if cardiac and diabetes is doing extremely well, right? So the cultural issue that you spoke of, obviously, doesn't seem to be in those divisions? So how come it came from the acute division, especially when you don't give aggressive targets to the sales force?

Rajeev Juneja: So again, understand the point. Point basically is what when you're dealing in acute side, you bring daily prescription. In chronic side once prescription is there, it is yours. You keep working.

I mean, whatever new prescriptions you generate that really adds to your growth. That's the answer actually. I mean we could have expected more growth in chronic as well.

So we're not happy with 15% growth as well. Always continuous hammering, continuous reminders to the customers, it's like this only. And plus, in chronic side, a lot of our brands have become quite big and big becomes bigger in chronic, very fast.

Again, let me add one more thing. If I talk about the anti-infective side, our maximum sales come from oral therapies, oral side. In industry, it is approximately 60% oral 40%, I'll say, injectable. That's another thing.

Kunal Randeria: Just 1 more, if I can. So you have a fantastic last 3-4 years in export growth. This quarter, you mentioned some mid-single-digit growth. So I'm assuming it's in rupee terms. So in dollar terms,

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I think there would have been a decline, I guess. So will this continue because of the base? Or do you expect that to recover maybe in the coming quarters?

Sheetal Arora: See, Kunal, we have always maintained our stand that wherever we go, we go with a complex niche molecule, which are difficult to manufacture. If you see last year, our U.S. sales and growth was mainly opportunity based because of one eye drop over there. And in ROW, we are in the process of sending the dossier to different countries, the commercialization will happen after a couple of years, maybe 2028-2029.

So our main focus will remain in domestic, still 85%. In U.S., whenever any opportunity will come definitely we're going to go for that, but we won't compromise on EBITDA, and we will go for a niche complex molecule.

. In ROW, it will take another 3, 4 years. So our focus was domestic and will remain domestic.

Ashutosh Dhawan: This is in line with our guidance, what we gave for the year.

Moderator: We have the last question from the line of Dheeresh from WhiteOak.

Dheeresh: Sir, this transformation thing, I think we started about a year back at the same time as the BSV acquisition. So now 1 year out since we started this, what and you can give me an approximate number also, like what percentage of our field force, including managers and all would be new to Mankind, meaning they have joined new in these last 12 months? And what percentage of our client-facing field force is old, which is aware of the Mankind culture that you talked about in the call today as well?

Rajeev Juneja: Approximately 20% - 25% is new.

Sudipta Roy: 20% including all new managers and field force, it is overall around 20%. This 20% also it's not at one go. So it's happened in phases. So it is not about 1 year, we are having a 20% new people.

So it is in phases.

Dheeresh: So sir, only 20% is new to the culture, why is the impact so much, Why is it taking so much time? There is a lot of attrition. Normal attrition in the industry is quite high. So 20% new to culture is not that big a number. And why is it taking so much time to get to the rhythm of Mankind is I'm not able to understand?

Sudipta Roy: See, I think Rajeev, sir has already told, see, our 60% business is more of acute and within that 60% also, it is more of GP dominated, right? So in GP cases of business, our relations -- personal relationship with the people matters a lot. So when the faces change, that relations and the impact also goes away.

So that created a lot of impact, especially in our deep interiors and our deep reaches. So I think what you are asking that why 20% is giving so much of impact. This is one of the reasons because one, is our portfolio was dominated by acute and major support was coming from GPs.

Sheetal Arora: And one thing I would like to add that we have done so many things in last 1 year or so, made BSV acquisition, restructuring of OTC, then correction in Mankind Pharma and Mankind was

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very strong in UP and is very strong in UP, the little attrition happened in UP. And because of that, it took a little time.

And time where the PCPM was huge in eastern part of UP, some district of UP. So that's why so many things have happened simultaneously at the same time in the last 16 -18 months. But now if you see the quarter -on-quarter going forward, every quarter, the anti-infective will grow. The things will be much better.

Dheeresh: All right, sir. Looking forward to better quarter ...

Abhishek Agarwal: 20%-25% was on a year-on-year basis. So you know like around 15 -18 months has been involved in this strategic corrective measure. Basically 20%, you can say part was impacted in last financial year and another part of which is impacted in this financial year. So broadly a slightly bigger number, which you can say is a new field force.

Rajeev Juneja: Abhishek, let me answer this in a different manner. Abhishek, let me answer. Can I answer in different manner?

Dheeresh: Yes, sir. I'm listening. Tell me.

Rajeev Juneja: See, it's all a matter of heart only. I mean, for example, if in your office, 20% people are being asked to leave systematically. What kind of energy would be there in total team? Just think about that. That's the right answer. So it's not only numbers that matters. Whatever numbers are left, what kind of a heart and mind they're giving in the work, that also matters a lot.

And we are always that kind of organization because where energy is everything. So don't look only numbers, numbers, right? See the force behind numbers. If 80% people start giving 100% kind of their energy, or 110% kind of energy, wonders can be done.

If same 80%, only 80 %

people start giving half of their energy because they're also insecure. They also need some kind of reassurance. So understand that from that perspective, we think from that lines only.

Moderator: Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you, gentlemen.

Abhishek Agarwal: Thank you, Dorwin, and thank you, everyone. And for any further queries or clarification, please feel free to write to us on investor.relations@mankindpharma.com. Thank you, and stay happy, stay healthy.

Moderator: Thank you. On behalf of Mankind Pharma Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

This transcript has some minor edits to enhance the understanding and readability and does not purport to be a verbatim record of the proceedings. Since it is a transcription, it may contain transcription errors. The Company takes no responsibility of such errors, although an effort has been made to ensure a high level of accuracy.

Call: May 2026

May 26, 2026

BSE Limited
P J Towers,
Dalal Street,
Mumbai – 400 001
Scri
p Code: 543904 National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
S
ymbol: MANKIND

Dear Sir/ Madam,

Subject: Investor Conference Call for Q4 & FY26 – Transcript

Ref.: Regulation 30 of Securities and Ex change Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“Listing Regulations”)

Pursuant to Regulation 30 of the Listing Regulations, please find enclosed the transcript of the Investor Conference Call for Q4 & FY26 held on Wednesday, May 20, 2026 at 12:00 Noon. (IST).

The transcript is also available on the website of the Company at www.mankindpharma.com .

You are requested to kindly take the same on records.

Thanking You,
Yours Faithfully,

For Mankind Pharma Limited

Hitesh Kumar Jain Company Secretary &
Compliance Officer
Encl.: A/a

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“Mankind Pharma Limited
Q4 FY26 Earnings Conference Call ”
May 20, 202 6

MANAGEMENT : MR. RAJEEV JUNEJA – VICE CHAIRMAN AND
MANAGING DIRECTOR
MR. SHEETAL ARORA – CHIEF EXECUTIVE OFFICER
AND WHOLE -TIME DIRECTOR
MR. SUDIPTA ROY – SENIOR PRESIDENT , SALES AND
MARKETING
MR. ARJUN JUNEJA – CHIEF OPERATING OFFICER
MR. ASHUTOSH DHAWAN – GLOBAL CHIEF FINANCIAL
OFFICER
MR. PRAKASH AGARWAL – PRESIDENT STRATEGY
MR. ABHISHEK AGARWAL – HEAD INVESTOR
RELATIONS

Moderator: Ladies and gentlemen, good day, and welcome to Mankind Pharma Limited Q4 FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this meeting is being recorded.

I now hand the conference over to Mr. Abhishek Agarwal from Mankind Pharma Limited. Thank you, and over to you, sir.

Abhishek Agarwal : Good afternoon, everyone. We welcome you to our fourth quarter FY26 earnings call. On call today we have Mr. Rajeev Juneja, our Vice Chairman and Managing Director; Mr. Sheetal Arora, Chief Executive Officer and Whole-Time Director; Mr. Arjun Juneja, Chief Operating Officer; Mr. Sudipta Roy, Senior President, Sales and Marketing; Mr. Ashutosh Dhawan, Global Chief Financial Officer; and Mr. Prakash Agarwal, President, Strategy.

We will begin today's discussion with Mr. Rajeev Juneja providing quarterly and annual update, followed by business insights from Mr. Sheetal Arora. Thereafter, Mr. Ashutosh Dhawan will provide a detailed overview of the financial performance before we move on to the Q&A session. Please note that statements made on this call that relates to future events or performance are forward-looking in nature and reflects management current expectations. These statements are subject to various risks and uncertainties, and actual results may differ materially, and Mankind does not undertake any obligation to update or revise these statements in the future. A detailed disclaimer in this regard is included in the investor presentation uploaded on our website.

Now I will hand over to Rajeev sir for his remarks.

Rajeev Juneja : Thank you, Abhishek, and a very good afternoon to all. Welcome to the quarter 4 and financial year '26 earnings call. In financial year '26, we made steady progress in strengthening our core business while continuing our strategic advancements towards specialisation-led growth. Our focused initiatives towards people, processes and technology, supported by better execution discipline and capability enhancement are now translating into quarter-on-quarter performance improvement.

In quarter 4, our overall revenue increased by 11.8% year-on-year to INR3,443 crores with adjusted EBITDA margin of 27.1%. And for the full year '26, revenue increased by 17.0% year-on-year to INR14,278 crores with adjusted EBITDA margin of 25.4%. Domestic revenue, excluding Consumer Healthcare, increased by 12.9% in quarter 4, driven by double-digit growth in Mankind Domestic business, supported by robust growth in PSV specialty business.

For the financial year 2026, overall domestic revenue increased by 14.4% year-on-year.

Moreover, I would like to highlight that our volume growth has increased to 2.3% in financial year '26 versus 0.5% last year, led by strategic initiatives undertaken in the last few quarters.

Mankind's overall PCPM has also improved to INR7.2 lakh per month in financial year 2026 from INR6.5 lakh in financial year '25.

The secondary sales as per IQVIA during the quarter was 8.7% versus 10.7% IPM, excluding GLP -1, primarily due to strong performance in chronic growth supported by 14.7% in cardiac

and 11.6% in anti-diabetes ; muted growth in anti-infective, partially offset by quarter-on-quarter recovery in gastro, gynec, vitamins and derma.

Mankind chronic share increased by 120 bps year-on-year to approximately 40% during the quarter and 190 bps to approximately 39% in full financial year 2026. We expect this growth momentum to continue. We witnessed 1.1x outperformance to IPM in cardiac and 2.1% outperformance to IPM in antidiabetic , again, ex-GLP -1 in financial year '26.

In financial '26, our brand portfolio continued to scale as the number of

of INR200 crores brands

increased to 13 from 11 in financial year '25, while INR50 crores brands increased to INR54 crores from INR49 crores in financial year '25.

To further strengthen our specialty chronic portfolio, during the quarter, we acquired the brand, Rivotril, from Roche, a renowned textbook brand of clonazepam, brand used for neurological and psychiatric conditions, including epilepsy and seizure disorders. BSV domestic specialty business witnessed strong double-digit growth, led by robust growth in mandate brand like Anti-D, Foligraf, HMG.

During the quarter, our revenue from OTC business increased by 20% to INR213 crores. The growth was primarily driven by strong growth of 57% year-on-year in modern trade and e-commerce channels. For the financial year 2026, revenue increased by 9% to INR879 crores. The steady sequential improvement across brands, therapies and divisions strengthens our confidence in regaining our growth momentum as seen in the past.

As the industry landscape transforms, our strategic focus is now increasing towards specialty chronic therapies and R&D -led innovation products. We continue to invest in and adopt best-in-class technologies, enabling us to build a more resilient, differentiated and future-ready organization for long-term sustainable growth and we remain confident that financial year '27, will be much better year as compared to year '26 for all our businesses. Now I invite Sheetal to provide more details on our business performance.

Sheetal Arora : Good afternoon, everyone. Thank you for joining us for Mankind Pharma's quarter 4 and financial year '26 earnings call. It is a pleasure to connect with you all today. Financial year '26 has been a year of improving execution, disciplined growth and deeper integration across businesses. Our performance this quarter reflects not only healthy demand momentum, but also the resilience of our business model, the strength of our brands and the commitment of our team across the organization.

Let me begin with our Domestic business. In quarter 4 financial year '26, our Domestic revenue grew 13.4% year-on-year to INR2,886 crores. More importantly, our organic growth, excluding OTC, stood at 10.1%, the highest level since the BSV acquisition. This growth was broad-based, driven by improving execution across acute therapies, sustained momentum in chronic therapies and strong traction in BSV domestic portfolio.

For financial year '26, Domestic revenue increased 14.4% year-on-year to INR12,217 crores with organic growth of 8.6%, excluding OTC. What gives us confidence going forward is that

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this growth is supported by improving prescription strength, healthy volume expansion and strong brand traction across multiple therapies rather than being dependent on any single product or category.

Let me share some key highlights for the quarter. Starting with our acute businesses. As per IQVIA, our Gastro portfolio outperformed the market, growing 1.1x the IPM growth rate.

Flagship brands such as Pantakind delivered strong momentum, outperforming IPM by 1.4x. We are also encouraged by the continued leadership of Vonoprazan which is now the number 1 prescribed brand by both value and volume in its category.

In gynecology, we delivered 10.8% year-on-year growth, supported by 6% volume growth. Our Dydrogesterone portfolio grew by 20% year-on-year, while our IVF portfolio maintained excellent momentum led by 52% growth in Foligraf and 40% growth in HMG.

Across other acute therapies as well, we are seeing healthy momentum. Vitamins and Minerals therapy grew 12.5% year-on-year, while brands such as Nurokind, argipreg and D3 Must also delivered healthy performance.

Coming to chronic therapies, an important long-term growth driver for us, in anti-diabetes, excluding GLP-1, we outperformed IPM by 1.6x, supported by 5% volume

growth, improving

our CVM rank to number 4. In cardiac, we outperformed IPM across all key molecules.

Telmikind has now become INR750+ crores brand for us, while our brands in Rosuvastatin and Cilnidipine are among the fastest growing in their respective segments.

One of the strongest indication of the sustainability of our business continues to be our prescription leadership. For the ninth consecutive year, we maintained our leadership position with ranked number 1 in prescription, supported by 15.1% prescription share and 84.1% prescriber penetration. This reflects the trust we have built with doctors over decades, supported by consistent quality, affordability and strong field execution.

Moving to our international business. Our export revenue for the quarter grew by 4% year-on-year to INR557 crores, primarily impacted by geopolitical headwinds. However, on a full year basis, our international business revenue increased by 35% year-on-year to INR2,061 crores -- looking ahead, we remain optimistic about the long-term opportunities in international market. During the year, both our Udaipur and Ambernath facilities received EU GMP certification, which will further strengthen our ability to expand into semi-regulated markets. As we move forward, our strategic priorities remain very clear: to continue driving scale with profitability, to strengthen our presence in chronic and specialty therapies and most importantly, to build future-ready healthier organization with long-term sustainable growth.

With that, I would now like to hand over the call to Ashutosh ji, who will take you through the financial performance in greater detail. Thank you so much.

Ashutosh Dhawan : Thank you so much. Thank you, Sheetal ji. A very good afternoon, everyone. Thank you all for taking time out to join our quarter 4 FY26 earnings call. Today, I will be sharing detailed insight into our financial performance, both for the quarter as well as FY26. Our revenue from

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operations for quarter 4 FY26 has increased by 11.8% year -on-year basis to INR3,443 crores as compared to INR3,079 crores in Q4 FY25. This was led by strong 13.4% growth in the domestic business . For FY26, our revenue grew by 17% year -on-year basis to INR14,278 crores vis -a-vis INR12,207 crores in FY25.

Our gross margins for the quarter has increased by 60 basis points year -on-year basis to 72.2% from 71.6% in Q4 FY25. This increase is majorly led by better sales mix as our chronic contribution has increased by 120 basis points on a year -on-year basis. For the full year, our gross margin has marginally improved by 20 basis points to 71.6% as compared to 71.4% in FY25.

Our adjusted EBITDA margin for the quarter has increased to 27.1% as compared to 23.1% in Q4 FY25. This increase of 400 basis points is on account of 60% basis point increases in the gross margin, 240 basis point benefit is from the operating leverage. And moreover, Q4 last year, expenses had a higher base because of launch and relaunch of certain focused brands.

Our reported EBITDA margin for the quarter is 26.4%. The difference between the reported and adjusted EBITDA margin is due to the true -up impact of the new Labour Code adoption. For FY26, our adjusted EBITDA margin is 25.4%, which is within our guidance range of 25% to 26%. This adjusted EBITDA margin is lower by 50 basis points as compared to last year, which is primarily attributable to higher R&D spend.

The R&D expenses for the quarter was INR103 crores, which is at 3% of the sales and for the full year 2026 is 2.8% of the sales, which was 2.2% in FY25. This 2.8% is in line with our guidance of 2.5% to 3% for the full year FY26.

The finance cost for Q4 FY26 has declined to INR142 crores from INR157 crores in quarter 3 FY26. This reduction was primarily driven by full quarter impact of repayment of the final tranche of c

ommercial papers of INR1,500 crores in Q3 FY26. Along with this, there were certain repayment of the bank borrowings during the quarter.

In Q4 FY26, the depreciation and amortization expenses was broadly in line at INR223 crores as compared to INR231 crores in quarter 4 FY25. And if we look at the full year, the depreciation and amortization expenses have increased to INR886 crores vis -a-vis INR621 crores in FY25, which is primarily due to the full year impact of depreciation and amortization related to BSV assets.

The effective tax rate for Q4 FY26 was at 15.1% as compared to 16.8% in Q4 FY25. However, the effective tax rate for the full year FY26 is 16.9% as compared to 20.3% last year. The profit after tax for Q4 FY26 grew by 30.4% year -on-year basis to INR559 crores with PAT margins improving to 16.2% during the quarter as compared to 13.9% in Q4 FY25, resulting in an increase of 230 basis points. This growth was primarily driven by stronger EBITDA margin and lower finance cost. However, in the last year FY25, we recorded higher other income on account of gain from monetization of our subsidiary, Mahananda Spa & Resorts.

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Our diluted EPS is INR13.4 per share of INR1 paid for the current quarter. The cash EPS, which is EPS adjusted for noncash items like depreciation and amortization has increased during the quarter to INR19.1 from INR15.9 in quarter 4 FY '25, an increase of 20.5% year -on-year basis. For the full year FY '26, PAT decreased marginally in value terms by 3.4% on a year -on-year basis to INR1,938 crores from INR2,007 crores last year. The PAT margin for FY '26 is 13.6%, which has decreased by 280 basis points year -on-year basis from 16.4% in FY '25.

This decline is primarily driven by higher finance cost and depreciation cost, along with lower other income due to BSV acquisition, which got consummated in October 2024. The diluted EPS and cash EPS for FY '26 were at INR46.3 and INR68.1, respectively.

The net operating working capital days as at 31st March 2026 is 52 days as compared to 50 days as at 31st March 2025.

In FY '26, our CFO to EBITDA ratio has increased to 89% as compared to 80% in FY '25. This is primarily driven by reduction in effective tax rate and working capital in value terms has remained constant as at 31st March 2026.

Our capex spend in FY '26 increased to INR737 crores, remaining at 5.2% of the total revenue, which is at the higher end of our guidance of 5% of revenue. As highlighted by Rajeev ji, in line with our enhanced focus on R&D and specialized products, we are setting up a new best -in-class biotech facility in Vadodara.

Accordingly, our capex guidance for FY '26 is expected to be in the range of 6% to 7% of FY '27 revenue. In line with our prudent financial strategy, our net debt is INR3,932 crores as at 31st March '26, resulting in the net debt to adjusted EBITDA ratio of 1.1x in Q4 FY '26. We

remain on track to repay the acquisition-related debt by FY '28.

With this, we conclude our financial update and welcome any questions which you may have.

Over to you, Abhishek.

Abhishek Agarwal : Thank you, Ashutosh sir. Neerav , we can open the forum for Q&A.

Moderator: Thank you very much. We'll now begin with the question and answer session. First question is from the line of Kunal Dhamesha. Kindly announce your company name and proceed with your question.

Kunal Dhamesha: This is Kunal from Macquarie Capital. Thank you for the opportunity and congratulations on good set of numbers. First question for Rajeev sir, on some of the disruption that we had witnessed in FY '26 in some of our teams, and we had done a lot of hiring and they were undergoing training, et c. So where do you put progress on those aspects now? Do you think that the entire disruption is behind us? And then we are like back to business as usual for our domestic business?

business?

Rajeev Juneja : Kunal, thank you so much for this question. We have said in the past as well that whatever corrections were to be done are done. Now we are on the path of recovery. And as you can see

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in the fourth quarter and as the whole total year performance of Mankind , it is on the right track.

So whatever -- see, I mean, we are basically an acute heavy company and approximately 38-40% sales come from chronic side.

So whenever any kind of disruption happens, chronic does not get affected because of its own reason. Patients keep taking it. Only in the case of acute, we got some hit. Now since people are properly placed, and the environment ultimately right. So we are on the path to recovery, path to better growth, performance better than the last year.

Kunal Dhamesha: Sure. And on that note, sir, could you provide some outlook for top line growth for FY '27 as well as the profitability outlook?

Rajeev Juneja : So I can say only one thing that growth would be better -- top line growth will be better than the last year, double digit. And also, we'll try to outperform IQVIA. That's the aspiration actually.

And as far as the bottom line is concerned, EBITDA is concerned, that too would be better than this year '26. We can expect -- I mean, the guidance has been given 25.5% to 26.5% in the range of that.

Kunal Dhamesha: For the EBITDA margin. Okay. And sir, lastly, on the GLP -1 segment, right, that is because of that IPM is also witnessing a faster growth. And I believe we were supposed to be launching our GLP -1 in the month of April or something. So where are we on that journey? And with the initial market formation, you would have seen what's the best positioning that you would kind of go ahead with in terms of product as well as the placement of the product?

Sheetal Arora : Kunal, I'm Sheetal Arora this side. We continue to believe that GLP -1 represents a very large long-term opportunity for the Indian market. Our approach remains strategic and focused on long-term value creation. We do not want to compromise on the profitability in an increasing growth market.

Along with the GLP -1, we are also focusing on adjacent and supportive therapies such as vitamins and mineral , proteins and GI-related to build a stronger and more sustainable long-term growth. So we always believe that profitability should be better because there is a mad rush in the market right now of GLP -1.

So we are focusing on GLP -1. It's a long term and a large opportunity for any Indian company to ignore that. But we are also focusing on adjacent and supportive therapies like vitamins and minerals and protein, which is going to grow better in the time to come .

Kunal Dhamesha: So sir, when will our launch be there on GLP -1 front? And then which all formats we are targeting?

Sheetal Arora : We have already launched around a month ago. We are targeting - endocrinologists are on the top.

Kunal Dhamesha: Endocrinologists are on the top. Okay, perfect. I have more questions; I will join back the queue . Thank you and all the best.

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Moderator: Thank you. Next question is from the line of Tushar Manudhane. Kindly proceed with your question and announce your company name.

Tushar Manudhane: Yes. Myself Tushar Manudhane from Motilal Oswal Financial Services. Again, congratulations on a good set of numbers. Sir, just going forward, while you have highlighted on the growth

guidance, would you also share the perspective in terms of what's happening on the raw material cost side given the kind of sort of turmoil that's happening because of the Middle East war issues and which might have impact on, let's say, gross margins and EBITDA margins?

Rajeev Juneja : Tushar, you cannot deny that some kind of a disruption is there as far as the raw materials are concerned,

packaging material is concerned, and excipients are concerned. But whatever precautions we had to take, we have taken. And hopefully, whatever guidelines have been given, we'll try to just cover up -- we'll come up with that expectation. That's a hope actually.

Tushar Manudhane: Understood. Sir, secondly, on the consumer health side, while FY '25 was pretty strong, but FY '26, a gain, the growth has moderated. Maybe fourth quarter, particularly, there was a low base effect, so 20% growth. But having said that, FY '26 again has been a moderate year for consumer health. Could you highlight any initiatives to revive or further sort of strengthen the growth in this segment?

Rajeev Juneja : I mean initiative in the form of that whenever something is wrong in mankind, we just work on the basics, fundamentals and that we are continuously doing. And hopefully, next year as well, we will just give double-digit growth in consumer division, better margins and better things will happen.

Tushar Manudhane: Would this be backed by any new launches sort of this? Or would be more like line extension of the existing brands?

Rajeev Juneja : In OTC side, it's always the brand value, the strength of a brand in terms of revenue is more important. Whatever new launches will happen, these launches will be extension of the present brands only. So no new launches right now because last year, we launched 2, 3 products. I mean they need to really come to a critical mass, some kind of level of revenue, then only we can think of launching more products.

Prakash Agarwal : If I can add, Tushar, the year was also impacted by Q2 GST too. So a couple of basis points impacted there. And secondly, there's a lot of initiatives as seen from the IR deck also that e-commerce is growing at 50% plus. So that is a very growing segment for the consumer. So there's a lot of impetus in growing that segment as well.

Tushar Manudhane: Understood. And lastly, on exports, while the INR terms growth has been 5%. So if you could -- like I assume that in the constant currency, the growth would have been further muted. And if you could further break that down into exports of Mankind and exports BSV and share like how we expect to revive this growth?

Prakash Agarwal : We are not breaking it down in terms of Mankind and BSV. It's all one company now since Q4 is a full quarter presentation. However, we can give you some color that Mankind growth was better than BSV and BSV was partly impacted due to some of these countries where it has some

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exposure, LATAM, RCIS and some leadership change in Philippines, which is one of the largest market. So there was a little dip in the fourth quarter. But next year, we see a revival. We are expecting high double-digit growth in both these international business units.

Tushar Manudhane: Broadly tender business and non-tender business, at least in the exports part, if you can give that breakup?

Prakash Agarwal : No, no, we don't call it out. So we just focus on mandate brands and they have done well.

Moderator: Next question is from the line of Harith Ahmed. Kindly announce your company name and proceed with your question.

Harith: This is Harith from Avendus. My first question is on the chronic therapy performance that you've disclosed. So while for the year, we've indicated a 1.1x performance versus IPM. For the fourth quarter, it's come in a bit lower at 0.9x. So are there any pressures that we're seeing on the chronic side in certain therapies, which is leading to a bit of softness in 4Q?

Sheetal Arora : There is no pressure on chronic therapies because it's a long-term growth story. We believe that chronic growth trajectory remains sustainable over the long term. See, India continues to remain significantly underpenetrated in therapies like anti-diabetes, obesity, cardiac care and respiratory

because the way lifestyle diseases are increasing, diagnosis levels are also improving. And health care awareness are also increasing, plus insurance penetration is also gradually rising. So we are not chasing short-term growth.

We are investing in franchisee and therapies that can compound sustainability for many years.

So we have invested. We have -- see around 20 years ago, Mankind was nothing in chronic therapy. Now we are approximately 39% contribution comes from chronic therapy. So 1 or 2 quarters doesn't make any difference in chronic therapy, maybe except for a long term, we have to see.

Harith: Okay. Got it, sir. And then like you disclosed the 1.1x versus IPM for chronic therapies. What

would that number be for acute therapies? And then for the quarter, you've called out certain acute brands like Cefakind recording a very strong outperformance. So for acute therapy, specifically, how should we think about growth in FY '27?

Sheetal Arora : Acute therapy would be in the line of IPM growth. So last year, our acute growth was muted, but this year, it would be matching the IPM.

Harith: Okay. And lastly, on the margins for the quarter at 27%, this is probably the strongest that we've seen in the last few quarters. So -- and I can also see a very strong significant control on employee costs and other expenses. So what exactly is driving this? And should we look at this 27 -odd percent level of EBITDA margins at the combined business level to sustain?

Ashutosh Dhawan : Let me start with the EBITDA margin guidance that Rajeev ji has given that it will be better than this year, and we are expecting it to be 25.5% to 26.5% for FY 2027. And this year, the performance has been better, approximately 400 basis points is there, which is a mix of one is

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the GC has been better, 60 basis points is coming plus the operating leverage, as we called out that has also played a role that we have been able to control.

And then there has been certain reversal or the waiver of the commission. So that has also contributed to this. So that's why the margin improvement has been there on a year-on-year basis. In addition to that, if you look at Q4 last year, there was a bit of a bulge in that because certain BSV-related brands were relaunched, repackaged and plus we also launched Empa. So there were certain launch and relaunch-related expenses, which were there.

Moderator: Next question is from the line of Sidharth.

Sidharth: Congratulations on a good quarter. Just wanted to understand in follow-up to Harith's question.

There is a quarter-on-quarter significant decline in employee expenses. Is that on account of certain manpower rationalization? And on a sustained basis, how should one think of that?

Secondly, on the GLP -1 launch, are you looking to launch both pens and vials? And what about the oral format? And in continuation of that GLP -1, right, what kind of an impact have you seen on your base diabetes business? And how do you see that play out going forward in context of GLP -1s doing the way they are? Yes, those are the questions.

Rajeev Juneja: Let me answer you for the GLP -1. So there's a mad rush in the market. Every company is launching. And if at this particular time, you launch, you will be lost somewhere. So we've always been a contrarian kind of organization.

We always think what others are doing, we should not do. In this competitive market, we have launched our GLP Pen. And we are not in a hurry to launch vials. We are not in a hurry to cut down the prices. What we're doing, we are basically working on the adjacent therapies like vitamins, minerals, protein side because ultimately, a company which would be selling the complete portfolio will be having a better advantage.

So our approach is a bit different than the rest of the people actually. So if you launch in 50 people 100 kind

of a competitive market, you will end up losing. We will not be even noticed.

Had we had the advantage of launching this product first 1 or 2 months in advance, then it is all right, not now. We have launched our pen, and we basically are building it slowly and gradually.

Let this storm get passed, let people burn their own things, then will come. And next, to your question, Ashutosh ji.

Ashutosh Dhawan : Yes. So this is regarding the employee cost. So there are 2 questions. One is the quarter-on-quarter drop and the sustainability aspect. So before commenting on quarter-on-quarter sequential drop, let me draw you to the whole year number.

If you see the full year employee cost for FY '25 and '26, in percentage basis to the overall revenue, we are almost flat, 22.1%, 22.1%. Value-wise, there is increase of INR 491 crores on our overall, for the full year performance, which is partly because of BSV because last year, BSV was for 159 days.

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This year, its for the full year impact is there. If you normalize that, so then you will see there is a 10% increase in the employee cost year-on-year basis. Having said that, coming to the quarter-on-quarter sequential drop in the employee expense, there is a 9% drop sequentially. So which is comprising of, one, there is a 3.5% drop in the revenue. So that's one.

That's also there is a normal saving in the employee cost on account of incentive, plus there is a true-up has been there. Both put together are contributing close to 5% - 5.5% drop. And the balance 3.5% drop is coming on account of the waiver of the director fees or the commission

fee.

So because of these 2 reasons, you are seeing a sequential drop in the employee cost. On an overall annualized basis, there is a 10% increase in the employee cost if we normalize it for BSV.

Siddharth: Right. And sir, if you could just help understand the impact on the base diabetes therapies after GLP -1s, base diabetes or base cardiology therapies because we are clearly seeing ex of GLP -1, the growth in diabetes seems to be more mid-single digits like. So is there any impact that you're seeing on ground? And how do you see that going forward?

Sudipta Roy : Siddharth, to answer this, Sudipta here, I think scientifically, if you see in last few months, there has not been a direct impact on the primary antidiabetic and cardiac therapy. And it is too early to say also that the therapy regimen will change. So even the customers feedback and all other feedbacks also are saying that it is too early to say. But what we have seen is it has not impacted much in terms of primary anti-diabetic and cardiac therapies.

Siddharth: Got it. Thank you.

Moderator: Thank you. Next question is from the line of Kunal Randeria. Kindly announce your company name and proceed with your question.

Kunal Randeria : Hi good afternoon sir. Kunal Randeria from Axis Capital. Sheetal, you mentioned a few brands like Telmkind, Dyroboon doing extremely well. So good to hear that. But some of your other bigger brands like Moxikind, Amlokind, Gudecef are not really showing growth. So my question is, I would like to understand some of the moving parts of your growth guidance in India.

So does it mean, are you assuming that some of these brands will show better growth? Or should we expect higher price hikes, maybe closer to the 10% range that is allowed? Or will it be new products driven? So some more color would be helpful, sir.

Sheetal Arora : Last year, because of some corrective action our acute growth was muted but we are encouraged by the sequential improvement we started witnessing from Q2. If you see Q2 onwards, Q2, Q3, Q4, that is growing quarter-on-quarter. The recovery trajectory is already visible across several therapies and gives us confidence for financial year '27. At the same time, we are consciously improving the

quality of our growth. When I say quality of our growth, it means we have higher contribution of chronic.

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Now it's almost 39% Specialty business, we are number 1 in women health care and differentiate therapies rather than depending on a seasonal acute spike, which may come in one quarter and then next year, it may not come. So we believe that financial year '27 would be a very strong year for us, driven by multiple factors.

First is normalization in acute portfolio after the softer performance seen during financial year '26. Second is sustained momentum in chronic therapies. where we continue to outperform IPM across all segments, across the key segment, cardiac, diabetes and respiratory.

And third is increasing contribution from specialty and differentiated products, including opportunities like GLP -1 and related therapies.

So overall, we see a healthy balance between recovery in acute and strengthening in chronic and specialty business, which gives us a confidence that definitely next year, financial year '27, we will be at least doing double-digit growth and aspiration, like Rajeev ji has said, aspiration is always better to do than the market.

As you see the history of mankind in the last 30 years, we have always outperformed market.

That's why we have become youngest company to come on fourth rank in just 30 years. So aspiration is always there, and we are recovering in not only in chronic, but acute therapy is also coming back.

Kunal Randeria : Yes, I got my question. But any price hikes would be like what you have taken normally in the last few years?

Prakash Agarwal: We have taken normal price hikes in line with the industry. I can just put the IPM numbers, if you like. Just give me one second. Yes. So for the year, our price hike as per IQ VIA has been 4.2% ; Industry is around 4.4%. So we are in line with the industry price hike.

Kunal Randeria : Thanks Prakash. Just one more question, if I can. Your modern trade is growing very well. I think 50% plus this quarter. Last quarter, it was around 40% or so, if I remember correctly.

So just wondering how long can such growth trajectory continue? And then what - going forward, maybe what should be a normalized growth trajectory?

Prakash Agarwal: So can you repeat the question? Did you say modern trade for RX business or ?

Kunal Randeria : No, you mentioned, right? I think it was mentioned 57% growth in modern trade part on the OTC piece, right? But again, how much can it continue? How long can it continue growing?

Because we had 40% last quarter also.

Rajeev Juneja : On a smaller base, this kind of a growth, I mean, was expected. In the past, our base was very

small. We are just working on this. And hopefully, better growth, double -digit growth, I mean high teens growth would be there. But we don't expect, I mean, 50 - 60% kind of a growth. So high teens would be there.

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Abhishek Agarwal : So Kunal, if you refer FY 25, the share of e -com and modern trade was close to 9%. This year, it has increased to 13%. So there's a little more headroom where we can increase this salience from e -com and modern trade.

Kunal Randeria : Got it. I have a few more questions I will join back thank you.

Moderator: Thank you. Next question is from Makrand. Kindly proceed with your question and also announce your company name.

Makrand: Congratulations on good set of numbers. My question has been answered. Thank you.

Moderator: Thank you very much. Our next follow -up question is from the line of Harith . Kindly announce your company name and proceed with your question.

Harith: Thanks for the opportunity again. So specifically on the specialty side of BSV, we've called out very strong growth in a couple of brands like Foligraf and HMG. So trying to understand what is the sust

ainable growth for these brands? And from the 2 anti -D brands that we have, Ant iD and R hoclone.

So within the overall anti -D category, what is the market share that we have? Because the way I understand , a large part of the market is still with the polyclonal versions. So just trying to understand the addressable opportunity for the 2 brands that we have and the potential market share for us in this segment.

Prakash Agarwal : So Harith , this is an innovative product with 100% market share in India. BSV is the only product delivering to the RH negative mothers. And that's why it is one of the biggest brands in more than 200 crores plus of brand sales that we can. In the past 2 years with Mankind coming in, the number of state coverage have also increased. It used to be 10, 12 states, which were used to be covered in terms of prescribing doctors of the state hospitals also. Now the number is 15 plus. We've added 2 more hospitals last year, which is in Tamil Nadu and Uttar Pradesh. So we are seeing strong traction in this.

If you see secondary is growing in mid -teens. And we expect that we'll continue to grow and expand the awareness program because since it's an innovative product, you need to have more awareness. Not many people know about it. So that's the activity which Mankind is also helping with. We had campaigns of Amitabh Bachchan and a lot of other doctor campaigns that has happened. And in India, in terms of penetration, about 5% is the number of women which face this issue. So the market is huge.

Harith: Prakash, the polyclonal versions will still be dominating the market and I understand our aspiration to grow the market share. So I'm just trying to understand what exactly is the addressable market?

Prakash Agarwal : So to our understanding, recombinant is a much superior product and that's why the share gain is 100%. Polyclonal was there as per our understanding in the market 5 years back. But currently, it is not there. We can come back to you and do a one-on-one on this, but our understanding is we have full market share in India markets.

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Harith: Understood. Thanks for that.

Moderator: Next question is from the line of Alankar Garude. Kindly announce your company name and proceed with your question.

Alankar Garude: Hi, thank you for the opportunity. This is Alankar Garude from Kotak Institutional Equities. Sir, firstly, while you explained the points on staff cost as well as SG&A, in general, can you take us through the cost optimization initiatives taken over the last few quarters and how will you ensure that these do not impact your growth prospects over the medium to long term?

Ashutosh Dhawan : There have been multiple initiatives which has been taken. If we talk about on the employee cost, I think, Alankar, that's what you are referring to. So there has been incentive rationalization alignment plus the span of control and all those things, it's a long topic to be discussed.

And secondly, long story short, what our endeavor is that the employee cost should be in the vicinity of 22% of the sales, plus/minus 0.5% here and there. But by and large, if you see on the long-term trajectory, our endeavor is to maintain employee cost, both fixed, variable, all put together in the range of 22% of the overall sales. I think that satisfies your question.

Alankar Garude : Sir, even on SG&A, I mean, you spoke about the high base because of the launches in the

previous quarter. But even then, I mean, there has been a pretty good we've seen that moderate quite a bit. So anything we have done on the SG&A front as well, which you would like to call out? And yes, I mean, if you can also help elaborate on the point on growth impact from a more medium to long-term standpoint. Any impact at all which could potentially happen because of some of these initiatives?

Ash

utosh Dhawan : See, if you specifically talk about the SG&A or the S&D part, the S&D is more heavy loaded in the H1. So if you see historically also, the expenses are front-loaded on the S&D expenses, plus it's a mix of discretionary - normally barring the last quarter last year, as we have called out that there were certain launches and relaunches because of that, there was a bit of a bulge. But historically, also if you see Q4 has been softer with regard to the S&D expenses. And if you specifically talk about -- if you, let's say, from last year to this year, that's where if you see FY 26, the overall other expense view expenses in FY26 is INR3,424 crores, so which is 24% of the overall sales. This I'm talking the full year number.

And if you compare it to last year, FY 25, the reflected number is INR 3,008 crores. Out of this, INR130-odd crores were the one-off expenses, which were attributable to the BSV integration and plus some donation, which was given in the earlier part in Q1. And so if you normalize this, it makes it 23.6%.

So the comparison is between 24% and 23.6%. So that delta of 0.4% is mainly because of increased R&D spend. So long story short, the effort is to maintain the cost structures, not to tinker it too much. And the overall other expenses 24% vis-a-vis 23.6% Last year, the delta is on account of increased R&D spend, which we called out earlier.

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Alankar Garude: Got it. Ashutosh ji. The second question is on BSV's international business. Apart from the impacts you called out in LATAM, CIS, Philippines, can you lay out the plans to drive growth more from a 3 to 4 year standpoint?

Prakash Agarwal : Yes, surely. So there's a lot of initiatives going in since the acquisition. There's a lot of awareness programs. First, let me take some domestic initiatives. a lot of awareness programs in terms of coverage, in terms of increasing doctor prescriptions for the key products like anti-D, which is - we believe there could be a huge potential and 15-plus states have now been covered.

The second is increase in the Gynec coverage. So when we acquired, it was 32,000 plus. Now it is 37,000 plus. So there's a significant increase in the Gynec coverage and that's how you can see that especially the woman healthcare and fertility products are doing so well. We now cover 90% of the IVF centers, more than 3,000 centers.

There's a lot of initiatives for these IVF products like Foligraf, which has seen a 40% plus kind of growth, which is the fastest growing, much faster than the market. And there's a lot of clinical work getting done in terms of studies like we mentioned in the past that Foligraf, we have done refresh studies, anti-D, we have done Rhythm studies.

Now we have another product for allergy, which is doing extremely well for rush studies. So there's a lot of clinical work getting done, increase in coverage getting done, increase in awareness getting done. This is more so for the domestic business. In the international business, we just started scratching the surface. There's a lot of scope in terms of expanding the existing products, as we mentioned to each of these markets from starting with ROW 1 to all the way to ROW 3 markets.

Focus is incrementally on women healthcare and IVF, where we are seeing strong traction.

Secondly, also, we are expanding our GTM markets. So Philippines, Malaysia and Africa are the key GTM markets where we are expanding. And this year, we expect that there will be good launches in a few of these semi-regulated markets for the key products. So that's why we feel that it should -- the growth in an international business should be high teens to 20%.

Alankar Garude: Got it. Just to summarize there, Prakash, even Rajeev ji, it's been almost 2 years since we acquired BSV. Would you like to say that the acquisition, both o

n the domestic as well as on the international front has played out more or less in sync with your expectations back then?

Rajeev Juneja : See, whenever you acquire something, there are always certain kind of hiccups. But BSV has always been a very important kind of acquisition for Mankind. It has given us something which we did not have, difficult products, complex products, biological products. So we are very happy with that, number one.

Number second is what when we brought the leadership change in domestic side, the response is very good. And whatever problems we saw due to different reasons in Philippines side, we changed the leadership, otherwise, geopolitical disturbances. So we see it's a very good fit in Mankind. And going forward, we expect a lot from BSV.

Alankar Garude: Got it. And one final question with your permission. You approved an investment of up to INR500 crores in one of your subsidiaries, Mankind Medicare. Currently, this entity is into droppers. So what is the game plan here?

Ashutosh Dhawan : So Medicare is basically the manufacturing arm of Mankind. So this investment is towards setting up of best -in-class Vadodara biotech facility.

Alankar Garude: Okay got it. Sorry, go on sir.

Ashutosh Dhawan : No. So that's the reason that because next year or in a phased manner, we are spending money in this Vadodara biotech plant. So this approval is towards incurring the capex in the coming year.

Alankar Garude: Okay. So more or less, this INR500 crores is entirely for that biotech facility?

Ashutosh Dhawan : Correct.

Alankar Garude: Okay, sir. That's it from my side. Thank you.

Moderator: Thank you. Next question is from the line of Alka Katiyar. Kindly announce your company name and proceed with your question.

Alka Katiyar: I'm Alka from Morgan Stanley. Thank you for the opportunity and congratulations on good set of numbers. So most of my question has already been answered. If you can just highlight on the debt repayment plan. So are we on track like what we have guided earlier or how should we look for '27 and '28?

Ashutosh Dhawan : So, definitely, we are pretty much on track. The last payment was done in April 2026, INR1, 250 Crore . And the next payment is coming due in October, same amount, INR1,250 crores and next year, INR2,500 crores is to be repaid. So, we are on track. And we have given a guidance also that for FY27, the net debt to adjusted EBITDA ratio will be 0.5x. So, we are on track.

Alka Katiyar: Okay. And sir, also, if you can repeat the EBITDA margin guidance for this year?

Ashutosh Dhawan : So, the guidance is 25.5% to 26.5%. That's what is the guidance, but having caveated with all the geopolitical situation, market conditions. But the guidance will be better than the last year, and it is 25.5% to 26.5%.

Moderator: We take the last question from the line of Bharat Shah. Can you announce your company name and proceed with your question.

Bharat Shah: Yes. Bharat Shah from BCS Capital Ideas Limited. First of all, congratulations, Rajeev ji. Finally, we are seeing the performance that we have come to ascribe with Mankind always. So, congratulations to you and Sheetal ji, and the team. There were basically 2 broad questions I wanted to understand.

One got partially answered earlier, but I'll repeat it. We acquired BS V at a point of time where prima facie from a variety of points of view, it appeared whether we overpaid and whether it is

going to deliver and whether it has really delivered or it has underdelivered. In other words, sum total of the benefits, whether it is exceeding the kind of challenges and difficulties such a large acquisition poses and whether it has played out as we thought from a strategic point of view. Secondly, the entire manpower churning to bring the ener

gy and to bring the same level of

aggression that Mankind has been known in the past to pursue long -term strategy, but in a very focused, aggressive manner, whether all the changes despite all the attenuations in between, has it really played out exactly as you desired or there is still a work in progress?

Rajeev Juneja : It's a very interesting question, but I'll tell you. There's a difference where a company is being run by promoters versus professionals. Promoters always see everything in long term. We are never much impacted by quarter -on-quarter or volatile years of low points. You always see that whatever entity we acquire would give us benefits in terms of our long -term growth, what advantages would be there. Keeping that in mind, we basically acquired Bharat Serum . And again, I want to reiterate, whenever you basically acquire any organization, it takes some time. We are just 18 -19 months old in this. And now things have been properly streamlined, whether it's a domestic, whether it's an international side, all is being done. And we hope to see good growth.

We don't want to just overstate, but we'll definitely say we just want to surprise everybody.

That's the kind of mindset we have got, one , answer for the question . Second answer basically is whatever you plan in an office, whatever you do, some kind of a mismatch is always there. And we always understand this. So, we expected that we will be able to change the picture in shortest possible time. It didn't happen.

It took us more time. But now all the things are done and dusted. And as you can see, this year, the company is in a healthy state of growth, and we feel that whatever numbers have been projected to you, bottom line, top line, we definitely aspire to cover those. Thank you so much. Prakash Agarwal : And the R&D platform is what it completes and also because a lot of products which are under development, which you will see as long -term investor, it all will come over 3 to 5 years. So, there's a lot of development happening on that space.

Bharat Shah: No, that goes without saying. Before Mankind got listed and after it has been listed, I have observed Mankind for a number of years. And I've always admired the tenacity and the reason to play for long run rather than play for 30 -20 kind of a match. At the same time, not losing focus on achieving results and aggression to get what is due. So, it has always been long -term reason and terrific attention to the ground to execute well repeatedly time after time. So, this is -- what you have said is in sync with that.

Just one question for Mr. Dhawan. The expected tax rate for the current year will be -- last year, it has been 17%. And year prior to that has been about 20%. So, what is the likely, Ashutosh ji, tax rate for the current year?

Ashutosh Dhawan : Sir, this year for FY27, the expected tax rate will be in the range of 25% to 26% because the Sikkim exemption what we have been enjoying , FY26 has been the last year. That's why our

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effective tax rate has been in the range of 15% to 16%. So next year, it is going to get increased to 25% to 26%.

Bharat Shah: And once again, hearty congratulations, Rajeev ji Sheetal ji and all the very best .

Rajeev Juneja : Thank you Sir.

Ashutosh Dhawan : Thank you Sir.

Moderator: Thank you very much. I now hand over the conference to the management for closing comments.

Prakash Agarwal : Yes. Thank you, everybody, for attending the call. For any further queries or clarification, request you please reach out to us or e -mail us on investor.relations@mankindpharma.com
Have a nice day. Thank you.

Moderator: Thank you very much. On behalf of Mankind Pharma, that concludes this meeting. Thank you for joining us, and you may now disconnect your lines.

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